amfori
Trade with purpose

amfori BSCI System Manual

2022



amfori
Trade with purpose

amfori BSCI System Manual

Part 1:

The amfori BSCI Due Diligence Approach

This updated version of the amfori BSCI System Manual aligns with the amfori's 2024 brand guidelines; however, the content remains consistent with the 2022 version. Any updates pertain solely to design and branding elements.

2022



Introduction

The amfori BSCI (Business Social Compliance Initiative) System Manual has been updated in 2022. The audience of this document involves mainly amfori members, their business partners, amfori monitoring partners and monitoring persons. This updated version of the amfori BSCI System Manual consists of four main parts and Guide documents which provide the audience and system users with detailed information.

Each part provides information about business rules and processes of the amfori BSCI System.

Part 1 / explains amfori BSCI due diligence approach and implementation steps in practice together with practical tools and services that amfori brings for its members and their business partners.

Part 2 / targets amfori members, their business partners, monitoring partners and monitoring persons. It provides both an overview of the amfori BSCI's holistic monitoring approach and an explanation of the entire amfori BSCI monitoring process, from requesting and scheduling a monitoring to performing one and following up.

Part 3 / provides amfori members and auditors support in the interpretation of the questions of the amfori BSCI audit questionnaire.

Part 4 / consists of four chapters that provide the business partner with explanation of all relevant documents and guides that amfori BSCI makes available for them and specific guidelines on what is expected in every performance area.

18 guide documents / are developed to accommodate and support amfori members and their business partners in the implementation of amfori BSCI Monitoring Activities: Self-Assessment, amfori Social audits, and Continuous Improvement.

Foreword

This updated version of the amfori BSCI System Manual was published in December 2022. This current version aligns with amfori's 2024 brand guidelines; however, the content remains consistent with the 2022 version. It coexists with relevant documents issued by amfori to date.

The below documents continue to apply as they remain valid:

amfori BSCI Documents

amfori BSCI Code of Conduct (v.2021)

amfori BSCI Monitoring Report Framework (available on the amfori Sustainability Platform)

Coordinated by-laws of amfori a.i.s.b.l.

Easy Guide: The UK Modern Slavery Act

Position paper: New Child Labour Law in India

Guidance Package: Syrian Nationals Working in Turkish Supply Chains

Refugees in Supply Chains: A guide to Risk Identification and Management

Social Dialogue Handbook on Gender

Responsible Purchasing Practices in Times of COVID-19

Guidance for amfori Members' Monitoring of Potential Exploitation Associated with State Imposed Forced Labour

Doing Business Responsibly in Conflict-Affected and High-Risk Areas – a Guidance for amfori Members

amfori's Living Wage Journey: Taking Stock and Setting the Way Forward

amfori BSCI audit interpretation guidelines for Large farms

amfori BSCI audit interpretation guidelines for Small and Small-holder farms

MEMOS for Monitoring Persons and Auditors, please check amfori Website.

MEMO (ACs 2016/03 - 1): Auditing Arrangements under BSCI 2.0

MEMO (ACs 2016/11 - 2): Child Labour Amendment Act in India

MEMO (ACs 2018/05 - 1): Social Insurance and Welfare in PRC

MEMO (ACs 2018/06 - 2): Minimum Content for amfori BSCI Audit Report

MEMO (MPs 2019/10 - 1): Fire Safety in India

MEMO (ACs 2021/05 - 1): Fair Recruitment

MEMO (ACs 2021/09 - 2): Audit Errors

MEMO (ACs 2021/10 - 3): Building & Fire Safety in PRC

MEMO (ACs 2022/01 - 1):Combined Audits Procedure

MEMO (ACs 2023/01 - 1): Audit Durations

MEMO (ACs 2023/01 - 2): Recruitment Fee

MEMO (ACs 2023/01 - 3): Türkiye Building Safety & Earthquake Readiness

MEMO (ACs 2017/03 - 1): Evaluating Double Book Keeping- Turkey

MEMO (ACs 2023/02 - 1): Working Hours

MEMO (ACs 2023/02 - 2): Living Wage

MEMO (ACs 2023/04 - 1): Supply Chain Grievance Mechanism

Contents

The amfori BSCI Due Diligence Approach 5

The amfori BSCI Code of Conduct 6

Successful Implementation of the amfori BSCI CoC 10

Observance of the Law 12

Act with Due Diligence - Theory 13

Act with Due Diligence – in Practice 17

Step 1. Embed Responsible Business Conduct into Policies & Management Systems 18

Step 2. Identify and Assess Actual & Potential Adverse Impacts Associated with the Enterprise's Operations, Products or Services 21

Step 3. Cease, Prevent or Mitigate Adverse Impacts 26

Step 4. Track Implementation and Results 34

Step 5. Communicate How Impacts are Addressed 34

Step 6. Provide for/or Cooperate in Remediation When Appropriate 35

The amfori BSCI Due Diligence Approach

Companies that have endorsed the amfori BSCI Code of Conduct (CoC) have committed to conduct their business activities responsibly, and to identify, prevent, mitigate, account for and remediate adverse human rights, as well as environmental impacts in their supply chains.

Within the amfori BSCI system, both large and small companies get the same professional support and access to the same tools to support them in delivering upon their commitments to responsible business practices. Concretely, companies of all sizes and position in the supply chain may benefit by:

- Creating and maintaining trusted relationships with customers, supply chain partners and stakeholders
- Meeting investors and broader societal expectations
- Articulating the added value, they bring to their customers in supporting the achievement of customers' own objectives for responsible business practices, through effective assimilation of the amfori BSCI system in their own company

The amfori BSCI Code of Conduct

The amfori BSCI System supports businesses to:

- Monitor and strengthen responsible business practices in their global supply chains
- Build competence and knowledge with their own teams and in their supply chains
- Engage in constructive dialogue with relevant stakeholders

The basis of this system is established by the **amfori BSCI Code of Conduct**, which:

- Demands observance of the law
- Aligns with UN Guiding Principles on Business and Human Rights (UNGP)[1] and OECD (Organisation for Economic Co-operation and Development) Guidelines for Multinational Enterprises[2]
- Builds on the International Labour Organisation's (ILO's) Fundamental Conventions[3]
- Encourages business enterprises to follow a systematic due diligence approach in their supply chains
- Defines the values and principles for responsible business practices in the supply chain
- Provides amfori BSCI members with the right to request information on their business partners' social responsibility performance

Members act responsibly by:

- Publicly agreeing to and signing the amfori BSCI CoC
- Cascading the expectations set out in the amfori BSCI CoC to their business partners
- Continuously improving the performance of their operations and supply chains
- Maintaining responsibility for their own due diligence efforts

[1] 2011, UN Guidelines Principles on Business and Human Rights - https://www.business-humanrights.org/en/big-issues/governing-business-human-rights/un-guiding-principles/

[2] 2011, OCED Guidelines for Multinational Enterprises - https://www.oecd-ilibrary.org/finance-and-investment/oecd-guidelines-for-multinational-enterprises-on-responsible-business-conduct_81f92357-en

[3] The International Labour Organisation's Fundamental Conventions - https://www.ilo.org/international-labour-standards/conventions-protocols-and-recommendations

Structure of the amfori BSCI Code of Conduct

The amfori BSCI Code of Conduct is composed of a set of documents that must be read together:

amfori BSCI Code of Conduct: This includes the values and principles to which companies abide by and the way in which the amfori BSCI system is going to be implemented by amfori members and their business partners. amfori members and their business partners, including upstream and downstream producers, intermediaries and those involved in worker recruitment processes, can become signatories of the amfori BSCI Code of Conduct

amfori BSCI Reference: This includes all ILO Conventions and recommendations as well as other important policies that need to be taken into consideration when implementing the amfori BSCI system

amfori BSCI Glossary: This includes all definitions relevant for the implementation of the amfori BSCI system

Poster version: For communication and awareness raising, the amfori BSCI CoC can be displayed as a poster version

Changes in the amfori BSCI CoC:
The amfori BSCI CoC can be changed in certain circumstances, to meet the needs of different stakeholders and support with cascading its contents through the supply chain. These are the changes that are most requested and accepted by amfori:

- Integration of the amfori BSCI CoC in existing documents of the company (e.g., commercial contracts)
- Alignment of the amfori BSCI CoC to the company's corporate image and therefore changing layout

If making changes, the following should be considered:

- The content of the amfori BSCI CoC must be respected in its entirety but can be supplemented by additional content within signatories' own requirements for their business partners
- Amfori BSCI signatories cannot eliminate any part of the amfori BSCI CoC extended version, nor include changes that may contradict or not align with the spirit of the amfori BSCI CoC

Any adaptation or adjustment needs to be consulted with the relevant department of amfori to be contacted at **info@amfori.org**



Engaging Business Partners and Cascading the Code of Conduct

To engage their business partners, amfori BSCI members should:

- Request their business partners to sign the amfori BSCI CoC and share relevant Glossary and References documents, and cascade them to their own business partners
- Invite their business partners in the amfori Sustainability Platform for those business partners that will be monitored
- Empower them to live up to the commitments enshrined in the amfori BSCI Code of Conduct

There are many ways to cascade expectations through the supply chain, including:

- The amfori BSCI CoC as a stand-alone document attached to the terms of purchase or contracts
- Referencing the amfori BSCI CoC in a clause of the commercial contract
- Fully integrating the contract or terms of purchase

amfori members can, of course, also use their own codes of conduct for supplier engagement, if this is compatible with the amfori BSCI CoC (see previous section).

amfori members and their business partners should show their commitment to the amfori BSCI CoC by posting it in its entirety on company websites or integrating its contents or referencing it in publicly available codes of conduct.



IMPORTANT: amfori members should also actively engage their business partners in ways that go beyond cascading expectations via contracts. For example, this can include providing capacity building support to business partners or collaborating with business partners to develop and implement solutions to address and mitigate identified risks in their operations.

In cases where an amfori BSCI member integrates the amfori BSCI CoC in its purchase contracts, the following legal clause should be added to make business partners endorse the amfori BSCI Code of Conduct:

The [business partner] hereby acknowledges that:

- [business partner] has been made aware of the contents and requirements of the most recent version of the amfori BSCI Code of Conduct and all its supporting documents (herein referred to as the "amfori BSCI framework documentation")
- The amfori BSCI framework documentation
  - → has been made available to [business partner], a.o.
    - [in annex hereto]
    - [via amfori member's supplier portal – add url]
    - [via amfori's business partner portal – add url]
  - → at least in its latest version is continuously available to [business partner]
    - upon request to [amfori member]
    - [via amfori member's supplier portal – add url]
    - [via amfori's business partner portal – add url]
- [business partner] has consulted and understood the amfori BSCI framework documentation
- [business partner] understands and accepts that the amfori BSCI framework documentation is an integral part of this [Agreement]
- [business partner] understands and accepts that the amfori BSCI framework documentation may from time to time be amended by amfori following a change process and that such changes are integrated in the relationship between [amfori member] and [business partner] as from the date they enter into effect as determined by amfori, and thus may impact and change the commitment of [business partner] under this clause

  By signing this [Agreement], the [business partner] commits to fully adhere to the contents and requirements of the amfori BSCI framework documentation in effect, as amended from time to time .

If an amfori BSCI member changes the layout, the following paragraph must be included at the top of the document:

- "The document herein is a literal translation of the most recent version of the amfori BSCI Code of Conduct. As a business partner which has endorsed the amfori BSCI Code of Conduct, we have adapted the document into our own layout to better contribute to the amfori BSCI cascade effect."

If an amfori BSCI member has a different code of conduct, the following needs to be taken into consideration:

- **Comparability:** its own code should be compatible and not contradict the amfori BSCI CoC
- **Coherency:** Having different criteria for its own business (own code of conduct) and business partners (amfori BSCI Code of Conduct) may be regarded as lack of genuine commitment by stakeholders.

Refusal to Sign the amfori BSCI Code of Conduct

amfori BSCI does not prescribe any specific way to deal with this scenario, as it is the amfori BSCI member decision. However, it is recommended:

- **Internal policy:** amfori BSCI members should develop internal policies on how to deal with business partners that refuse to sign the amfori BSCI CoC.
- **Transparency:** These policies should be publicly available for potential and actual business partners, so they are aware of the consequences of their refusal.

In addition, these are some elements that can be taken into consideration:

- **Refusal comes from a reputed brand:** the amfori BSCI member may not require it to sign the amfori BSCI CoC if the brand has a similar Code of Conduct in place and evidence of an effective due diligence approach.
- **Refusal comes from a producing company:** The amfori BSCI member will assess the following aspects:
  - Is it possible to liaise with other amfori BSCI members sourcing from the same business partner to exercise leverage on the business partner to sign the amfori BSCI CoC?
  - Is it possible to get reliable and timely information on the business partner's social risks and performance in different ways (e.g., other social assessments)?
  - Is it possible to continue sourcing from a business partner unwilling to cooperate?

Signatories should note that there are many ways to exercise leverage, and the noted examples above are indicative rather than exhaustive. It is the responsibility of each signatory to determine the best approach to use considering their position in the supply chain and the size and scope of the signatory (which may impact the leverage the signatory can apply).

Successful Implementation of the amfori BSCI CoC

The diagram below summarises the key steps in implementing the amfori BSCI Code of Conduct in alignment with international due diligence standards.

Step 1. Embed responsible business conduct into policies & management systems

Step 2. Identify and assess actual and potential adverse impacts associated with the enterprise's operations, products or services

Step 3. Cease, prevent or mitigate adverse impacts

Step 4. Track implementation and results

Step 5. Communicate how impacts are addressed

Step 6. Provide for or cooperate in remediation when appropriate

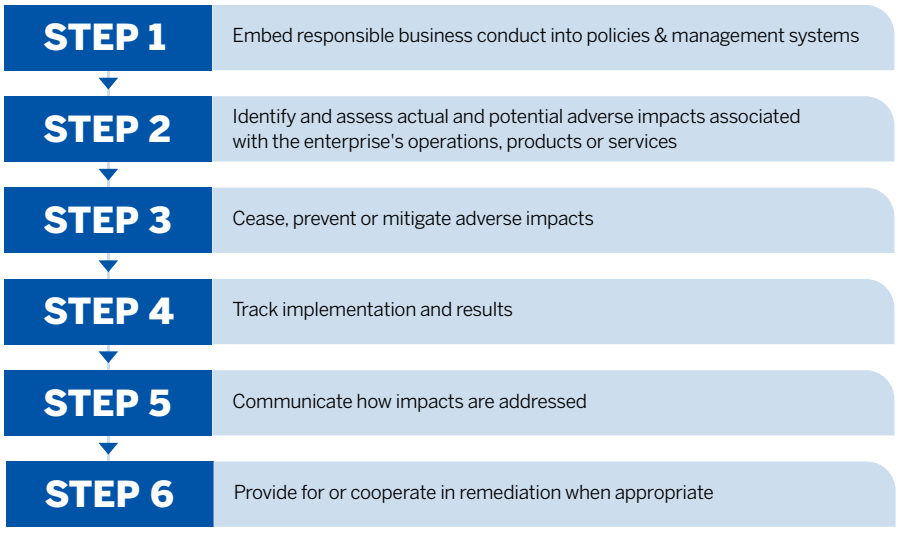


Figure 1: amfori BSCI due diligence steps

There are several factors that support successful implementation:

1. Senior Management Buy-in

Successful implementation relies on having the buy-in and support from the board and senior management (or the owner, in the case of small enterprise) as this shows:

- The seriousness of their commitment
- The degree to which the core values of the amfori BSCI CoC have been embedded in the business culture and throughout its operational activities, including purchasing departments

2. Working to Overcome Internal Challenges

Business partners confront internal and external challenges, when translating amfori BSCI CoC into business practice. Here are some common examples:

- Reservations from colleagues to support the changes internally needed
- Lack of human and financial resources
- Lack of communication resources and/or influence to convince their business partners to implement the amfori BSCI CoC

3. Internal and External Allies

Companies cannot successfully embed the amfori BSCI CoC if the personnel responsible for this within the enterprise work in silos. They need to find allies that will support them in the process.

- Internal allies may include board members, sustainability and purchasing teams or legal functions.
- External allies can include civil society organisations (CSOs), or member networks like amfori.

4. The Benefits of the amfori Network

amfori BSCI members represent a strong community of like-minded businesses that:

- Receive from and share with the amfori teams expert advice and reliable tools to identify, monitor and remediate adverse impacts in their supply chains
- Create synergies with other businesses facing similar issues
- Exchange information and experience on the amfori Community Platform

5. Due Diligence is Relative to the Size and Type of the Company

All businesses are expected to deliver due diligence to a level that is appropriate to the size and scope of their operations. Therefore, micro-enterprises and SMEs are not expected to develop and implement the same approaches as multi-national enterprises.

6. amfori BSCI Provides Tools to Help Identify and Manage Complex Risks and Impacts

The complexity of the global markets and geopolitical changes require continuous improvement to achieve long lasting positive impact. This is particularly important whenever amfori BSCI members are confronted with imminent risk or flagrant human rights violations in their supply chain.

amfori BSCI provides tools to help companies of all sizes achieve this.

Observance of the Law

First Obligation of a Company

Obeying the law is the first obligation of companies, both the law that governs its headquarters as well as the domestic law of countries where they operate and/or from which they source.

Relevance of the amfori BSCI Code of Conduct

The amfori BSCI Code of Conduct reflects global norms on responsible business conduct which many countries have already integrated into domestic legislation.

Contradiction between the amfori BSCI Code of Conduct and Domestic Law

If there is a perceived or actual contradiction between the amfori BSCI Code of Conduct and domestic law, the stipulation that provides the highest protection to workers and the environment prevails.

This needs to be considered with a good understanding of the local context and possible constraints. amfori BSCI members must be vigilant to avoid pushing their business partners into the dilemma of breaching their domestic law to satisfy customers' demands.

amfori BSCI members should use the opportunity to assess and define together with their business partners:

- The constraints faced when trying to implement the amfori BSCI Code of Conduct
- Best ways to protect workers without contravening the domestic law

Act with Due Diligence - Theory

amfori BSCI members are expected to act with due diligence.

This means members should establish ongoing processes which aim to identify, prevent, mitigate, and account for how they address the impacts of their own activities, or which may be directly linked to their operations, products, or services by their business relationships.

However, amfori members must take ownership and responsibility for these management processes.

Effective due diligence must include:

- Setting clear commitments and accountabilities
- Assessing actual and potential impacts
- Integrating and acting upon the findings
- Monitoring progress
- Communicating how impacts are addressed
- Remediating situations if actual adverse impacts are identified

amfori members are supported to achieve this with the help of the amfori BSCI CoC and all supplementary materials. Those have been developed to support members with meeting the expectations for due diligence as defined by the Organisation for Economic Co-operation and Development (OECD).

The Essential Characteristics of Due Diligence

Due diligence processes need to meet the expectations set by the 11 essential characteristics of due diligence, defined by the OECD. The amfori BSCI Code of Conduct (2021) refers to those due diligence characteristics, including in its values and principles. These essential characteristics are:

1. Due Diligence is preventative

The purpose of due diligence is first and foremost to avoid causing or contributing to adverse impacts on people, the environment and society, and to seek to prevent adverse impacts directly linked to operations, products or services through business relationships. When involvement in adverse impacts cannot be avoided, due diligence should enable companies to mitigate the impacts, prevent their recurrence and, where relevant, provide remediation.

2. Due Diligence involves multiple processes and objectives

The concept of due diligence involves interrelated processes that should be an integral part of companies' decision-making and risk management.

3. Due Diligence is commensurate with risk (risk-based)

Due diligence is risk-based. The measures that a company takes to conduct due diligence should be appropriate to the severity and likelihood of the adverse impact.

4. Due Diligence can involve prioritisation (risk-based)

Where it is not feasible to address all identified impacts at once, a company should prioritise the order in which it acts based on the severity and likelihood of the adverse impact.

5. Due Diligence is dynamic

The due diligence process is not static, but ongoing and responsive to changing circumstances.

6. Due Diligence does not shift responsibilities

Each company in a business relationship has its own responsibility to identify and address adverse impacts.

7. Due Diligence concerns internationally recognised standards

In countries where domestic laws and regulations conflict with the principles and standards of effective due diligence, due diligence systems should honour the OECD Guidelines and the principles of the UN Guiding Principles to the fullest extent which does not place them in violation of domestic law.

8. Due Diligence is appropriate to an enterprise's circumstances

The nature and extent of due diligence can be affected by factors such as the size of the company, the context of its operations, its business model, its position in supply chains, and the nature of its products or services.

9. Due Diligence can be adapted to deal with the limitations of working with business relationships

Enterprises may face practical and legal limitations to how they can influence or affect business relationships to cease, prevent or mitigate risks. Companies can seek to overcome these challenges to influence business relationships through contractual arrangements, pre-qualification requirements, voting trusts, license or franchise agreements, and through collaborative efforts to pool leverage in industry associations or cross-sectoral initiatives like amfori.

10. Due Diligence is informed by engagement with stakeholders

Engagement with stakeholders is a core part of effective due diligence and is characterised by two-way communication. It should involve the timely sharing of the relevant information needed for stakeholders to make informed decisions, in a format that they can understand and access.

11. Due Diligence involves ongoing communication

Communicating information on due diligence processes, findings and plans enables the company to build trust in its actions and decision-making and demonstrates good faith.

Continuous improvement

Due diligence should be considered a journey, with the destination being that all risks in company supply chains are identified, managed, mitigated and/or eliminated. Over time, this requires companies to continuously engage with the known risks in their supply chain and monitor and regularly re-assess whether existing approaches are working.

Ultimately, it may be that no company has the resource, leverage, capacity or capability to reach their destination. This is where the concept of continuous improvement must be understood by amfori members and their business partners.

To understand continuous improvement, a company should consider the following, somewhat contradictory statements:

- It may never be possible to comprehensively identify, manage, mitigate and eliminate all risks in the supply chain
- Nonetheless, remaining static is never an option
- And "good enough" is not good enough

This mean companies should, at least on an annual basis (ideally disclosed through their public due diligence report) be able to demonstrate the additional steps or actions they have taken in the previous 12 months to improve their due diligence efforts.

These steps should be closely linked to the type of company and the resources available: a global multinational will be expected to do more than an SME, although this does not mean an SME can't find creative solutions to improving their efforts that don't rely on significant resources or internal capacity.

IMPORTANT: This also means that amfori BSCI members and their business partners should not be relying solely on the amfori BSCI monitoring results to manage their supply chain risks. In fact, it is good practice to keep engaging with business partners in continuous improvement to reduce and mitigate risks. Further, amfori BSCI members should not rely solely on audit reports from business partners to determine if a business relationship should begin or end.

The amfori Sustainability Platform supports continuous improvement with guidance, tools and templates. amfori also encourages its members and their business partners to use resources from outside of its platform, where necessary.

Implementation of Due Diligence

All amfori BSCI members are expected to have due diligence processes that cover each performance area as identified in the amfori BSCI CoC. To achieve this, members should develop management systems per performance area, or, where feasible, management systems covering two or more risk areas.

Management Systems, at minimum, should include:

- A policy or standard that defines the amfori members and their business partners' expectations
- Processes that define how the requirements of the policy will be implemented
- Accountabilities to define who is responsible for implementing the system
- Mechanisms to gather evidence or data on implementation progress or performance

amfori members' management systems can go beyond issue areas identified in the amfori BSCI CoC, and amfori BSCI members are encouraged to consider if further due diligence processes should be established for their enterprises.

Please visit the amfori Academy Training courses on how to develop an effective management system aligning with amfori BSCI values and principles.

Act with Due Diligence – in Practice

Considering that due diligence should be commensurate with risk and appropriate to a specific company's circumstances and context, the following section outlines the OECD's six-step framework to embed due diligence into the company's management systems.

In the following pages, each step is discussed in more detail.



IMPORTANT: It should be clearly noted that the expectation is for amfori members and their business partners to take ownership and responsibility for each step, with amfori supporting where feasible and appropriate.

amfori expects each amfori member and their business partners to have a due diligence system in place. Further, implementation of this framework is monitored during amfori BSCI monitoring.

Step 1 - Embed Responsible Business Conduct into Policies & Management Systems

Embedding responsible business conduct into policies and management systems requires:

- Having clear leadership and accountability set at the most senior levels of the organisation.
- Ensuring that people at all levels contribute to the company's objectives through their abilities and clear roles, responsibilities and accountabilities.
- Ensuring there is a continuous cycle of evaluation and improvement of operations and processes.
- Establishing evidence-based decision-making through the analysis of data and information collected through a system of control and transparency.
- Building relationships with stakeholders, and in particular engaging business partners and cascading expectations, to enhance the ability of both companies and business partners to achieve shared objectives.
- Drafting and publicly displaying a company policy that shall include, at a minimum:
  - A commitment of the company to implement due diligence process defined in the OECD Guidances.
  - A commitment to identify, assess and respond to risks of adverse impacts and actual adverse impacts in supply chains.
  - A description of a clear and coherent management process for managing risks of adverse impacts and actual adverse impacts.
  - The date when the policy became effective.



IMPORTANT: It is a requirement for amfori members to agree to sign, cascade the expectations of the amfori BSCI Code of Conduct and work with their business partners to build capacity. However, signing the amfori BSCI Code of Conduct is not equivalent to drafting a standalone company policy on responsible business. A company policy, nevertheless, may refer to the amfori BSCI Code of Conduct, or sections of it, as appropriate.

1.1 Working with Purchasing Departments in Day-to-Day Delivery

It is good practice to involve as many company employees as is relevant to ensure an effective deployment of a due diligence process. From the amfori BSCI signatory perspective, purchasing departments need to be involved in amfori BSCI implementation at several steps:

- Communicating policy requirements to business partners
- Identifying and mapping supply chain relationships
- Collaborating with internal departments to support and enable risk assessment
- Facilitating or leading engagement with business partners on risks or corrective action plans
- Monitoring the performance of business partners in implementing corrective actions
- Applying commercial leverage to influence business partners' behaviours and engagement
- Taking actions to pause or cease commercial relationships if necessary

1.1a Challenges and Constraints

Nonetheless, purchasing departments often have different incentives, capacity and capability to take on this role. The chart below helps in understanding the possible constraints and solutions to develop together a solid amfori BSCI strategy.

Possible Constraints	Possible Solutions
Buyers have information only about their immediate counterparty (e.g., agent) but they have little information about where the agent sources from (e.g., production sites)	Include the amfori BSCI Code of Conduct as part of the contracts with immediate counterparty. This provides the legal framework to request from them more information on their supply chain.
Buyers may have classified business partners based on price, quality and delivery time. They may have no interest in revising this classification to include social and environmental risks.	Involve buyers in the mapping and prioritisation of business partners so they better understand the link between social risks and quality risks. Provide them with the amfori BSCI Country Due Diligence Toolkits
Buyers receive incentives for selecting the cheapest source.	Influence the decision-maker to create incentives for buyers to include social risks and performance as part of their selection criteria.
Buyers may not have the time or the expertise to understand the information gathered on social risks and performance (e.g., reading an audit report)	Set a clear procedure on how to understand the information on business partner social risks and performance and/or Corporate Social Responsibility strategies. Develop a tool that translates amfori BSCI audit findings, monitoring reports and continuous improvement into guidelines for them.
Buyers visit factories but may not have the time or expertise to ask producers key questions on social risks and performance.	Provide buyers with a checklist which serves this purpose. **Guide 7: How to use the amfori BSCI checklist** **Guide 15: How to pre-assess potential business partners** In addition, conduct internal trainings or share short awareness raising videos on a regular basis.

Table 1: Challenges and Constraints

1.1b Business Partner Engagement as a Part of Purchasing Team Engagement

Business partner engagement can be driven by purchasing teams. This can include:

- **Update purchasing contracts:** Include the amfori BSCI CoC in the purchasing contracts to cover as many business partners as possible.
- **Support with supply chain mapping:** Classify the information on the supply chain by distinguishing direct from indirect sourcing as well as the location and commercial relationship stability. Once amfori BSCI members have this information mapped out, they continue building up their strategy, priorities and budget needed to execute an effective due diligence approach. Use functions on the amfori Sustainability Platform.
- **Social risk collaborative assessment:** Define with identified internal stakeholders (procurement, compliance, legal etc.) the procedure to exchange information between departments about identifying any potential or actual risk associated with business partners.
- **Business consequences:** Define with identified internal stakeholders what the business consequence should be for business partners that do not take any action in improving their due diligence and social performance (i.e., when is the right time to stop business with the business partner?).

Step 2. Identify and Assess Actual & Potential Adverse Impacts Associated with the Enterprise's Operations, Products or Services

To ensure risks can be managed, mitigated, eliminated, and remediated, amfori members should:

- Map their supply chains as completely as possible
- Carry out a broad scoping exercise to identify all areas of the business where risks are most likely to be present and most significant
- Carry out iterative and increasingly in-depth risk assessments to identify and assess specific actual and potential adverse impacts in the supply chain
- Determine the appropriate risk management, mitigation, elimination and remediation strategies
- Prioritise the most significant risks and impacts for action, based on severity and likelihood

All new business partners should undergo the risk assessment prior to being onboarded. Once business partners are onboarded, these steps should be regularly repeated (maximum on a biennial basis, or when circumstances changes).

2.1 Supply Chain Mapping

Mapping of the supply chain is a necessary step to take prior to assessing risks. Although it may seem daunting, amfori BSCI members should make efforts to identify the different actors in their supply chains, first focusing on their significant business partners, then finally moving further upstream.

Significant business partners are defined as partners (particularly producers) who are the primary providers of a given type of good or service, which represent a large share of the purchasing volume or reputational perception; or are identified as potentially linked to significant risks of adverse human rights impacts.

Supply chain mapping can be delivered as simply as with a spreadsheet or using dedicated supply chain platforms such as the amfori Sustainability Platform.

Through this exercise, amfori members will find out:

Who: the different actors involved directly or indirectly in the supply chain

How: the nature of the relationship and the level of relevance or significance these actors have for the core business and reputation

What: the level of leverage as well as the type of actions that need to be prioritised, once the risk assessment is completed

There are different sourcing and contracting strategies to consider which can define the structure of the supply chain. Based on the result of the supply chain mapping, amfori BSCI members will define the amfori BSCI implementation model that suits them best.

- **Direct:** the amfori BSCI member sources directly from producing or manufacturing business partners or its own production units (including farms). It can also be the case that it sources indirectly (e.g., through a trader) but it has all information on the production sites. In this case, the amfori BSCI member will identify those producers that are significant for its business and invite them into the amfori Sustainability Platform.
- **Indirect:** The amfori BSCI member contracts through a trader (agent or importer) to source from producing or manufacturing businesses or through a service provider to provide service delivery (including recruiting agencies and cooperatives). The member has no information about them. In this case, the amfori BSCI member will request traders to become amfori BSCI member. amfori members should work with their traders on the amfori BSCI implementation.
- **Hybrid:** The amfori BSCI member combines both direct and indirect models.

2.2 Assessing Risks and Prioritisation

2.2a Different Approaches to Assessing Risks

Businesses may use several resources to:

- Classify risk
- Identify their significant business partners
- Select those who may require risk management plans, enhanced due diligence and/or amfori BSCI monitoring (or other actions)

amfori BSCI members should note that although audits can feed into risk assessment processes, this is not required and in fact audits should be considered a separate activity, to be delivered once risk assessment and risk management plans have been delivered.

Macro-level assessment: the governance system of a country has an impact on the extent a business partner based in such a country can incorporate social responsibility as part of its core business. These are examples of relevant tools and resources:

- **amfori Due Diligence Tool:** This classification follows the World Bank Governance Indicators. Within this classification, amfori provides additional advice vis-à-vis extremely high-risk countries
- **Least developed countries (LDCs):** This classification is developed by the United Nations (UN). Countries included in this list can benefit from exceptions that reduce expectations for alignment with certain ILO Conventions (i.e., with regards to ILO Convention 138 on Child Labour, LDCs can have a lower minimum age for work)
- **Public concern:** Information from relevant stakeholders such as NGOs investigation reports or data sets

Sectoral and supply chain assessment: the structure of the economic sector and the complexity of the supply chain impact on the way a business partner can incorporate social responsibility as part of its core business. These are examples of relevant tools:

- **amfori Sustainability Platform:** enables amfori members to map their supply-chain, visualise its significant business partners, check amfori BSCI monitoring results, liaise with other amfori BSCI members to create alliance towards remediation and continuous improvement.

For more information see:

- **Guide 1: How to start with the amfori Sustainability Platform**
- **amfori Sustainability Intelligence Dashboard (amfori Insights):** This is a tool designed to assist amfori members in tackling the complexity of supply chain management and support their efforts to improve its sustainability performance
- **amfori BSCI Self-Assessments:** business partners can regularly fill in self-assessments to provide a level of risk assessment for their own business and for amfori members. The aim is to support business partners to avoid audit fatigue and focus on assessing their risks and improving the gaps
- **amfori Continuous Improvement:** business partners are expected to engage in the continuous improvement process and take action to improve conditions for their workers. Members can also work on continuous improvement for their own company and define improvement activities
- amfori BSCI Zero Tolerance alerts: information provided through the amfori Sustainability Platform by monitoring persons within 24 hours from the time when the amfori BSCI monitoring has taken place
- **Guide 5: How to follow the Zero Tolerance protocol**

Commercial visits: Information gathered through purchasing teams, agents or similar actors.

Accumulated experience: amfori BSCI member may rely on purchasing personnel's accumulated experience to develop a sector specific list of risks. For example:

- use of agents to sub-contract workers in specific sectors
- manufacturing or embellishment of goods that is often done using homeworkers, like embroidery or other handcrafts
- products coming from areas where children's education is not granted
- products that rely heavily on manual labour for farming
- the sourcing of minerals or metals from conflict-affected or high-risk areas
- sourcing from countries with a high percentage of migrant workers in the workforce
- sourcing from countries in which significant numbers of refugees reside or transit through

Grievance mechanism: Leveraging information from complaints or suggestions that the amfori BSCI members may have received through its own grievance mechanism or the amfori grievance mechanism.

Assessments: Information gathered by second or third-party assessments, audits or similar exercises. amfori recommends that members do not rely exclusively on certificates but rather gather more substantial information that can help to take an informed decision about whether or how to work with significant business partners.

In order to capture the requisite information, the amfori BSCI system provides business partners with a set of self-assessments and guides which are available on the amfori Sustainability Platform to gather information on potential or existing business partners.

2.2b Approaching Prioritisation

1. Likelihood and Severity

Companies should develop a prioritisation process to address risks in a way that is appropriate for their company and meets the needs of rightsholders first. Prioritisation should ultimately be based on different factors:

- First and foremost, the **likelihood** of a harm occurring and its severity of impact
  - When operating in conflict-affected and high-risk areas, understanding the context becomes crucial and informs both the analysis of likelihood and severity
  - When the likelihood and severity of an adverse impact is high, then due diligence should be more extensive and therefore business partners with higher likelihood and severity of risks should be prioritised
- The severity of impacts is judged by their scale, scope and irremediable character
  - Scale refers to the gravity of the adverse impact
  - Scope concerns the reach of the impact, for example the number of individuals that are or will be affected or the extent of environmental damage
  - Irremediable character means any limits on the ability to restore the individuals or environment affected to a situation equivalent to their situation before the adverse impact
- Once the most significant impacts are identified and dealt with, the company should move on to address less significant impacts

2. Causing, Contributing to or Linked to

When assessing risks, prioritising business partners and, as a next stage, managing risks, companies should further consider the key concepts of "Causing, contributing to or being linked to" adverse impacts.

Ultimately, this framework allows companies to determine where risks are most relevant to the company in question, which business partners should be prioritised for risk management and what types of risk management should be considered.

Although not rigid frameworks

Causing: adverse impacts are being directly caused by a company's actions (these should always be prioritised).

Contributing to: a company's actions increase the likelihood of a risk becoming an actual adverse impact (for example, if a company encourages breaches of labour laws to get an order completed on time).

Linked to: a company has a relationship with a business partner whose own actions may increase the likelihood of adverse impacts occurring, but these are not encouraged or linked to the business activities delivered by the original company.

3. Further Considerations for Prioritisation

To further support with prioritisation of risk management actions, once risks are assessed and a first round of prioritisation has been delivered, amfori members can consider the identification of significant business partners as a potential next step.

Functionally, this is a question of identifying leverage which informs what next steps, if any, are possible.

Significant business partners are identified as those that:

- are primary providers of a given type of good or service
- represent a large share of the purchasing volume of the amfori member; or
- potentially relate to risks of adverse human rights impacts

They have (or they are likely to have) influence or effect on the amfori BSCI members' business.

In the context of the UN Sustainable Development Goals, amfori members may also consider as significant business partners those that can influence in a positive way the amfori BSCI member's business model and reputation.

In some cases, all business partners will be determined to be significant. In all cases, significant business partner status should not supersede cases where there are risks of severe adverse impacts.

Finally, once the most significant impacts are identified and dealt with, the amfori members together with its business partners should move on to address less significant impacts.

There is no one correct way to prioritise. However, companies should be able to explain and credibly defend their approach and, in all cases, severity and likelihood should form a crucial aspect of the process.

Step 3. Cease, Prevent or Mitigate Adverse Impacts

Once risks have been identified and next steps prioritised, members should:

- stop activities that are causing or contributing to adverse impacts
- develop and implement plans to prevent and mitigate potential (future) adverse impacts
- develop and implement risk management plans

3.1 Risk Management

To manage risks, once identified, the company should have defined the internal procedures to handle the relationships with concerned business partners in the most effective way. These procedures will be:

- approved by top management
- regularly evaluated and adapted as needed to accommodate new business relationships (e.g., if in the middle of the fiscal year a company decides to include new line of products or services into its supply chain due diligence strategy, some procedures may need to be adapted)

All risk management plans should follow the three options as defined by the OECD Guidance:

- continuation of the relationship throughout the course of risk mitigation efforts
- temporary suspension of the relationship while pursuing ongoing risk mitigation
- disengagement with the business relationship either after failed attempts at mitigation, or where the enterprise deems mitigation not feasible, or because of the severity of the adverse impact

Within that framework, amfori BSCI members can decide on the risk management approach that fits best to their vision of implementing the amfori BSCI system and that manages and mitigates risks efficiently.

Commonly used risk management approaches include:

3.1a Responsibility

- The amfori member acknowledges that a certain business partner represents a risk for the amfori members
- The amfori member deliberately accepts the risk and acts, where possible, to manage the risk, even if there is limited leverage or possible actions that can be taken
- Top management needs to approve the decision and bears the consequences if something goes wrong

3.1b Manage

- The amfori member is aware of the risks
- The amfori member defines extra efforts to handle the risks
- The amfori member implements actions to minimise the impact or likelihood of risk that the business partner brings to people or the environment
- The amfori member allocates financial resources to support the defined efforts
- The amfori member assesses the success of its risk management and adapts accordingly
- A person or team is responsible for the management

3.1c Collaborate

- The amfori member shares its responsibility and authority with another amfori member so the second controls the risks on behalf of the first
- These are some examples:
  - a brand requires an importer to control business partners' risks on its behalf.
  - a business partner requires a recruitment agency to look after the workforce on its behalf
- Delegating can be very efficient and effective if both parties exchange information regularly and share responsibility and resources

Full transfer of responsibility is not acceptable. amfori members and their business partners are expected to know and show how they act accordingly, to avoid the adverse impact they may be connected to as well as the adverse impacts on the rightsholders themselves.

3.1d Avoid

- The amfori member adjusts its business partnership requirements to eliminate or reduce the risks.
  - A brand stops business with an importer that does not disclose satisfactory information on the sourcing location
  - An amfori member only sources from local and well-known partners

Full avoidance is not feasible. amfori members and their business partners always assume certain risks and should always assume some form of due diligence process will be required.

3.1e Conflict-affected and high-risk areas (CAHRAs)

In some instances, amfori members will be active in or sourcing from CAHRAs. In these situations, members should:

- ensure they are not only managing risks but are actively ensuring they are not contributing to the adverse impacts in these areas
- develop specific policies that identify, prevent or mitigate any risks of adverse impacts associated with the activities and the relationships of suppliers operating in conflict-affected or high-risk areas. In these processes, special attention is given to human rights impacts on groups or populations at heightened risk of vulnerability or marginalisation

3.2 Collaboration

From an amfori BSCI system perspective, collaboration can be an effective approach to create positive impact and our platform encourages collaboration.

Collaboration is an approach that can be effectively used to address risks and gain leverage in the supply chain. Collaboration can be delivered with other amfori BSCI stakeholders, or other relevant stakeholders, such as national or local government officials, civil society actors, trade unions or industry initiatives.

In addition, collaboration is key to achieving success with business partners in the supply chain. Due diligence is most effective when delivered collaboratively.

Nonetheless, ultimate responsibility for delivery of effective due diligence remains with each individual amfori BSCI member.

3.2a Collaboration with Business Partners

These are examples of constructive engagement with business partners:

- Follow up on challenges and improvements concerning their social risks and performance in a regular way
- Build common expertise on the effectiveness of their due diligence
- Exchange information on their respective stakeholder engagement strategies and outcomes
- Support them to develop and implement continuous improvement and remediation plans

3.2b Collaboration with Other amfori Members

These are examples of constructive engagement with other amfori members:

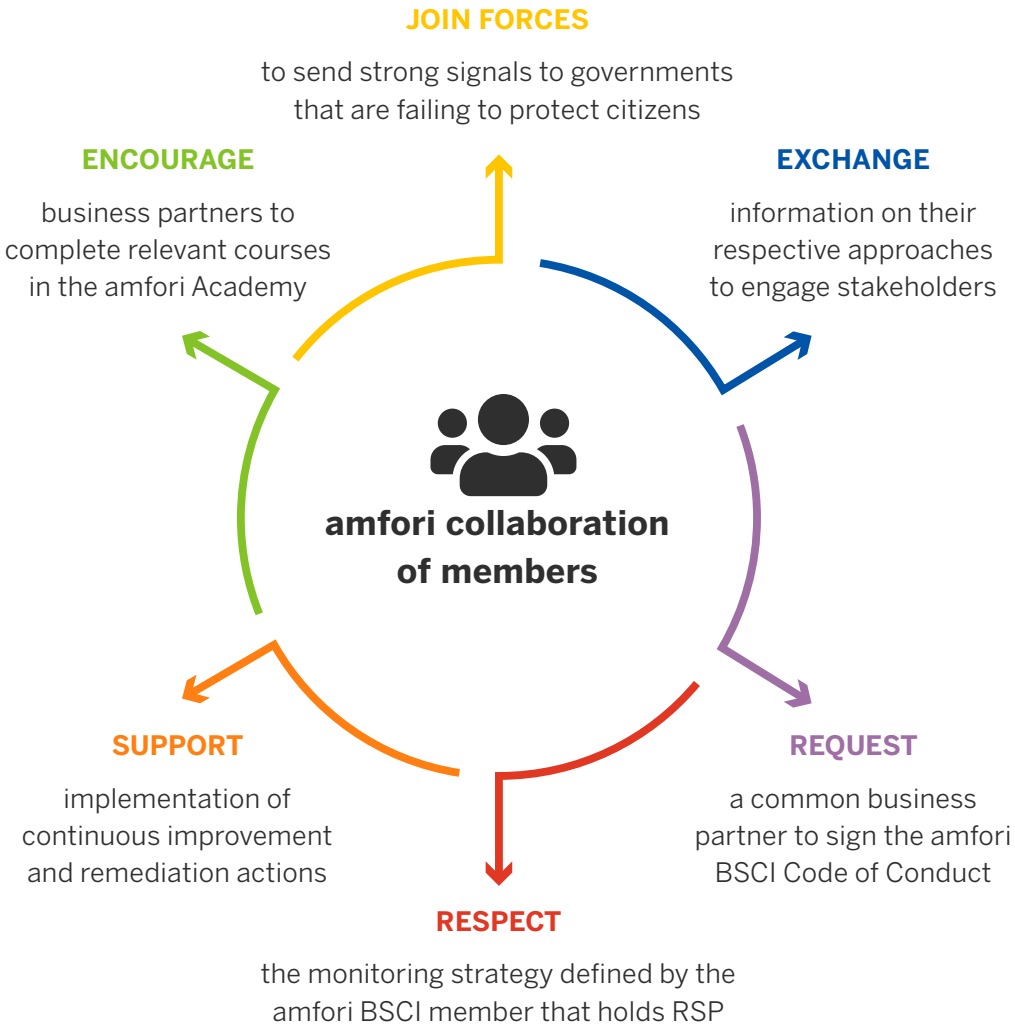


Figure 2: amfori BSCI collaboration of members

amfori provides two platforms to support members' collaboration:

- **amfori Community Platform:** A communication portal for amfori Members to have discussions and compare experiences
- **The amfori Sustainability Platform:** a straightforward way to share and exchange information with other amfori members

3.2c Collaboration with External Stakeholders

These are examples of fruitful engagement with external stakeholders, a core aspect of due diligence:

- Local stakeholders such as local communities and civil society organisations will support with effective risk management. To engage effectively with local communities, adequate communication channels (signage or websites with the following information: email, cell phone, mailbox) need to be in place and made known to local communities
- Governments and international organisations such as the International Labour Organisation (ILO): cooperation may support the application of the labour law in the sourcing country
- Trade unions in the sourcing countries: cooperation may help to raise awareness of workers' rights and obligations; it may be helpful in handling grievances
- Civil Society Organisations: cooperation may bring knowledge on the risks, their root causes, and valuable information and advise on how to ensure that human rights are respected on the ground

Engaging with the relevant external stakeholders facilitates the achievement of a sustainable solution, particularly when it has been identified that the root causes of deficient social risks and performance lay outside the supply chain.



IMPORTANT: While amfori BSCI member may not have the means to address these external stakeholders individually, the amfori teams can support in the coordination.

3.3 Responsible Disengagement

The reasons to disengage from business partners can be varied and build up over time, but disengagement should be considered as a measure that is undertaken either because of the most serious impacts occurring (e.g., a business partner engaging in gross human rights violations) or as a measure of last resort following repeated attempts to mitigate identified risks.

Disengagement can be an appropriate response if there is a fundamental lack of trust provoked by the business partner's behaviour.

Trust can be breached suddenly, but it is more often tested following several warnings that trust may be at stake, because the business partner:

- Does not provide relevant and accurate information on its production sites
- Does not engage its own business partners to provide information on a regular basis
- Does not verify that its business partners implement their remediation plans
- Shows clear unwillingness to align to the amfori BSCI CoC
- Clearly demonstrates a clear inability to remediate issues or show improvement over time
- Compromises the integrity of the monitoring by means of bribery, falsification or misrepresentation in the supply chain.

These examples may occur at the commercialisation level (e.g., the intermediary breaches the relation of trust) or at the production level (e.g., the producing company).

These breaches of trust may be identified:

- during amfori BSCI monitoring and considered by the auditor severe enough to trigger a zero-tolerance alert
- during ad hoc visits or supplier engagement processes
- over time, as results from monitoring operations are reviewed and no progress or improvement is identified.

For more information, read Guide 5: How to follow the Zero Tolerance protocol.

3.3a Disengagement as a Last Resort

Business enterprises should not stop business suddenly and disengagement should be considered a last resort, after other solutions have been tested. Importantly, amfori members and their business partners should conduct responsible purchasing practices as much as possible.

These are some aspects to take into consideration before stopping business or ending contracts with a business partner, all of which should also include engagement with stakeholders:

- Is stopping business the best alternative?
- What may be the adverse impacts on the business if the partnership ends?
- What may be the adverse impacts on the producers' workers if the partnership ends?
- Can the issue be solved in another way?
- Is there a better business partner alternative?
- Is the identified problem specific to the region?

3.3b Systemic Problems

Some deficiencies on social performance relate to systemic problems in the sector, region, or country. This makes it more difficult to find other alternatives. It also makes it crucial to engage with stakeholders, so they can be supportive on continuous improvement approach and eventually understand the long-term reasons why your company stops business or stays in business with a problematic partner.

3.3c Procedure to Stop Business

Every amfori BSCI member must choose how and when to make the decision of stopping business. However, the decision should always be based on agreed upon procedures that include:

Clearly communicated rationale: amfori BSCI members should aim at clearly making available to potential and actual business partners the reasons that could represent for them a breach of trust. As much as possible, this should be translated into a cancellation or rescission clause in the contracts, which would be the most stringent manner to enforce the amfori BSCI CoC.

Warning procedure: amfori BSCI members should aim to set up a procedure to issue warnings before stopping business. This will also help the company in the process of seeking alternative business partners.

Communication procedure: amfori BSCI members should aim to have a communication procedure to deal with cases where the related business partner has been targeted by the media. In such a case, the decision of stopping business needs to be analysed with extreme diligence as it might end up being totally counterproductive and raise stakeholder concerns.

Stakeholder engagement: amfori BSCI members should aim to engage with consumers and other stakeholders on a regular basis to be transparent about their business models and the reasons why they could stop business with partners based on social performance.

Stop business or contracts: Business contracts and/or business relations should stop according to the agreed terms and after the agreed warnings. Stopping business because of a business partner's unwillingness to implement a necessary measure to respect an obligation of the amfori BSCI CoC does not alter contractual agreements (e.g., financial obligations from existing contracts need to be honoured).



IMPORTANT: amfori discourages amfori BSCI members from stopping business based on amfori BSCI monitoring solely, as this conflicts with the values and principles of the amfori BSCI system.

3.4 Meaningful Stakeholder Engagement

Stakeholders are individuals, communities or organisations who are affected by and may affect an organisation's products, operations, markets, industries, and outcomes. Mapping and engaging stakeholders, including people working within a business partner, are integral and indispensable parts of amfori members' and their business partners' due diligence.

Meaningful engagement relies on:

- **Aptitude:** None of the parties intend to convince the other of their views or approaches, but instead they concentrate on shared goals
- **Interest:** They seek long-lasting solutions rather than short-term demands
- **Regularity:** The agenda agreed upon is followed up on a continuous basis and not just in case of immediate crisis

3.4a Identification of the Relevant Stakeholder Groups

From the perspective of an amfori BSCI member, the table below shows potential stakeholder groups (organisations and individuals) and their relevance at distinct stages of the implementation of amfori BSCI system.

Small and microenterprises may rely on amfori BSCI stakeholders' engagement work. It is important to note that international standards expect all businesses to meaningfully engage with stakeholders. However, acknowledging that this might result in a daunting exercise, they allow companies to prioritise who to engage with and to use proxies when engaging directly might not be feasible.

amfori BSCI Stages	Stakeholders inside the Company	External Stakeholders
Policy, scoping and assessing (rules and strategy-oriented)	• Top management • Sourcing/buying department • Compliance/legal department • Local buying offices	• Business partners • amfori • Trade union federations • Civil society organisations
Acting and integrating (task-oriented)	• Sourcing/buying department • Local buying office employees • Corporate and government affairs	• Business partners • amfori • Other amfori members • amfori Country Representatives • Specialised UN agencies (The ILO, UNICEF, UNHCR, UNWOMEN, IOM) • Government agencies • Local trade unions
Knowing and showing (communication and accountability-oriented)	• CSR department • Compliance department • Communication department	• Advocacy groups • Consumers • amfori Networks • Business partners • Trade unions • Business partners' workers or their proxies • Government agencies

Table 2: Potential Stakeholder Groups to Support in amfori BSCI Implementation

3.4b Level of Stakeholders' Engagement

The table below shows the most used classification to define level of engagement depending on:

- Their influence on the community and other stakeholders
- Their interest in the company's activity

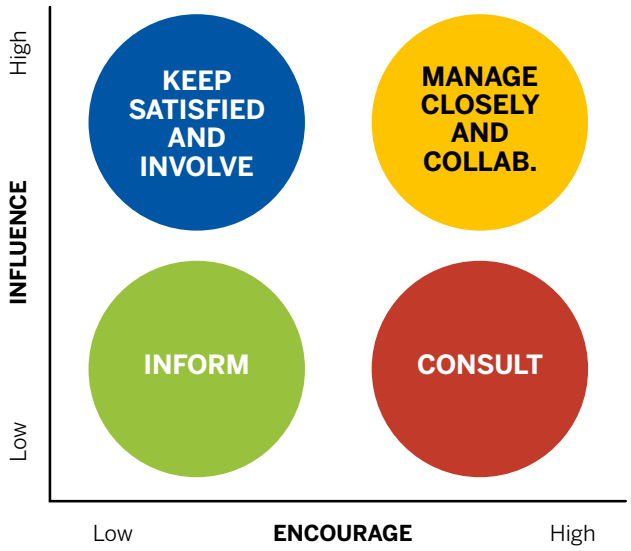


Figure 3: Ways to engage with stakeholders

3.4c Benefits of Stakeholder Engagement

Internal and external stakeholders can be good allies to companies, because they can help them to focus on most relevant issues, hence maximising resources. Indeed, stakeholders may:

- bring to attention specific issues, markets and actors in the supply chain
- influence public perception of social risks and performance in the supply chain
- hold unique and specific knowledge about local actors, issues and circumstances that otherwise may be difficult or impossible to obtain by an amfori BSCI member
- complement or challenge information gathered through social audits and amfori monitoring tools
- collaborate to find root causes and build capacities to close existing gaps

Step 4. Track Implementation and Results

To ensure risks are effectively being managed, mitigated, eliminated and remediated, companies should monitor and track implementation and effectiveness of the enterprise's own internal commitments, activities and goals on due diligence.

This may include:

- Third-party or in-house audits, assessments and monitoring (including amfori BSCI social audits)
- Reviews of relevant data specifically on amfori Insights, external data and other documents
- Periodic assessments of business relationships
- Consultation or engagement with impacted or potentially impacted rightsholders

Step 5. Communicate How Impacts are Addressed

amfori members should at minimum annually publicly report relevant information on due diligence processes, with due regard for commercial confidentiality and other competitive or security concerns. These reports should include:

- Approaches to identifying and assessing risks
- Results of the risk assessment and prioritisation processes
- Steps taken to manage, mitigate and eliminate risks, and remediate victims

Following the six-step framework can be helpful to frame the report, and other reporting mechanisms (such as the Global Reporting Initiative) may also be useful to compliment due diligence reporting.

Information should be published in a way that is easily accessible and appropriate to the company's operations. Efforts should be made to ensure local stakeholders can also access this information (for example by ensuring it is in an appropriate language and delivered in channels accessible to local stakeholders).

Reporting and disclosure of sustainability information, including of due diligence, might also be required by law.

Step 6. Provide for/or Cooperate in Remediation When Appropriate

To support with effective and timely remediation, members should:

- Commit to providing for or cooperate in cases where remediation is required
- Cooperate in good faith with judicial or non-judicial mechanisms
- Establish operational-level grievance mechanisms (OLGM) in line with UNGP Principle 31
- Engage with workers' representatives and trade unions to establish a process through which they can raise complaints to the enterprise
- Encourage and support business partners to use the continuous improvement function of amfori Sustainability Platform

Grievance Mechanisms

Accountability may be defined as the obligation of an individual or organisation to account for its activities and accept responsibility for them. Lack of accountability (perceived or actual) can corrode public respect for business and business leaders.

Setting and maintaining an effective grievance mechanism constitutes an essential element of being diligent as a company and exercising accountability. Some jurisdictions are also mandating by law that companies set-up complaints procedures.

Grievance mechanisms must be set up with genuine commitment to hear workers' voices and community concerns. They must be linked to fair follow-up and remediation when needed. Otherwise, the effect of setting up a grievance mechanism may be counterproductive and create mistrust. When implemented properly, they represent an additional channel of communication with both internal stakeholders (workers) and external stakeholders (e.g., community) to anticipate any risk or harm before it escalates.

If a grievance mechanism is set up appropriately, it leads to:

- **Engagement:** It strengthens company relations with workers. If workers realise that they can not only share their concerns but also receive timely solutions, they will feel more motivated and willing to work better. This can lead to better quality products and services and improved productivity.
- **Confidence:** It strengthens confidence about the way to manage the business enterprise and relate to the workforce, which will be well-perceived during any audit and/or visit from existing and potential clients.
- **Awareness:** It serves as a great vehicle to raise workers' awareness on their rights and obligations. Workers can learn if certain claims are justified or not if the conclusions are openly shared (respecting the necessary confidentiality of the worker).

In addition to the specific efforts each amfori BSCI member may do to set and maintain a culture of accountability, amfori has set its own grievance mechanism to address stakeholders' concerns in a timely and effective manner.

Further, amfori BSCI members should encourage all actors in their supply chains to set up their own grievance mechanisms. amfori provides a detailed guidance to amfori BSCI participants members and their business partners on how to set up an effective operational-level grievance mechanism.

amfori
Trade with purpose

amfori BSCI System Manual

Part 2:

The amfori BSCI Monitoring Approach

This updated version of the amfori BSCI System Manual aligns with the amfori's 2024 brand guidelines; however, the content remains consistent with the 2022 version. Any updates pertain solely to design and branding elements.

2022



Introduction

The amfori BSCI (Business Social Compliance Initiative) System Manual has been updated in 2022. The audience of this document involves mainly amfori members, their business partners, amfori monitoring partners and monitoring persons. This updated version of the amfori BSCI System Manual consists of four main parts and Guide documents which provide the audience and system users with detailed information.

Each part provides information about business rules and processes of the amfori BSCI System.

Part 1 / explains amfori BSCI due diligence approach and implementation steps in practice together with practical tools and services that amfori brings for its members and their business partners.

Part 2 / targets amfori members, their business partners, monitoring partners and monitoring persons. It provides both an overview of the amfori BSCI's holistic monitoring approach and an explanation of the entire amfori BSCI monitoring process, from requesting and scheduling a monitoring to performing one and following up.

Part 3 / provides amfori members and auditors support in the interpretation of the questions of the amfori BSCI audit questionnaire.

Part 4 / consists of four chapters that provide the business partner with explanation of all relevant documents and guides that amfori BSCI makes available for them and specific guidelines on what is expected in every performance area.

18 guide documents / are developed to accommodate and support amfori members and their business partners in the implementation of amfori BSCI Monitoring Activities: Self-Assessment, amfori Social audits, and Continuous Improvement.

Foreword

This updated version of the amfori BSCI System Manual was published in December 2022. This current version aligns with amfori's 2024 brand guidelines; however, the content remains consistent with the 2022 version. It coexists with relevant documents issued by amfori to date.

The below documents continue to apply as they remain valid:

amfori BSCI Documents

amfori BSCI Code of Conduct (v.2021)

amfori BSCI Monitoring Report Framework (available on the amfori Sustainability Platform)

Coordinated by-laws of amfori a.i.s.b.l.

Easy Guide: The UK Modern Slavery Act

Position paper: New Child Labour Law in India

Guidance Package: Syrian Nationals Working in Turkish Supply Chains

Refugees in Supply Chains: A guide to Risk Identification and Management

Social Dialogue Handbook on Gender

Responsible Purchasing Practices in Times of COVID-19

Guidance for amfori Members' Monitoring of Potential Exploitation Associated with State Imposed Forced Labour

Doing Business Responsibly in Conflict-Affected and High-Risk Areas – a Guidance for amfori Members

amfori's Living Wage Journey: Taking Stock and Setting the Way Forward

amfori BSCI audit interpretation guidelines for Large farms

amfori BSCI audit interpretation guidelines for Small and Small-holder farms

MEMOS for Monitoring Persons and Auditors, please check amfori Website.

MEMO (ACs 2016/03 - 1): Auditing Arrangements under BSCI 2.0

MEMO (ACs 2016/11 - 2): Child Labour Amendment Act in India

MEMO (ACs 2018/05 - 1): Social Insurance and Welfare in PRC

MEMO (ACs 2018/06 - 2): Minimum Content for amfori BSCI Audit Report

MEMO (MPs 2019/10 - 1): Fire Safety in India

MEMO (ACs 2021/05 - 1): Fair Recruitment

MEMO (ACs 2021/09 - 2): Audit Errors

MEMO (ACs 2021/10 - 3): Building & Fire Safety in PRC

MEMO (ACs 2022/01 - 1):Combined Audits Procedure

MEMO (ACs 2023/01 - 1): Audit Durations

MEMO (ACs 2023/01 - 2): Recruitment Fee

MEMO (ACs 2023/01 - 3): Türkiye Building Safety & Earthquake Readiness

MEMO (ACs 2017/03 - 1): Evaluating Double Book Keeping- Turkey

MEMO (ACs 2023/02 - 1): Working Hours

MEMO (ACs 2023/02 - 2): Living Wage

MEMO (ACs 2023/04 - 1): Supply Chain Grievance Mechanism

Contents

1. The amfori BSCI Monitoring Approach 5
2. Responsibility in Business 6
3. Deciding on the Type of Monitoring 11
4. Distinctive Features of the amfori BSCI Monitoring System 17
5. amfori BSCI Monitoring Rating System 20
6. The amfori BSCI Monitoring Cycle 23
7. Scope of the amfori BSCI Monitoring 26
8. Selecting a Monitoring Partner 27
9. Initiating amfori BSCI Monitoring 29
10. Duration of the amfori BSCI Monitoring 34
11. How amfori BSCI Monitoring Partners Can Prepare for the amfori BSCI Monitoring 37
12. How Monitoring Partner Scheme Managers Can Prepare for the amfori BSCI Monitoring 38
13. How Individual Monitoring Persons Can Prepare for the amfori BSCI Social Audit 40
14. Implementing the amfori BSCI Monitoring 41
15. Continuous Improvement 45
16. Follow-up and Continuous Improvement 46

1. The amfori BSCI Monitoring Approach

This part of the amfori BSCI System Manual targets amfori members, their business partners, monitoring partners and monitoring persons. It provides both an overview of amfori BSCI's holistic monitoring approach and an explanation of the entire amfori BSCI monitoring process, from requesting and scheduling a monitoring to performing one and following up.

This part will help to better understand:

- Why the amfori BSCI monitoring approach is unique
- The different monitoring types
- How to prepare, conduct, and follow up on an amfori BSCI monitoring

Monitoring approach is described in the level of implementation of amfori BSCI monitoring and on amfori Sustainability Platform.

2. Responsibility in Business

Monitoring in the context of amfori BSCI must be understood as a systematic approach that enables amfori members to identify, assess and mitigate risks across their supply chains.

It helps amfori members and their business partners to pro-actively identify risks and critical problems and it enables them to make decisions that will improve the quality and effectiveness of their approaches to responsible sourcing through using amfori tools, services and monitoring methodology.

The **United Nations Guiding Principles on Business and Human Rights** (UNGP) states that all business enterprises have a responsibility to prevent and mitigate adverse human right impacts:

- Caused by their own activities
- Linked to their operations by business relations

The UNGPs are expanded on by the OECD Guidelines, which provide frameworks for businesses to implement responsible sourcing management systems.

The amfori BSCI system supports its members to do this by offering members the ability to:

- Map their upstream supply chain
- Monitor the due diligence and risks of business partners in the supply chain
- Follow up on progress and continuous improvement
- Collaborate with other businesses in the amfori BSCI system to effectively remediate any problems identified

amfori Sustainability Tools

There are several amfori BSCI tools available to amfori members and business partners to effectively implement due diligence in their supply chains. These include:

amfori Sustainability Platform

To start mapping your supply chain, schedule monitoring activities for producers and manage supply chain operations.

amfori Academy

To sign up for training sessions and access all our learning materials for you and your producers.

amfori Insights

to access all supply chain performance information through interactive data visualisation.

amfori website

To access the latest news about amfori BSCI, amfori BEPI and amfori Advocacy.

amfori members can access all tools with one set of user credentials.
This is called 'Single Sign-On'.

amfori Sustainability Platform

The amfori Sustainability Platform offers its users (amfori members, their business partners, monitoring partners and persons) a user-friendly, practical way to manage the sustainability performance and monitoring of their supply chains, including a comprehensive view of data analytics.

How to register in the amfori Sustainability Platform?

The main administrator for amfori BSCI can create a user account for employees and can decide which role/access you should have on the amfori Sustainability Platform, depending on their responsibilities.

Please see the Guidance Documents

The amfori Sustainability Platform internally defines different types of user accounts for amfori members, their business partners and amfori monitoring partners that correspond to division of tasks, rights and obligations and govern their interactions between and among them.

amfori members on the amfori Sustainability Platform

In order to use amfori services, amfori members must register and log in to the amfori Sustainability Platform. There, they can set up Platform relationships with business partners

What does RSP mean and how is it managed?

RSP stands for responsibility. The RSP holder can use their leverage to engage more closely with their business partners and drive improvement activities. Compared to other linked members, the RSP holder has stronger influence on the amfori Sustainability Platform for the monitoring processes. Although multiple members may source from the same business partner, only one member can be the RSP holder for that business partner. Members should take the RSP for those business partners where they intend to actively monitor and support. The RSP applies for the whole business partner company and all sites.

The RSP holder has the exclusive right to request a monitoring activity three months before the expiry date:

- A monitoring cycle ends two years after the submission of the full monitoring
- A full monitoring activity with a result of C, D, or E rating is reaching expiry: this is when the RSP holder is expected to have a follow-up monitoring activity conducted within 2-12 months after the submission of the full monitoring
- If the RSP does not act within two months before the cycle ends, the RSP will become claimable by other linked members. Until the RSP is claimed, the current RSP holder retains all rights and obligations.



IMPORTANT: The RSP becomes claimable two months before the audit cycle expires.

Notifications are automatically sent by email from the Platform to relevant users, depending on their permission level. These settings are managed in the admin section of the Platform. Notifications are sent for all the main features, related to Monitoring, notice of RSP becoming claimable, and any Zero Tolerance cases that are raised. These notifications can be configured to only send certain notifications to specific users.

RSP timelines for a business partner with several sites

The RSP of a business partner covers all the sites mapped under it. When a business partner has multiple sites, and the sites have ongoing monitoring activities or valid results, the latest expiry date amongst the sites defines the RSP timeline.

Summary of RSP management:

- A business partner can have only one RSP holder
- Only the RSP holder can request a monitoring activity/audit
- The RSP holder is the primary contact in the case of a zero-tolerance alert
- When a monitoring activity is requested, the RSP cannot be released before the monitoring result has been submitted
- The RSP holder maintains the validity of the audit cycle for the business partner and coaches the business partner in the continuous improvement phases

For taking and releasing RSP for a business partner please see the following Guidance document.

Creating Synergies through the amfori Sustainability Platform

The amfori BSCI system aims to avoid audit fatigue and create synergies among different amfori members and their business partners. This goal is accomplished through many features of the amfori BSCI system, such as the amfori Sustainability Platform, which allows amfori BSCI members and its users to connect, communicate and share:

- Business partners (e.g., producers, factories or farms) in their supply chains
- Information concerning monitoring activities to those business partners
- Continuous improvement activities

About the Linked Member Status

amfori members can link themselves to business partners already existing in the amfori Sustainability Platform.

By linking to producers in the amfori Sustainability Platform, amfori BSCI members will remain informed about the progress and continuous improvement of these business partners and will be alerted of any important issue related to them (e.g., emergencies or zero tolerance cases). Linked members have the same rights and obligations than the RSP holder except of those related to the monitoring strategy.

Rights and Obligations		RSP Holder	Linked member
1	Provide business partners with the amfori BSCI Code of Conduct	✓	✓
2	Invite business partners to capacity-building activities	✓	✓
3	Interact with other members linked to the same business partner	✓	✓
4	React to zero tolerance alerts	✓	✓
5	Support business partners in the continuous improvement process	✓	✓
6	Engage with relevant stakeholders to support business partners	✓	✓
7	Authorise the timing of the amfori BSCI monitoring	✓	✗
8	Authorise the monitoring partner	✓	✗
9	Authorise amfori BSCI monitoring (both full and follow-up)	✓	✗
10	Accept an equivalent auditing system	✓	✗
11	Release RSP holder status in favour of another linked members	✓	✗
12	Be the first point of contact for zero tolerance and investigations	✓	✗

Table 3: Rights and obligations of RSP holders and linked members

3. Deciding on the Type of Monitoring

Deciding which type of monitoring to conduct is a critical decision. It enables amfori members to:

- Efficiently manage their resources
- Articulate different strategies for social risk management in the supply chain
- Reduce audit fatigue

amfori members can make use of both voluntary preparatory tools and amfori BSCI monitoring activities depending on the selected monitoring strategy. However, amfori BSCI social audits are the only third-party monitoring methodology whose quality is controlled through the amfori BSCI Audit Integrity Programme.

Voluntary Preparatory Tools for amfori Members and their Business Partners

If you, as an amfori member, have a potential business partner or a new business partner whom you would like to familiarise with amfori BSCI, you might use these tools as a first step to identify and assess potential and actual risks and decide on monitoring type.

They do not result in a rating and do not impact the amfori BSCI monitoring cycle.

Voluntary tools include:

Self-Assessment questionnaire (SAQ):

SAQs are for business partners to raise awareness of social risks and issues. amfori BSCI Self-Assessment mirrors the amfori BSCI audit questionnaire and it allows the potential auditee to fully understand the values and principles of the amfori BSCI Code of Conduct and how to embed them in regular business practice. There are also specific Self-Assessment questionnaires available for farms (see Assessment for large farms, assessment for small farms and assessment for smallholders and family farms) on the amfori Sustainability Platform

amfori BSCI Self-Assessments are available on the amfori Sustainability Platform for Business Partners

A business partner can prepare for an amfori BSCI audit by conducting a Self-Assessment, and then use the results to make proactive improvements before the full monitoring takes place.

The Self-Assessment contains all the same questions as the full, regular, amfori BSCI monitoring. The results show percentages, rather than grades and overall rating, and also show findings. If a business partner completes a Self-Assessment, the linked members can view the results.

IMPORTANT: amfori highly encourages members to invite their business partners to fill in and use Self Assessments via the amfori Sustainability Platform.

Other tools that amfori members can use to initiate a business relationship:

Pre-qualification assessment (PQA):

For a potential business partner with whom you have no business relationship yet. Through PQA, amfori members may be able to identify imminent risks of new business partners prior to entering into a business relationship.

Buyers' checklist:

To be used for commercial visits to a potential or existing business partner. These tools can be integrated into amfori members' human rights due diligence management systems, particular in relation to risk assessment and supplier engagement.

Four Types of amfori BSCI Monitoring

amfori BSCI monitoring is a tool designed to help amfori members to identify, assess and mitigate the social risks and performance of their supply chains and encourage continuous improvement through amfori online and offline tools.

They provide a holistic approach that supports early detection, monitoring and remediation of any breaches of the amfori BSCI Code of Conduct that may occur in the supply chain and directly or indirectly affect amfori members and their business partners.

An amfori BSCI monitoring can only be requested by an RSP holder.

An amfori BSCI monitoring can only be conducted by approved monitoring partners and their approved monitoring persons by amfori.

Depending on the size of the business partner and the number of locations, there are four types of amfori BSCI monitoring activity that can be performed:

1. **amfori Social Audit – Manufacturing**
2. **amfori Social Audit – Small Producer Assessment**
3. **amfori Social Audit – Multi-Tier Food**
4. **amfori Social Audit – Agriculture Large Farm Food**



Manufacturing
(One location)

Small Producer Assessment
(One location)

Multi-tier Food
(Main auditee + farms)

Agriculture
Large Farm Food
(Main auditee farms)
(Main auditee + farms)

Figure 4: The four types of amfori BSCI monitoring activity

amfori Social Audit – Manufacturing

On-site manufacturing audits are appropriate for manufacturers and processors, including food cooperatives, with over 35 workers.

Pros: It helps to capture the social risks and performance of a business partner

Cons: It does not include social sustainability verification further upstream the supply-chain

amfori Social Audit – Small Producers Assessment (SPA)

On-site audits for small producers (workforce < 35):
amfori members can request a Small Producers Assessment (SPA) to assess the social risks and performance of qualified small producers as defined per amfori BSCI definitions.

Independent business unit: The small producer must not be a branch or part of a group.

35 workers: Over the last 12 months prior to audit request, the small business partner has employed directly or indirectly a maximum of 35 workers, including permanent and temporary workers.

Annual turnover: Equal or below 2 million EUR.

Manufacturer: It is a food or non-food manufacturer or processor, but not a farm.

Pros: In a SPA, the auditor's perspective adjusts to the circumstances of a small business.

Cons: There is a risk of misrepresentation and potential increase of the informality of labour relations to qualify as small business partner.

Note: If you request a SPA, please make sure that the business partner fulfils all above-mentioned requirements.

The RSP holder must further confirm to have received the **Self-Declaration** (not older than 2 months) by the business partner and **must forward it to the Monitoring partner before the audit via email.**

You can find the contact information of the **Scheme Managers of the Monitoring Partners of amfori** with this link: directly on the amfori website

Please check Guide 12 of the amfori BSCI System Manual for further information and to receive the Self-Declaration Template.

amfori Social Audit – Multi-Tier Food

Multi-tier audits are appropriate for manufacturers and processors who have identified their upstream supply chain in the amfori Sustainability Platform. They assess the social sustainability of a significant business partner and a sample of its next-tier business partners, such as of next-tier producers, subcontractors, suppliers, or farms.

Pros: A multi-tier food audit creates economies of scale by including farms and/or other next-tier producers as part of the same audit scope.

Cons: The multi-tier food audit requires a good knowledge of the supply-chain and more complex internal monitoring processes necessary to support communication among all relevant parties.

Note: The audit requirements are adapted to the business of the main auditee or farms

The audit requirements are adapted to the business of the main auditee or farms:

- This audit is designed for business partners in food and agriculture sectors which produce and trade fresh and processed products
- A multi-tier food audit should be planned with consideration of the seasonality of production activities at farm level such as the harvesting or the sowing seasons
- Business partners (BPs) are responsible for maintaining their own data on the amfori Sustainability Platform. Neither linked members, nor the RSP holder can change company information on behalf of the BP
- Tier 1 BPs are requested to map and classify their next tier business partners (farms)
- Next Tier farms are visible to members in the profile of the Tier 1 main auditee. They will be assigned an amfori ID which is linked to the ID of the Tier 1 business partner

See the Interpretation Guidelines for:

- amfori BSCI Farm audits: Large Farms
- amfori BSCI Small and Small-holders farms

amfori Social Audit – Agriculture Large Farm Food

On-site agricultural audits are appropriate for large farms and estates, with over 20 permanent workers.

Pros: It helps to capture the social sustainability of a farm

Cons: It does not include social sustainability verification further downstream the supply-chain

Deciding which Monitoring is Best

Deciding on the most appropriate monitoring approach requires the RSP holder to understand the risks and process in their supply chain and production structure of their business partners. An incomplete understanding of these may
lead to an incomplete assessment and result
in overlooking potential and actual risks or negative impacts.

There are several external resources available to help inform RSP holders:

- Traders or importers who act as intermediaries (e.g., indirect sourcing model)
- Monitoring partners, which can be used to help gather preparatory information before the amfori BSCI monitoring is scheduled
- Buyers within the company

Factors that Impact the Duration of an Audit

amfori BSCI monitoring activities focus on the entire workforce, those directly and indirectly recruited and managed. Therefore, the duration and complexity of the amfori BSCI monitoring, and by extension the voluntary preparatory tools, depend on the number of workers, whether they are permanent or seasonal, and the diversity of recruitment models used. For example:

- **Direct recruitment:** The business partner hires and manages all its workforce
- **Indirect recruitment:** The business partner does not hire or manage its workforce, but relies completely on hiring through service providers such as recruitment agencies
  or agents
- **A combination of both models:** The business partner hires and manages part of its workforce (e.g., permanent workers) but relies on service providers to recruit specific services (e.g., security, cleaning, or catering agencies) or to address specific contingencies (e.g., seasonal workers)

For multi-tier audits, the number of farms selected by the RSP holder to be included in the audit, as well the number of workers per farm,
will impact the duration of the audit.

The number of farms can be agreed upon by the RSP holder and the main auditee as it has significant implications on the costs of the amfori BSCI multi-tier audit. amfori advises to select no more than ten farms (unless the circumstances justify an exception).

4. Distinctive Features of the amfori BSCI Monitoring System

These are several distinctive features of the amfori BSCI monitoring system:

amfori Sustainability Platform

Through the amfori Sustainability Platform, all amfori members linked to the same business partner have access to their business partners' data. This includes monitoring data which contains the professional judgment of monitoring persons, and related continuous improvement plans. This collective access to data among linked members avoids duplication of monitoring and enhances synergies in continuous improvement. Linked members also receive timely alerts from monitoring persons in case of flagrant human right violations. (See Guide 5: How to follow the Zero Tolerance protocol). Through the platform, members can also access analytics dashboards to gain insights and perform reporting on continuous improvement, monitoring and other aspects of their supply chain

Holistic monitoring methodology

All principles of the amfori BSCI Code of Conduct are interconnected and incorporated into the amfori BSCI monitoring approach. When conducting an amfori BSCI social audit, the monitoring person uses their professional judgment to complete a comprehensive assessment on how the 13 interconnected Performance Areas (PA) and the amfori BSCI Code of Conduct values are implemented by the auditee/business partner. This holistic monitoring approach includes:

Effectiveness and coherency checks: Monitoring persons do not only assess if procedures and infrastructure are in place, but that both are relevant and adequate to protect workers' rights in a manner that does not contradict with the amfori BSCI Code of Conduct values

Triangulation: Monitoring persons must cross verify multiple sources (e.g., worker interviews, documents and site observations) in their efforts to compile satisfactory evidence and reach their professional judgement

Specific methodology for farm audits

All principles of the amfori BSCI Code of Conduct are relevant in food supply chains, including agriculture and aquaculture. Taking into consideration the specificities of primary production, amfori provides dedicated farm audit guidelines for auditors which support them applying their professional judgement on auditee performance to the agricultural context

Collaborative approach to continuous improvement

amfori members linked to the same business partner can jointly support the business partner's continuous improvement through various activities such as internal policies, training, consultancy services, compensation or restoration, investment or other measures.

Members can view and track the progress of the continuous improvement, including those of their linked business partners. Furthermore, they can pursue remedies, particularly for the most severe breaches identified in the supply chain. This is the case for zero tolerance and emergency episodes, where immediate and time-bound collaborative remediation is needed

Strategic partnering

amfori members may confront a systemic lack of workers' protection, which relates to insufficient or ineffective enforcement of the law. In these cases, amfori members may pursue strategic partnerships with local governments and like-minded organisations to explore long-term positive impact for an industry, a region, or even a country

Audit integrity

The amfori BSCI audit integrity programme consists of policies and procedures to protect and maintain the credibility of the amfori BSCI auditing process by regular verification of:

- The endorsement and implementation of amfori BSCI values and principles in the audits
- The independence and legitimacy of the monitoring partners
- The integrity of the monitoring process and associated activities
- The consistency of the application of the monitoring process
- The ongoing performance and competence of individual monitoring persons

Areas Assessed in the amfori BSCI Monitoring

amfori BSCI monitoring are designed to assess a business partner against the values and principles of the amfori BSCI Code of Conduct, which are translated into thirteen Performance Areas (PAs):

1. Social Management System and Cascade Effect
2. Workers Involvement and Protection
3. The Rights of Freedom of Association and Collective Bargaining
4. No Discrimination, Violence or Harassment
5. Fair Remuneration
6. Decent Working Hours
7. Occupational Health and Safety (OHS)
8. No Child Labour
9. Special Protection for Young Workers
10. No Precarious Employment
11. No Bonded, Forced Labour or Human Trafficking
12. Protection of the Environment
13. Ethical Business Behaviour

amfori BSCI full monitoring assess all thirteen Performance Areas. They take place every two years, which determines the amfori BSCI audit cycle. **amfori BSCI follow-up monitoring:** Once the business partner has provided sufficient information on improvement measures a follow-up audit or follow-up Small Producer Assessment (SPA) can be requested. Ideally, the **RSP holder of the business partner verifies** that Sustainability Impacts and measures were completed in the Continuous Improvement function on the amfori Sustainability Platform before requesting a follow-up monitoring.

In general, amfori highly recommends that the follow-up monitoring takes place **approximately two to three months** after the full monitoring to allow some time for the business partner to improve and complete measures on the Continuous Improvement function on the amfori Sustainability Platform.

In addition to the areas with findings, auditors are expected to conduct a minimum due diligence for the PA 5, 6 and 7, and note any non-compliances found at the time of follow-up audit.



IMPORTANT: The RSP can only request a follow-up monitoring if there is a full, valid monitoring active for that site. So, for example, if the main audit has expired, it is not possible to schedule a follow-up audit.

IMPORTANT: amfori encourages members to support their business partners in submitting and closing down Continuous Improvement actions on the Platform before requesting follow-up audits. Any audit findings can be linked to continuous improvement actions so that the member and business partner can easily visualise which findings need to be addressed. However, in some cases, the amfori BSCI member (RSP holder) may need to make exceptions and schedule a follow-up monitoring before the continuous improvement activities are completed.

For example:

Urgent follow-up: The RSP holder may request an urgent follow-up monitoring that focuses on only a specific finding or PA due to an urgent need, as in the following cases:

- Suspicions were raised by the monitoring person in the confidential comments captured in the monitoring report that raise an immediate need to follow-up
- There are substantial risks that need further verification

Immediate improvement and remediation are needed after a zero-tolerance alert.

5. amfori BSCI Monitoring Rating System

The overall rating of an amfori BSCI monitoring reflects the extent to which the auditee has integrated the amfori BSCI Code of Conduct into its daily business culture and operations. It is not calculated by the monitoring person but generated automatically by the amfori BSCI IT system based on the combination of ratings across the 13 Performance Areas (PAs).

Monitoring persons do not know the monitoring rating. This means that, at the monitoring's closing meeting, the monitoring person focuses on the good practices and the findings but does not present a rating.

Please note that amfori BSCI rating system itself has not been changed but only the way to display it on the report was revised in 2022. This was done to provide additional transparency to amfori members and their business partners on issues identified during the monitoring process, and to subsequently focus attention where continuous improvement in the overall supply chain and business relations should occur.

Overall Rating	Description	Level of Maturity
A: Very Good	From 86 % to 100 %	Very good level of maturity that allows the auditee to maintain its continuous improvement process without a professional follow-up monitoring.
B: Good	From 71 % to 85 %	Good level of maturity that allows the auditee to maintain its continuous improvement process without a professional follow-up monitoring.
C: Acceptable	From 51 % to 70 %	Acceptable level of maturity that requires auditee to develop a related continuous improvement plan with impacts and measures accordingly within 60 days of the monitoring date. A professional follow-up monitoring is envisaged to assess continuous improvement.
D: Insufficient	From 30 % to 50 %	Insufficient level of maturity that requires auditee to develop a related continuous improvement plan with impacts and measures accordingly within 60 days of the monitoring date. A professional follow-up monitoring is envisaged to assess continuous improvement.
E: Unacceptable	From 0 % to 29 %	Unacceptable level of maturity that requires auditee to develop a related continuous improvement plan with impacts and measures accordingly within 60 days of the monitoring date. A professional follow-up monitoring is envisaged to assess continuous improvement.

Table 4: amfori BSCI overall monitoring rating

Rating per Performance Area (PA): Each PA gets an individual rating ranging between 100 % to 0 % which is determined by the degree of fulfilment for each question under the PA. Some questions in the PA are labelled as "crucial questions", because their content should be of the highest priority of the business partners in terms of workers' protection and continuous improvement. Percentage rating per PA is visible on the audit results.

Percentage rating per Crucial and Non-Crucial: Several PAs have crucial questions which have an impact on the rating. Percentage rating of crucial and non-crucial questions can be seen in the monitoring result page on the Platform. The aim is to provide risk-focused assessment and support business partners to identify high-risk areas starting from crucial questions.

Overall rating: With the revision of the amfori BSCI System in 2022, overall rating is introduced both with letter and percentage based on the amfori BSCI unique calculation of each PA considering the likelihood and severity of risks. This unique calculation also recognises the content of the questions to ensure alignment with ILO Fundamental Conventions and Recommendations.

During the monitoring, the monitoring person answers each question based on their professional judgement with one of three responses:

YES: When the monitoring person finds the amount of evidence satisfactory

NO: When the monitoring person finds the amount of evidence unsatisfactory; or

PARTIALLY: When the monitoring person finds some satisfactory evidence, but not enough to clearly answer YES

The table below shows how monitoring questions impact the overall rating of a PA depending on the answers given and the significance and criticality of each element.

Crucial questions in the Child Labour, Bonded and Forced Labour, and Occupational Health and Safety Performance areas have the greatest impact on the rating. Furthermore, crucial questions answered NO or PARTIALLY have a higher impact on the calculation of the PA rating as compared to non-crucial questions.

Answer	Type of Question	Numerical Value
Yes	All question	100 %
Partially	Non-crucial	
	Crucial	
	Crucial in Performance Areas : • Child Labour • Bonded and Forced Labour • OHS	
No	Non-crucial	
	Crucial	
	Crucial in Performance Areas : • Child Labour • Bonded and Forced Labour • OHS	0 %

Figure 5: Impact of monitoring questions on PA percentage rating

6. The amfori BSCI Monitoring Cycle

The amfori BSCI monitoring cycle is a two-year period between full monitoring activities.

The monitoring validity for a business partner who obtains the highest overall rating in a full amfori BSCI monitoring, such as an overall rating of A or B (between 86 % and 100 % or between 71 % and 85 %) across all performance areas, is two years or 24 months. In this case the business partner will have another full monitoring after two years and no follow-up monitoring. If the full monitoring of the business partner was rated C (between 51 % and 70 %), D (between 30 % and 50 %) or E (between 0 % and 29 %) then the audit validity is 12 months after the full monitoring, and a follow-up can be conducted between two and 12 months later. The conduct of the follow-up monitoring will extend the audit validity until the end of the audit cycle.

The validity of a multi-tier monitoring cycle is based on the rating of the main auditee.

For How Long is a Monitoring Valid?

The period monitoring results are valid varies according to the business partners' ratings on both the full and follow-up monitoring activities.

Full monitoring: The amfori BSCI monitoring cycle is a two-year period between **full monitoring activities**. The monitoring validity for a business partner who obtains the highest overall rating in a full amfori BSCI monitoring, such as an overall rating of **A or B** (between 86 % and 100 % or between 71 % and 85 %) across all performance areas, is **two years** or 24 months. In this case the business partner will have another full monitoring after two years and no follow-up monitoring. If the full monitoring of the business partner was rated **C** (between 51 % and 70 %), **D** (between 30 % and 50 %) or **E** (between 0 % and 29 %) then the audit validity is **12 months after the full monitoring**, and a follow-up can be conducted between two and 12 months later.

Follow-up monitoring: If a business partner's full monitoring has an overall rating of C, D or E, the monitoring report provides the business partner information on how they should improve to align with the amfori BSCI Code of Conduct. In such situations, the follow-up monitoring should never happen before a reasonable period that could allow the business partner to develop evidence of progress made. This provision is particularly important for findings concerning remuneration and working hours, where at least **two to three months** are needed to generate new records to prove that new practices are in place. Not respecting this guideline can result in an audit that identifies the same issues as the initial audit.

One of the aims of amfori BSCI is to avoid audit fatigue of the business partner. Therefore, we have set clear guidance on the validity of the monitoring cycle for all our members, where a **full monitoring can only be requested once within the two-year monitoring cycle**. If the result of the last audit is C, D or E, the opportunity of a follow-up monitoring is provided to re-assess the business partner. amfori does not support the application of full audits every year.



IMPORTANT: amfori also highly recommends that the RSP holder and any linked members should encourage their business partners to use the continuous improvement functionality on the amfori Sustainability Platform. This allows business partners to demonstrate their improvement activities and enables amfori members to closely monitor any risk mitigation actions. This functionality can also be used for business partners to show proactive improvement activities beyond those identified by audit findings.

Additional Timelines to Consider:

A business partner must be in business for at least three months: Business partners must have a minimum period of existence to generate relevant records (e.g., business license, payroll, and social security) so an amfori BSCI monitoring can deliver a reliable judgement. Therefore, an amfori BSCI monitoring should not be conducted for business partners who have not been in business at least three months.

Six-month preparation for multi-tier monitoring: It is recommended that amfori BSCI members allow a six-month preparation period for multi-tier monitoring that involve auditing a business partner with multiple next-tier producers (e.g., farms). This extra preparation time allows the business partner that acts as main auditee to develop necessary internal procedures and conduct internal monitoring of its next tier business partners before the amfori BSCI monitoring takes place.

At least two months before a follow-up monitoring: If a business partner's monitoring has an overall rating of 'C', 'D', or 'E', the monitoring provides the business partner with information on how it needs to be improved to act in line with the amfori BSCI Code of Conduct. In such situations, the follow-up monitoring should never happen before a reasonable period that could allow the business partner to develop new evidence of progress made. This provision is particularly important for findings concerning remuneration and working hours, where at least two months are needed to generate new records to prove that new practices are in place. Not respecting this guideline can result in a follow-up audit identifying the same issues as the initial audit.

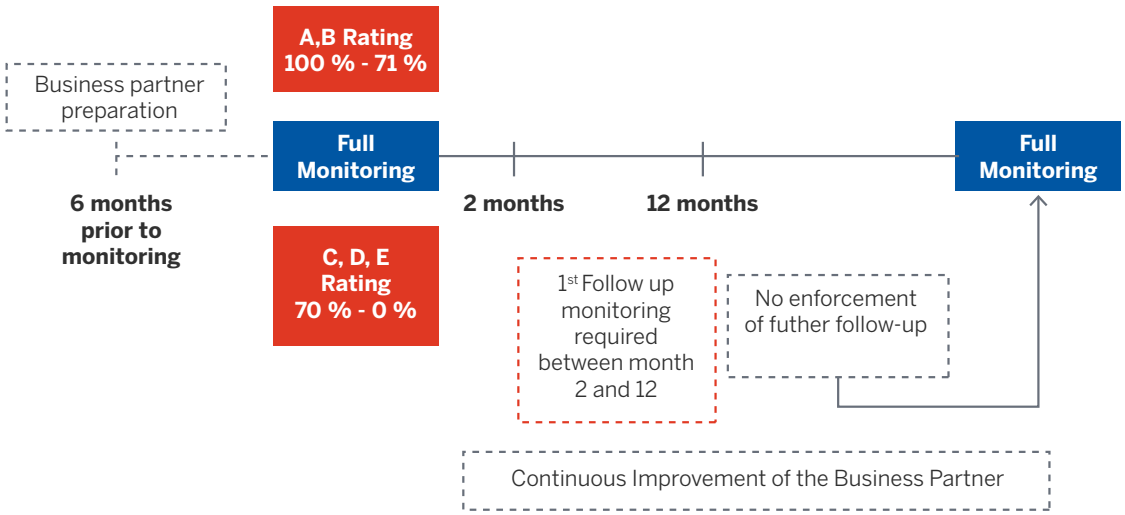


Figure 6: Monitoring cycle and validity

IMPORTANT: The RSP holder will be required to conduct 1 follow-up audit throughout the cycle for the business partners with monitoring results below 71%. There will not be a requirement for further follow-up; the RSP holder is expected to manage the cycle depending on the risk.

IMPORTANT: Business partners with an overall rating "A" (Very Good) and "B" (Good) are expected to have the level of maturity that allows them to independently design and maintain their continuous improvement process without the need for an amfori follow-up monitoring. Continuous improvement function on the amfori Sustainability Platform is available for all rating results with findings.

7. Scope of the amfori BSCI Monitoring

The scope of an amfori BSCI monitoring is defined at the time of the monitoring request and must be validated by the time the monitoring is scheduled.

This process takes place in the amfori Sustainability Platform, and it is triggered by the RSP holder, who will select between one of two options:

- **Main auditee:** For on-site monitoring activity (either Manufacturing or Agriculture), the monitoring scope usually corresponds to one legal entity at one location
- **Main auditee plus next-tier business partners:** For multi-tier monitoring activity, the scope includes the main auditee and the selected next-tier business partners (i.e., farms), which may belong or not to the same legal entity

One site that belongs to a legal entity with several sites: the RSP holder may request to identify as main auditee only one site out of several sites belonging to the same legal entity. This exception can be granted by the monitoring partner provided that the following two criteria concur:

Proven physical separation: The production unit to be audited (on-site) is clearly and physically separated from other production units of the producer

Proven workforce separation: There is no workforce movement or exchange between the production unit to be audited (on-site) and other production units of the producer

The monitoring partner may accept this monitoring request from the RSP holder, without seeking amfori approval. However, prior to accepting it, monitoring partners are expected to:

- Conduct relevant due diligence to verify that the conditions above are met
- Maintain documentation of such due diligence

Furthermore, monitoring partners will make sure that the monitoring duration is calculated based on the number of workers in the production unit to be audited (on-site) and not based on the total number of workers in the legal entity.

8. Selecting a Monitoring Partner

Only monitoring partners that have signed the amfori framework contract are qualified to coordinate and conduct amfori BSCI monitoring. The list of approved amfori BSCI auditing companies can be found on the amfori website.

In addition, only qualified monitoring persons that have completed a qualification process can conduct amfori BSCI monitoring. Both monitoring partners, and their qualified monitoring persons, are subjected to a rigorous third-party integrity programme.

All approved amfori BSCI monitoring partners are full members of APSCA and all amfori BSCI monitoring persons are APSCA enrolled.



IMPORTANT: amfori does not prescribe

- Who pays for the amfori BSCI monitoring activity (full or follow-up); nor
- How much the amfori BSCI monitoring costs.

There are three main ways how amfori members engage with monitoring partners:

- **Ad-hoc engagement:** The RSP holder engages different monitoring partners for each monitoring it requests
- **Long-term engagement:** The RSP holder may engage the same monitoring partner (or companies) for all monitoring activities it requests
- **Mixed engagement:** The RSP holder may engage the same monitoring partner for all monitoring activities in one region or sector and engage different monitoring partners in ad-hoc cases

amfori does not prescribe the best engagement approach. However, amfori members shall take into consideration three criteria when selecting a monitoring partner:

Capacity: Monitoring partners should be approached early enough to plan the amfori BSCI monitoring and assign a monitoring person who has the right experience. Requesting monitoring three or four months in advance is a good practice

Price: amfori determines the minimum length of an amfori BSCI monitoring, but every monitoring partner defines its own service rate. A complete monitoring requires good preparation, expertise, and professionalism (prior to, during, and after the monitoring). Low-cost monitoring may end up being expensive in the long run, if they do not provide the information needed

Potential conflict of interest: Monitoring partners have mechanisms in place to avoid conflicts of interest. The RSP holder should, however, keep this issue in mind when selecting the monitoring company. Some examples of potential conflicts of interest are:

- The monitoring person has previously provided training and/or technical advice to the business partner
- The monitoring person is not paid for beforehand, and the price depends on the results

The same monitoring partner is used over time with the same individual monitoring person (long-lasting monitoring person-auditee relations can compromise the objectivity of the auditor and the quality of the monitoring process.) amfori members can use the amfori external grievance mechanism to report allegations concerning auditing.

9. Initiating amfori BSCI Monitoring

amfori BSCI monitoring can only be scheduled through the amfori Sustainability Platform. The information in this section only refers to a 'full' amfori BSCI Social Audit. Please do not use these instructions to request a follow-up monitoring.

The amfori Academy offers specific tutorials to support amfori members in scheduling a monitoring and business partners to understand the amfori BSCI monitoring process successfully.

The following are four key steps to keep in mind:

STEP 1: Ensure that your business partners' information is correct for each of their sites

Business partners are responsible for maintaining their own data on the amfori Sustainability Platform. Neither linked members, nor the RSP holder can change company information on behalf of the business partner[1].

Business partners can:

1. Manage their company details: change the company name or the address
2. Site management: add a new site or change the address of a site (= the physical location where the audit/monitoring takes place)
3. Add and remove new business partners: e.g., 2nd or 3rd tier producers (upstream) of the member
4. Manage company users: change the main contact person, add or remove employees
5. Manage notification to employees
6. View monitoring results and download the summary PDF report
7. Insert continuous improvement measures and define sustainability impacts

Multiple sites: on the amfori Sustainability Platform the business partner can have multiple sites with different addresses under one overall amfori ID. Each site can be managed separately by the business partner, who is responsible for updating their own data.

If the **company or the site information of the Business Partner changes,** such as the company name, address, or classification, then the business partner needs to update the company information themselves under **Admin > Company and/or Admin > My Sites**.

Business Partner relocation: if the business partner moved location (physical change of location with a new address), the main administrator of the business partner has to add a new site under Admin > My sites and might also change the company information **under Admin> My company**. If the change of address is only "cosmetic", without a physical change of location, then the business partner can directly edit the information in the company/site profile directly.

If the company/site information of the business partner changed after a monitoring activity was requested, it can have an impact on the monitoring process. In that case the RSP holder must confirm the changes. To check the status of a requested monitoring, go to the **Monitoring > requested tab**. You can see the requested activity and its status under the Status column on the right side. The selected monitoring partner has five calendar days to reply to your request (they can either accept or reject).

Monitoring status:

Requested: the monitoring partner can either confirm or reject RSP's request within five days

Expired/rejected: the monitoring partner did not reply within five days or rejected RSP's request. Then, RSP selects a new time window and/or another monitoring partner

To confirm: the monitoring partner needs to confirm the receipt of the request within five days

To plan: the monitoring is confirmed and scheduled

Report submitted: the monitoring is completed, and the audit report is available on the new platform

Cancelled: the monitoring was cancelled by the RSP holder or by the monitoring partner. Please see the guide on amfori Sustainability Platform for amfori members.

[1] Please forward this guidance document (amfori Academy > Platform training > amfori BSCI business partner training > training guides) to your business partner that will help them for day to day entries on the amfori Sustainability Platform. It is available in the following languages: English, Chinese, Turkish and Spanish.

STEP 2: Take the Responsibility (RSP) for the potential auditee. Only RSP holders can request and schedule monitoring activities

Recommended Risk Assessment Step: Self-Assessment Questionnaire

Self-Assessment questionnaire (SAQ): For business partners to raise awareness of social risks and issues. amfori BSCI Self-Assessment mirrors the amfori BSCI audit questionnaire and allows the potential auditee to fully understand the values and principles of the amfori BSCI Code of Conduct and how to embed them in regular business practice. There are specific Self-Assessment questionnaires available for farms on the amfori Sustainability Platform.

IMPORTANT: SAQs are available on the amfori Sustainability Platform for business partners.

- A business partner can prepare for an amfori BSCI audit/monitoring by conducting a Self-Assessment, and then use the results to make proactive improvements before the full audit takes place.
- The Self-Assessment contains the same questions as the full, regular, amfori BSCI social audit.
- The results show percentages, rather than grades and overall rating, and also show Findings.
- If a business partner completes a Self-Assessment, the linked members can view the results.

IMPORTANT: amfori highly encourages Members to invite their business partners to fill in and use Self-Assessments through the amfori Sustainability Platform.

STEP 3: Request Monitoring

Please complete the following steps:

1. Click on **Monitoring**
2. Click on **Requested**
3. Click on **+ Request Monitoring** on the top right side
4. Select the **Business Partner that you would like to monitor as main auditee**. Click on **Next step** on the bottom right side
5. Select **the site that will be monitored as main auditee** (Please select the site where the most recent audit history is saved (usually not site 1). Click on **Next step**
6. Select initiative: amfori BSCI
7. Select monitoring activity:
   - amfori Social Audit - Manufacturing
   - amfori Social Audit - Multi-tier Food
   - amfori Social Audit - Small Producer Assessment
   - amfori Social Audit - Agriculture Large Farm Food
8. Select announcement type: semi-announced comes by default
9. Indicate requested time window

   Dates indicated in the **From** section must be two weeks from the date of request and the time window span should be at least four weeks.

   The selected time window must reflect a period when the business partner is in normal operations or during peak season. Click on **Next step**
10. If applicable, **select next-tier sites** that will be monitored in a multi-tier audit. Click on **Next step**
11. Select **monitoring partner** that is available in the country of the Business partners and for the requested monitoring activity.
12. Click on **Request** and it will be sent to the monitoring partner

STEP 4: Confirmation of Monitoring Request

The monitoring partner receives the request via the amfori Sustainability Platform and confirms the request:

- Through the amfori Sustainability Platform, the monitoring partner also assigns a date for the audit, appoints a lead monitoring person and optionally, appoints other monitoring team members
- Requests availability dates within a defined period from the main auditee (for a semi-announced audit) or informs the main auditee of the audit date (for an announced audit)

If the monitoring partner rejects the request, the member will be immediately notified.

What the RSP holder needs to know at a minimum prior to scheduling:

- **Location** of the main auditee
- **Number of workers** (number of workers determines the length of the monitoring, both full and follow-up)
- **Existing farming activity** that could be added to the audit scope. (e.g., the main auditee owns, or contracts farms whose produce is processed at the main auditee)

Much of this information can be found on the business partners' profile.

10. Duration of the amfori BSCI Monitoring

The tables below apply as a reference for all amfori BSCI monitoring activities:

Full Monitoring Duration

The table below shows the minimum duration for full monitoring activity as well as the minimum number of worker interviews. Monitoring duration includes 0.5 day for monitoring report writing. Where necessary, the monitoring partner can determine that the monitoring should take more days than the recommended person-days. Where this occurs, this should be captured in the monitoring report. If the monitoring partner determines to use an interpreter for the implementation of monitoring activity, they can add 20% time on the audit duration.

Producer Size (Workforce*)	Full Duration (Person-Days)	Minimum Worker Interviews (# of Workers)
1-35 (SPA only)	1	1-5
1-50	1.5	5-10
51-100	2	10-15
101-250	3	15-20
251-550	3.5	20-25
551-800	4	25-30
801-1,200	4.5	30-35
1,201 -2000	5	35-40
2001-3000	5.5	40-45
3001-4500	6	45-50
4501-6000	6.5	50-55
6001-10000	7	55-60
10000+	7.5	60-65

Table 5: Minimum duration of an amfori BSCI full monitoring

*A company's workforce represents the total number of workers employed, either permanent or temporary.

In the case of multi-tier audits, amfori recommends calculating the person-days for each next-tier site (e.g., farms) as separate units.

The table below is an example of how to calculate the length of an audit, based on a hypothetical situation where the main auditee employs 120 workers and the selected supplying farms are each employing between 5 and 500 workers (incl. temporary workers).

The table below is an example of how to calculate the length of a monitoring,

EXAMPLE

	Producer Size (workforce)	Full Audit Duration (Person-Days)	Worker Interviews (# of Workers)	Reporting Time (Person-Days)	Travel Time
Main Auditee	120	2.5	18	0.5	-
Selected Farms:					
Farm A	5	0.5	5	0.5	-
Farm B	200	2.5	15	0.5	-
Farm C	37	1	8	0.5	-
Subtotal for Farms	242	4	28	1.5	-
TOTAL	362	6.5	46	2	-

Using the table above as a reference, monitoring partners will make a proposal to be negotiated between the main auditee, the RSP holder, and themselves.

This initial calculation is presented to both RSP holder and main auditee to assess whether economies of scale can be identified.

amfori does not interfere in these negotiations. However, it expects that these negotiations will lead to responsible and realistic solutions that do not compromise the quality of the audit.

Minimum Requirements

- If the audit takes place more than person 5 days, if possible, it should be completed by at least two amfori BSCI auditors, with the aim to complete the audit within 5 calendar days.
- Both auditors should be involved in the interviewing process.

Recommendations

- amfori BSCI recommends at least two auditors for audits that are more than 3 person-days.
- Additional person-days may be required for the factories that have more than 100.000 square meters closed area.

Follow-up Monitoring Duration

The table below shows the minimum duration for a follow-up monitoring. In this case, the duration depends on the number of workers and the number of PAs with findings in the previous monitoring. It includes 0.5 day for monitoring report writing.

The calculation of the interview samples for a follow-up audit should include the steps below:

1. Calculate the number of Performance Areas with findings
2. Obtain the most updated number of workers within the scope (i.e., Producer Size)
3. Calculate the minimum duration of the follow-up audit by using Table 6
4. Match the minimum duration with the minimum interview sample by using Table 5-Minimum Duration of an amfori BSCI Full Audit.

If the audit duration is adjusted to be longer than the minimum requirement, the interview sample must follow the adjusted duration.

Producer Size (workforce)	Interview (# of Workers)	Number of PAs with Findings in Previous Monitoring								
		1 to 4	5	6	7	8	9	10	11	12 + = Full Audit Duration
1-35	1-5	1*	1	1	1	1	1	1	1	1
36-50	5-10	1	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5
51-100	10-15	1.5	1.5	1.5	1.5	1.5	1.5	2	2	2
101-250	15-20	1.5	1.5	1.5	2	2	2.5	2.5	2.5	3
251-550	20-25	1.5	1.5	2	2	2.5	2.5	3	3	3.5
551-800	25-30	1.5	1.5	2	2.5	2.5	3	3.5	3.5	4
801-1,200	30-35	1.5	2	2.5	2.5	3	3.5	3.5	4	4.5
1,201-2000	35-40	3	3	3.5	3.5	3.5	3.5	4	4	5
2001-3000	40-45	3	3	3.5	3.5	4	4	4.5	4.5	5.5
3001-4500	45-50	3.5	3.5	3.5	4	4	4.5	4.5	5	6
4501-6000	50-55	3.5	3.5	4	4	4.5	5	5.5	6	6.5
6001-10000	55-60	4	4	4	4.5	5	5.5	6	6.5	7
10000+	60-65	4	4	4.5	5	5.5	6	6.5	7	7.5

Table 6: Minimum duration of an amfori BSCI follow-up monitoring

11. How amfori Members can prepare for the amfori BSCI Monitoring

Before a monitoring takes place, amfori BSCI members should do the following:

- **Gather** the information needed to define the type of monitoring approach
- **Request** that the business partner signs the amfori BSCI Code of Conduct
- **Agree** on who will pay for the amfori BSCI monitoring
- **Allocate** budget for specific capacity-building activities both for their own business and for their business partners
- **Allocate** budget and responsibilities for the immediate reaction to zero tolerance alerts

Access to up-to-date information:
amfori BSCI members shall ensure that their business partners, particularly those that are going to be monitored (e.g., producers), have regular access to up-to-date information on the monitoring process.

There are several ways to do this successfully:

- Assess who is the right intermediary and provide them with the relevant information regularly. amfori BSCI members will need to develop simplified fliers or tools for people in charge of sourcing, so they have quick access to the key messages to convey to new or existing business partners in the supply chain.
- Provide business partners access to the different amfori BSCI tools available to them, including:

  amfori Sustainability Platform:
  Provides business partners access to monitoring reports and continuous improvement measures

  amfori Academy:
  Provides business partners access to relevant courses. These are free of charge for the business partners to attend.

Assess leverage: amfori BSCI members may anticipate the leverage they have with their business partners by accessing information in the amfori Sustainability Platform on the number of other amfori BSCI members linked to the same business partners.

12. How Monitoring Partner Scheme Managers Can Prepare for the amfori BSCI Monitoring

In most cases, a scheme manager from an approved monitoring partner is responsible for managing amfori BSCI monitoring requests and scheduling through the amfori Sustainability Platform.

Prior to scheduling a monitoring, the scheme manager needs to verify that the monitoring request is in line with the guidelines of the amfori BSCI System Manual and accurate in terms of:

- **Monitoring type:** If the monitoring type selected is incorrect, scheme managers are expected to advise the RSP holder accordingly (e.g., a SPA has been required for a producer without small producer self-declaration).
- **Audit validity:** If the monitoring request is not consistent with the amfori BSCI monitoring cycle, scheme managers are expected to advise the RSP holder accordingly (e.g., the RSP holder requests a follow up monitoring in a business partners that has exceeded the monitoring cycle and therefore needs a full monitoring).

The scheme manager is responsible for the selection of appropriate monitoring persons (whether a single monitoring person or a team of monitoring persons). The sector and the region will guide the scheme manager to select the best monitoring persons who:

- Master at least one of the local languages and the languages that a great portion of migrant workers may use (if applicable)
- Understand the sector, applicable legislation and specific social risks
- Have sufficient experience and knowledge of the sector of the business partners/auditees based on the GICS Classification that they indicate on the amfori Sustainability Platform profile
- Are sensitive to potential vulnerabilities and to gender equality (e.g., unprotected minorities) and know how to navigate them.

When building effective monitoring teams, the scheme manager will be sensitive to gender balance in the team that fits for the structure of the auditee.

Financial implications: Scheme managers will consider that allocated time and person to conduct a monitoring will have financial implications on the party paying for it.

The scheme manager will communicate to the RSP holder any reasoning that could justify increasing number of monitoring persons, extension of travelling time or additional off-site interviews.

Using the amfori Sustainability Platform: Scheme managers are often responsible for uploading information on the amfori Sustainability Platform. The amfori BSCI Auditing Framework Contract and amfori IT Platform Terms of Use, define how auditing companies manage information:

- Use only the amfori Sustainability Platform to communicate the results of their monitoring
- Ensure that data submitted through the amfori Sustainability Platform is accurate and current as of the date of submission and to the best of their knowledge
- Use information accessed in the amfori Sustainability Platform only to monitoring factories and farms in the supply chain of amfori BSCI members
- Treat all information in the amfori Sustainability Platform as business confidential and do not disclose it outside the amfori Sustainability Platform

13. How Individual Monitoring Persons Can Prepare for the amfori BSCI Monitoring

amfori BSCI monitoring persons should take any steps needed to understand the auditee's situation.

At a minimum, a monitoring person should understand the following aspects:

Geography: A monitoring should take into consideration the geography of the business partner's area. Geography is relevant to organising logistics as well as to understanding the workers' reality and potential risks on site. For example, the monitoring person should verify the way workers commute to work, the distance to schools, and the distance to hospitals and/or other regular administrative offices (e.g., banks).

Peculiarities: A monitoring person should gain an understanding of hidden and visible gender issues, the social hierarchy, migration issues, the use of homeworkers or youth, and relevant local authorities. These peculiarities should never catch the monitoring person by surprise.

Legislation: A monitoring person should review specific, relevant legislation. In some cases, local rules and regulations may embed particularities that will impact the way a monitoring person is going to employ their professional judgement.

Remuneration and Living Wage: A monitoring person should pre-calculate fair remuneration and living wage as accurately as possible, based on the region and sector.

Sector: A monitoring person should gain a good understanding of the sector of the auditee and its peculiarities. This includes, but it is not limited to:

- Understanding the production structure
- Verifying the existence of specific trade unions
- Verifying the existence of specific collective bargaining agreements
- Learning if there are differences in the way remuneration is granted
- Verifying if there is specific legislation that applies (e.g., for agriculture or for cooperatives)
- Understanding any risks related to the sector

Have all relevant documents upfront:
The monitoring person shall take the measures necessary to gather all relevant documents prior to conducting an amfori BSCI monitoring. This includes, but is not limited to:

- Access to the amfori BSCI monitoring report in the amfori Sustainability Platform
- A copy of the signed version of the amfori BSCI Code of Conduct to verify the auditee's involvement in the amfori BSCI monitoring process
- When relevant:
  - A copy of the small producer self-declaration (see Guide 12: How to assess a small producer)

14. Implementing the amfori BSCI Monitoring

All amfori BSCI monitoring activities are to be implemented following a standard of quality, due diligence, and practical wisdom.

Practical Experience and Professional Judgement:

amfori BSCI monitoring persons are expected to incorporate the use of two key concepts into all audits: practical wisdom and professional judgement.

Use practical wisdom: Within the amfori BSCI methodology, monitoring persons are requested to use practical wisdom, i.e., to make informed and rational judgments without a black and white decision procedure. In fact, amfori BSCI audit questionnaires are there to guide monitoring persons in the assessment only. However, findings need to be formulated by considering the evidence collected throughout the monitoring and across PAs. To that aim, amfori BSCI monitoring persons shall interpret rules and principles as well as unspoken or informal signals considering the specificities of the auditee. Practical wisdom implies that monitoring persons can:

- **Contextualise:** monitoring persons should be able to put the reality they are assessing into context. E.g., what social or cultural rules impact on worker-management communication? How do OHS rules apply to farming operations?
- **Empathise:** monitoring persons should be able to take the perspective of other and understand how the situation is perceived from their side e.g., why may women worker prefer talking to a female auditor?
- **Balance:** Monitoring persons should be able to be receptive to conflicting interests without compromising their neutrality e.g., what if workers prefer being paid gross salary without Social Security contributions being deducted?

Use professional judgement:

Monitoring persons are expected to use their professional judgement in connecting facts and information with the different values and principles of the amfori BSCI Code of Conduct.

- The monitoring person will analyse the interconnection between certain business practices and the PAs (e.g., Limiting access to grievance mechanism as a business practice may most likely have negative repercussions in PAs such as Special Protection for Young Workers, Occupational Health and Safety; No Discrimination, Violence or Harassment; No Precarious Employment and Unethical Business Behaviour).
- Professional judgement also helps monitoring persons to decide whether the information gathered qualifies as satisfactory evidence or just information to keep in mind but not necessary evidence.

The Six key Steps in the amfori BSCI social Monitoring

STEP 1: Arrive and introduce the team

The monitoring person, or group of monitoring persons, will introduce themselves (lead auditor will introduce their team), show their credentials, and briefly explain the reason for their visit. When relevant, the monitoring person will need to inform the auditee of the consequences of denying access.

STEP 2: Conduct an opening meeting

The opening meeting will occur in the place defined by the auditee. It can be in a meeting room or outdoors when the audit is conducted on farms. This meeting sets the scene and helps create a collaborative and open dialogue-based approach. The monitoring person will take this opportunity to:

- Explain the sequence and purpose of the amfori BSCI social audit
- Introduce him or herself, the team of monitoring persons if applicable, and the most relevant competence and accreditation
- Explain the monitoring partner's anti-bribery policy and its consequences (auditee's signature on this document is required)
- Gather information on the people present at the opening meeting (e.g., managers and their functions, workers' representative, and legal counsel)
- Explain and adjust (if necessary) the audit planning (for example: definition of farms to be audited as part of the sample, if they are part of the audit scope)
- Request the bulk of documents that will be initially verified (e.g., contracts, payrolls, policy documents etc)

STEP 3: Collect evidence

The monitoring person collects evidence on the auditee's social performance through documentation, site observation and interviews. These three types of evidence collected will be reported accordingly in the audit report under the following inscriptions:

- **DO:** DO means document verification
- **SO:** SO means site observation, which includes visiting and analysing the production facilities, units and farms if applicable
- **MI:** MI means management interview and includes information gathered from interviews with all relevant managers
- **WI:** WI means workers' interview and includes information gathered from all workers (seasonal or permanent) that have been interviewed
- **WRI:** WRI means workers' representative interview and includes information gathered from workers' representatives

STEP 4: Complete the relevant social performance questionnaire

Based on their professional judgement, the monitoring person will complete the relevant social performance questionnaire for the main auditee and if applicable the questionnaires for each next-tier site. The questions help the monitoring person to cross-check if he or she has reached 'satisfactory evidence' regarding the auditee's social risks and performance. Key terms to understand include:

- **Satisfactory evidence:** This refers to a comfortable level of facts and/or information that allows the monitoring person to reach a conclusion
- **Sufficient evidence:** This is the minimum evidence required to prove a fact (e.g., certificate of potable water).

The amfori BSCI audit questionnaire formulates the questions asking the monitoring person for satisfactory evidence. This is because amfori wants to encourage monitoring persons to have a wider level of comfort (than just sufficient evidence) on how certain business practices contribute to workers' rights protection.

For example, instead of limiting to sufficient evidence (the producer has shown a valid certificate of potable water) amfori auditors will aim at seeking for satisfactory evidence (the producer may have a certificate or other proofs that water is suitable for human consumption; potable water is always available to workers; drinking recipients available, clean, and free of contamination vectors).

Certainly, this level of comfort cannot be achieved if monitoring persons answer the questions automatically. At the contrary, amfori BSCI audit questionnaire requires auditors a rigorous analysis of the situation prior to answering the questions.



STEP 5: Generate the findings report

The findings report describes auditee's good practice as well as areas for improvement to progress in the implementation of the amfori BSCI Code of Conduct. When it comes to writing the findings, monitoring persons should respect the following approach and explain:

- **The way their judgement was built:** Description of the reasoning followed and how workers' protection was taken into consideration
- **The satisfactory evidence and relevant findings:** Description of the body of facts and information and consequent findings
- **Considerations and consequent observations:** Description of those observations that may not qualify as findings but are relevant as part of the body of information.



STEP 6: Conduct a closing meeting

The closing meeting will occur at the end of the audit in the place defined by the auditee for this purpose. It can be in a meeting room or outdoors. This meeting is vital to maintain the collaborative environment created through the course of the audit and obtain any needed clarification. The monitoring person will take this opportunity to:

- **Comment** on the sequence identified through the course of amfori BSCI audit. The monitoring person will thank the producer for being collaborative, providing access to documents, and allowing pictures to be taken. The monitoring person may use the opportunity to inform the auditee about some of the issues discovered during the audit.
- **Brief** the auditee on how professional judgement is based upon a combination of facts and information. The monitoring person should explain that interviews with workers are just one of the many sources of information that contribute to the judgment to avoid pressure on workers.
- **Brief** the auditee on the way the amfori BSCI rating is automatically calculated by an online, computerised system and is out of the monitoring person's control.
- **Explain** the good practices identified during the audit.
- **Explain** findings and observations, with brief explanations on why the observations represent a potential risk for the auditee and its clients. The monitoring person should provide the big picture instead of just referring to what the amfori BSCI Code of conduct says.
- **Remind** the auditee for defining continuous improvement actions and measures through the amfori Sustainability Platform.
- **Provide** information on submission of the monitoring report in the amfori Sustainability Platform, etc.
- **Request** that the management and workers' representative sign the findings report. Inform the auditee that a signature does not represent acceptance of the content, but just acknowledges that the audit has been conducted without irregularities.
- **Remain** open to questions and clarifications.

For an amfori BSCI multi-tier audit, the monitoring person will follow all first five steps described above for each of the monitored sites included in the audit scope (e.g., main auditee + farms).
Step 6 - Closing meeting will only be conducted once with the main auditee.

Ways the amfori BSCI audit can be compromised

Implementation of an amfori BSCI social audit can be compromised in the following ways. When a monitoring activity cannot be started or finished, it is labelled as interference. On the Sustainability Profile, the activity still appears - but without a final rating. The status will show either:

Access denied: The auditee does not allow the monitoring person to access the site, or the monitoring could not start because the auditor was denied access. In this case, the monitoring person selects 'Access Denied' (Click on 'Stop Monitoring' instead of 'Submit'), and he/she provides details to justify that choice.

Transparency is denied: The auditee must be fully transparent with the monitoring persons during the monitoring activity. This means the:

- auditee should not prevent the monitoring person(s) from conducting employee or management interviews.
- auditee should provide the monitoring person(s) with the ability to review the relevant records both on digital and on paper.
- auditee cannot attend interviews or enter areas where interviews are happening

In the case of one or more above of these cases happen and impact adversely on the quality of the monitoring person's assessment, then the monitoring person may selects 'Access Denied' (Click on 'Stop Monitoring' instead of 'Submit'), and he/she provides details to justify that choice. Auditor is expected to use their professional judgment and triangulation approach to analyse and take action on such cases.

Please note that in the case of lack of following items, monitoring person can consider following Zero Tolerance Protocol.

- the auditee must maintain only one set of payroll and time records that accurately reflect all regular and overtime hours worked and paid for all employees.
- The auditee should not provide falsified documents such as permits and licenses.

Partially conducted: The audit is conducted, but interrupted, which prevents the monitoring person from finishing the evaluation. In this case, the monitoring person selects 'Partially Conducted' (Click on 'Stop Monitoring' instead of 'Submit''), and he/she provides details to justify that choice. Only some Performance Areas could be completed during the monitoring, therefore, the results are only visible when the audit is completed for a section.

In the case of an amfori BSCI multi-tier audit, an interference (Access denied or partially conducted) at the main auditee affects the overall monitoring report. Next-tier sites can still be audited but the overall audit result will be compromised. An interference at one of the next-tier sites does not affect the overall monitoring report, only the section related to the affected next-tier site.

15. Continuous Improvement

The overall reason for the continuous improvement functionality is to identify and implement actions that will have an impact on the sustainability as a business partner.

amfori calls these improvement activities 'Sustainability Impacts'. amfori BSCI members can view the Continuous Improvement activity and progress of their business partners, and can, together, agree which Sustainability Impacts and supporting Measures should be used. Audit findings can be explicitly linked to defined improvement activities.

It is important to understand some of the terms used:

- A **'sustainability impact'** is the outcome that the business partner intends to achieve.
- **'Measures'** are the activities that will be completed to achieve this outcome.

Only the business partners who owns the site can input this information and set the status to Complete. All linked members can view the information but cannot edit it.

A graph shows how many audit findings have been linked with a sustainability impact, how many of these have been set to 'complete'. The member can, when appropriate, initiate a follow-up audit from this part of the Platform.

Response to findings report: After an amfori BSCI audit, business partners should define a 'sustainability impact' (previously named as remediation plan) in response to the findings report issued by the auditor. This will be visible to all linked members in the amfori Sustainability Platform.

For Multi-Tier audits, the response to findings reported at next-tier sites is the responsibility of the main auditee in cooperation with the farms.

16. Follow-up and Continuous Improvement

- RSP applies for the whole business partner company and for all its sites
- An RSP holder can cancel a monitoring activity at any point up until the activity is scheduled by a monitoring partner

Continuous improvement is a core value of the amfori BSCI system. amfori BSCI members expect their business partners to continuously show improvements in the way their businesses respect human and labour rights at their
premises and throughout their supply chains.

amfori BSCI members are encouraged to support their business partners to:

- Remediate findings in the short and long term
- Make necessary long-lasting changes
- Integrate the amfori BSCI Code of Conduct into their business culture



IMPORTANT: The goal is for members to support business partners' progress and continuous improvement while allowing them to take ownership of their own business responsibilities.

Balancing autonomy and responsibility: amfori BSCI relies on a balanced combination of autonomy and responsibility to guide the relationships between amfori BSCI members and their business partners.

Two key concepts are relevant here:

Autonomy: It refers to a business partner's aptitude after an assessment to take their own decisions toward handling their improvement process. Business partners are offered specific trainings and support to overcome any identified shortcomings, including zero tolerance issues. In addition, business partners are encouraged to proactively utilise any other available learning resource in a self-motivated manner. Furthermore, business partners with an overall rating "A" (Very Good) and "B" (Good) are excepted have the level of maturity that allows them to independently design and maintain their continuous improvement process without the need for an amfori follow-up monitoring. Continuous improvement function on the amfori Sustainability Platform is available for all rating results with findings.

Responsibility: For business partners with an audit rating equal to or below 'C' (Acceptable), an amfori BSCI follow-up monitoring should be conducted within 12 months of the previous amfori BSCI monitoring date. If this deadline is missed, an amfori BSCI full audit will need to be requested to maintain the business partner within a valid audit cycle.

Circumstances where verification of progress (including amfori BSCI follow-up monitoring) may be pursued in an early stage:

amfori BSCI follow up monitoring usually occurs within 12-month from previous amfori BSCI monitoring. At the same time, there may be circumstance where amfori BSCI members may see the need to schedule a follow up monitoring in an early stage. This can take the form of an amfori BSCI follow up monitoring or a different agreed mean. Here some examples:

Auditee seeks proactively to get a follow up: The auditee may have identified how to do the necessary improvements in a brief period of time, and it is eager that those improvements are verified by a third party and have a positive impact on its rating.

amfori BSCI member (RSP holder) is proactive: Experience shows that attentive follow up may be required to encourage the short, medium, and long-term changes needed to embed the amfori BSCI Code of Conduct in the business. Based on this experience, amfori BSCI members may seek early follow up, for example in the following scenarios:

- **Zero tolerance labelled producer:**
  The ad-hoc remediation group may agree on the need to conduct an amfori BSCI follow-up monitoring in a very short period after initial remediation has presumably taken place to validate progress and move towards medium-term improvements.
- **Lack of continuous improvement plan submission:** There may be technical reasons why a producer does not act on Continuous Improvement in the amfori Sustainability Platform. However, respect for the timeline is an indicator of the auditee's willingness and interest to improve. Failing to respect the 60-day deadline to submit continuous improvement plan for ZT label cases may be an indicator of disregard or lack of interest to improve. Based on this experience, amfori BSCI members may schedule an amfori BSCI follow up monitoring to reactivate business partners' interest.

Escalation, emergency, or grievances cases: All these cases represent scenarios where amfori BSCI members, in collaboration and with the support of the amfori Secretariat, might decide to urgently conduct a third-party assessment (e.g., Special investigation) regardless of the amfori BSCI audit's standard process.

amfori
Trade with purpose

amfori BSCI System Manual

Part 3:

amfori BSCI Auditing Interpretation Guidelines

This updated version of the amfori BSCI System Manual aligns with the amfori's 2024 brand guidelines; however, the content remains consistent with the 2022 version. Any updates pertain solely to design and branding elements.

2022



Introduction

The amfori BSCI (Business Social Compliance Initiative) System Manual has been updated in 2022. The audience of this document involves mainly amfori members, their business partners, amfori monitoring partners and monitoring persons. This updated version of the amfori BSCI System Manual consists of four main parts and Guide documents which provide the audience and system users with detailed information.

Each part provides information about business rules and processes of the amfori BSCI System.

Part 1 / explains amfori BSCI due diligence approach and implementation steps in practice together with practical tools and services that amfori brings for its members and their business partners.

Part 2 / targets amfori members, their business partners, monitoring partners and monitoring persons. It provides both an overview of the amfori BSCI's holistic monitoring approach and an explanation of the entire amfori BSCI monitoring process, from requesting and scheduling a monitoring to performing one and following up.

Part 3 / provides amfori members and auditors support in the interpretation of the questions of the amfori BSCI audit questionnaire.

Part 4 / consists of four chapters that provide the business partner with explanation of all relevant documents and guides that amfori BSCI makes available for them and specific guidelines on what is expected in every performance area.

18 guide documents / are developed to accommodate and support amfori members and their business partners in the implementation of amfori BSCI Monitoring Activities: Self-Assessment, amfori Social audits, and Continuous Improvement.

Foreword

This updated version of the amfori BSCI System Manual was published in December 2022. This current version aligns with amfori's 2024 brand guidelines; however, the content remains consistent with the 2022 version. It coexists with relevant documents issued by amfori to date.

The below documents continue to apply as they remain valid:

amfori BSCI Documents

amfori BSCI Code of Conduct (v.2021)

amfori BSCI Monitoring Report Framework (available on the amfori Sustainability Platform)

Coordinated by-laws of amfori a.i.s.b.l.

Easy Guide: The UK Modern Slavery Act

Position paper: New Child Labour Law in India

Guidance Package: Syrian Nationals Working in Turkish Supply Chains

Refugees in Supply Chains: A guide to Risk Identification and Management

Social Dialogue Handbook on Gender

Responsible Purchasing Practices in Times of COVID-19

Guidance for amfori Members' Monitoring of Potential Exploitation Associated with State Imposed Forced Labour

Doing Business Responsibly in Conflict-Affected and High-Risk Areas – a Guidance for amfori Members

amfori's Living Wage Journey: Taking Stock and Setting the Way Forward

amfori BSCI audit interpretation guidelines for Large farms

amfori BSCI audit interpretation guidelines for Small and Small-holder farms

MEMOS for Monitoring Persons and Auditors, please check amfori Website.

MEMO (ACs 2016/03 - 1): Auditing Arrangements under BSCI 2.0

MEMO (ACs 2016/11 - 2): Child Labour Amendment Act in India

MEMO (ACs 2018/05 - 1): Social Insurance and Welfare in PRC

MEMO (ACs 2018/06 - 2): Minimum Content for amfori BSCI Audit Report

MEMO (MPs 2019/10 - 1): Fire Safety in India

MEMO (ACs 2021/05 - 1): Fair Recruitment

MEMO (ACs 2021/09 - 2): Audit Errors

MEMO (ACs 2021/10 - 3): Building & Fire Safety in PRC

MEMO (ACs 2022/01 - 1):Combined Audits Procedure

MEMO (ACs 2023/01 - 1): Audit Durations

MEMO (ACs 2023/01 - 2): Recruitment Fee

MEMO (ACs 2023/01 - 3): Türkiye Building Safety & Earthquake Readiness

MEMO (ACs 2017/03 - 1): Evaluating Double Book Keeping- Turkey

MEMO (ACs 2023/02 - 1): Working Hours

MEMO (ACs 2023/02 - 2): Living Wage

MEMO (ACs 2023/04 - 1): Supply Chain Grievance Mechanism

Contents

amfori BSCI Auditing Interpretation Guidelines 6

1. Structure of the amfori BSCI Monitoring Results 7

2. Content of the amfori BSCI Monitoring Result 8

2.1. Monitoring Details 8

2.2. General Description 9

2.3 Report Section 12

2.3.1 Monitoring Details 12

2.3.2 Data Validation 12

2.3.3 Social performance management 13

2.3.4 Production and employment structure 13

2.3.5 Remuneration and working hours 13

2.3.6 Housing 14

2.3.7 Grievance mechanism 14

2.3.8 Sampled workers 15

2.3.9 Young worker data 15

2.3.10 Interview evidence 15

3. amfori BSCI Audit Interpretation Guidelines 17

Performance area 1: Social management systems and cascade effect 19
Performance area 2: Workers involvement and protection 25
Performance area 3: The rights of freedom of association and collective bargaining 29
Performance area 4: No discrimination, violence or harassment 32
Performance area 5: Fair remuneration 36
Performance area 6: Decent working hours 44
Performance area 7: Occupational health and safety 48
Performance area 8: No child labour 67
Performance area 9: Special protection for young workers 72
Performance area 10: No precarious employment 76
Performance area 11: No bonded, forced labour or human trafficking 80
Performance area 12: Protection of the environment 84
Performance area 13: Ethical business behaviour 88

amfori BSCI Auditing Interpretation Guidelines

This part of the amfori BSCI System Manual provides members and auditors support in the interpretation of the questions of the amfori BSCI audit questionnaire.

amfori members and their business partners that sign the amfori BSCI Code of Conduct commit to respecting human rights in their business activities. If a business partner has made this commitment, it is most likely because at least one of its clients is an amfori BSCI member or sells to an amfori BSCI member.

This business relationship will lead the related amfori BSCI member to request their business partners to:

- Sign the amfori BSCI Code of Conduct
- Embed the amfori BSCI Code of Conduct in its business operations
- Be monitored and take necessary actions to ensure continuous improvement and address possible human rights adverse impacts

Monitoring partners are essential stakeholders to gather information that incentivises constructive dialogue and triggers continuous improvements through the supply chains.

1. Structure of the amfori BSCI Monitoring Results

These are the four types of amfori BSCI monitoring reports:

amfori Social Audit – Manufacturing: an amfori BSCI monitoring report on one manufacturing auditee

amfori Social Audit – Multi-tier Food: an amfori BSCI monitoring report on one manufacturing auditee (main auditee) and findings reports for each of the selected next-tier farm (Food only)

amfori Social Audit – Small Producer Assessment: an amfori BSCI Small Producer Assessment monitoring report (SPA) for one manufacturing auditee

amfori Social Audit – Agriculture Large Farm Food: an amfori BSCI monitoring report on one farm auditee (Food only)

These reports are generated automatically through the amfori Sustainability Platform. Auditors fill out the audit report directly online in the amfori Sustainability Platform.

Once the monitoring report is submitted through the amfori Sustainability Platform, it can no longer be modified.

The amfori Monitoring Result Structure on the amfori Sustainability Platform	One-site*	Multi-tier	SPA
General Description	✓	✓	✓
Monitoring Details	✓	✓	✓
Data Validation	✓	✓	✓
Social Performance Management	✓	✓	✓
Production and Employment Structure	✓	✓	✓
Remuneration and Working Hours	✓	✓	✓
Housing Information	✓	✓	✓
Grievance Mechanism	✓	✓	✗
Sampled Workers	✓	✓	✗
Young Worker Data	✓	✓	✗
Interview Evidence	✓	✓	✓
Performance Areas Findings	✓	✓	✓
Report Attachments	✓	✓	✓

* amfori Social Audit-Manufacturing and amfori Social Agriculture – Large Farm Food Audit are both one-site audits.

Table 1: The amfori BSCI monitoring result structure

2. Content of the amfori BSCI Monitoring Result

Monitoring Details

This part includes information on monitoring, site and metrics details.

Monitoring section details provide information on monitoring scope and methodology as well as general information about the monitoring, such as:

- Initiative: amfori BSCI
- Activity type:
  - amfori Social Audit – Manufacturing
  - amfori Social Audit – Multi-Tier Food
  - amfori Social Audit – Small Producer Assessment
  - amfori Social Audit – Agriculture Large Farm Food
- Monitoring ID
- Announcement type: no date is visible for fully un-announced, semi announced or announced audits
- Monitoring type: Full or follow-up monitoring
- Scope: One site or multi-tier
- Submission date and expiry date: submission date is the basis for the calculation of the validity
- This section also displays if any monitoring interference or contingencies that may have occurred during the audit (e.g., access denied and partially conducted)

Site section displays the data related to the site:

- Info & Classification: Under this section, the main activity classifications of the business partner are available
- Site(s): Under this section the following information of the business partner is available:
  - amfori ID
  - Water stress situation
  - Global Industry Classification Standard (GICS) classification
  - GS1 Classification
  - amfori Process Classification
  - NACE Classification
- Site details: In this section the following information of the business partner is available:
  - Company name
  - Site address
  - Country
  - State/Province
  - City

Metrics: Feature the numerical components collected during the monitoring activity and audit report. It displays the data on:

- Workforce: This reports the number of workers indicated by the auditee, which is taken as the reference to define the duration of the audit
- Legal minimum wage monthly
- Lowest wage for regular work
- Calculated living wage
- Number of total sampled workers



IMPORTANT: If the number of workers at the time of the audit substantially differs from the number confirmed during the audit scheduling, the auditor maybe facing a case of misrepresentation that he or she needs to investigate and report accordingly (see Zero tolerance protocol).

The auditor is expected to report such a discrepancy under "General Description", but he or she will not adjust the audit duration to the new number of workers (e.g., staying for additional time) as this can represent a conflict of interest.

When this discrepancy of number of workers is identified during a SPA and the discrepancy is such that the producer no longer qualifies as a small producer, the auditor shall trigger a zero-tolerance alert on misrepresentation.

General Description

General description contains the site description and configuration and any relevant information that is not mentioned in the report. This section should be completed last by the auditor.
The report cannot be submitted if this General Description is not filled. This is the overview provided by the auditor.

The auditor must always fill out this field to provide an overview of the monitoring.

As a minimum, it will contain the following information:

- Business partner information:
  - Legal entity: The auditor will provide an overview of main auditee's company structure (e.g., company or cooperative) and selected farms or cooperative members (e.g., name, organisational structure, physical address, office address, business license number)
  - Facilities: The auditor will describe auditee's facilities and sampled farms (when relevant). It is also imperative that the auditor describes the building and the floor where the factory is located when that is the case
  - Business license: The auditor will report whether the business license assessed during the monitoring is valid and corresponds to the auditee. (See boxed text below)
- Circumstances: Overall description of the different circumstances faced during the monitoring. The auditor will indicate any circumstances that affected the normal course of the assessment. e.g., producer's collaborative or uncollaborative behaviour; normal or abnormal levels of production; normal or abnormal workforce composition if compared with the norm in the region
- Summary of findings: The auditor will summarise his or her professional judgement and an overview of the monitoring results for main auditee and farms, if applicable
- Living wage calculation: If auditors use a different calculation methodology than Anker Methodology (GLWC), they should reflect it in the audit report and explain the reason why the chosen method is more appropriate in this specific context.

The summary of findings will follow the above logic for all business partners, irrespective of monitoring result.

In a multi-tier audit, the general description must be completed for the main auditee only. However, it will include the overall assessment of all monitored farms and explain how gaps are related to the management system of the main auditee.

Business License Verification

Prior and during the monitoring, the auditor will review validity and scope of the business license. Attention is to be paid to:

- Compliance with local law
- Exactness of address
- Correspondence between declared and actual number of business units

Faults in the business license will be reported in the general description and relevant findings will be captured under PA 1 Social Management Systems and Cascade Effect, PA 7 Occupational Health and Safety and PA 13 Ethical Business Behaviour.

In case of flagrant misrepresentation, the auditor will report Zero Tolerance (see Guide 5).

Confidential comments: The auditor uses this field to report any additional comment which, due to its nature, needs to be kept confidential. This is the case when the auditor has suspicion of violations that could not be substantiated during the monitoring e.g., suspicion of unionised workers being harassed.

Auditors must assess the best way to report their suspicions responsibly and in a way that does not put workers at risk. For example, auditors will not disclose witnesses' identities nor will make accusations that may represent a defamation of the auditee.

In case of possible human rights' violations, the auditor will take best efforts to investigate the issue and report it using the Zero Tolerance Protocol.

General Description Section of amfori BSCI Audits

Name of lead auditor:	XXXX; APSCA membership number:
Name of team auditor (if applicable):	YYYY; APSCA membership number:
Name of observers, translators, trainees, advisors/ consultants (if applicable):	
Monitoring partner name:	
Audit schedule details:	**e.g. The audit is planned for 2 auditors x 2 day and 1 auditor x 1 day. Team auditor YYYY attended to the first and second days of the audit.**
Announcement Type:	If the auditor is conducting an audit in a different place from the country he/she is affiliated with, then this should also be written. If the audit is a follow-up audit, details of the scope should be given. (which PAs are covered, what kind of evaluations are done)
Business partner information:	In this area, auditors should describe auditee's location, foundation date, production processes of the factory, any specific information related to audited location.
Audited location information:	Building and floor number (each building and floor should be described one by one – existing process details should be given) If the building is shared, information of other tenants (company industry and if possible company name) Building ownership information (is the building rental or owned) Information on whether there is a dormitory and canteen should be given under all circumstances.

Operating shifts and hours:	Working days, hours, rest breaks and rest days should be noted for each section, if there are vulnerable workers (pregnant, young, disabled, migrant etc.) and they work in a special order this should be mentioned as well.
Time recording system:	Used time recording system should be mentioned (electronic, biometric, manual etc.)
Salary payment details:	Pay days, payment method should be defined
Worker number information:	• Total worker number (production and management workers) • Production worker number (male and female number details should be given) • Vulnerable worker number (e.g., domestic and foreign migrant, young, women, pregnant, seasonal, temporary, disabled, home-based workers) (male and female number details should be given) • Any other special group workers (interns, apprentices, contractor workers etc.)
Good practices:	The provided benefits to workers like meal or transportation should be detailed.
Worker organization details:	Union, worker committee or any other worker organizations should be detailed.
Circumstances:	Overall description of the different circumstances faced during the monitoring. The auditor will indicate any circumstances that affected the normal course of the assessment. **e.g., producer's collaborative or uncollaborative behaviour; normal or abnormal levels of production; normal or abnormal workforce composition if compared with the norm in the region. When describing special circumstance, it will be useful to put # at the beginning of the word that best describes the situation. If no special circumstance was encountered during the audit, auditors should drop the note "There was no special circumstance during the audit."** If there is a confidentiality concern regarding the stated situation, the auditors can make a note in the **"Confidential Comments"** instead of **"General Description"** section taking into account the same rules.
The special circumstances can be classified as followed:	• #Consultancy • #Incidents • #Shortcomings • #Auditor safety • #Building safety • #National events • #Behaviour • #Coaching • #Covid-19 (if Covid-19 preventions still applicable in the audited location) • #Epidemic

Summary of findings: The auditor will summarise the performance areas with non-compliances. Each PA should be summarized.

Living wage calculation: If auditors use a different calculation methodology than Anker Methodology, they should reflect it in the audit report and explain the reason why the chosen method is more appropriate in this specific context. Please use **#LivingWage** phrase.

Minimum Content MEMO (MEMO (AC's 2018/06 1) is still applicable for the attachments. If there is a personal data protection law/requirement in the country that audit takes place, auditors should put a remark related to attached documents.

Report Section

This section includes data sections and Performance Areas questionnaires filled by the auditor during the audit.



IMPORTANT: For each data field section, some questions are marked as mandatory. The report cannot be submitted until all mandatory questions/datasets are completed.

In a multi-tier audit, each audited site (main auditee + farms) will have a separate report that includes data sections and Performance Areas questionnaires.

The farm questionnaires will vary upon the size of the farm, determined by the number of permanent workers as per amfori farm size classification. The auditor will be asked to choose the size of the farm at the beginning of each section. Best practice should be to deliver the audit at the time of year when most temporary workers are present, whether it is a large farm or small and small-holder farms. A large farm is defined by having 20 or more permanent workers.

amfori BSCI Audit interpretation guidelines for large farms

amfori BSCI Audit interpretation guidelines for small farms and small-holders

2.3.1 Monitoring Details

The auditor provides information on the monitoring team and activity duration to the given data sections. This should include auditor names, APSCA numbers and role within the Monitoring team.

The duration of the activity indicated here will be used to calculate the cost of the audit.

2.3.2 Data Validation

The auditor uses this section to validate if the data correspond to the business partner/site profile. If the data on the business partner/site profile doesn't match with what the auditor collects on-site, she or he is expected to do the risk assessment for a potential unethical business behaviour Zero tolerance. The auditor also includes the languages used at site.

Data validation includes following areas to be validated:

Auditee's background information: the auditor shall validate the information provided by the auditee in the preparatory steps and in the amfori Sustainability Platform

Sector, industry, GICS classification: the auditor will validate the information provided in the amfori Sustainability Platform.

Language used at site: the auditor will provide the information on the official language(s) and other languages used at site. (For example, languages used by foreign migrant workers)

2.3.3 Social Performance Management

The auditor shall fill in with validated information on the names of the staff in charge of different areas related to overview of the management of social performance, freedom association and occupational health and safety.

The auditor uses the appropriate fields to describe:

- Any accident that occurred in the six months prior to the audit
- Specific information on the workers' representative(s)
- Description of a strike, walkout and/or protest in the 12 months prior to the audit

2.3.4 Production and Employment Structure

The auditor shall fill in with validated information provided by the auditee concerning the volume and unit of production, production calendar and production structure. The auditor shall provide the most accurate information on the workforce at the time of the audit, to the best of his/her knowledge. This figure may not correspond to the number of workers reported by the auditee when the audit was originally scheduled. Please see the amfori BSCI System Manual Part 2: Duration of the amfori BSCI Monitoring.

- If there are in-country or foreign migrant workers at the facility, the auditor shall provide gender-disaggregated information on migrant worker breakdown.

2.3.5 Remuneration and Working Hours

This section does not apply to smallholder farms

The auditor fills the data sections with validated information on the collective bargaining agreement, minimum wage, benefits and bonuses, living wage, working hours, and indicates details of the sample used to fill the different sections above, based on the documents provided by the auditee.

The auditor uses the appropriate fields to describe:

- Sample of workers whose working time is verified at the time of the audit
- Specific situations that led to overtime in the six months prior to the audit (under the General Description field in PA 6: Decent working hours)

The auditor shall fill in with validated information concerning working hours, work at night and shifts, when applicable.

For the Living wage section: Prior to the monitoring, the auditor shall have a good command of amfori BSCI definitions provided in Guide 9 How to promote fair remuneration. He or she will calculate living wages in the region using most common living wage calculation methods. He or she may need to consult sources about regional and/or national contexts such as:

- Government data (statistics, community development departments)
- Local or international NGOs working in the area and addressing the sector
- Community groups who may have answers to some of these questions

The auditor can fill in the data section which displays the costs of living wage calculation (Data Used for Living Wage Calculation) with information provided by the auditee. He or she will not assess the veracity of the figures, but the auditee's ability to provide consistent information on living costs relevant to its workforce.

The auditor is asked to evaluate the level of understanding that management and workers have about:

→ Living costs of the workforce in the region

→ Possible gaps existing between the actual remuneration and the fair remuneration figure

→ Identifying potential actions to fill the gap

The auditor is expected to indicate the source of datasets for the calculation and collection of living wage. This is dropdown list including following options:

- → Manually collected: The audit team collected data by themselves, or with the help of local NGOs/experts
- → Provided by auditing company: The auditing company completed the calculation and provided it to the auditors in the country
- → GLWC website: The calculation is completed by Global Living Wage Coalition and made public on their website

The auditor shall not aim at comparing his/her calculation with the information provided by the auditee.

Good practices: The auditor shall acknowledge in the findings report, under PA 5, "Good practices", if the auditee provides this information including the calculation of fair remuneration.

2.3.6 Housing (if applicable)

The auditor shall describe the housing facilities provided by the auditee. Housing may be provided directly or indirectly by the auditee (e.g., the auditee has a housing arrangement with a different person/legal entity).

2.3.7 Grievance Mechanism

This section does not apply to small producer assessments or smallholder farms

The auditor shall use this section to collect information on any grievances lodged through the auditee's grievance mechanism or through external grievance mechanism but related to the auditee, as well as any remediation actions taken.

Furthermore, the auditor shall describe the different steps that the auditee follows to investigate and remediate the grievances. This description will help the auditor to develop his or her judgement of the grievance mechanism effectiveness.

The grievance mechanism should align with the UN Guiding Principles effectiveness criteria, notably that:

- There must be multiple channels for reporting, one of which can be used anonymously and one that would escalate to someone outside of a person's chain of command.
- Grievances should be treated confidentially
- The grievance mechanism can be used for sensitive topics such as sexual harassment and gender-based violence.
- There are no barriers to the usage of the grievance mechanisms (ex. language, technology)
- A grievance channel should be available in the dormitories
- The process is fair, impartial, respectful, and consistent for all workers
- Those who report a grievance receive acknowledgement of their concern and follow-up communication regarding action taken to address feedback
- Available outcomes of the grievance process and remedies available should be documented to support consistent implementation
- Parties impacted by a grievance are provided with fair and just remedy
- There is an annual review of grievance mechanisms using the effectiveness criteria of the UNGPs, making improvements based on identified gaps
- Sites should address the root cause of grievances to ensure they do not repeat
- Sites should practice ongoing workplace dialogue, which includes regular engagement between management and workers, to develop and implement solutions to improve working conditions

2.3.8 Sampled Workers

This section does not apply to small producer assessments or smallholder farms

The auditor has to enter the details of workers that have been sampled throughout the audit. This section is only for adult workers (+18). To register the details of young and child workers, the auditor goes to the 'Young Worker Data' section.

If any sampled worker needs to be protected, or their condition followed up, this should be reported in the confidential section.

2.3.9 Young Worker Data

This section does not apply to small producer assessments or smallholder farms

The auditor uses this section to collect information on the young workers who are part of the auditee's workforce.

Furthermore, the auditor shall interview 10% of identified young workers (minimum 2, maximum 10) with particular attention given to their access to training on:

- Occupational health and safety protection
- Access to grievance mechanism
- Working hours and wages

2.3.10 Interview Evidence

Interviews serve as individual sources as well as to validate or back up other sources of information (e.g., auditee documents).

The auditor uses this section to report:

- The interview sample
- The interpreter details
- The interview details: interview type, language of interview, gender of interviewer and interviewee(s), number of interviewees in the case of group interviews, location of the interview, and roles on site. This is a mandatory area in which all the interview details must be entered

Auditors must interview:

- **Management:** Particularly managers in charge of Human Resources and Occupational Health and Safety (OHS)
- **Workers' representative(s)**
- **Workers, particularly:**
  - Young workers and apprentices
  - Workers' committee spokesperson
  - Seasonal and/or subcontracted workers (female and male)
  - Women
  - Night shift workers (female and male)
  - Migrants (female and male)

They may also include:

- Trade union representatives
- Relevant external stakeholders
- For multi-tier audits: Internal auditors of the main auditee

Farm interview sample must include at least one temporary or seasonal worker, if employed at the time of the audit.

Interviewing management: Auditors may have the first contact with management either during the preparation of the audit or during the opening meeting, the day of the audit.

Interviews with different managers should be conducted in open and constructive dialogue. The auditor shall use interviews to gather substantial information that will allow him or her to build their professional judgement on the auditee´s social performance. This is the minimum information that auditors will seek to get a solid overview on:

- The organisational chart, division of responsibilities and reporting channels
- Drafting and implementing policies and procedures (both procedure and responsibilities)
- Hiring practices and workforce retention and protection (including training for workers and management)

- Latest investments to improve OHS and productivity
- Different business partners and how the company selects them and monitors their social performance
- Work accident protocol and responsibilities
- Grievance mechanism procedure and responsibilities
- Understanding of the amfori BSCI Code of Conduct values and principles

Interviewing workers and workers' representatives: These interviews are a critical source of information to cross-verify:

- The information gathered through documents or interviews with management
- The effectiveness and safety of the procedures developed by the auditee

Interviews may be the only source of information in case of discrimination, incidents of violence, sexual harassment or illegal disciplinary measures. If this is the case, the auditor shall be extremely vigilant in how to report the findings to avoid adding any risk or problem to the detriment of the interviewee(s).

Auditing companies shall direct their auditors to follow these guidelines to interview workers, so they are prepared /can be:

- Conduct interviews in a respectful way
- Build trust with different types of workers
- Deal with gender issues or any disadvantages and/or vulnerable individuals
- Select an appropriate place for the interviews
- Define the format (individual or group)
- Take necessary steps to protect interviewees from reprisals
- Aware of local and cultural contexts

Building trust takes different amounts of time in different cultures. It is the decision of the auditor to determine the duration of an interview, to get meaningful results.

Elements of the most positive ways to conduct interviews include:

Right setting: Meeting in a neutral setting where workers feel comfortable

Small talk: Starting with small talk (music, films, sports) to let the worker feel at ease, relaxed and more willing to talk about work subjects

Body language: Paying attention to facial expressions, gestures and attitudes

Exploratory: Asking open-ended questions

Rapport: Listening carefully and not repeating questions if the worker does not seem to understand or is clearly unwilling or uncomfortable to discuss the subject

Sensitivity: Changing the topic when emotions are too intense

Neutral: Resisting to make facial expressions of shock, sadness, frustration or other emotions in reaction to what the worker says

No notes: Avoiding notetaking as workers may feel uncomfortable being recorded

Respect: Being on the same level as the workers (e.g., sitting on the floor if this is where they are)

Child Labour

These recommendations apply in case the worker being interviewed is a child found working. Auditors must be particularly vigilant to:

Avoid being alone with the child: auditors could ask the child to have a sibling or a friend present during the interview

Ensure a woman (if possible, an auditor) interviews girls

3. amfori BSCI Audit Interpretation Guidelines

This chapter provides auditors with the interpretation guidelines to conduct an amfori BSCI audit.

The auditor evaluates the auditee's performance against the amfori BSCI Code of Conduct version 1/2021.

Each principle of the amfori BSCI CoC correspond to a Performance Area (PA), under which several questions are being asked, as well as general comments and good practices when applicable.

General Description

Under each Performance Area, the auditor must always provide an overview in the General Description field. This section should be completed by the auditor after she or he has answered all the questions related to the PA. The PA section cannot be validated if this General Description is not filled.

Good Practice

If applicable, the auditor also drafts consolidated good practice(s) per performance area.

Auditors must always provide description of good practices when business partners show a good or very good performance level.

Good practices refer to any practice that is voluntarily provided by the auditee to grant a benefit to workers and/or the community.

Questionnaire

Through the questionnaire, the auditor will assess to what extent they have obtained satisfactory evidence on the auditee's human rights due diligence and environmental protection. This will help the auditor to build his or her professional judgement and describe the findings accordingly.

Every question in the performance areas is linked to interpretation guidelines. These are available in the subsequent chapters, as well as in the amfori Sustainability Platform, to support the auditor in his/her evaluation.

Findings

In this section the auditor is expected to elaborate on the:

- overall assessment of each performance area
- specific description of the finding or findings related to each question
- main missing implementation element

Based on the evidence collected and monitored during the audit.

The questions reported below apply to:

- amfori BSCI Social Audit – Manufacturing
- amfori BSCI Social Audit – Multi-tier Food: Main auditee (farms are monitored against the dedicated farm audit questionnaires)

The questions do not directly apply to:

→ Companies that meet amfori small producer definition (see: Small Producer Self-Assessment)

→ Farms that produce food and flowers (see interpretation guidelines for large, small farms and small holders)

Holistic Approach

Opposite to conventional approach to audits, the amfori BSCI stresses the need for the auditor to connect the different performance areas to get their professional judgement on the auditee's overall performance.

None of the performance areas can be assessed in isolation and they are all impacted by at least three other performance areas. These interconnections allow the auditor to navigate through the different pieces of information and evidence and to reach solid conclusions about the way the auditee performs.

To check to what extent the auditee has the systems in place to manage each performance area, the auditor will deliver:

- Effectiveness check
- Coherency check

Performance Area 1: Social Management Systems and Cascade Effect

1.1. Is there satisfactory Evidence that the Auditee has set up an effective Management System to implement the amfori BSCI Code of Conduct?

This question helps to assess the effectiveness and coherency of the auditee's management system.

An effective management system(s) is crucial to ensure that social performance and due diligence processes are integrated into the business operations.

With a management system(s) in place, the auditee can take ownership over the process and continuously improve its business practices towards greater protection of the workforce.

Effectiveness: To verify the effectiveness of the management system, the auditor should determine if[1]:

- Does the auditee's management understand why its own good social performance is important for amfori BSCI members?
- Does the auditee's management understand the importance and benefits of having an effective management system and related procedures in place?
- Does the auditee's management show awareness and understanding on how to implement a risk and process-based management system?
- Does the auditee's management show full commitment towards integrating the amfori BSCI Code of Conduct into the auditee business or organisational culture?
- Has the auditee's management assigned internal responsibilities to staff with decision-making capacity and financial resources for the development and implementation of social management practices?
- Does the auditee's management understand the difference between short-term investment and long-lasting solutions?
- Does the auditee's management understand the content of the amfori BSCI Code of Conduct and how it is evaluated as part of the amfori BSCI monitoring process?
- Does the auditee's management understand the need to develop internal procedures to integrate the amfori BSCI CoC into day-to-day business practices?
- Does the auditee have internal procedures in place which integrate the amfori BSCI CoC into day-to-day business practices?
- Does the auditee's management consult clients to identify and implement improvements of its social performance?
- Is the auditee's management aware of stakeholders that can support the integration of improvements in day-to-day business practices? Which stakeholders have they engaged with?

[1] Please note – aside from critical questions, the auditor does not necessarily need to ask all questions posted in all performance areas but should use their professional judgement and experience to determine if an auditee is meeting these expectations.

Coherency: Furthermore, the auditor shall evaluate if the relevant documents and practices are consistent with the statements provided by key management and workers. This is particularly important in the following cases:

- Written and publicly available Human Rights Policy
- Structure of the company or organisation (including different facilities, when applicable)
- Organisational chart and reporting lines: Who decides what?
- Documented procedures: particularly for hiring, using recruitment agencies, subcontracting, dealing with grievances, training workers, promoting ethical behaviour, following up on amfori BSCI remediation and continuous improvement plans
- Work instructions, timetable, emergency instructions, instructions in case of accidents
- Forms: Most common contracts used (e.g., permanent workers, seasonal workers, apprentices)
- Relevant external documents such as applicable labour law
- A collective bargaining agreement (if applicable)
- Record keeping current and old records, contracts with the workforce, contracts with recruitment agencies, contracts with subcontractors, payslips, working hours, certificates, inspections, minutes of meetings with workers and workers representatives, accidents, grievance investigations
- Are the findings supported by the evidence gathered on the auditee's practices towards its business partners (Q 1.3)?

1.2. Is there satisfactory Evidence that a senior Manager has been appointed to ensure that the Values and Principles of amfori BSCI are followed in a satisfactory Manner?

This question helps to assess the effectiveness and coherency of the auditee's integration of the amfori BSCI Code of Conduct in its business culture. The integration of amfori BSCI Code of Conduct in the business culture may involve several staff members. Senior management / owners should make sure, that in the daily business, the amfori BSCI principles are implemented and working.

Effectiveness: To verify the effectiveness of the selection of right staff members, the auditor should determine that

The function:

- Is part of senior management
- Actively works towards adhering to the Code of Conduct as part of the business or organisational culture
- Includes other duties and covers several areas of work such as strategy and business development (if relevant)
- Has decision-making power and allocated budget to succeed in the follow-up of amfori BSCI social performance

The individual with this function has:

- A good understanding of the amfori BSCI Code of Conduct
- A good overview of the supply chain. This means:
  - The overview can describe the supply chain in detail as much as possible
  - The overview should reveal business partners who are important (significant) for the business
  - The overview should highlight stakeholders who are relevant for integrating values and principles of amfori BSCI Code of Conduct into the business or organisational culture

Coherency: Furthermore, the auditor shall evaluate if the selection of the relevant organisational functions is consistent with the values and principles of amfori BSCI Code of Conduct.

- Who is in charge of implementing amfori BSCI Code of Conduct in the business culture?
- Who is in charge of following up with the grievance mechanism?
- Who is in charge of HR?
- Who is in charge of ensuring that workers receive training relevant to the values and principles of amfori BSCI Code of Conduct?
- Who is in charge of OHS issues?
- Do these functions have sufficient skills (by training or by experience) to fulfil their responsibilities?
- Do these functions have allocated budget to succeed in the implementation of amfori BSCI Code of Conduct principles and values?

1.3. Is there satisfactory Evidence that the Auditee has identified their significant Business Partners and their Level of Alignment with the amfori BSCI Code of Conduct?

This question helps to assess the effectiveness and coherency of the auditee's minimum duty of care to select and have an overview of its significant business partners. In the case of the main auditee being a producer organisation, this question relates to the way such an organisation accepts and monitor its business partners.

The auditee, and eventually its clients, face important social risks when it lacks an overview on the way its business partners (or members if relevant) respect the law and workers' rights.

The auditee must be able to demonstrate to the auditor they have undergone an exercise to map their supply chain and subsequently identify their significant business partners.

These are examples of significant business partners to be monitored by the main auditee:

- Subcontractors
- Recruitment agencies in-country and foreign migrant workers and both in manufacturing and agriculture audits
- Catering service providers
- Security services
- Suppliers (including contracted farms)

Effectiveness: To verify the effectiveness of the identification, selection and monitoring of business partners (and members of the organisation, if relevant) the auditor should determine if:

- The auditee has a management system (or procedure) to identify and select significant business partners or members
- The auditee has instructed and provided directions to relevant staff to take into consideration not only price and quality but also the willingness to respect the amfori BSCI Code of Conduct (or equivalent values and principles) when identifying, onboarding and working with business partners, significant or not
- The auditee monitors social performance of business partners and in particular significant business partners and, when relevant, members. These verifications can be conducted by either the business partner's own personnel (as long as they are qualified to do so) or third parties

Coherency: Furthermore, the auditor shall evaluate if the selection of business partners and members is consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee keep accurate information on its supply chain and of its significant business partners and, when relevant, members?

- Does the auditee know how long business partners and/or members have been working with it?
- How familiar is the auditee with the ways in which its business partners and members manage the implementation of the amfori BSCI CoC?
- Has the auditee ever received information on complaints received about its business partners? If yes, how has the auditee dealt with these complaints?

1.4. Is there satisfactory Evidence that the Auditee's Workforce Capacity is properly organised to meet the Expectations of the Delivery Order and/or Contracts?

This question helps to assess the effectiveness and coherency of the auditee's workforce planning and organisation.

Effective workforce planning allows the auditee to reduce unnecessary subcontracting or overtime, which represent social risks for both the auditee and its clients.



Effectiveness: To verify the effectiveness of the workforce planning, the auditor must at least see that the auditee has realistically calculated the costs of production and delivery times (including labour costs). This does not mean to be an expert in production planning, but to identify if the auditee can effectively explain how they plan their business.

If so, the auditee will be in a better position to negotiate prices and influence customers' purchasing practices.



Coherency: Furthermore, the auditor shall evaluate if the planning is consistent with the values and principles of amfori BSCI Code of Conduct.

- How reliable is the methodology to plan production and delivery time?
- Does management have a good understanding of the production rate per production unit? Does the management have a good understanding of the production rate per worker?
- Does the management have a "contingency plan" in case something slows down or interrupts production (e.g., delayed supply, extreme weather conditions, outbreak of disease)?
- Is management aware of how much overtime (premium paid) would need to be budgeted (and eventually added to production cost) if extra working hours are needed to match a delivery order?
- Does the management discuss workforce capacity with the head of HR and workers representatives?
- Who makes the final decision to change regular work capacity if it appears that delivery time will not be met?

1.5. Is there satisfactory Evidence that the Auditee monitors how its Business Partners observe the amfori BSCI Code of Conduct?

This question helps to assess the effectiveness and coherency of the auditee's monitoring practices established to assess its significant business partners' observance of the amfori BSCI Code of Conduct.

In the case of producer organisations, this question helps to assess the effectiveness and coherency of auditee's monitoring practices established to assess its members' observance of the amfori BSCI Code of Conduct.



Effectiveness: To verify the effectiveness of monitoring, the auditor should determine:

Where there has been a process to identify significant business partners, has the auditee made additional efforts to ensure these partners specifically have signed and agreed to the amfori BSCI Code of Conduct?

Has he/she requested all business partners and/or members to sign the amfori BSCI Code of Conduct ?

- The auditee keeps copies of these signed amfori BSCI documents
- Has the auditee kept institutionalised different processes to make necessary business decisions and/or any corrective actions to address risks found in the activities of business partners or members?
- The auditee uses various ways to collect information from its business partners and members. These are some examples:
  - The auditee requests regular transparent reporting related to social risks
  - The auditee conducts internal auditing
  - The auditee requests second party or third-party audits
- Has the auditee established internal processes to support members in adhering to the amfori BSCI Code of Conduct?
- Has the auditee ensured any business partners providing sub-contracted transport are trained and qualified entity to ensure workers' commutes are secure and free from sexual violence?



Coherency: Furthermore, the auditor shall evaluate the coherence of monitoring business partners and/or members within the overall auditee business practice.

- How often does the monitoring take place?
- Who is responsible for the monitoring? Is that person or those people competent (as a result of training or experience)?
- How are the findings about business partners or members followed up?
- What are the consequences if a business partner or member fails to observe the amfori BSCI Code of Conduct?
- Who is informed about any relevant problems related to the business partner or member?
- How does the auditee pass on this information (e.g., to an amfori BSCI Signatory)?

1.6. Is there satisfactory Evidence that the Auditee has developed the necessary Policies and Processes to prevent and address any adverse Human Rights Impacts that may be detected in its Supply Chain?

This question helps to assess the effectiveness and coherency of the auditee's procedural practices established to prevent and address adverse human rights impacts.

Infringement of human rights at the workplace or in the supply chain often occurs in a context of absence of principles and/or inadequate enforcement.



Effectiveness: To verify the effectiveness of the policies and procedures to address potential and actual adverse human rights impacts, the auditor should determine if:

- Management understands what human rights impacts may be relevant to their operations and supply chain and how these can be prevented and addressed
- Management is aware of the correlation between poor working conditions and potential human rights violations
- Management is aware of the adverse impact contractual terms and/or unplanned placement of orders may have on workers' rights
- Management is aware of risks of human rights violations intrinsic to its sector, industry or region



Coherency: Furthermore, the auditor shall evaluate the coherence of policies and procedures within the overall auditee business practice.

Prevention and remediation of any adverse human rights should at least incorporate:

- The regular risk assessment(s) conducted in the company or organisation (e.g., occupational health and safety risk assessment), including owned farms

- The decision-making process regarding human resources recruitment, management, dismissal as well as relations with business partners and members
- The procedures in place to monitor recruitment practice, contractual and payment conditions applied by the auditee or by recruiting agencies and labour sub-contractors, if applicable
- The available budget to address impacts and compensate victims (if relevant)
- The systematic follow up and review of the measures taken
- Regular risk mapping that includes all workers in their due diligence, especially the vulnerable parts in their supply chain such as home-based workers, smallholders, as well as temporary and migrant workers considering differences based on age, gender, seniority.

1.7. Is there satisfactory Evidence that the Auditee manages its Business Relations in a responsible Manner?

This question helps to assess the effectiveness and coherency of the auditee's responsible management of its business relation.



Effectiveness: To verify the effectiveness of the way the auditee manages its business relations; the auditor should determine if:

- What communication channels allow business partners to explain their difficulties as well as progress towards aligning to the amfori BSCI Code of Conduct?
- What is the basis for terminating contracts or business relations?
- What are procedures to request quotations, negotiate delivering time and prices in a way that promotes responsible business relations?



Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee manages its business relations is consistent with the amfori BSCI Code of Conduct.

The auditee does not need to stop business with business partners that do not observe the amfori BSCI Code of Conduct as long as those partners are transparent about their difficulties and take effective actions towards making improvements.



Documents related to this Performance Area

Job descriptions in which the implementation of amfori BSCI system is included

Documentary evidence on production capacity planning

Evidence that the BSCI Code of Conduct has been distributed to significant business partners

Signed BSCI Code of Conduct if farms are part of the scope of the audit

Evidence of business partners' social performance (quarterly reports, audit reports, valid certificates)

Evidence of qualifications of the person in charge of implementing amfori BSCI

Copy of the social policies including Human Rights Policy and procedures to implement amfori BSCI

Auditee's business license

Performance Area 2: Workers Involvement and Protection

2.1. Is there satisfactory Evidence that the Auditee has good Management Practices that involve Workers and their Representatives in sound Information Exchange on Workplace Issues?

This question helps to assess the effectiveness and coherency of the auditee workers' involvement.

Effectiveness: To verify the effectiveness of the way that the auditee manages its working relations with its workforce, the auditor should determine if:

- The auditee has established communication structures to genuinely involve workers and their representatives. All workers are aware of and can access the different communication channels
- The management exchanges information on workplace-related issues through different communication channels with workers and their representatives
- The management has considered different needs and necessities of vulnerable persons in application of management practices such as communication and exchange of information

Coherency: Furthermore, the auditor shall evaluate if the way in which the auditee involves workers and their representatives is consistent with the values and principles of amfori BSCI Code of Conduct.

- How often do the management and workers meet to discuss working conditions?
- Are minutes of such meetings taken, kept and available for consultation?
- How is the workers' representative elected? Are women able to participate and run in the elections? Do women feel confident enough to consider putting themselves up for election?
- Are workers aware of, and informed of, their rights and do they know who their representative is? Do they know what sorts of issues can be raised? Do women feel confident enough to speak out to them?
- Are there records of the election process?
- Are the elections affected by undesirable interference from the management?
- How does the management follow up on workers' requests or complaints?
- How are the concerns of the most vulnerable workers (e.g., domestic and foreign migrant, young, women, pregnant, seasonal, temporary, home-based workers) taken into account? Are there specific policies and measures put in place to ensure these taken into account (i.e., are workers representatives ensuring this)?

2.2. Is there satisfactory Evidence that the Auditee defines Long-term Goals for protecting Workers in Line with the Aspirations of the amfori BSCI Code of Conduct?

This question helps to assess the feasibility and coherency of the auditee's definition of long-term goals to protect its workforce.

Effectiveness: The effectiveness of long-term goals cannot be verified as, by definition, they have not yet been implemented. Instead, the auditor shall verify their feasibility.

Coherency: Furthermore, the auditor shall evaluate if the way in which the auditee has defined its long-terms goals is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are the approaches taken to identify, manage, mitigate and eliminate risks in line with the amfori BSCI CoC?
- Are the long-term goals and general objectives of the company gender-responsive?
- Have the long-term goals and general objectives already in plan been implemented?
- Do the long-term goals reflect a step-by-step approach toward continuous improvements?
- Are the workers and workers' representatives genuinely involved in defining these goals?
- Are the needs of most vulnerable groups (e.g., migrants, women, young workers) integrate in the long-term goals?
- Is the strategic plan to achieve those goals in writing and approved by the competent person (or governance body)?

2.3. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee takes specific Steps to make Workers aware of their Rights and Responsibilities?

This question helps to assess the effectiveness and coherency of the auditee's steps taken to raise workers' rights and obligations awareness.



Effectiveness: To verify the effectiveness of the steps taken to raise workers' awareness, the auditor should determine if:

- Workers who are interviewed have a good understanding of their rights and obligations
- Sources of rights and obligations must be available for workers and their representatives, in a language understood by them
- Workers are regularly trained on their rights and obligations taking into consideration the needs of those with low literacy
- The amfori BSCI Code of Conduct (not necessarily including the appendices) is displayed in a visible place of the workplace in a language understood by the workforce



Coherency: Furthermore, the auditor shall evaluate how the auditee raises workers' awareness on their rights and obligations in a way that is consistent with the values and principles of amfori BSCI Code of Conduct

Do interviews with workers confirm that they have a good level of awareness of their rights and obligations? Are the levels of awareness the same across women and men workers? Are they aware of the content of their contracts? Are they aware of the content of the rules of the workplace?

- Is the person in charge of training workers qualified (by qualification or experience) to train them about their rights and obligations?
- Do contracts clearly explain workers' rights and obligations?
- Is there mandatory training for new workers?
- Is training provided in local languages / dialects to ensure workers understand the information? Do these consider low literacy levels?
- Is special training (e.g., in the relevant language) provided for migrant workers?
- Is the training provided to make workers aware of their rights and responsibilities, with special attention to vulnerable persons and when relevant, intermediaries such as brokers, recruiters, and recruitment agencies?
- Are workers trained on occupational health and safety? Are workers trained on how to use the grievance mechanism? (With special attention to young and women workers) Are workers trained on gender related topics, mechanisms, policies, behaviours, and protocols such as sexual harassment?

IMPORTANT: Training is mandatory for any new worker (even if he or she has been engaged via a recruitment agency or broker).

Migrant workers need to be trained and must receive a version of the work contract in a language that they understand.

2.4. Is there satisfactory Evidence that the Auditee builds sufficient Competence among Managers, Workers and Workers Representatives to successfully embed responsible Practices in the Business Operation?

This question helps to assess the effectiveness and coherency of the auditee's steps taken to build knowledge and capacities among its workforce.

Effectiveness: To verify the effectiveness of the capacity building activities taken by the auditee, the auditor should determine if:

- Workers, workers' representatives, managers and other decision-makers are regularly trained on due diligence and social management processes and can describe them clearly
- The auditee ensures that management regularly receives:
  - Informative sessions on the amfori BSCI Code of Conduct
  - Specific training for human resources, OHS and the grievance mechanism personnel
  - Feedback on the amfori BSCI audit results and follow up
- The auditee makes training materials related to amfori BSCI Code content available to workers, workers' representatives and managers
- Workers are regularly trained on their rights and obligations, including gender-related issues

Coherency: Furthermore, the auditor shall evaluate if the ways in which the auditee builds internal capacities are consistent with the values and principles of amfori BSCI Code of Conduct.

- How often are directors, managers and workers representatives trained on the content of the BSCI CoC?
- Are workers, workers' representatives and managers regularly trained on gender-related policies, practices and procedures? This is particularly relevant to ensure successful embedding of gender dimensions in the workplace
- Is the material for the trainings available?
- Do the trainings take place during standard working hours?
- Do interviews with managers and other decision-makers confirm a good level of awareness on social responsibility and the content of the BSCI CoC, including gender-based issues in the workplace?
- Is the person in charge of the training qualified to train the audience? Is the person in charge of the training trained on gender-related issues?
- Is this person external or internal staff? (If the auditee has internal staff who are sufficiently qualified to train others, it is a very good sign as it shows willingness to build internal capacities)
- Is there mandatory training, at least for newcomers, on the content of the BSCI CoC?

2.5. Is there satisfactory Evidence that the Auditee has established, or participated in, an effective operational-level Grievance Mechanism for Individuals and Communities?

This question helps to assess the effectiveness and coherency of the auditee's operational-level grievance mechanism for individuals and communities.

Effectiveness: To verify the effectiveness of the grievance mechanism (established or endorsed by the auditee), the auditor should determine if:

- All stakeholders (including local communities and workers) can lodge grievances through such a mechanism
- The mechanism is developed to be inclusive of all relevant stakeholders, in particular vulnerable groups.
- There are grievances lodged related to the auditee's actions and/or inactions that represent a potential breach of workers' or communities' rights
- There is a written procedure for the grievance mechanism, which defines:
  - A responsible person for its administration
  - Where the grievance mechanism is internal, note whether the complaints processing body is gender balanced in its composition
  - Potential conflicts of interest and how to overcome them (e.g., if a grievance is against the person who administers the mechanism)
  - Timelines to address grievances
  - Process for engagement with the owners of the grievances
  - Process for "appeals" or escalation as an additional guarantee
  - Communication process to ensure that workers and community members have access to the grievance mechanism. This includes workers representatives, seasonal, migrant, temporary, young and female workers and community members
  - Alternative ways for lodging a complaint (e.g., through a worker's representative or directly to the management)
  - A record system of grievances lodged, including how they were investigated and addressed
  - Regular survey on the grievance procedure
  - The process will be confidential for all parties which should consider the principle of anonymousness

Coherency: Furthermore, the auditor shall evaluate that the grievance mechanism's definition and management are consistent with the values and principles of amfori BSCI Code of Conduct.

- Is there a system to keep records on the grievances lodged and the history of the solutions and remediation taken?
- Is there a specific system to handle any grievances from communities adjacent to the auditee's operations?
- Are there additional measures taken to avoid any kind of discrimination to access the grievance mechanism?
- Are all relevant stakeholders duly informed and involved (when applicable) so grievances are processed and investigated with the utmost guarantees?
- Are there indicators of satisfaction among the users?

Documents related to this Performance Area

- Documentary evidence of the workers representative election
- Documentary evidence of regularly scheduled workers meetings
- Records of agreements with workers' representatives
- Employment contracts including those related to security personnel, cleaning and other services, particularly recruiting agencies or brokers if relevant
- Job descriptions in which the implementation of amfori BSCI Code of Conduct is included
- Working rules
- Evidence of a training calendar for workers and management
- Documentary evidence of training given to workers, management and human resources (e.g., list of attendees with signatures, gender breakdown of the attendees)
- Documentary evidence of trainer competence
- Documentary evidence of grievances lodged/ investigated (see Self-Assessment: Grievance Mechanism on amfori Sustainability Platform)
- Long-term goals documents

Performance Area 3: The Rights of Freedom of Association and Collective Bargaining

Freedom of Association: The right of workers to form and join organisations of their own choosing is an integral part of a free and open society. An open and trustworthy dialogue between the management and the workers is the first step towards freedom of association and collective bargaining.

When operating in countries where free and democratic trade union activity is unlawful or prohibited, the auditor and auditee will acknowledge the fact that workers are still allowed to freely elect their own representatives.

Collective Bargaining: Collective bargaining is the process used by trade unions or workers representatives and employers to negotiate the provisions that reflect the terms and conditions of employment for workers. It confers to them their rights, privileges and responsibilities.

Freedom of association is a separate right from collective bargaining, and it can be exercised even when there are no trade unions present. The legitimacy of both the collective bargaining process and collective bargaining agreement is questionable when the essential right of workers' freedom of association is not respected.

Restriction of Workers' Organisation: A company or producer organisation that restricts workers' rights to join an organisation or a union, or to associate freely, is very unlikely to maintain good labour practices.

These restrictions very often can be discovered in hidden or subtle forms of discrimination, informal restrictions or intimidation.

3.1. Is there satisfactory Evidence that the Auditee respects the Right of Workers to form Unions - or to refrain from doing so- without Distinction whatsoever and irrespective of Gender in a free and democratic Way?

Effectiveness: To verify the effectiveness of the auditee's respect for workers' rights to form unions – or to refrain from doing so, the auditor should determine if:

- Workers establish and join workers' organisations of their own choosing
- Workers do not need previous authorisation from the auditee to join or establish a workers' organisation
- Workers' organisations are formed in a democratic manner
- Worker representative roles are equally available to men and women
- Workers' organisations are formed under guidelines that guarantee representation of different social groups within the workplace, such as women, people of colour, people with disabilities, etc. Workers' organisations guarantee significant representation of all levels of the organisations, including front-line workers and/or workers in the lowest job levels

Coherency: Furthermore, the auditor shall evaluate the ways in which the auditee allows workers' rights to comply with the amfori BSCI values and principles.

- Has management interfered to prevent workers' participation in meetings regarding unions or other workers' organisations?
- Has management discouraged or interfered in the election process of union members or workers representatives?
- Has management appointed a "workers representative" to undermine the workers' democratic election?
- Has management made "arrangements" to undermine the company's obligation to respect the national law on freedom of association? (E.g., subcontracting some parts of production intentionally to avoid reaching the number of workers required to introduce workers representatives in the business)
- Have workers suffered any retaliation for participating (actively or passively) in election processes of workers representatives?

- Have workers been prevented of participating in the instances mentioned above due to their race, gender, ethnicity, disability, religion, sexual orientation or any other social identity or their intersection?

3.2. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee respects Workers' Right to bargain collectively without Distinction whatsoever and irrespective of Gender?

Effectiveness: To verify the effectiveness of the auditee respect for workers' rights to bargain collectively, the auditor should determine if:

- Collective bargaining is used to set the rules by which the workplace is regulated and remunerated
- Agreements are regularly renegotiated to adapt to new circumstances
- All social groups, e.g., women and lower jobs, are represented in the collective bargaining instances not only in number, but also in hierarchy and leadership positions with decision-making power
- There are not formal or informal forms of retaliation against unionised women and/or men workers

Coherency: Furthermore, the auditor shall evaluate how the auditee respects workers' right to bargain collectively in a way that is consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee demonstrate an understanding of the collective bargaining process?
- Do employment contracts include stipulations contrary to a collective bargaining agreement?
- Without any justification, do the stipulations of a collective agreement fail to apply to all workers in the same category?
- Has management made "arrangements" to avoid the workers' representative or the trade union to negotiate on behalf of the workers?
- Has the workers' representative received any benefit from the auditee for giving up on certain aspects of the negotiation?
- Is there documentary proof of recent or the latest collective bargaining agreement? Is the document available? Has the workers' representative explained the content to workers?

3.3. Is there satisfactory Evidence that the Auditee does not discriminate against Workers because of their Trade Union Membership?

Effectiveness: To verify the effectiveness of the auditee non-discriminatory behaviour with respect to unionised workers, the auditor should determine if:

- Neither workers nor their representatives are discriminated against nor suffer other repercussions because:
  - They freely exercise their right to organise
  - They are members of a trade union
  - They participate in or organise legal activities of their union or workers' organisation
- Any other circumstance occurs that discourages workers from exercising the rights of freedom of association and collective bargaining

Coherency: Furthermore, the auditor shall evaluate how the auditee ensures that there is no discrimination against workers in a way that is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are candidates for a working position rejected because of their affiliation to a trade union?
- Do workers who are members of a trade union receive less access (or no access at all) to overtime; training; social benefits?

- Are union members or sympathisers promoted to higher positions in the company?
- Is there any evidence of worker dismissals due to being unionised?

3.4. Is there satisfactory Evidence that the Auditee does not prevent Workers' Representatives from accessing or interacting with Workers in the Workplace?

Effectiveness: To verify that the auditee does not interfere against workers' representative mandate, the auditor should determine if:

- The auditee recognises workers representatives' access to the workers in the workplace
- The auditee understands that not allowing a workers' representative to access workers in the workplace represents interference with the right of freedom of association
- If organised in line with the law, meetings with workers' representatives shall be arranged during working hours and workers' pay cannot be deducted
- Meeting hours and locations ensure that women can attend and can voice their concerns, considering especially women's additional duties such as unpaid care work

Coherency: Furthermore, the auditor shall evaluate how the auditee's interaction with workers representatives is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are workers' representatives present in the production site(s)?
- Are there clear mechanisms to allow workers' to contact and meet the workers' representative?
- Are there regular meetings between the workers' representative and the management?
- Are there grievances lodged with the support of the workers' representative?
- How is the interaction between workers' and their representatives perceived by the auditee? By workers? By representatives?
- Do workers' representatives seem sufficiently independent of management?
- Do workers' representatives seem trained and capable?

Documents related to this Performance Area

- Documentary evidence of the workers' representative election
- Collective Bargaining Agreement (if applicable)
- Minutes or documents of meetings that led to the collective bargaining agreement (if applicable)
- Recruitment and dismissal procedures and records (hiring and firing workers)

Performance Area 4: No Discrimination, Violence or Harassment

Discrimination is an unjust or prejudicial act and or practice based on certain characteristics of people in the organisation such as race, age or sex, among others. (See more grounds of discrimination, harassment and violence in the amfori BSCI Code of Conduct)

It is a global phenomenon that may bar people from some occupations, denies them a job altogether or does not reward them according to their merits.

Discrimination in the workplace can take various forms such as:

- restricting verbal and/or physical freedom (e.g., going to the toilet)
- substandard living conditions and denial of water and food
- intimidation
- unequal treatment
- use or threat of violence
- exclusion from benefits (e.g., promotion)

In some cultures, discrimination may be very subtle or embedded into cultural values. In this context, auditors shall make the necessary efforts to discern when the discrimination objectively undermines the individual(s) subject to it in a way that they are deprived of their natural rights as human beings.

Violence and harassment are a range of unacceptable behaviours and practises or threats as defined in the ILO Convention 190. In accordance with amfori BSCI CoC values and principles, amfori members and their business partners commit to ensure that workers are not subject to any form of violence, harassment, and inhumane or degrading treatment in the workplace, as well as threats of violence and abuse, including corporal punishment, verbal, physical, sexual, economic or psychological abuse, mental or physical coercion, or other forms of harassment or intimidation.

Directly or indirectly: Discrimination, harassment and violence can be performed directly or through legal arrangement with services' providers, through management as in structural violence format (e.g., the auditee arranges through a broker or an agency that migrant workers recruited are charged for their personal protection equipment).

The auditee needs to:

- Assess, prevent and stop any discriminatory practice in which they may be directly or indirectly involved
- Assess whether the business partner takes necessary preventive and/or remedial measures (maybe legal procedure in case of violence and harassment) to ensure workers are not subject to any form of violence, harassment and inhumane or degrading treatment in the workplace, as well as threats of violence and abuse, including corporal punishment, verbal, physical, sexual, economic or psychological abuse, mental or physical coercion, or other forms of harassment or intimidation
- Be extremely vigilant and aware on whether such behaviours, practices or threats in a single occurrence or repeated in which both cases result in or likely to result in harm to workers' physical, psychological, mental, and economic wellbeing
- Be extremely vigilant on business partners that present risks such as labour brokers, labour subcontractors or recruitment agencies

4.1. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee takes the necessary Measures to avoid or eradicate Discrimination in the Workplace?



Effectiveness: To verify the effectiveness of the measures taken by the auditee to avoid or eradicate discrimination, prevent violence and harassment, the auditor should determine if:

- To the extent the auditor can determine, the auditee does not use arguments that could be considered discriminatory when:
  - Hiring
  - In the workplace or as part of any daily work activities
  - Firing
  - Promoting or offering training opportunities (For example, practices such as running health checks including pregnancy tests, to determine if a worker is promoted, hired, fired or eligible for training, are discriminatory.)
  - Paying social benefits
- Guaranteeing equal pay for work of equal value regardless of gender, marital status, pregnancy, or parental leave
- Ensuring that workers with family responsibilities are treated in the same way as other workers and can access the same benefits and have the same working and contractual conditions
- Building effective grievance mechanisms and channels for workers to report any discriminatory practice in the workplace
- The auditee pays particular attention to avoid discrimination against vulnerable groups like disabled workers, pregnant women or migrant workers
- The auditee has eradicated any discriminatory practice in the workplace, as part of any daily work activities, e.g., assignment of duties, access to water, resting breaks, use of facilities. In this, the auditee recognises that equal access does not mean equal opportunities, as some individuals/groups such as pregnant women or women during their menstrual period require more frequent access to water and rest breaks
- The auditee pays particular attention to prevent violence and harassment against vulnerable groups like disabled workers, pregnant women, nursing mothers, temporary, seasonal or migrant workers
- The auditee follows the steps towards eradicating discrimination, preventing violence and harassment:
  - Law assessment: the auditee recognises and acts on the gaps and discriminatory practices that can exist in the national and local law affecting the ability of the different individuals or groups to work
  - Internal assessment: Conduct an internal assessment on the most frequent grounds used for discrimination as well as the most common activities through which discrimination may occur e.g., advertising and hiring, interview selection, interview questions, and contract termination. This assessment should include a trend and workforce composition analysis that allows a comprehensive understanding of the situation of the different individuals/groups within the organisation, to identify possible structural discriminatory practices
  - Root cause analysis: Identify the root causes of discriminatory and harassing behaviours
  - Policy: Draft and enforce a policy to discourage these kinds of behaviours and follow up on the improvements
- The auditee does not use health conditions for discrimination:
  - For example, medical testing, virginity tests, pregnancy tests. use of contraception or equivalent, shall not be used as a requirement or precondition for recruitment; promotion; access to training or any other social benefits

- Even in cases where national law requires HIV or other medical testing for public health reasons, the results of these tests cannot be used for discrimination. Instead, additional measures of protection should be taken
- The auditee pays attention to the different needs and realities of the different groups, avoiding implicit discrimination. For example, the auditee does not run trainings in locations and at times that will be difficult for women or men to attend due to their household responsibilities or safety concerns
- The auditee provides equal work performance assessments in all aspects of the work, including promotion, bonus and hiring decisions



Coherency: Furthermore, the auditor shall evaluate how the auditee's efforts to avoid discrimination, violence or harassment are consistent with the values and principles of amfori BSCI Code of Conduct

- How transparent are the grounds for a worker to be hired, promoted, or fired? Are employment conditions and opportunities equally communicated to all workers, ensuring the information is understood considering literacy levels and languages/dialects?
- What are the grounds for workers to be entitled to social benefits? Is overtime allocated as a means of giving "rewards" or "punishment"? Can workers access benefits such as maternity, childcare benefits, sick pay or flexible working without discrimination or deductions?
- How is the non-discrimination policy enforced? How and how often is management trained on this policy?
- How is this policy communicated to business partners, particularly recruitment agencies? What measures are taken in case of any breach of this policy?
- How does the auditee provide gender-sensitive and equal opportunities and treatment throughout recruitment and employment? Is there a policy developed on this?
- Are the findings consistent with the information gathered in other performance areas (e.g., special protection to young workers?
- How are workers assessed for promotions, bonuses or other hiring decisions? Is it an objective and fair assessment, which does not discriminate based on gender, ethnicity, type of workers, etc.?

4.2. Is there satisfactory Evidence that the Auditee takes the necessary preventative and/or remedial Measures to ensure Workers are not disciplined, dismissed, harassed or otherwise discriminated against because of their Complaints against Infringements of their Rights?



Effectiveness: To verify the effectiveness of the measures taken by the auditee to prevent and/or remediate discrimination based on workers' complaints, the auditor should determine if:

- Workers have the possibility to submit complaints about infringements of their rights without having to fear reprisals
- The auditee has the necessary preventive measures in place to avoid discriminatory practices based on reprisals (e.g., instructing the human resources department and supervisors that disciplinary measures or dismissal cannot occur based on such complaints)
- The auditee puts in place corrective measures or compensation in cases of unfair dismissal or if other forms of discrimination may have occurred
- The auditee can demonstrate the systems they have put in place to reduce and eliminate instances of harassment

Coherency: Furthermore, the auditor shall evaluate how the auditee ensures no discrimination, violence or harassment against workers takes place, so it is in coherence with the amfori BSCI values and principles.

- Are all workers that lodged a grievance still part of the workforce? If not, what are the circumstances under which the worker left the company, or was dismissed?
  - Does the auditee conduct satisfaction surveys on the grievance mechanism? How often? Are there records available of these surveys?
  - How are the measures to avoid discipline, dismissal, discrimination or harassment translated into the working rules? How and how often is management (including supervisors) trained on these measures?

4.3. Is there satisfactory Evidence that the Auditee takes the necessary preventative and/or remedial Measures so Workers are not harassed or disciplined on Grounds of Discrimination as listed in the amfori BSCI CoC?

Effectiveness: To verify the effectiveness of the measures taken by the auditee, the auditor should determine if the auditee:

- Has a written procedure describing reasons for disciplinary measures. (The procedure ensures there are no biases, including gender-biases, across all workers on the identification and treatment of preventive and/or remedial disciplinary measures)
- Is well-informed on what the national legislation states about which disciplinary measures are legally accepted and which are not
- Understands disciplinary measures cannot be against the law
- Maintains gender-disaggregated records on disciplinary incidents. Including the type of incidents (i.e., gender-based discrimination) and gender-disaggregated track of disciplined workers
- Has established disciplinary procedures in writing and explained them verbally to workers in terms and language which they understand

Coherency: Furthermore, the auditor shall evaluate if the measures taken by the auditee are consistent with the values and principles of amfori BSCI Code of Conduct.

- Are all workers aware of the reasons for disciplinary measures?
- Have workers and their representatives been involved or consulted in the development of disciplinary measures and procedures? Have women workers participated in the consultation process?
- Are the minutes of the consultation process kept in auditee records?
- Have disciplined workers been interviewed by human resources?
- How are the disciplinary measures translated into the working rules? How and how often is management (including supervisors) trained on these measures?

Documents related to this Performance Area

- Documentary evidence on disciplinary procedures
- Documentary evidence on disciplinary cases and measures taken
- Documentary evidence of workers' performance assessments and procedures
- Work contracts or agreements, including with recruitment agencies
- Documentary evidence of grievances lodged/ investigated (see Self-Assessment Grievance Mechanism on amfori Sustainability Platform)
- Documentary evidence on hiring and promotion processes
- Letters of dismissal (e.g., if letters showed that there were dismissals due to family responsibilities this could be - If available -)
- Pre-signed resignation - If available

Performance Area 5: Fair Remuneration

The auditor must be aware of the different interconnected definitions underlying the Fair Remuneration Concept. For more information, see Guide 9: How to promote fair remuneration.

5.1. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee complies with the Government's minimum Wage Legislation or the Industry Standard approved through collective Bargaining?

The auditor must be aware of the legal minimum wage applicable or the valid collective bargaining agreement applicable in the auditee' sector or industry. The auditor shall assess the auditee against that threshold, whatever is more favourable for the workers.

For information on minimum legal wage, and standard working hours, see the ILO country data.

Effectiveness: To verify the effectiveness of the auditee's remuneration practice, the auditor should determine if:

- The auditee does not pay any wage below the minimum established by the law or the collective bargaining agreement
- Workers paid the minimum wage have only to work standard working time to achieve this. They do not have to work overtime in order to reach the minimum wage level
- The verified payroll sample covers a significant period of time (e.g., minimum 12 months before the date of the audit, unless the site is new and has not existed for 12 months) and includes payroll information for both women and men. Note that the period of time over which payroll information is sampled during a follow-up audit shall not include the period covered by the previous audit, particularly when the verification aims at validating improvements

Coherency: The auditor shall evaluate if the auditee's remuneration practice is consistent with the values and principles of amfori BSCI Code of Conduct.

Part-time workers: Do part-time workers receive at least the minimum wage?

Piece-rate workers: Does the number of pieces produced in 8 hours amount to no less than the minimum wage or living wage per day, defined by law? Does the auditee calculate the quota for a piece in line with standard working hours?

In probation: Is the remuneration of workers in probation periods in accordance with the law?

Hired through agencies: Does the auditee keeps records on how, when and how much these workers receive in their payments from the agency?

In a cooperative: Do the by-laws or internal regulations clearly specify how workers and how the cooperative's members are remunerated and when? Are specifications on loans and possible advance payments respected and documented? Are these specifications approved in a General Assembly by the majority defined in the by-laws?

5.2. Is there satisfactory Evidence that Wages are paid in a timely, stable and regular Manner, and fully in legal Tender?

Effectiveness: To verify the effectiveness of the auditee's remuneration practice, the auditor should determine if:

- The auditee respects all five characteristics of responsible wage payment
  - **Timely:** As agreed and communicated to workers prior to their engagement
  - **Regularly:** With a frequency that allows the worker to make use of her/his earnings without incurring debts
  - **Transparent:** workers receive a payslip with the details of their wages for the pay period

- **Stable:** wages remain approximately at the same level month to month or week to week, allowing workers to plan and budget.
  - **Fully in legal tender:** The work performed by the workers in standard working hours is to be paid in legal tender only
- The auditee can only pay "in kind", any benefit that:
  - Goes beyond standard working hours earning, which must be paid in legal tender
  - Does not represent a breach of law, goes against morals or against public and private health (e.g., in-kind contribution is done in alcohol or other drugs)



Coherency: Furthermore, the auditor shall evaluate if the auditee's remuneration practice is consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee pay particular attention to the way seasonal workers and piece rate workers are paid?
- How is regular payment agreed and communicated in these cases? What special guarantees are defined by the auditee?
- How are transportation and/or housing or childcare considered in the remuneration? (If applicable)
- How does the auditee assess the need to replace the personal protective equipment and other tools needed to perform the job? (Even if they are not to be considered as part of the remuneration)
- Are specifications on loans and possible advance payments respected and documented? (if applicable)
- How does the auditee pay special attention and act diligently when using "recruitment agencies" or labour brokers?
  - The auditee should ensure that payment takes place timely, that it is regularly stable and in legal tender even if done indirectly by the recruiter.
  - The auditee should be able to demonstrate that they pay their labour brokers or recruitment agencies enough per worker per hour to cover:
    - → minimum wage
    - → any other benefits
    - → any administrative costs for the broker or agency
- How does the auditee assess and enforce that worker are not charged recruiting fees?
- Has the auditee checked if workers contracted through agencies or brokers pay any recruitment fee either as cash payment, salary deduction, loans or reduction in benefits?
- Is the auditee aware of how and when workers receive payment from the agency?
- Does the auditee keep these records as part of its own record keeping? Are they gender disaggregated?

5.3. Is there satisfactory Evidence that the Level of Wages reflects the Skills, Seniority, Responsibility and Education of Workers?

In preparation for the audit: The auditor shall understand the different skills needed in the production processes (according to sector). This understanding will help the auditor to assess the complexity, learning curve to the skilful in the different task's workers may carried out within a business enterprise.

The opening meeting: The auditor shall use this opportunity to validate his/her understanding with regard to the skills relevant for the work conducted at the facility.

To gather more details, the auditor will also use interviews - seeking a gender balance where feasible - with:

- Production line management
- Quality management
- Human resources manager
- Senior workers
- Apprentices
- Farm owners or supervisor when relevant

Skills can be achieved by means of both education and experience. The auditor shall take into account workers' skills even if they cannot be proven by official diplomas.
The auditor will pay particular attention to evasion of the law that may occur with regard to misuse of apprentice schemes.



Effectiveness: To verify the effectiveness of the way that the auditee's remuneration scheme takes skills, seniority, responsibility and education into consideration, the auditor should determine if:

- The auditee takes into consideration skills, seniority, responsibility and education in the hiring process as well as does not discriminate based on the grounds covered in Performance Area 4
- The auditee adapts the remuneration to the workers' skills to encourage improvements in quality and stability of the employment relationship
- The auditee can demonstrate that there is no discrimination based on any characteristics and all workers at the same level can earn the same amounts of work
- The auditee does not use unskilled workers to conduct qualified jobs. This represents a social risk (e.g. evasion and OHS issues), which will need to be reported in the relevant Performance Area
- The auditee does not use highly skilled workers to conduct low-skilled jobs. If it does, this may represent a sign of discrimination or evasion of the law
- The auditee conducts workers' training on a regular basis to strengthen their skills
- The auditee has a skills matrix or similar with which they rank skills against salary brackets and which they use to determine promotions and pay of workers (note, in some countries skills matrices are produced by competent authorities)



Coherency: Furthermore, the auditor shall evaluate if the way the auditee takes into consideration workers skills and education is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are there job descriptions available with the kinds of skills required to perform such jobs? Are these job descriptions being consistent and equal for all workers? Is there any inconsistency or difference in the job description that could be affecting workers' salaries and benefits for the same type of job? Is there any difference between women's and men's job descriptions when performing the same type of job?
- Is the person in charge of recruiting trained to evaluate the level of competence?
- Does the auditee guarantee regular trainings to workers, with equal access and opportunities for women and men?
- Are the people in charge of conducting occupational health and safety risk-assessments consulted to determine the type of skills needed and in demand? Do these consider gender sensitive dimensions?
- Does the auditee have mechanisms in place to ensure more skilled workers pass their knowledge onto junior workers?
- Are the workers who are hired to conduct certain tasks in possession of the necessary skills? Are they remunerated accordingly?
- How does the auditee assess that taking into consideration skills and education does not conflict with other principles of the amfori BSCI Code of Conduct (e.g., no discrimination)?

5.4. Is there satisfactory Evidence that the Auditee provides sufficient Remuneration that allows Workers to meet a decent Standard of Living?

To verify this question, the auditor must have calculated a living wage estimate relevant for the region and based on the Anker methodology or an equivalent reference from governments, trade unions or NGOs.

The auditor shall consult additional sources if so is needed to find out more about the region and the sector:

- Government data (statistics, community development departments)
- Local or international NGOs working in the area and sector
- Community groups may have answers to some of these questions

Opening meeting: The auditor may use the opening meeting as an opportunity to explain the aspects which are taken into consideration for the calculation (e.g., number of family members in the region; diet; transportation costs) and seek additional feedback from the auditee, if needed.



Effectiveness: To verify how effective the way in which the auditee takes decent standards of living into consideration to define its remuneration scheme, the auditor should determine if:

- The auditee is aware that fair remuneration concerns all workers regardless of if they are permanent or seasonal; regardless if they are directly or indirectly employed
- The auditee has a good understanding of about:
  - Living costs in the region and the living costs of its own workforce
  - Possible gaps between the actual remuneration and the living costs
  - Possible measures that could be taken to fill the gaps
- Total remuneration provided by the auditee includes:
  - Wages paid for up to 48 standard working hours (or whatever the maximum standard hours are according to local or national law)
  - Social benefits, including maternity and sick leave
  - In-kind benefits and bonuses
  - Subsidised or free transportation
  - Subsidised or free-living space
  - Subsidised or free canteen services
  - Subsidised or free childcare services
  - Subsidised or free health services
  - Opportunities for education or training

In order to give a monetary value to trainings, the auditor will calculate the training time at the rate of the regular wage.

- Remuneration does not include the cost of:
  - Uniforms
  - Personal protective equipment
  - Training that is mandatory as part of the job requirement. For example, occupational health and safety training
  - Any tool essential to conduct the job

The costs of these elements shall never be deducted from workers remuneration. Note that, in some cases, poorer quality PPE is provided for free and higher quality PPE can be purchased by workers. Although this is not necessarily a non-conformity if the free PPE meets the needs of the work, it is not good practice.

Coherency: Furthermore, the auditor shall evaluate if the way the auditee pursues a remuneration practice that allows decent standards of living for the workforce is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the person in charge of recruitment aware of the standard of living in the region?
- Does the auditee guarantee regular information to workers on what is considered remuneration?
- Are workers representatives consulted when defining the remuneration practice?
- Are there grievances lodged related to remuneration as well as the quality of benefits provided?
- Are different aspects of remuneration adequately detailed in the payroll?
- Is there a living wage calculation done by the auditee?

Reporting in the amfori BSCI Audit Report:

General Description: The auditor will indicate the average and minimum wages paid for the sampled months the amfori BSCI audit report

Remuneration and Working Hours Data Section:

- The auditor is required to indicate the source of data used for the calculation of living wage
- When the data used for the calculation of living wage is manually collected, the auditor is required to fill out the fields "Data Used for Living Wage Calculation"

Findings: If the auditor finds out that the total remuneration provided to workers does not allow them to have a decent standard of living in the region, the auditor shall report the finding under "Findings" in the Fair Remuneration performance area

Good practices: The auditor shall acknowledge under "Good practices", in the findings report, when the auditee provides him/her with this information and calculation of fair remuneration

5.5. Is there satisfactory Evidence that the Auditee provides Workers with the social Benefits that are legally granted without negative Impact on their Pay, Level of Seniority, Position, or Promotion Prospects?

The auditor shall verify if the collective bargaining agreement includes additional social benefits beyond what is mandated by law. If yes, the question is evaluated using the collective bargaining agreement as the threshold.

The auditor shall describe which social benefits are missing or not correctly paid or granted.

Effectiveness: To verify the effectiveness of the way that the auditee grants social benefits to its workforce, the auditor should determine if:

- The auditee pays the social benefits in addition to the minimum wages and never as a way to allow workers to only attain the minimum
- The auditee pays social benefits to all workers regardless of if they are:
  - Seasonal workers
  - Paid based on productivity
  - Migrant workers or any other vulnerable group of workers
  - Women or men
- The auditee is aware of the social benefit content, which usually includes:
  - Old age pension
  - Survivor's benefit
  - Family benefits as well as paternity and maternity leave
  - Medical care
  - Unemployment
  - Sick leave
  - Disability
  - Work-related injury compensation
  - Vacations
- The auditee has signed up for a commercial insurance to cover social benefits

Commercial insurance: If the country's legislation allows the use of commercial insurance to substitute (fully or partially) the public social scheme, the auditor shall evaluate the auditee in a positive manner.

If the country's legislation does not allow such a substitution, but workers are granted equivalent coverage, the auditor indicates that there are partially satisfactory evidence of the auditee providing social benefits to workers. The auditor shall describe the circumstances and why is not fully satisfactory.

Exemptions from social benefits: If the auditee is granted exemptions from social benefits, the auditee may submit an approval from the local labour authority or any other authorisation (e.g., from collective bargaining agreements with trade unions), permitting exemptions from social benefits which have been legally granted. Such exceptions shall be:

- Issued in line with the corresponding procedure
- Issued by the legal body with authority to do so
- Valid for the current period of time
- Applicable for the auditee

The auditee shall have made available the original document to prove these exemptions.

Coherency: Furthermore, the auditor shall evaluate the way that the auditee provides workers with social benefits is consistent with the amfori BSCI Code of Conduct

- Is the person in charge of recruitment aware of the (legally granted) social benefits for workers and can he/she explain the benefits accordingly in the recruitment process?
- Does the auditee guarantee regular information to workers on what are considered social benefits and why they are important?

Please note that in some countries, workers do not trust the social benefit system and so prefer that money to be paid into their salary instead. Auditors should report this, if this is reported by workers or management, but it should not be considered a valid reason for not paying social benefits and should be raised in the audit report.

- Are workers representatives consulted when defining the social benefits?
- Are there lodged grievances related to the quality of social benefits that the auditee provides?
- Are different aspects of social benefits adequately detailed in the payroll?
- Are benefits such as maternity or paternity leave, childcare, sick pay, and flexible working arrangements respected and guaranteed without discrimination or deductions? Both for direct contracts and for hires through third parties/brokers

Good practices: The auditor shall acknowledge under "Good practices", in the Findings Report, when the auditee provides commercial insurance in addition to the minimum social benefits required by law.

5.6. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee ensures that Deductions are only taken under the Conditions and to the Extent prescribed by the Law?

The auditor shall verify if there are regulations with regard to which deductions are legal and how they can be applied (e.g., collective bargaining agreement or the national law). He/she uses as a threshold the regulation which is more beneficial for workers.

Effectiveness: To verify the effectiveness of the way the auditee ensures deductions are legal, the auditor should determine if:

- Deductions applied by the auditee do not result in:
  - Workers earning less than the legal minimum wage
  - An economic benefit for the auditee
  - A form of discrimination

- The auditee approach to unproductive time is fair to the workers:
  - The time workers may have spent in required meetings, training sessions or under any other workplace conditions beyond their control. Such time cannot be deducted at the expense of the worker but instead must be absorbed by the employer (e.g., a machine the worker uses is under repair, and this negatively impacts her/his productivity)
  - If the auditee's production site is going to be closed for repairs or reconstruction, the auditee properly communicates the closing period to the workforce in advance
  - This communication needs to be done with the support of the workers representative to ensure that all workers' rights are respected
- Deductions cannot be made for the use of objects, buildings or services which are directly necessary for work. That includes entry fees and/or charges for the use of:
  - Tools and machines
  - Sanitary facilities
  - Drinking water
  - Washing facilities
  - Provisions of protective clothing for workers
- Deductions are not made to cover the costs of documents and permits required to perform the assigned employment such as:
  - Work permits
  - Visa and renewals
  - Legally required security clearance or health tests
- Deductions for services offered by the auditee (e.g., transportation or food) are charged at local market rates or lower
- Use of the services offered by the auditee must always be voluntary
- Deduction is not made when using legal social benefits such as sick leave, maternity/paternity leave, or any other type of legal leave that mandates to be paid by the law
- Deductions are not made without the explicit consent of the worker, who always needs to be first consulted to understand the reasons. Only then could she/he choose to give consent or not
- Deductions for disciplinary measures only occur under the conditions specified by law, or due to specifications defined in a freely negotiated and established collective bargaining agreement

Coherency: Furthermore, the auditor shall evaluate that auditee deductions are consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the person in charge of recruiting personnel aware of applicable deductions and is he/she able to explain the deductions accordingly in the recruitment process?
- Does the auditee guarantee regular information to workers on how and under which conditions deductions apply?
- Are workers representatives consulted when defining criteria for deductions?
- Are there grievances lodged related to potentially unfair deductions?
- Has the auditee verified if labour subcontractors and service providers apply illegal salary deductions to the workers dispatched to the auditee?

Documents related to this Performance Area

- Documentary evidence of legal deductions for goods and services
- Documentation on legal minimum wages relevant for the sector
- Documented collective bargaining agreement
- Pay slips for workers separated by gender and documentary evidence of payments
- Completed fair remuneration calculated based on the Self-Assessment

- Auditee's contracts with labour subcontractors and service providers including recruiting agencies or labour brokers
- Work contracts or agreements, including those held by workers with labour subcontractors and service providers
- Personnel data files for all workers (including seasonal workers)
- Documentary evidence of additional benefits (commercial insurance if applicable)
- Documentary evidence of updated contributions to social insurance funds
- Lists of wage ranges and calculations including for piece rate workers



IMPORTANT: All data collected should be segregated and analysed by gender.

Performance Area 6: Decent Working Hours

Excessive (above 48hrs/week) or extreme (72hrs or above per week) working hours are often illegal and dangerous to workers' health, as well as having an impact on efficiency and productivity.

Excessive and extreme working hours are recurrent in these sectors:

- The **manufacturing industry**, where processes cannot be stopped at mid-production
- The **clothing and textile industry**, where companies sourcing from their business partners may often demand that the products are produced within a short time frame. For example, seasonal work involves long hours in a short time span to meet demand

In some countries, working hours are not regulated or companies can buy exemptions from local or national governmental authorities to increase work hours legally. Where this is the case, ILO conventions on working hours should be followed first.

6.1. Is there satisfactory Evidence that the Auditee does not require more than 48 standard Working Hours per Week, without Prejudice to the Exceptions recognised by the ILO?

Effectiveness: To verify the effectiveness of the way the auditee ensures regular working hours; the auditor should determine if:

- Regular working hours do not exceed:
  - 48 hours in a week
  - 8 hours per day
- If there are exceptions, they only apply:
  - For supervisory or management positions
  - When by law, custom or agreement the hours of work in one or more days of the week total less than eight hours, in which case the remaining days of the week can be extended to nine hours
  - For workers employed in shifts, if the average number of working hours over a period of three weeks or less does not exceed these limits
  - For members of the same family employed in the undertaking
  - For workers subject to a special regime, defined by the local laws (e.g., security guards are often not subjected to regular legal requirements regarding working hours)

These exceptions give flexibility to the limit of daily hours as well as weekly hours. However, average working hours within three months or less cannot exceed 48 hours per week. Furthermore, if the excessive working hours are compensated in time within those three months or less, they will not need to be premium paid.[2]

Coherency: Furthermore, the auditor shall evaluate how the auditee enforces regular working hours to be consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the person in charge of recruitment aware of the legal limits of working hours and the possible exceptions? Can he/she explain workers' working hours accordingly in the recruitment process?
- Are exceptions communicated and agreed upon prior to the recruitment?
- How is the definition of shifts reached? Is the workers' representative involved in the process? Are the people in charge of occupational health and safety risk assessments consulted?
- Are there grievances lodged related to alleged company disregard for regular working hours?

[2] https://www.amfori.org/media/9467/download/MEMO%20%28ACs%20FEB23%2004%29%20Working%20Hours.pdf?v=1

- How are customary and/or religious practices taken into account when the auditee defines working hours and shifts?
- Are workers aware of the regular working hours and possible exceptions? Are exceptions documented and made available?
- In producer organisations: are members informed of applicable legislation and exemptions?

6.2. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee request of Overtime is in Line with the Requirements of the amfori BSCI Code of Conduct?



Effectiveness: To verify the effectiveness of the way the auditee requests workers to exceed their regular working hours, the auditor should determine if overtime is:

Voluntary: Overtime always needs to be voluntarily agreed upon, except in cases of temporary exceptions (e.g., force majeure), which must be described in the employment contract

Opt-in: Overtime should be opt-in rather than opt-out. In circumstances where opt-out mechanisms are used, these should be explained and have a clear and coherent rationale

Exceptional: Overtime cannot be repeatedly added onto regular working hours but respond to an exceptional unforeseen situation

No risks added: Overtime shall not significantly increase the risk to workers' health and safety

Premium paid: It is paid at a premium rate as defined by the law. Overtime occurring during official holidays and/or weekends may have a higher premium rate

If the national legislation has set a limit of regular working hours below 48 hours per week (e.g., 40 hours per week), any working hour exceeding that limit of 40 hours is considered overtime. Auditors will have a good understanding on how the applicable legislation defines:

Temporary exceptions: These refer to situations where the law allows that regular working hours can be exceeded. E.g.:

- Force majeure
- Threat or actual accident
- Urgent work to be done to machinery

Overtime legal limits: National law or collective bargaining may define maximum limits of overtime per day, per week, per month or per year (e.g., no more than 3 hours per day)

Premium rate: National law or collective bargaining may define the different premium applicable of the overtime for example, premium for additional hours of work during the week will have a different premium than additional hours of work during the weekend or holiday. To be noticed that in line with the relevant ILO Convention, the amfori BSCI Code of Conduct defines 1.25 as the minimum premium rate possible.

Continuous succession of shift type of processes: National law may define those working process which, due to their nature, must be carried out in a continuous succession of shifts and for which the national law allows a permanent exception (e.g., national law allows these processes to have 2 shifts of 12 hours instead of 3 shifts of 8 hours per day)

Legal permanent exception: If the auditee belongs to a type of industry covered by a legal permanent exception, the auditee keeps updated documented proof of the agreement that backs up its claim.

The auditor shall verify that such a document has force of law and define:

- Type(s) of exceptions
- Categories of workers affected
- The maximum allowance of additional working hours in each case
- The premium rate for overtime which will not be less than 1.25 more than the regular rate

The auditor shall also verify that the auditee is aware of the working hours and overtime regulation that applies to its own industry, and it has an internal procedure in place to regulate overtime temporary exceptions.

Written procedure on overtime: the auditee shall enforce an internal procedure that:

- Has been approved by a worker representative and management
- Defines how many hours a worker may work daily, weekly and monthly during an exceptional period
- Defines the premium rates applicable to overtime for different days and circumstances
- Respects any other criteria defined by national law

Coherency: Furthermore, the auditor shall evaluate the coherence with the values and principles of amfori BSCI Code of Conduct.

- Is overtime voluntarily agreed, unless in cases of temporary exceptions (e.g., force majeure) which need to be described in the contract?
- Is overtime exceptional rather than repeatedly added onto regular working hours?
- Does the auditee take the necessary measures to ensure that overtime decreases the risk to workers' health and safety? Are people in charge of occupational health and safety risk assessments consulted?
- Is the payment of overtime made in accordance with the law?
- Does the auditee take into consideration:
  - The vulnerability of temporary workers, migrant workers and piece rate workers to excessive overtime?
  - The accumulation of fatigue related to shift systems
  - The special protection for young workers, pregnant women and night shift workers?

The auditor needs to justify if any identified overtime does not meet any or all the criteria mentioned above.

The auditor pays particular attention to task rate and piece rate workers, as these kinds of arrangements, based on productivity, need to comply with the requirements for overtime and it is not always easy to assess.

6.3. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee grants Workers the Right to resting Breaks in every working Day?

Effectiveness: To verify the effectiveness of the way that the auditee grants workers the right to rest, the auditor should determine if the workers are granted:

Short breaks: Workers are allowed to take short breaks during working hours, especially when the work is dangerous or monotonous, to enable workers to recover their vigilance. A short break should at a minimum be 15 minutes long.
In addition, workplaces should ensure that breaks are not used by walking to and from break rooms, or other areas workers may use during this period. If so, breaks should accommodate the time taken for these activities

Meal break: Workers are allowed to take the necessary time for meal breaks according to the law

Night rest: Workers working during the day must have at least eight hours to sleep/rest within a 24-hour period

Adequate areas: Workers have access to areas where resting breaks can be effective e.g.:

- Access to ventilated areas
- Accessible toilets and in sufficient numbers that workers don't have to, for example, spend their whole break waiting in line
- Possibility for changing the physical working position (either sitting down or standing up)

Coherency: Furthermore, the auditor shall evaluate the coherence with the values and principles of amfori BSCI Code of Conduct.

- What are the jobs that could require more resting breaks because of danger or monotony?
- How are customs or religious practices taken into consideration for defining resting breaks?
- Are resting areas effective?

- Are workers informed about the time they have for resting breaks during the day?
- Are there grievances lodged concerning potential disrespect for resting breaks?
- Do accident records indicate more contingencies after long periods of work without resting?

6.4. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee grants Workers the Right to at least one Day off in every seven Days?

Effectiveness: To verify the effectiveness of the way the auditee grants workers the right to rest, the auditor should determine if the auditee:

- Respects relevant regulations for days off in the country or region (e.g., the day off shall follow national law or custom)
- Grants a full calendar day off in every seven days, unless a freely negotiated collective bargaining agreement or national law defines otherwise
- Have a copy of this collective bargaining agreement (if applicable) accessible for workers and during the audit
- Promotes working hour practices that enable a healthy work-life balance for the workers

Coherency: Furthermore, the auditor shall evaluate if the way the auditee grants one day off is in coherence with the values and principles of amfori BSCI Code of Conduct.

- How are customs or religious practices taken into consideration for the day off?
- Are workers informed about the time they have for resting breaks during the day?
- Are there grievances lodged concerning potential disrespect for resting breaks?

Documents related to this Performance Area

- Documented working rules
- Pay slips for workers and documentary evidence of payments
- Documentary evidence of the legal permanent exception covering the auditee's industry
- Working time records
- Documented overtime procedure including agreements with workers
- Documented records of accidents

Performance Area 7: Occupational Health and Safety

The auditor will assess the performance of producer organisation in occupational health and safety from different angles:

- Level of observance with the laws and regulations applicable for the business activity or industry
- Capacity to detect, assess, avoid and respond to potential threats to workers' health and safety
- Degree of active cooperation with workers (and/or their representatives) when developing and implementing systems towards ensuring occupational health and safety (e.g., by setting up an occupational health and safety committee)
- Capacity to protect workers in case of accidents including through compulsory insurance schemes
- Information and capacity building of members of a producer organisation to prevent threats to the health and safety of members and their workers

The auditor must be knowledgeable about the regulations on occupational health and safety relevant for the auditee's activities.

amfori BSCI recognises GlobalGAP certificates as equivalent to performance areas 7 and 12 (OHS and Protection of the Environment).

This recognition is valid ONLY for the amfori BSCI Social Manufacturing scope. Therefore, it applies to:

- amfori BSCI one-site audits
- The main auditee in amfori BSCI multi-tier audits

The recognition is valid if the auditee holds a GLOBALG.A.P. certificate all farm-based, crop-based, fruits and vegetables IFA v5.2 or IFA v5.4-1-GFS. In which case, the auditor shall:

- Report this, in the Audit Report, under the "General Description" tab.
- Upload the certificate as attachment to the report
- Reply YES to all questions under performance areas 7 and 12.

The auditor still has the duty to report OHS issues that could qualify as findings under amfori BSCI performance area 7. Such findings and related evidence shall be described under "Confidential Comments".

amfori estimates the on-site time spent to be reduced by maximum 30%.

amfori advises to check with the RSP holder if they would like to monitor PA 7 and/or PA 12 regardless of the GLOBALG.A.P. certificate.

REGULATIONS

7.1. Is there satisfactory Evidence that the Auditee observes occupational Health and Safety Regulations applicable for its Activities?

Effectiveness: To verify the effectiveness of how the auditee observes applicable OHS regulations, the auditor should determine if:

- The auditee works in line with the regulations on occupational health and safety relevant for its activities
- If the country does not prescribe occupational health and safety regulations for its sector, the auditee seeks alternatives to ensure workers' right to healthy working and living conditions. This includes:
  - Following international standards and specifications
  - Involving workers and their representatives in the drafting and enforcement of the internal procedure on occupational health and safety, recognising that women and men have different and health needs
  - In a producer organisation: involving members to define procedures on occupational health and safety for their operations

Coherency: Furthermore, the auditor shall evaluate that the ways in which the auditee grants healthy working and living conditions are consistent with the values and principles of amfori BSCI Code of Conduct.

- Are workers and cooperative members informed on the specific health risks and the necessary protocols they need to follow to overcome those risks?
- Are there grievances lodged concerning potentially unhealthy or insecure working conditions?
- Do accident records indicate any contingencies related to a lack of observance towards the OHS regulations?
- How is the information from the accident records used to improve the occupational health and safety procedure?

7.2. Is there satisfactory Evidence that the Auditee seeks to improve Workers' Protection in case of Accident, including through compulsory Insurance Schemes?

The auditor has an overview of the auditee's continuous efforts towards improving the protection of its workforce in case of accidents. The auditor verifies the different ongoing measures that have been put in place. The endorsement of compulsory insurance schemes is one example of these measures.

Effectiveness: To verify the effectiveness of the ways in which the auditee seeks to improve workers' protection, the auditor should determine if:

- The auditee involves workers and their representatives to identify better ways to protect workers from accidents
- The auditee provides regular training for workers and management on how to avoid accidents and minimise their impacts. The trainings consider and address the special needs of women and men
- The auditee regularly analyses the accident records to gather lessons learned and adjust the protocols accordingly

Coherency: Furthermore, the auditor shall evaluate how the auditee seeks to improve workers' protection in coherence with the values and principles of amfori BSCI Code of Conduct.

- Are workers informed of the threat of and actual accidents as well as the protocols they need to follow to overcome those risks?
- Are workers and management regularly trained by a competent person? Do trainings consider, integrate and address the different needs of women and men?
- Are there grievances lodged concerning potentially unhealthy or insecure working conditions? Are grievances regarding health and safety tracked in a gender-disaggregated manner?
- Do accident records indicate the cause of accident and have lessons learned been taken into consideration to adjust safety protocols? How and how often is this information from the accident records used?

RISK ASSESSMENT

7.3. Is there satisfactory Evidence that the Auditee set up an effective Management System that ensures they regularly carry out Risk Assessments for safe, healthy and hygienic working Conditions?

Effectiveness: To verify the effectiveness of the way that the auditee carries out risk assessments, the auditor should determine if:

- The auditee recognises potential deficiencies by conducting OHS risk assessments on a regular basis
- The auditee is able to determine to what extent these deficiencies could result in substantial danger for workers (severity versus likelihood), and what kinds of preventive or remedial measures are necessary

- The auditee uses the risk assessments to develop and maintain an action plan which contains all the necessary measures to promote and maintain safe, healthy and hygienic working conditions
- The auditee ensures that there are systems in place to assess, identify, prevent, and mitigate potential and actual threats to the health and safety of workers

Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee carries out risk assessments is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the risk assessment appropriate to ensure the safety and health of all workers? Does it cover all production activities, workplaces, machinery, equipment, chemicals, tools and processes?
- Does the risk assessment use relevant standards as a reference (e.g., national law and/or international standards)?
- Does it take into consideration the special needs of the most vulnerable workers such as pregnant women and new mothers, young workers, migrant workers? The list is not exhaustive, it is up to the auditee to identify higher-risk workers and make provisions for them, as necessary.
- Does the risk assessment take into consideration the transmittable and non-transmittable diseases in the work environment? Does it include regular monitoring and testing? Does it include consultation with workers and their representatives?
- Does the auditee allocate adequate human and financial resources to ensure that the identified risk(s) are mitigated?
- In a producer organisation, does the auditee train and support members to conduct risk assessment of their operations?

7.4. Is there satisfactory Evidence of active Cooperation between Management and Workers (and/or their representatives) when developing and implementing Systems towards ensuring OHS?

Active cooperation between management and workers and their representatives presents an opportunity for the auditee to understand:

- Urgent demands from workers that need to be solved in the short-term
- Necessary medium- and long-term improvements to eventually implement

Effectiveness: To verify the effectiveness of how the auditee management cooperates with workers, the auditor should determine (if):

- To what extent workers and their representatives are consulted during the risk assessment, the development and implementation of the OHS systems
- The auditee has set up an occupational health and safety committee (or alternative structure) of democratically elected workers representatives, ensuring representation of both men and women workers
- The OHS committee is regularly active and meeting minutes record their decisions
- To what extent are workers encouraged to come forward and raise issues, at any time?

Coherency: Furthermore, the auditor shall evaluate how the auditee management cooperates with workers to comply with the values and principles of amfori BSCI Code of Conduct.

- Do workers who are members of the OHS committee or equivalent structure receive the adequate training?
- How does the OHS committee aim to represent the diversity of the workers: gender and vulnerability breakdown?

- How often does the OHS committee (or alternative structure) meet? How are their recommendations communicated to the decision-maker(s)?
- How often do the OHS committee recommendations get taken into consideration and what are the auditee reasons to disregard them?
- What documentation system does the OHS committee keep?
- Can the site show example of issues raised during OHS committee meetings and the follow-up actions taken?

TRAINING

7.5. Is there satisfactory Evidence that the Auditee regularly provides OHS Trainings to ensure Workers understand the Rules of Work, personal Protection and Measures for preventing and reacting to Injury to themselves and fellow Workers?



Effectiveness: To verify the effectiveness of how the auditee provides OHS training to workers, the auditor should determine if:

- **Meeting legal expectations:** Worker's training on OHS needs to cover minimum content required by national law.
  E.g.: Basic training usually focuses on:
  - Training on how to use personal protective equipment (PPE). The training pays particular attention to vulnerable workers and includes cleaning, replacing when damaged and appropriate storage of the PPE
  - Training on how workers need to react in case of injury to themselves and/or fellow workers
- **Appropriate training:** The content of the training:
  - Provides appropriate information as well as comprehensible instructions on safety and healthy work environments for workers, considering, integrating and addressing the different needs of women
  - Is provided in a language and modality that is understood by workers, including migrants and low-literacy workers
- **Appropriate frequency:** The training frequency shall take into account:
  - Staff turnover
  - Recruitment of seasonal workers, particularly in agriculture or to meet peak production times
- **Supervision:** Workers have the information on the hazards and risks associated with their work and are supervised when necessary. They know what actions must be taken to provide themselves with the necessary protection
- **Adequate guidelines:** Workers' guidance and supervision takes into account workers' levels of education and languages that are applied to the workplace
- **Evacuation and firefighting drills:** These drills are documented with clear indication of:
  - The purpose
  - The number of workers who participated
  - Results
  - Photos
  - Dates
  - Duration: The time for evacuating the building should be recorded and never exceed nine minutes



Coherency: Furthermore, the auditor shall evaluate if the auditee's OHS training to workers is in coherence with the values and principles of amfori BSCI Code of Conduct.

- Do workers and producer organisations' members receive proper training on how to use and maintain their personal protective equipment?
- Do workers participate in evacuation drills and/or fire-fighting drills?

- Have workers and producer organisations' members received trainings on:
  - Basic hazard awareness?
  - Site specific hazards?
  - Safe work practices?
  - Emergency procedures for fire and evacuation?
  - Natural disasters, as appropriate?
- Do management, supervisors, workers, and occasional visitors to areas of risk receive training?
- Are workers and producer organisations' members who operate machinery and power generators properly qualified to uphold safety regulations and operating procedures? Qualifications can be achieved by means of training and/or experience
- Do people and producer organisations' members working with electrical installations and equipment understand their tasks and safety procedures?
- Do workers and producer organisations' members who handle and/or administer hazardous substances receive specific training? These are examples of hazardous substances: chemicals, disinfectants, crop protection products, biocides
- Are the specific needs of women and pregnant women considered when manipulating and/or being exposed to these substances?

PERSONAL PROTECTIVE EQUIPMENT

7.6. Is there satisfactory Evidence that the Auditee enforces the Use of PPE to provide Protection to Workers alongside other Controls and Safety Systems?

Effectiveness: To verify the effectiveness of the way the auditee enforces the use of PPEs; the auditor should determine if the personal protective equipment provided by the auditee is:

- **Effective:** Offers effective protection to the worker and occasional visitors, considering the differences between men and women. Particular attention shall focus on specific potentially harmful processes (e.g., sand blasting for jeans, fumigation in agriculture)
- **Comfortable:** Does not cause unnecessary inconvenience to the individual
- **Free of charge:** The auditee does not charge workers any cost for using the PPE
- **Suitable:** Suits the activities undertaken

Coherency: Furthermore, the auditor shall evaluate if the ways in which the auditee enforces PPE are consistent with the values and principles of amfori BSCI Code of Conduct.

- Do workers receive proper training on how to use and maintain their personal protective equipment?
- Is the use of PPE based on the information gathered through the OHS risk assessment?
- Is management, particularly supervisors, being trained on how to use and maintain PPE? Are they aware of the protocol to ensure workers use PPE?
- Is there a procedure to control the quantity of PPE so that it always matches the number of workers, including during peak time?
- Is there a procedure that aims to ensure PPE is high-quality and effectively protects workers no matter what and regardless of costs?
- Are there any grievances lodged with regard to the potential neglect of enforcing the use of effective PPE?
- Is the auditee taking the needs of different worker categories, such as pregnant and nursing women, into consideration?

CHEMICALS

7.7. Is there satisfactory Evidence that the Auditee implements engineering and administrative Control Measures to avoid or minimise the release of hazardous Substances into the Work Environment, keeping the Level of Exposure below internationally established or recognised Limits?

Effectiveness: To verify the effectiveness of how the auditee implements and enforces control measures, the auditor should determine if:

- **Risk assessment:** The auditee has identified the engineering and administrative control measures that may be needed to avoid or minimise the release of hazardous substances into the work environment (factory or farm). The risk assessment considers the specific needs and risks of vulnerable groups such as pregnant and nursing women
- **Administrative control measures:** The auditee implements administrative control measures such as:
  - **Authorisation:** Only authorised workers have access to chemical substances
  - **Protection:** Workers receive adequate protection for handling and administering chemicals
  - **Record keeping:** Distribution, use and disposal of chemicals is properly recorded
  - **Following instructions:** The use of chemicals corresponds to the recommendations of the manufacturer
  - **Labelled:** The labelling of chemicals and marking of hazards are clearly understood by the workers and are done in accordance with nationally and internationally recognised requirements. E.g.:
    - The International Chemical Safety Cards (ICSC)
    - The Materials Safety Data Sheets (MSDS)

  More information on the management of chemicals can be found at the following www.inchem.org
- **Engineering control measures:** The auditee implements engineering control measures for:
  - Expulsing fumes, steam and dust outside (e.g., spot cleaning places)
  - Properly disposing chemicals, even in the absence of national legal regulations

Coherency: Furthermore, the auditor shall evaluate that the way the auditee implements control measures is consistent with the values and principles of amfori BSCI Code of Conduct

- Do workers receive proper training on how to use both administrative and engineering measures?
- Is the implementation of control measures based on the information gathered through the OHS risk assessment?
- Is management, particularly supervisors, trained on how to implement the control measures? Is there a procedure to manage the quantity and effectiveness of the controls? How often are the controls monitored?
- Is there a procedure to report alerts and repair any problem detected in the control measures?
- Are members of a producer organisation informed and trained on the need to conduct risk assessment and to implement control measures?
- Does the auditee take needs of different worker categories such as pregnant and nursing women, into consideration in providing them with PPE?

ACCIDENT AND EMERGENCY PROCEDURES

7.8. Is there satisfactory Evidence that the Auditee has developed and implemented Accident and Emergency Procedures?

Effectiveness: To verify the effectiveness of the way that the auditee implements accident and emergency procedures, the auditor should determine if:

- The auditee understands the importance of having documented emergency procedures which are also properly implemented
- The auditee has visually displayed the accident and emergency procedures clearly
- The auditee has procedures in place to immediately stop any operation where imminent and serious danger threatens workers' safety and health
- The auditee has procedures in place to enable workers to safely evacuate the premises when needed
- The auditee ensures these procedures are properly explained to:
  - Seasonal and temporary workers
  - Night workers
  - Migrant workers
  - Pregnant and nursing women
  - Young workers
  - Other vulnerable workers

Coherency: Furthermore, the auditor shall evaluate that the way that the auditee implements accident and emergency procedures is consistent with the values and principles of amfori BSCI Code of Conduct.

- Do workers receive proper training on how to act in case of accident or emergency? Are there specific instructions for workers depending on the type of work or department?
- Are the accident and emergency procedures based on the information gathered through the OHS risk assessment? Are the workers and their representatives involved in developing the procedures?
- Is management, particularly supervisors, trained on how to ensure workers follow the accident and emergency procedures?
- Are there any grievances lodged with regard to the possible neglect of accident and/or emergency procedures?
- Is there a procedure to control the effectiveness of the procedures? How often are they monitored?
- Are members of a producer organisation informed and trained on the need to develop and implement accidents and emergency procedures?

7.9. Is there satisfactory Evidence that the Auditee makes visible potential Hazards to the Workers and Visitors through Signs and Warnings?

Effectiveness: To verify the effectiveness of the ways in which the auditee makes visible potential hazards, the auditor should determine if:

- The auditee is sensitive to the workers' specific cultures and activities
- The types of signs and the places chosen for their display are appropriate
- The warnings are suited to point to potential hazards. E.g.:
  - Chemicals
  - Electricity
  - Hot surfaces
  - Falling objects
  - Slippery floors
  - Machinery and vehicles

Coherency: Furthermore, the auditor shall evaluate that the ways in which the auditee makes visible potential and uncontrolled hazards are consistent with the values and principles of amfori BSCI Code of Conduct.

- Do workers understand the meaning of the signs and warnings?
- Is the type of hazard identified in the OHS risk assessment? Are the workers and their representatives contributing to this aspect of the risk assessment?
- Do the types of hazards, with warnings about them, relate to accident and emergency procedures?
- Is the effectiveness of the signs regularly monitored or reported on? How often?
- Are members of a producer organisation informed on the need to make potential hazards visible in their operations?

7.10. Is there satisfactory Evidence that the Auditee has and properly uses Procedures and Systems for reporting and recording occupational Accidents and Injuries?

Effectiveness: To verify the effectiveness of the way the auditee reports and records accident and injuries, the auditor should determine if:

- **Reporting:** The auditee has systems in place that enable workers to report immediately to their supervisors any situation which may present a serious danger to people's lives or health. Accidents and near-misses should be reported
- **Recording:** The auditee keeps records on all accident and injury records by specifying:
  - **When** the accident took place (e.g., date, peak season, picking season)
  - **Who** was involved
  - **What** were the actions taken
  - **What** was the final result (death, injury)
  - **How** the accidents (or work-related diseases) were investigated
  - **What** prevention and remediation actions were taken
  - **For how long** the workers were incapacitated

Coherency: Furthermore, the auditor shall evaluate that the way the auditee reports and records accidents and injuries is consistent with the values and principles of amfori BSCI Code of conduct.

- Do workers understand the protocol to report accidents and injuries to their supervisors? Are they able to evaluate the seriousness of potential dangers in the workplace?
- Do workers receive training on how to prevent and respond to the most frequent accidents or injuries that happen in their area of work?
- (How) are the accident records used to apply lessons learned to improve safety in daily operations? How are these lessons learned incorporated into the revision of accident and injury protocols?
- Are there indications that most accidents or injuries are experienced by vulnerable workers, pregnant or nursing women? Are there specific measures meant to prevent this so vulnerable workers receive particular kinds of protection?
- Are members of a producer organisation informed and trained on how to prevent and respond to accidents?

7.11. Is there satisfactory Evidence that the Auditee confirms that the Equipment and Buildings used for Production are stable and safe?

The auditor is not expected to conduct "building integrity inspections" which go beyond his/her mandate as a social auditor.

If the auditee is located in a building with several floors. The auditor shall report in the executive summary:

- The actual location (e.g., 3rd floor out of 5 floors)
- If there are other business enterprises located in the same building (without disclosing their name)

- If the type of activity performed in the building may increase the likelihood of stability and safety for the entire building
- Are there any visible issues (e.g., cracks, holes in the roof, etc.) or historic issues (e.g., management report a structural issue that they say is fixed) raised during the audit that may require follow-up by qualified people?

Effectiveness: To verify the effectiveness of the way in which the auditee confirms that the equipment and buildings used for production are stable and safe, the auditor should determine if the auditee:

- Knows and follows national legal requirements concerning stability, safety and appropriateness of its building to conduct the business activities
- Knows and follows the legal requirements concerning the safety of equipment including, if relevant, ongoing official inspections
- Has procedures in place to confirm the stability and safety of the equipment
- Maintains accurate documentation on any official and private inspection concerning building and equipment safety and stability
- Is in possession of a valid licence to conduct its activities in the related building(s)

Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee confirms that the equipment and buildings used for production are stable and safe is consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee conduct its activities in adequate surroundings and buildings?
- Are there any grievances lodged concerning a potentially unstable or unsafe building or piece of equipment provided by the auditee?
- Are men and women workers in the same building? If separated, are the conditions of both surroundings and building adequate?
- Are workers able to assess a potential danger associated with the building and/or the equipment?
- Are there cases documented in the accident records which show that part of the building or a piece of equipment was unsafe?

7.12. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee respects the Workers' Right to remove themselves from imminent Danger without seeking Permission?

Effectiveness: To verify the effectiveness of the way the auditee respects the workers' right to remove themselves from imminent danger, the auditor should determine if:

- The auditee has this right properly documented in the OHS procedure or clearly communicated to workers
- Workers are well-informed of this right as part of the training on OHS
- Workers are well-informed on what to do in case of imminent risk of danger
- The right applies to the workplace and residential facilities provided by the auditee

Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee respects the workers' right to remove themselves from imminent danger is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are workers aware that they have this right? Does it apply to the workplace and residential facilities? Does the auditee take additional measures to ensure vulnerable workers understand this right (e.g., migrant workers, pregnant or nursing women)?
- Are there any grievances lodged concerning potential disregard of this right?
- Are workers able to evaluate imminent danger so they know when to leave? Are they trained to have this awareness?

- Are there cases documented in the accident records where workers were unable to exit the premises despite evident danger?
- Is management able to describe the protocol that directs workers to immediately leave the workplace or residential facilities in case of imminent danger?
- Are members of a producer organisation aware of the right of their workers to remove themselves from imminent danger without seeking permission?

ELECTRICITY

7.13. Is there satisfactory Evidence that the Auditee makes sure a competent Person periodically checks the electrical Installations and Equipment?



Effectiveness: To verify the effectiveness of the way that the auditee ensures a competent person checks electrical installations and equipment, the auditor should determine if:

- The person in charge of maintaining safe electrical installations is competent by means of training, qualification and/or experience
- The person checks the electrical installations and equipment:
  - Within the pre-defined timeframe
  - Randomly (e.g., in addition to regularly established checks/maintenance)
  - As per request
- The checks are properly recorded and, if possible, posted close to the verified installation or equipment with clear messages about current status
- The record includes at least:
  - Name of the person in charge
  - Date of the last check
  - Description of the finding (if any)
  - Due date for the next check
- Only properly insulated tools in good working condition are used when dealing with electrical installations and equipment
- People working with installations and equipment have adequate working space and lighting to conduct their work safely. This can be:
  - In accordance with the official regulations
  - Based on common good practice if those regulations do not exist



Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee ensures a competent person checks electrical installation and equipment is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are electrical installations and equipment functioning in a way that ensures a safe work environment?
- Are results from the checks taken into consideration to improve safety in the workplace?
- Is the workplace free from distribution lines? Electrical cords shall not pose a tripping hazard
- Are workers properly instructed to avoid possible risks of strangulation or any other accident that could be related to electrical installations?
- Has the site made efforts to ensure all electrical cables or equipment are not in danger of getting wet?
- During the visit, were electrical cables, equipment or installations clear or covered in dust (dust and dirt can act as kindling and create a fire hazard)?

FIRE PROTECTION

7.14. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee has installed an adequate Amount of properly working firefighting Equipment?

Effectiveness: To verify the effectiveness of the way that the auditee installs firefighting equipment, the auditor should determine if:

- The installation of firefighting equipment is in line with the OHS action plan developed as a result of the periodic risk assessment
- The auditee follows national law specifications with regards to requirements for firefighting equipment. This usually includes:
  - Position and placement
  - Size and effectiveness
  - Maintenance and inspection requirements
- There are functioning and sufficient fire extinguishers for workplace dimensions and activities
- The firefighting equipment is:
  - Distributed in an equal manner throughout the workplace
  - Placed at a height for it to be effective and easily accessible by workers
- Properly identified (inventoried) with clear reference to the last serviced date and due date for the next inspection
- The location of the fire extinguishers and the route to reach them are visually marked
- Early warning systems are installed and functioning in an adequate manner as required by the law: smoke sensors, fire alarms, alarm devices
- At least a relevant number of workers know how to use a fire extinguisher

Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee installs firefighting equipment is consistent with the values and principles of amfori BSCI Code of conduct.

- Is firefighting equipment functioning in a way that ensures a safe work environment?
- Are workers properly instructed on how to use firefighting equipment? Do they know the protocol to be followed in case of fire? Do they understand the warning signals?
- If there are other types of alarms being used in the workplace (e.g., end of shifts), are they clearly distinct from the fire alarm?
- Are there cases documented in the accident records that resulted from fire? If yes, was the protocol followed? What lessons were or can be drawn from those cases?
- How often are the workers trained on the use of firefighting equipment? Are workers who deal with chemicals and other inflammable substances adequately trained?

ESCAPE ROUTES AND EMERGENCY EXITS

7.15. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee ensures that escape Routes, Aisles and Emergency exits in the Production Site are not blocked, easily accessible and clearly marked?

Effectiveness: To verify the effectiveness of the way that the auditee ensures accessible and visible escape routes, aisles and emergency exits for all workers, the auditor should determine if:

- Escape routes, aisles and emergency exits fully and simultaneously are:
  - Never blocked
  - Easily accessible
  - Clearly marked
- Workers and visitors can easily leave the premises in case of an incident without putting their lives at risk

- The auditee approaches safe evacuation in a systemic and preventive manner, which includes:
  - Escape routes, aisles and emergency exits that are marked without ambiguity and never blocked or locked during working time
  - Emergency lights and any other evacuation signals are properly installed, well-functioning and verified on a regular basis
  - Production rooms with more than 10 workers have doors which open outwards unless the national law sets different specifications in which case the rule that provides higher protection to workers applies
  - The number of emergency exits aims at ensuring safe evacuation of all workers and directly relates to:
    - The number of workers
    - The size and occupancy (e.g., with regard to population density) of the building
    - The arrangement of the workplace
    - The type of activity or existence of substances or machineries that may increase the risk of unsafe evacuation



Coherency: Furthermore, the auditor shall evaluate that the auditee ensures safe, accessible and visible escape routes, aisles and emergency exits in coherence with the values and principles of amfori BSCI Code of conduct.

- Are escape routes, aisles and emergency exits defined in a way that ensure a safe work environment?
- Are workers properly instructed on how to use them? Do they understand the ways in which escape routes, aisles and emergency are visually marked? Do they know the easiest way to follow to exit the workplace?
- Are there any internal regulations that conflict with the requirement of unblocked exits (e.g., for security reasons)?
- Are there cases in the documented accident records that show problems with the exits? Were any lessons learned and put into practice?
- How often are the workers trained on the use of firefighting equipment? Are there workers who deal with chemicals and other inflammable substances located close to the escape routes?
- Are workers on farms informed of the procedure to follow in case of fire outbreak or inundation? Are emergency contacts communicated or known to workers?

7.16. Is there satisfactory Evidence that the Auditee ensures Evacuations Plans meet legal Requirements and that these Plans are posted in relevant Places so Workers can see and understand them?



Effectiveness: To verify the effectiveness of how the auditee ensures evacuation plans, the auditor should determine if:

- The evacuation plans are easy to understand to evacuate all workers both from the production area and eventually from the entire building, when necessary
- The evacuation plans also include dormitories or housing premises, if applicable
- Evacuation plans in the workplace must be displayed and at least identify the:
  - Current position, on the premises, of the person who is reading the plan
  - Placement of the closest escape routes including emergency exits
  - Placements of fire extinguishers and any other firefighting equipment
  - Assembly points outside of the site
- The auditee keeps in mind the cultural diversity, languages and education level of the workforce to design an effective way to communicate the evacuation plan
- Workers understand the evacuation plans and know how to follow them from their own standpoints

- The evacuation plans take into consideration the type of activity, different working shifts and lay-out of the workplace and building to optimise the evacuation process. In this context, work in the agriculture sector will require auditors to assess how evacuation from the fields or from the greenhouse installations can be done in a safe manner



Coherency: Furthermore, the auditor shall evaluate that the auditee ensures evacuation plans are consistent with the values and principles of amfori BSCI Code of conduct.

- Are evacuation plans defined in a way to ensure a safe work environment as well as a safe housing place?
- Are workers properly instructed on how to read them? Do they understand them? Do they know the easiest way to follow to exit the workplace?
- Can workers describe back their evacuation route without referring to a map?
- Are there cases in the documented accident records that show if the evacuation plans have been or are effective? Were there any lessons learned? If so, have these lessons informed current planning?
- How often are the workers trained on the evacuation plans? Are workers who deal with chemicals and other inflammable substances well-informed?
- Are there communication channels that workers can use to alert about issues that could compromise a safe evacuation?

MACHINE AND VEHICLE SAFETY

7.17. Is there satisfactory Evidence that the Auditee ensures adequate Safeguards for any Machine Part, function, or Process which may cause Injury to Workers?



Effectiveness: To verify the effectiveness of the way that the auditee ensures adequate safeguards for any machine, the auditor should determine if:

- All applicable safeguards for equipment are available and properly installed, e.g.:
  - Belt encasements
  - Grills for fans
  - The emergency switch-off
- The auditee ensures valid inspection and insurance for machinery and vehicles as required by law. This may be the case for:
  - Elevators, lifts
  - Trucks, tractors and other potentially dangerous machines
- The auditee ensures maintenance is carried out by competent personnel
- The auditee keeps records of the maintenance, which includes:
  - Purpose and result of the maintenance
  - Name of the competent person in charge
  - Applicable insurance and its validity
  - Next scheduled maintenance work



Coherency: Furthermore, the auditor shall evaluate that the way the auditee ensures adequate safeguards for any machine is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are workers properly instructed on how to handle potential hazards related to machines and vehicles?
- Are there documented cases in the accident records which resulted from machines and vehicles? Were lessons learned? If yes, how were those lessons integrated into the OHS procedure?
- Do workers who use machines and vehicles possess the adequate qualifications to use them in a safe manner?

FIRST-AID

7.18. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee ensures qualified first Aid is available at all Times?

Effectiveness: To verify the effectiveness of the way that the auditee ensures qualified first-aid individuals and provisions, the auditor should determine if:

- The auditee respects national regulations concerning medical provisions and first-aid training
- If there are no such legal regulations, the auditee ensures:
  - Adequate first-aid stations or rooms
  - Adequate first-aid kits
  - Access to potable water, eye-wash stations and/or emergency showers close to workstations when/where immediate flushing with water is the recommended first-aid response
  - Qualified first-aid staff shall be present in relevant numbers to address associated risks throughout the workplace
  - A fully qualified person to verify the contents of the kit, who can also re-fill it
  - Training on first aid and related procedures result in ensuring that an emergency could be handled at any time (including if periods of overtime)
  - Where immediate flushing with water is the recommended first-aid response, the auditee ensures that workstations are either equipped with or very near to:
    - → Potable water
    - → Eye-wash stations
    - → Emergency showers

Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee ensures qualified first aid is consistent with the values and principles of amfori BSCI Code of conduct.

- Is there a fully qualified person appointed to provide first-aid? Is the working schedule of that person available? Are workers aware of who would replace that person? How is this person selected?
- How often are workers trained on first aid?
- Are there cases in the documented accident records that show that workers required first-aid? Were lessons learned? If yes, how have those lessons been integrated in the OHS procedure?
- Have workers who use machines, vehicles or those who handle chemicals or those who conduct any other risky activity been made well-aware of the first-aid protocol?
- Are vulnerable workers aware of the first-aid protocol?

7.19. Is there satisfactory Evidence that the Auditee has Emergency Procedures, in writing, to deal with Cases of Trauma or serious Illness?

Effectiveness: To verify the effectiveness of how the auditee emergency procedures deal with trauma or serious illness, the auditor should determine if:

- The emergency procedure aims at ensuring that workers' trauma or serious illness are handled in the most responsible and responsive manner. The procedure must be in writing and regularly updated:
  - It can be a separate document
  - Part of the action plan developed after the OHS risk assessment
- Workers and supervisors are well-aware of how the procedures work in case of trauma or serious illness
- Workers and supervisors understand when a co-worker has to be transferred to an appropriate medical facility
- Workers and supervisors know the necessary steps to ensure timely transfer to the medical facility

Coherency: Furthermore, the auditor shall evaluate if the ways in which the auditee ensures emergencies procedures deal with trauma or serious illness are consistent with the values and principles of amfori BSCI Code of Conduct.

- Are there cases of trauma or serious illness found in the accident records? Were lessons learned? If yes, how were those lessons integrated in the OHS procedure?
- Are there any grievances lodged concerning the neglect of victims of trauma or serious illness?
- Are workers working in the night shift aware of these procedures?
- Is the information on medical facilities visually displayed? Do workers know where to get this information?

7.20. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee always provides Workers with Access to potable Water?

The right to potable water is a human right. As such, it applies to every person and it is inalienable.

Potable water shall be available during working hours as well as at workplace facilities where workers prepare or eat food as well as to the housing provided by the auditee.

If work takes place in agricultural fields or greenhouses, the auditee shall put in place mechanisms to ensure potable and fresh water is available to workers in these places.

Special attention shall be given in regions where the risk of dehydration may be higher due to hot/dry weather or where running/well water is not potable. Special attention shall also be given to pregnant or nursing women that need hydration more often.

Effectiveness: To verify the effectiveness of the way that the auditee ensures potable water, the auditor should determine if:

- Workers and supervisors have access to clean potable water at all times, not only during breaks (although it is understood in some cases, but water should also not be drunk in or around workstations or equipment)
- Access to water is not used as means for discrimination or as a disciplinary measure
- Workers have access to clean potable water without risk of contagion (and if there is an endemic risk, the site can prove their water has been tested or is delivered bottled from a safe source)
- The auditee respects the characteristics and tests required for potable water as defined by national regulations
- The auditee ensures that there are proper signs to identify water which is not potable in places where it is not mandatory that water be potable

Coherency: Furthermore, the auditor shall evaluate that the way the auditee ensures potable water is consistent with the values and principles of amfori BSCI Code of conduct.

- Are workers aware of their right to potable water at all times? How often do they access water?
- Does the auditee pay particular attention to the risk of dehydration?
- Does the auditee go to extra efforts to ensure vulnerable workers have access to water?
- How is water supply guaranteed?
- Who is responsible to ensure that water is always available?
- Do workers have access to water storage?
- Are members of a producer organisation informed of their responsibility to provide potable water to workers at all times?
- Does the auditee grant the right to potable water always in social facilities, including housing when provided by the auditee?

7.21. Is there satisfactory Evidence that the Auditee provides Workers with Access to an appropriate, clean Area for storing Food, eating and/or cooking?

The auditor takes pictures of the state of these areas and includes them in the audit report.

The auditor verifies how food is stored; records of cleaning shifts; menus provided and the range of lunch and/or dinner shifts (if applicable).



Effectiveness: To verify the effectiveness of the way that the auditee ensures appropriate areas for storing food, eating and/or cooking, the auditor should determine if:

- Workers are provided with access to clean areas for food storage, cooking and/or eating, including in remote areas (e.g., during harvest)
- The auditee will follow national regulatory criteria, which usually relate to the number of workers
- The auditee ensures that clean and appropriate areas are also provided during peak season or any other occasion where the number of workers may increase with the use of seasonal or subcontracted workers



Coherency: Furthermore, the auditor shall evaluate that the auditee ensures appropriate areas for storing food, eating and/or cooking in compliance with the values and principles of amfori BSCI Code of Conduct.

- Are workers satisfied with the areas provided by the auditee?
- How is the food stored to ensure it keeps its nutrients?
- Are records available on the cleaning shifts for these areas? Is catering subcontracted? Is the menu displayed and are records kept?
- If there are no legal minimum criteria, does the auditee conduct assessments to define them in consultation with workers and their representatives?
- If food is provided to workers (either free or not), does the site ensure that it is nutritionally balanced and appropriate for the type of work on site (i.e., heavy labour delivered in hot conditions requires meals that have higher calorific content and more water in it. In any case, a bowl of plain rice or similar is not considered appropriate).

7.22 Is there satisfactory Evidence that the Auditee provides Workers with clean washing Facilities, changing Rooms and Toilets that are also respectful of local Customs?



Effectiveness: To verify the effectiveness of the way that the auditee provides workers with clean washing facilities, changing rooms and toilets, the auditor should determine if:

- The auditee provides these facilities to ensure that workers can maintain their dignity and hygiene habits. Special attention to ensure these address women's health needs, including pregnant and nursing women as well as women's needs during their menstruation
- The auditee follows national regulations concerning the minimum number of washing facilities and toilets for the size of the workforce
- If there are no applicable national regulations, the auditee determines its criteria based on the OHS risk assessment in consultation with workers
- The auditee has appropriate toilets to accommodate different genders and disabilities
- The auditee is able to explain, during the audit, the reasons for having the number of facilities it has and the plans to adapt the number if needed
- The toilets are sanitary. This implies hygienic conditions, soap supply, working locks and separate washroom facilities for women and men

- The auditee provides hygienic changing rooms, when necessary, for workers who change their clothes to perform their functions. This is particularly relevant for workers who handle hazardous substances or have to wear a uniform (e.g., poultry industry)
- Women facilities are equipped with sanitary pads and/or any other type of element needed to attend their menstrual needs and to their sexual and reproductive rights. Facilities respond to pregnant and nursing women's needs
- Breastfeeding rooms exist and are adequate to meet nursing women's needs

Particular attention shall be devoted to ensure that facilities meet workers' needs even when the number of workers increases (e.g., peak session).

Furthermore, the auditor should ensure they are seeing the workers' facilities rather than facilities used by management only.



Coherency: Furthermore, the auditor shall evaluate that the ways in which the auditee provides workers with clean washing facilities, changing rooms and toilets are consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the number of sex-separated washing facilities, changing rooms and toilets meet the needs of the total number of workers?
- Have women specific needs taken into consideration considering the needs of pregnant and nursing women?
- Does the auditee ensure that the facilities meet workers' needs even when the number of workers increases (e.g., peak session)?
- Are there any grievances about a potential lax and/or unsanitary approach in how these facilities are provided?
- Are workers happy with the state of the facilities?

7.23. Is there satisfactory Evidence that the Auditee provision of Transportation to Workers is safe and complies with national Regulations?

If the auditee does not provide (directly or indirectly) transportation to workers, the auditor shall provide information under "Findings" and answer the question "Not applicable".



Effectiveness: To verify the effectiveness of the way that the auditee provides transportation, the auditor should determine if:

- The transportation provided to workers (either directly or using third parties) is safe and complies with national regulations
- The auditee is able to provide information on how workers get to the premises (e.g., using public transportation, a bicycle)
- The auditee ensures that vehicles unsuitable for human transportation are not used to commute workers (e.g., the use of agricultural vehicles for human transportation represents an additional risk for accidents)
- The information provided on transportation should match the information provided on the quick scan on fair remuneration



Coherency: Furthermore, the auditor shall evaluate that the way the auditee provides transportation is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the auditee aware of the way workers commute to work? Are workers consulted on the most effective means of transport? Is the cost of transportation provided by the auditee in a transparent manner?
- Are there alternatives for workers? Is the person in charge of driving workers to the site qualified to do so? Is that person subcontracted?
- If the site uses drivers, in-house or third-party, how do they ensure they are not under the influence of drugs or alcohol, and are fully licensed to drive the vehicle and carry the passengers they carry?

7.24. Is there satisfactory Evidence that the Auditee has chosen the Location of the social Facilities or Workers Housing to ensure Occupants are not exposed to natural Hazards or affected by the operational Impacts of the Worksite (for example Noise, Emissions or Dust)?



Effectiveness: To verify the effectiveness of the way that the auditee provides workers safe and healthy housing, the auditor should determine if:

- The auditee is able to articulate the decision on where to set up social facilities (e.g., canteens) or housing from an occupational health and safety risk assessment perspective
- The auditee is able explain how the chosen location ensures that workers (and/or their families, if applicable) are not exposed to natural hazards or health and safety risks
- In cases where, due to the nature of the work, workers are required to live temporarily or permanently close to the area of work, the auditee provides adequate welfare facilities and accommodation at no cost to the worker (e.g., agriculture and/or animal production)



Coherency: Furthermore, the auditor shall evaluate that the auditee provides workers with housing in a way that is consistent with the values and principles of amfori BSCI Code of Conduct.

- Do workers have constructive communication channels to provide feedback on the housing conditions?
- Is sufficient space per individual granted?
- Does the housing provide safe places for workers to keep their personal belongings? Is this locked and if so, who has access to these belongings?
- How often are they cleaned? Who is in charge of keeping the housing clean? Is there a big fluctuation of workers/occupants coming and leaving?
- Are members of a producer organisation informed of their responsibility to provide appropriate workers' housing?

7.25. Is there satisfactory Evidence the Auditee verifies that Temperature, Humidity, Space, Sanitation, Illumination are adequate for the Health and Safety of Workers?

National law usually defines the characteristics for workplaces as well as social facilities and housing, so they provide a healthy and adequate environment for workers.

Particular attention shall be devoted to cases where the auditee provides workers with housing. The rooms or sleeping quarters shall not be overcrowded and should be suitable for gender differences, workers shall have space to store personal items while laundry and waste disposal need to be properly organised.



Effectiveness: To verify the effectiveness of the way that the auditee verifies adequate temperature, humidity, space, sanitation, illumination, the auditor should determine if:

- Space and illumination are provided in an adequate way for workers' specific activities
- The auditee includes the assessment on temperature, humidity, space, sanitation and illumination as part of the OHS risk assessment and related action plan
- The auditee consults workers and their representatives as well as the person in charge of OHS
- The schedule for garbage (and recycling) pickup shall be displayed for workers who live in the housing

The auditee shall be able to provide consistent information on the existing conditions; improvement plans (if any); timeline; and related cost allocations to ensure these aspects of the workplace, social facilities and housing fully respect workers' health and safety.

Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee verifies adequate temperature, humidity, space, sanitation, illumination is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are workers satisfied with the temperature, humidity, space, sanitation, illumination conditions?
- Are there any grievances concerning the quality of any of these aspects?
- How often are workers and their representatives consulted about these conditions?
- Is the scheduled garbage pickup displayed? How are laundry services or rooms organised?
- Are there cases documented in the accident records which show neglect for any of these conditions? Were lessons learned? If yes, how were those lessons integrated in the OHS procedure?

Documents related to this Performance Area

Certificates and Contracts:

- Valid inspection and insurance for machinery and vehicles
- Purchase invoices of the PPE bought by the auditee
- Valid business license and all necessary official approvals to run operations
- Official building certificate about safety and appropriateness for the industry
- Contract with any service provider including food services, transportation, agents and recruiting agencies

Training:

- Documentary evidence of workers training on occupational health and safety
- Documentary evidence of training, consultations and informative sessions held for members of a producer organisation
- Workers and management training calendar
- Documentary evidence of workers qualification for those dealing with dangerous machines, electrical installation and any other activity that requires specific training due to the level of risk

Records and Reports:

- Risk assessment for safe, healthy and hygienic working conditions
- Action plan for safe, healthy and hygienic working conditions
- Documentary evidence of updated contributions to social insurance funds
- Occupational health and safety regulations applicable for the industry
- Documentary evidence of the election process of the health and safety committee
- Minutes of the health and safety committee meetings
- Documentary evidence of consumption, withdrawal and disposal of chemicals (including Material Safety Data Sheets – MSDS)
- Official inspections conducted to ensure building and equipment safety, including date of validity and corrective actions if any
- Inspection reports, maintenance records, operating and safety instructions for:
  - Dangerous machines, including but not limited to lifts, electrical equipment, high-pressure equipment
  - Firefighting equipment (e.g., inspection tags on fire extinguishers)
  - Potable water at production facilities and dormitories
  - Health and safety for the facilities and dormitories including but not limited to temperature, noise level and lighting

Performance Area 8: No Child Labour

Child labour can be detected and addressed through due diligence, company recruitment and regular dialogue with workers, workers representatives and other key stakeholders.

In all cases, a child must be protected, feel safe and able to express her/his work experiences in confidence.

Addressing child labour in the supply chain in a responsible way is very complex; especially in locations where child labour may be systemic or common. Removing them from work may force them to enter worse forms of exploitation or greater vulnerability (e.g., in some countries, there are insufficient schools to accommodate children and factories feel they are doing a community good by taking children off the street).

Furthermore, child labour is on a spectrum and not all child labour may be considered exploitative or detrimental to a child's development.

When assessing family farms, the auditor shall understand that children participation to family farming activities contributes to the inter-generational transfer of culture, wisdom and skills. Auditors shall evaluate whether children contribution to farming may hide any exploitation component or depriving children from their childhood. Auditors should also ensure that if children are working on farms, they are protected from working with dangerous equipment or chemicals and protected from prolonged exposure to environmental elements.

8.1. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee does not engage in illegal Child Labour directly or indirectly?

Child labour occurs when work:

- Is done by a person who is younger than 15 years old (or someone who is younger than 14 years old in countries that set that age as the threshold)
- Is mentally, physically, socially and/or morally dangerous
- Is harmful to children
- Interferes with children regular schooling because it:
  - Deprives them of the opportunity to attend school
  - Obliges them to leave school prematurely
  - Requires them to attempt to combine school attendance with excessively long and heavy work
- Cannot be considered "light work"

Light work refers to the participation of children or adolescents in work activities such as:

- Helping their parents around the home (including farming)
- Assisting in a family business
- Earning pocket money outside school hours and/or during school holidays

Light work is acceptable as long as:

- The child is at least 13 years old (or at least 12 years old in countries that have set a minimum age of 14)
- It does not prejudice their attendance to school or time dedicated to homework (e.g., maximum two hours in any working day)
- It does not take place on a continuous basis (e.g., school holidays)
- It is supervised by either parents or any other guardian who can ensure the tasks provided to children are not harmful for their current and future health, physical development or interfere with their schooling

A higher minimum age of 18 years is set for hazardous work. Work which, by its nature or by the circumstances under which it is carried out, is likely to jeopardise peoples' health, safety and/or morals cannot be carried out by workers younger than 18 years old.



IMPORTANT: In almost all cases, work in factories is not acceptable for children below the age of 16 as it is considered a dangerous work environment.



Effectiveness: To verify the effectiveness of how the auditee ensures not to engage in illegal child labour directly or indirectly, the auditor should determine if the auditee shows credible and unambiguous efforts to avoid illegal child labour from different perspectives.

This includes:

- The auditee shows a good understanding of what illegal child labour is and why it is an undesirable hiring practice
- The auditee builds the necessary awareness among supervisors and recruitment staff to:
  - Identify the likelihood of child labour in its industry or region (e.g., some industries such as agriculture, fishing or mining have a higher risk of child labour than others)
  - Not engage child labour indirectly (e.g., using recruitment agencies, or allowing migrant or seasonal workers to use their own children to support them at work)
- The auditee keeps accurate records of:
  - Migrant and/or seasonal workers children's names, ages, school schedules and information on their schools
  - Age and identity cards of workers engaged via recruitment agencies
  - Agencies' recruitment procedures to avoid engagement of children or illegal workers (among others)
- The auditee keeps contact details of the stakeholder(s) that could be helpful in the event of illegal child labour being identified
- The auditee has a remediation process in place in case of child labour identified on site

Flagrant Child Labour: If child labour is found during the audit, immediate actions shall be taken by the auditor at that very moment:

- Identification of the child and his/her family, or legal guardian
- Determining the specific circumstances of the case. For example, if the case refers to accidental child labour (e.g., the company was led to believe the child was older) or if there is a case of the "worst form of child labour and exploitation", which deserves different remediation
- Getting in touch with the family/guardian and relevant stakeholders to ensure the child is removed in a responsible way
- Ensuring the child is kept safe and the appropriate remediation process can begin

If the auditee has mapped its relevant stakeholders and developed its child labour procedure, the case of child labour found during the audit will allow the auditor to witness the effectiveness of the procedure.

The auditor will take the necessary time to interview the child and gather as much information as possible on:

- How did the child enter the job?
- For how long has he or she been employed?
- How has he or she been treated?
- What has been the payment, working time and under what working conditions?
- Has he or she been provided food and housing?
- Are there other children onsite?
- What is the child's background?

In order to reach the best outcome of this interview, the auditor shall be well-equipped with specific interview techniques to make the child feel comfortable and safe.

Immediate Notification: The issue needs to be notified immediately via the amfori Sustainability Platform following the amfori BSCI Zero Tolerance protocol (see Guide 5: How to follow the Zero Tolerance protocol).

The effectiveness of the child labour procedure shall be reported under the No Child Labour performance area either as an area for improvement or as a good practice.



IMPORTANT: It is not the child who is in breach of the law, but the employer. The child should not get the impression that something bad will happen to him/her. Auditors must be genuinely willing to listen to what the child is saying, but they should also know when to stop the interview if the child's memories and experiences are too intense or painful.



Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee ensures not to engage in illegal child labour directly or indirectly is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are the questions in the recruitment procedure respectful to individuals?
- Does the auditee take into consideration gender issues?
- Is the auditee particularly vigilant if it is based in a region with a high level of migration and seasonal workers?

8.2. Is there satisfactory Evidence that the Auditee has established robust Age-verification Mechanisms as Part of the Recruitment Process, which may not be in any way degrading or disrespectful to the Worker?



Effectiveness: To verify the effectiveness of the way that the auditee establishes robust age-verification mechanisms, the auditor should determine if:

- The recruitment procedures integrate the necessary measures to avoid or minimise the risk to hire minors. The risk is higher for:
  - Certain sectors (e.g., mining, agriculture)
  - For jobs that require low or no qualifications
  - For work conducted in remote areas where:
    - Labour inspectors are less likely to reach
    - Individuals have limited access to official identity cards
- The age-verification mechanism includes:
  - Training the person or people in charge of hiring workers and dealing with high-risk situations
  - Training the person or people in charge of recruitment to "cross verify" interview techniques to find out the age of job candidates in interviews
  - Regular cross verification of workers' age with other stakeholders (e.g., recruitment agencies, previous employers)
- The age verification mechanism is documented, including the type of questions used by the recruiter to cross verify the age claimed by the worker
- The age verification mechanism is triggered only in cases where the person in charge of recruitment may have doubts about the age claim

Coherency: Furthermore, the auditor shall evaluate that the way the auditee establishes robust age-verification mechanisms is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are the questions in the recruitment procedure respectful to individuals?
- Does the age-verification mechanism take into consideration gender issues?
- Do workers usually have identification cards?
- Are medical check-ups used to support the verification of age?
- Is the auditee particularly vigilant if it is based in a region with a high level of migration and seasonal workers?
- Is the person in charge of human resources adequately trained on age verification?

8.3. Is there satisfactory Evidence that the Auditee has adequate Policies and Procedures in writing toward protecting Children from any kind of Exploitation?

Effectiveness: To verify the effectiveness of the way that the auditee protects children from exploitation, the auditor should determine if:

- The policies and procedures aim at avoiding any exploitation of children, both directly and indirectly
- The procedure develops from a systematic analysis of the circumstances under which exploitation of children occur
- The procedure sets out:
  - The necessary steps to ensure children are protected from exploitation
  - How to deal with the case of child labour in the most responsible and humane way

Coherency: Furthermore, the auditor shall evaluate that the way the auditee protects children from exploitation is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is there any hazardous working condition in the workplace that could be problematic even for adults? If yes, what kind of measure is absent but needs to be put in place to reduce or eliminate the hazard(s)?
- Are there safeguards in place to protect young workers and children from other young workers or adults?
- Is the business based in a region/area where drug trafficking, prostitution or any other illegal activity is recurrent? If yes, what additional measures shall be taken?
- Is the business based in a region/area where family poverty could be the driving force behind child labour?
- Is there any child labour programme or project run in the area by government, NGOs or others?
- Is there any trade union which could provide support in cases of child labour?
- Is there any educational or vocational training facility nearby or in the regional vicinity? Are there available contact details and/or schedules?
- Can the education or social welfare authorities provide assistance?
- Is there financial compensation available for children to stop working so they can go to school?

8.4. Is there satisfactory Evidence that the Auditee has adequate and remedial Policies and Procedures to provide for further Protection in case Children are found to be working?

Having a policy of only engaging adults is not considered a preventive measure neither responsible.

Possible alternatives: The auditee needs to understand child labour risks (through its own recruitment or indirectly) and the possible alternatives for an adequate removal and rehabilitation of the child into society (e.g., non-formal or basic education to bring older children up to grade level so they can successfully intern or re-enter regular schools).

Stepwise approach: The auditor and auditee need to be aware that in some cases the best approach may be to define a schedule for rectifying irregularities in order to progressively remove children from work. This might be more appropriate than drastically and immediately removing the child without any supervision. He or she may end up drifting back or disappearing into less visible and more exploitative, hazardous, illegal types of work.



Effectiveness: To verify the effectiveness of the way that the auditee provides for further protection in case children are found to be working, the auditor should determine if:

- The auditee has developed and maintains policies and procedures for remediation in case child labour occurs
- The remediation procedure includes removal and rehabilitation of the children
- The remediation procedure has the ultimate goal that the child is better off as a result of being removed, rehabilitated or prevented from working
- The auditee understands the relevance of stakeholders who could support in cases of dismissals of children who are found working. Examples of such stakeholders are local chapters of organisations like Save the Children, UNICEF and government agencies with mandates to protect children.



Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee provides for further protection in case children are found to be working is consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee understand why child labour needs to be eradicated?
- Does the auditee understand that a child who is found working needs to be responsibly rehabilitated into society?
- Does the auditee understand that a progressive removal may in some cases be the best solution?
- Are there any grievances lodged concerning any potentially irresponsible removal of a child?
- Personnel data files for all workers (including seasonal workers and workers hired using recruitment agencies)
- Age-verification procedure
- Documentary evidence of training given to workers, management and human resources (e.g., list of attendees with signatures, gender breakdown of the attendees)
- Procedure to avoid children exploitation
- Child labour remediation procedure
- Work contracts or agreements, including with recruitment agencies

Performance Area 9: Special Protection for Young Workers

Young workers can be vulnerable to precarious employment arrangements, unfair remuneration and OHS hazards. For that reason, they are entitled to special protection in the workplace.

Even if the auditee does not engage young workers at the time of the audit, the auditee shall show:

- A good understanding of type of special protection to be granted to young workers
- The type of activities that young workers should not be engaged in because of being potentially harmful for them
- The type of measures taken to ensure such a special protection could be potentially given

Auditors must always include young workers as part of the interview sample, if there are young workers at the time of the audit.

9.1. Is there satisfactory Evidence that the Auditee ensures that young Persons do not work at Night and are protected against Conditions of Work which are prejudicial to their Health, Safety, Morals and Development?

Effectiveness: To verify the effectiveness of the way that the auditee ensures special protection to young workers, the auditor should determine if:

- The auditee includes as part of its OHS risk assessment, the identification of job tasks that could be assigned to young workers because they take into consideration their health, safety, morals and long-term development
- The auditee has set up the necessary measures to ensure that young workers are adequately protected against any harmful working condition - potential or actual - for their health, safety, morals and/or development
- The auditee has set up the necessary measures young workers are not engaged in night shifts

The period of time that qualifies as "night work" is usually defined by national law.

Without a defined national law, amfori BSCI considers "night work" as all work which is performed during a minimum period of seven consecutive hours, including the interval between midnight and 5 am, as defined by the ILO.

Coherency: Furthermore, the auditor shall evaluate that the way the auditee ensures special protection to young workers is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are young workers satisfied with their task(s) and work schedules?
- Is management, particularly those in charge of human resources and supervisors, aware of the special protection granted to young workers?
- Is there a higher percentage of accident occurrences for young workers than for other categories of workers?

9.2. CRUCIAL QUESTION: Is there satisfactory Evidence that young Workers' working Hours do not prejudice their Attendance at School, their Participation in vocational Orientation approved by the competent Authority or their Capacity to benefit from Training or instruction Programmes?

Effectiveness: To verify the effectiveness of the ways in which the auditee ensures working hours do not prejudice young workers, the auditor should determine if:

- The auditee respects young workers' right to education

- The auditee ensures that the combination of working time, school time and transport time do not exceed 10 hours in a day if workers are enrolled in:
  - Local compulsory education
  - Any other vocational orientation or training programmes approved by the competent authority
- The auditee ensures that internal trainings are organised so young workers can attend. The timing of the trainings cannot coincide with young workers' attendance to school or vocational training, as this could qualify as discrimination.



Coherency: Furthermore, the auditor shall evaluate that the ways in which the auditee ensures working hours do not prejudice young workers are consistent with the values and principles of amfori BSCI Code of Conduct.

- Are young workers satisfied with the work schedule?
- Have there been any internal trainings organised at times when young workers could not attend?
- Are supervisors aware of the time that young workers work? Do they take additional measures to ensure that young workers, do not exceed the 10 hours daily limit (work, school, transport)?
- Are there cases when young workers were promoted after having finished vocational training?

9.3. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee has established the necessary Mechanisms to prevent, identify and mitigate harm to young Workers?



Effectiveness: To verify the effectiveness of how the auditee establishes the necessary mechanisms to not prejudice young workers, the auditor should determine if:

- The OHS risk assessment and related action plan pay specific attention to young workers
- Workers and their representatives are consulted and involved in identifying the most appropriate preventive and mitigation measures
- The mitigation measures are properly documented and practiced, when applicable



Coherency: Furthermore, the auditor shall evaluate that the ways in which the auditee establishes the necessary mechanisms to not prejudice young workers are consistent with the values and principles of amfori BSCI Code of Conduct.

- Are there any cases in the accident records that show that the mitigation measures were applied to young workers? Were there any lessons learned? If yes, how have they been integrated into the revision of the OHS action plan?
- Are there special preventive and mitigation measures to address young female workers?
- Are supervisors aware of the preventive and mitigation measures to avoid harming young workers?
- Are there any measures to remove young workers from any hazardous work or source of hazard immediately when such cases are identified, and redefine their scope of work without any loss of income?

9.4. Is there satisfactory Evidence that the Auditee seeks to ensure young Workers have access to effective Grievance Mechanisms?



Effectiveness: To verify the effectiveness of the ways in which the auditee ensures young workers have access to effective grievance mechanisms, the auditor should determine if:

- Young workers receive special training on how to lodge a grievance
- Young workers are properly informed on the available support provided to them to lodge a grievance
- Young workers are trained regardless of the circumstance of employment: seasonal, subcontracted or directly engaged
- The auditee keeps records of training provided to young workers, concerning the existence and use of the grievance mechanism



Coherency: Furthermore, the auditor shall evaluate that the ways in which the auditee ensures young workers have access to effective grievance mechanisms is consistent with the values and principles of amfori BSCI Code of Conduct.

- Are young workers satisfied with the quality of training?
- Do young workers understand the steps to lodge a grievance and who could help them in the process?
- Does the auditee pay particular attention to ensure access to young female workers?
- Are there any grievances lodged by young workers? Are there any grievances lodged about possible laxity in protecting young workers?
- What are the lessons learned? How are they integrated in the revision of the grievance mechanism?
- Are supervisors made aware and instructed to provide support to young workers to access and utilise the grievance mechanism?

9.5. Is there satisfactory Evidence that the Auditee seeks to ensure that young Workers are properly trained on OHS and have Access to related Training Programmes?



Effectiveness: To verify the effectiveness of the way that the auditee ensures young workers are properly trained on OHS, the auditor should determine if:

Young workers receive occupational health and safety training on the specific risks they face as young workers as well as those related to their specific tasks.

The auditee has documented these trainings, which include:

- Dates, schedule (which should not conflict with schooling or vocational training)
- Content
- Trainer name and qualifications
- Attendance list with attendee signatures



Coherency: Furthermore, the auditor shall evaluate that the overview of all engaged young workers is both complete and consistent with the values and principles of amfori BSCI Code of Conduct.

- Are young workers satisfied with the quality of trainings? Do they understand the specific risks associated with their tasks and how to manage them?
- Are there internal communication channels set up for young workers to report their concerns on OHS? Does the auditee pay particular attention to young female workers?
- Are there any grievances lodged about potential laxity in protecting young workers?
- What are the lessons learned? How are they integrated in the revision of the OHS action plan?
- Are supervisors made aware and instructed to provide support to young workers on OHS?

9.6. Is there satisfactory Evidence that the Auditee has a good Overview of all young Workers engaged in its Production Site?

Effectiveness: To verify the effectiveness of the way that the auditee seeks to have the overview of all young workers engaged; the auditor should determine if:

- The auditee properly understands that young workers are more vulnerable than most workers
- The auditee devotes extra efforts towards monitoring young workers' working conditions
- The auditee has a good overview of young workers' work cycles in the organisation
- Work cycle refers to:
  - The recruitment process
  - Remuneration
  - Hours of work
  - Disciplinary measures
  - Promotion
  - Trainings and termination of employment
- The auditee collects and keeps specific records on young workers

amfori BSCI provides Self-Assessment on Young Workers Data on amfori Sustainability platform, which points to the minimum information needed on young workers.

Such records should be kept in accordance with the national regulations for handling confidential information. See also **Performance Area 13: Ethical Business Behaviour.**

Coherency: Furthermore, the auditor shall evaluate that the overview of all engaged young workers is both complete and consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the person responsible for human resources aware of the number of young workers engaged in the company or producer organisation?
- Does the auditee keep accurate records on young workers? Is the work cycle of young workers understandable from the records?
- Are there examples of young workers' who have received promotions and/or who have faced disciplinary measures?
- Is young workers' remuneration in line with the level of responsibility? Are there specific rules for remunerating apprentices?
- If the auditee claims to have a policy of not hiring young workers, what are the reasons behind it? Is the auditee aware of side effects for having such a policy?
- Are the personal data of young workers handled in a respectful manner?

Documents related to this Performance Area

- Documentation of all trainings given to young workers
- Risk assessment and related action plan with specific measures to protect young workers and young female workers
- Young workers overview records
- Young workers' work cycle overview

Performance Area 10: No Precarious Employment

Precarious work deeply damages societies:

- It leaves workers and communities in unstable and insecure situations
- Precarious workers are found to suffer a higher rate of occupational health and safety issues
- It fortifies gender divisions and worsen the situation of migrant workers

The general conditions of fear and insecurity also dissuade workers from exercising their rights, leaving them even more vulnerable to precarious work arrangements.

10.1 Is there satisfactory Evidence that Auditee Employment Relationships are not precarious for the Workers?

Precariousness can affect both permanent and temporary workers.

Temporary workers: The definition of permanent and temporary jobs (e.g., seasonal) is usually given by law. If this is not the case, jobs that are not considered permanent, where workers are hired on rolling contracts or when workers know in advance they will be out of employment after days, week or months, are considered temporary.

Effectiveness: To verify the effectiveness of the way in which the auditee ensures no precarious employment, the auditor should determine if:

- The employment relationship does not cause insecurity to the worker. These are examples that cause insecurity:
  - Deprive workers from social security
  - Use of seasonal contracts at the expense of providing permanent positions
  - Recruitment and dismissal practices to avoid consolidation of workers' rights
- The auditee monitors that work cycles are respectful to the workers and don't reveal discrepancies or discrimination at any step. These steps are:
  - Recruitment process
  - Remuneration
  - Hours of work
  - Disciplinary measures
  - Promotion
  - Trainings
  - Termination of employment
- The auditee does not use temporary job arrangements to cover workloads that lack pre-determined end dates
- The auditee has specific protocols and systems to monitor and guarantee homeworkers (when relevant) working conditions, well-being, and type of employment arrangements
- The auditee does not use fix contracting based on the marital or pregnancy status of women
- The auditee does not use temporary job arrangements to avoid paying social security or other benefits
- The auditee does not misuse probationary periods:
  - Their duration is according to the law: National legislation often defines the first few months of a new employment relationship as a probationary period. The maximum duration is generally specified in the national legislation
  - Their purpose is to try out the employment relationship for both the employer and the employee. They are normally associated with special periods of notice for termination, while other obligations such as the remuneration and social security provision remain unaffected

Good practices: The auditee defines working conditions and working hours by taking into account workers who are parents or caregivers.

The auditor shall acknowledge these efforts under "Good practices" in the Findings Report. Any other contractual practice that goes beyond legal requirements to create beneficial and secure working conditions shall be acknowledged as good practice.

Please note, in some circumstances using a system whereby temporary workers from local communities are being regularly replaced/rotated is beneficial to communities, as through this approach wealth and skills-building is spread more evenly and equally. If this is the case, auditors must check to ensure the process used to hire workers is fair and not discriminatory.



Coherency: Furthermore, the auditor shall evaluate that the way the auditee ensures no precarious employment is consistent with the values and principles of amfori BSCI Code of Conduct

- Is the person responsible for human resources aware of practices that can potentially make employment precarious? Is this person aware of the differentiated effects and vulnerabilities depending on the worker's gender?
- Does the auditee keep accurate records on workers' work cycles? Is there any indication of an employment practice that could create insecurity?
- Are there any grievances concerning potentially precarious employment practices, including against members of producer organisations, equal accessible for permanent, temporary, agency and homeworkers?
- Are workers and their representatives involved when the auditee defines working hours, training or disciplinary measures?
- Are members of producer organisations made aware of precarious employment issues and advised on recruitment procedures and arrangements?
- Is the role that workers may have as parents or caregivers taken into consideration by the auditee?

10.2. Is there satisfactory Evidence that the Auditee engages Workers based on recognised and documented Employment Relationships?



Effectiveness: To verify the effectiveness of the way that the auditee engages workers, the auditor should determine if:

- The work relation is established in line with the framework that provides the greatest protection to workers:
  - National legislation
  - Custom or practice
  - International labour standards
- The work relation is supported by means of documentary proof that makes the workers aware of their rights and obligations and documented in the local languages of migrant workers. Contracts are one among other possibilities (e.g., posters indicate the working rules)
- The auditee makes additional efforts to ensure workers understand their working conditions, particularly when workers:
  - Have difficulties to read and write
  - Are migrants/foreigners
  - Are hired for a short season or hired orally in line with customs
- The auditee pays particular attention when using recruitment agencies. This includes:
  - Having a good overview on when, how and how much these workers are paid and cross-checking through interviews of workers and data reviews. Close attention is paid to identify potential disparities for women and men workers.
  - Keeping up-to-date records on these workers

Coherency: Furthermore, the auditor shall evaluate that the way the auditee engages workers is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the person responsible for human resources aware of the framework that provides the greatest protection to workers? (E.g., local custom stipulates additional social benefits)
- Are members of a producer organisation made aware of employment frameworks that provide protection to their workers, including seasonal and temporary workers?
- Does the auditee keep accurate records on workers' work cycles?
- What kinds of additional efforts does the auditee make to ensure vulnerable workers understand the terms of their working conditions?
- Are vulnerable workers well-aware of their working conditions?
- Are workers representatives engaged to ensure additional sources of information?
- Are there any grievances lodged concerning potentially unrecognised working relations, including at the level of members of a producer organisation?

10.3. Is there satisfactory Evidence that the Auditee provides Workers with understandable Information before entering into Employment?

Effectiveness: To verify the effectiveness of the way that the auditee provides workers with understandable information before entering into employment, the auditor should determine if information is:

Understandable: The auditee takes necessary measures to facilitate the understanding of information on working conditions. This may require:

- Translation into the language of workers, documented in the local languages of migrant workers
- Audio and visual guidance for disabled workers as well as workers who have difficulties in reading and writing

Accurate: The information refers to rights, obligations, and employment conditions that will effectively apply to the worker upon starting employment. It includes information on:

- Working hours
- Trainings
- Resting periods and holidays
- Remuneration and terms of payment
- Social benefits: parental leave, sick leave, childcare services, health care, etc.
- Grievance mechanism

Timely: The auditee provides the information before initiating the employment relationship

Indirect recruitment: The auditee provides the same necessary information to workers hired through recruitment agencies, labour subcontractors or brokers.

Coherency: Furthermore, the auditor shall evaluate if the way in which the auditee engages workers is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the person responsible for human resources aware of workers' rights and obligations? Does that person explain them in an easy manner? Does the person speak other languages or dialects that can be preferred by workers?
- How are workers who are engaged by recruitment agencies and labour subcontractors informed about their rights and obligations?
- What kinds of additional efforts does the auditee make to ensure vulnerable workers understand their working conditions?
- Are vulnerable workers, including women and migrant workers, well-aware of their working conditions?
- Are workers representatives engaged to ensure additional sources of information?
- Are members of a producer organisation aware of their responsibility to provide workers with accurate information prior to hiring?

10.4. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee does not use Employment Arrangements in a Way that deliberately conflicts with the genuine Purpose of the Law?

Certain employment arrangements may represent an additional risk of undermining workers' rights. This is the case for:

Apprenticeship schemes: when they are not used with intent to impart skills or provide regular employment

Seasonal or contingency work: when they are used to cover permanent workflows that would require hiring workers on a permanent basis

Labour-only contracting when the agent or broker uses its position to undermine the workers' rights

Subcontracting: when it is used to avoid reaching the minimum number of workers that allows the establishment of workers representatives or the right to unionise

Contract substitution: when workers review one contract at any point in their recruitment stage, and then when it comes to signing the contract is different (and often for a different job or pay grade entirely)



Effectiveness: To verify the effectiveness of the way that the auditee uses employment arrangements, the auditor should determine if:

- The auditee understands that these employment arrangements may undermine workers' rights when used in a wrong way
- The auditee uses those employment arrangements in line with the genuine purpose of the law
- The auditee is able to explain the business logic behind its subcontracting practices and demonstrates that workers' rights are guaranteed
- The auditee ensures that there is not a disproportionated number of women under these types of employment arrangements, when relevant. E.g., less women on direct or stable contracting arrangements than men occupying the same job position. Women overrepresented in certain types of jobs that correspond to these types of contracting methods, need special attention and recognition as a vulnerable group.
- The auditee does not use employment arrangements in a way that deliberately conflicts with the genuine purpose of the law. This includes - but is not limited to - (a) apprenticeship or training schemes where there is no intent to impart skills or provide regular employment, (b) seasonality or contingency work when used to undermine workers' protection, (c) labour-only contracting, and (d) contract substitution



Coherency: Furthermore, the auditor shall evaluate if the way that the auditee uses employment arrangements is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the person responsible for human resources aware of the additional risks of these employment arrangements?
- How do workers engaged under these circumstances explain their rights and obligations?
- Are workers' representatives engaged to ensure additional sources of information?
- Are members of a producer organisation made aware of the risks of unlawful employment arrangements?



Documents related to this Performance Area

- Employment contracts and/or posters where workers' rights and obligations are displayed
- Recruitment and dismissal procedures and records
- Overview of subcontractors
- Overview of apprenticeships granted in the company
- Overview of seasonal workers

Performance Area 11: No Bonded, Forced Labour or Human Trafficking

Bonded or forced labour is unacceptable regardless of the circumstances. The utmost must be done so that no form of bonded labour takes place anywhere in the supply chain, on company premises or within the sphere of influence.

The risk of bonded labour is not only determined by the working conditions at factory level, but it can also find its roots in the recruitment process. Workers might be exploited before they even enter a factory by unscrupulous agents. To prevent these issues, the employer must conduct accurate due diligence on the business partners engaged to acquire labour force: recruiting agencies, labour brokers and labour subcontractors.

Types of forced and bonded labour vary between regions. Auditors should be aware of the highest risks in their given region or sector prior to starting the audit.

Special note on prison labour: The most familiar and accurate notion of prison labour is that which provides a form of occupation for convicts. Such labour is not per se a human rights violation, if it fulfils certain conditions. For instance:

- Prisoners offer their labour voluntarily, without being subjected to pressure or the threat of any punishment
- The work is performed under conditions close to a free labour relationship (wage level, social security, OHS) to the extent that prisoners' conditions allow it

This means that if the auditee is using prisoners to work (both directly and indirectly), the auditor shall verify that work is conducted in the framework of national law and the ILO Conventions 29 and 105.

In most countries, prison labour will constitute a zero-tolerance issue and thus trigger the Zero Tolerance Protocol. It will be down to the assessment of the monitoring partner to determine if this is the case. In other countries, such as China, prison labour will always be a zero-tolerance issue.

Monitoring partners should determine if the country of the monitoring is a "sometimes" or an "always" prior to delivering the monitoring.

11.1. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee does not engage in, or through Business Partners, be complicit in any Form of Servitude, forced, state-imposed forced Labour, bonded, indentured, trafficked or non-voluntary Labour?

Effectiveness: To verify the effectiveness of the ways in which the auditee ensures not to engage in bonded, forced labour or human trafficking, the auditor should determine if:

- The auditee exercises due diligence to avoid engaging in any form of bonded labour for own workers as well as for workers recruited through agents or labour subcontractors
- Managers, particularly supervisors and those in human resources, are aware of the defined procedures to minimise the risk of bonded labour
- The auditee takes necessary measures to understand what can be considered bonded labour and which hiring or engagement practices may introduce that risk
- The auditee takes necessary measures to ensure men and women workers have a full understanding of their working and contracting conditions
- Workers shall have valid work permits
- The auditee engagement with the workforce do not include any potential or actual risk of forced labour. For example:
  - Lack of workers' consent to work
  - Intentional cruelty
  - Coercion (e.g., debt bondage, restriction of movement, violence, threats, intimidation or sexual harassments or abuse)

Charging recruiting fees (see Guide 17: How to promote responsible recruitment)

- The auditee does not request workers to leave personal documents or vital possessions
- The auditee does not apply unlawful retention of wages or benefits or illegal deductions
- Workers do not work through any form of servitude (e.g., negotiation of visa, housing, work in exchange for training and education sexual favours in exchange of securing jobs or promotions)
- Workers are granted the right to leave work and freely terminate their employment, provided that reasonable notice is given to the employer, without penalties)
- Workers are allowed to leave the premises after working hours
- If the auditee uses security guards (armed or unarmed), it ensures that they do not keep the workforce under retention and that they received training on how to treat workers preventing issues linked to discipline, harassment, sexual harassment or restrictions on freedom of movement
- Workers are permitted to leave the production site and/or housing in their free time, without having to ask for permission. Security restriction shall be established to protect workers, not to limit their movement
- Workers are allowed to choose accommodation outside of the housing offered by the employer, if applicable

In countries where applicable legislation conflicts with the "No bonded labour" principle (e.g., migrant workers are not permitted to change employer for a given number of years), the auditor will verify that the producer is enforcing adequate measures to prevent the risk of bondage (e.g., provide sufficient information on working conditions before hiring or make known the procedure to interrupt the contract and return to home country).



Coherency: Furthermore, the auditor shall evaluate that the way the auditee ensures not to engage in bonded, forced labour or human trafficking, is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the person responsible for human resources aware of the additional risk of bonded, forced labour or human trafficking, when the auditee uses brokers?
- Does the auditee understand the risks of bonded, forced labour or human trafficking? Does the auditee pay additional attention to avoid the risks?
- Does the auditee understand that bounded or forced labour affects men and women differently?
- Are members of a producer organisation made aware of the risk of bonded, forced labour or human trafficking, and the need to define preventive measures?
- Are workers representatives engaged to ensure additional sources of information?
- Are there any grievances lodged concerning potential bonded, forced labour or human trafficking?
- Is the person responsible for human resources aware of the auditee responsibility to guarantee protection to forced labour victims?

11.2. Is there satisfactory Evidence that the Auditee acts rigorously and diligently when engaging and recruiting migrant Workers both directly and indirectly?



Effectiveness: To verify the effectiveness of the ways in which the auditee acts diligently when recruiting migrant workers, the auditor should determine if:

- The auditee understands that migrant workers, and especially women migrant workers, are more vulnerable than other workers towards ending up in forced labour situations

- The auditee pays attention and vigilance to indirect engagement (e.g., via recruitment agencies, brokers or labour subcontractors)
- The auditee devotes unambiguously attention and potential remediation to the following aspects:
  - Absence of state protection (both country of origin and host country)
  - Debt bondage (e.g., the worker had to pay recruitment related costs or recruitment fee to the agency and she/he lacks transparency on the terms of employment such as deductions and remuneration)
  - Restriction of movement (visa, travel documents or vital possessions are held by the agency or employer. Workers who do not understand the host country language may face more restricted movement)
  - In agriculture, any cultivation organised on a communal basis by virtue of law or custom, is not regarded as compulsory cultivation as defined in the ILO Convention 29 (art. 19.2)



Coherency: Furthermore, the auditor shall evaluate if the way in which the auditee recruits migrant workers is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is the person responsible for human resources aware of the additional risks of bonded labour when engaging migrant workers? Does the person responsible for human resources understand the specific risks and needs of women migrant workers?
- Does the auditee adhere to fair recruitment principles, including Employer Pays Principle and require the same from recruitment partners? Does the auditee take additional preventive measures?
- Are workers able to freely terminate their contracts?
- Are workers' representatives engaged to ensure additional sources of information?
- Are there any grievances lodged concerning the potential violation of migrant workers' rights?

11.3. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee does not subject Workers to inhumane or degrading Treatment, corporal Punishment, mental, physical coercion, verbal and/or sexual Abuse?



Effectiveness: To verify the effectiveness of how the auditee ensures workers do not receive degrading treatment, the auditor should determine if:

- The auditee understands what can be considered degrading treatment
- Workers are not subject to degrading treatment
- The auditee does not tolerate corporal punishment or mental or sexual coercion as part of the auditee's disciplinary measures
- Supervisors are instructed to never punish workers corporally or mentally (including verbal and sexual harassment) and there are consequences if they do so
- The auditee pays particular attention to avoid degrading the most vulnerable workers such as migrants, seasonal workers, young workers, women or pregnant women
- If collective housing is provided, dormitories ensure working conditions that respect workers' dignity. For example:
  - Separate locker for each worker to store personal belongings
  - Separate bed for each worker
  - Separate accommodation for different genders
  - Separate changing facilities for different genders
  - Separate accommodation for different genders
  - Separate toilets for different genders

Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee ensures workers do not receive degrading treatment is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is management, particularly supervisors, aware that punishment or degrading treatment toward workers is not allowed? Do they understand the consequences of contravening this?
- Does the auditee take additional preventive measures to avoid punishing or degrading workers?
- Are workers' representatives engaged to ensure additional sources of information?
- Are there any grievances lodged concerning potential punishment or degrading treatment toward workers?

11.4. Is there satisfactory Evidence that the Auditee has established all applicable disciplinary Procedures in writing and has explained them verbally to Workers in clear and understandable Terms?

Effectiveness: To verify the effectiveness of the way in which the auditee establishes disciplinary measures to workers, the auditor should determine if:

- The employer uses disciplinary measures only when there are concerns about work, conduct or unjustified absence
- Disciplinary measures and procedures are outlined in writing and workers know them and can easily access them. They describe:
  - What kinds of performance and behaviour might lead to disciplinary measures
  - What kinds of measures the employer might take
  - The decision process to take disciplinary measures
- Disciplinary procedures shall include the name of a person who shall help the worker express her/his viewpoint or disagreement with any disciplinary measures (usually from HR or the workers representative)
- Disciplinary measures shall not facilitate a way for the auditee to unfairly take money from workers. Particular attention shall be given to the imposition of financial fees or deductions, which may be illegal (see also illegal deductions under Performance Area 5: Fair Remuneration and Guide 9: How to promote fair remuneration)

Coherency: Furthermore, the auditor shall evaluate that the way the auditee establishes disciplinary measures is consistent with the values and principles of amfori BSCI Code of conduct.

- Are the disciplinary procedures consistent and in line with the law?
- Is there documentary evidence on how they are implemented?
- Are workers aware of the disciplinary measures and do they understand the content and consequences?
- Are the workers representatives consulted and involved?
- Are there disciplinary measures that could represent gender-based or any other discrimination?

Documents related to this Performance Area

- Documentary evidence of trainings given to workers, management and human resources (e.g., list of attendees with signatures, gender breakdown of the attendees)
- Documentary evidence on disciplinary procedures
- Recruitment procedures and records
- Employment contracts including those related to security personnel, cleaning and other services
- Documentary evidence on disciplinary cases and measures taken

Performance Area 12: Protection of the Environment

Setting up environmental policies and procedures reflect business responsibility to observe the law, minimise negative environmental impact and make positive contributions to long-term development. In the context of business and human rights due diligence, the right to a healthy environment cannot be neglected and shall be part of the business due diligence.

12.1. Is there satisfactory Evidence that the Auditee continuously identifies the significant Impacts and environmental Implications associated to its Activity?

Companies should assess the impacts of their operations to prevent or minimise their adverse environmental impact to the surrounding communities, resources and workers in the supply chain.

Effectiveness: To verify the effectiveness of the way in which the auditee assesses its adverse environmental impacts, the auditor should determine if:

- The auditee assesses and determines its environmental impact taking into consideration all processes of the business (whether industrial or agricultural production)
- The auditee establishes plans to minimise its negative environmental impacts, which include goals, corrective measures and monitoring mechanisms
- The auditee integrates into the impact assessment any new processes or newly installed equipment (e.g., this can be seen in adaptations of the remediation plan)
- The auditee has a clear understanding of how surrounding communities, natural resources and workers are affected by its activity
- The auditee has a pre-defined interval for carrying out such environmental impact assessments and appoints staff with the right skills to do so

Coherency: Furthermore, the auditor shall evaluate that the way the auditee assesses its environmental impact is consistent with the values and principles of amfori BSCI Code of Conduct.

- Has the auditee incurred in any penalty or fee as a result of inappropriate environmental management practices?
- Is there a grievance mechanism in place to address the environmental concerns of surrounding communities?
- Is the person in charge of conducting the impact assessment qualified?
- Is there a procedure to ensure impact assessments are regularly conducted?
- Are workers and members of a producer organisation made aware and trained of significant impacts and environmental implications related to their operations?

12.2 Is there satisfactory Evidence that the Auditee has Procedures in Place to ensure Integration of local environmental Law into the Business Model?

Effectiveness: To verify the effectiveness of the procedures, the auditor should determine if the auditee has:

- Internal policies and procedures to incorporate relevant environmental laws
- Made these policies and procedures a visible part of the business or organisational culture
- Mechanisms to ensure:
  - Ongoing identification of environmental legislation
  - Definition of the specific requirements that are applicable to its daily activities

- Identification of sources of information on environmental legislation such as:
  - Specialised sites online
  - Publications issued by industry experts
  - Tailor-made services provided by specialised companies



Coherency: Furthermore, the auditor shall evaluate that the way in which the auditee has developed procedures to integrate environmental law is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is there a grievance mechanism in place to address the environmental concerns of surrounding communities?
- Is the person in charge of drafting the procedure qualified?
- Is the procedure revised regularly?

12.3 Is there satisfactory Evidence of the Auditee's required environmental Permits and Licences?



Effectiveness: To verify the effectiveness of available permits and licenses, the auditor should determine (if):

- The necessary environmental permits and licences, required by law to carry out the specific business activities, are made available and are also valid
- In case the permits and licences are not available:
  - The auditee has undertaken all actions to solicit the relevant licence(s) and/or permit(s) from the competent authorities
  - Additional consideration must be given to any delays that result from the bureaucratic processes of those authorities. If this is the case, documentation to confirm the bureaucratic delay should be made available.



Coherency: Furthermore, the auditor shall evaluate that the auditee's available permits and licenses and/or its efforts to obtain them is consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee understand the importance of having these permits/licenses?
- Are the documents relevant for the business activities?
- Do these permits need to be updated on a regular basis? How often? Have they been correctly and recently validated?

12.4. Is there satisfactory Evidence that Waste is managed in a Way that does not lead to Environmental Pollution?

There are local areas where waste segregation and/or disposal are not managed by public authorities. This may lead to dumping waste into the environment. Even in the absence of national regulations, the auditee shall not dump waste into natural environments or burn it in open fires.



Effectiveness: To verify the effectiveness of the way in which the auditee manages its waste, the auditor must at least evaluate:

- How the auditee manages the waste, including packaging material, chemicals and agro-chemicals containers
- The auditee devotes particular attention to industrially contaminated water, wastewater and hazardous waste
- The auditee has procedures in place to:
  - Identify and separate the type of waste generated (hazardous versus non-hazardous, including packaging)
  - Define any specific handling requirements (e.g., disposal via an authorised agent or designated to a specialised site)
  - Create awareness among workers about the waste generated onsite and the proper way to handle it
  - Avoid dumping waste into natural environments

- Avoid burning waste in open fires
- Dispose of plastics and empty chemical containers without incurring environmental risks or harming humans
- Designate and use areas for the storage and disposal of hazardous waste
- Ensure monitoring and treatment systems for all wastewater generated, in line with relevant laws and permits
- Prevent the discharge of water pollutants and restore water quality



Coherency: Furthermore, the auditor shall evaluate that the auditee's waste management is consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee understand the importance of proper waste management?
- Are the waste management practices relevant for the business activities?
- Are workers aware of the policy and procedures for waste management?
- Are there any grievances lodged about potential irregular waste management by the business?
- Has the auditee incurred penalties or fees as a result of inappropriate waste management practices? If so, what have been the lessons learned?

12.5. Is there satisfactory Evidence that Water is managed in a Way that respects the Environment, particularly but not limited to preserving local Water Sources?



Effectiveness: To verify the effectiveness of the way in which the auditee manages water, the auditor should determine if:

The auditee has mechanisms in place to promote water conservation and water waste reduction. This refers to water used for industrial, agricultural purposes and personal consumption.

Possible mechanisms include:

- Licensed water use (when requested by the applicable law/authorities)
- Proper identification of water springs, rivers, lakes and other water ecosystems / sources in the area
- Documented risk assessments that justify management decisions on water use
- Awareness raising to workers on water waste reduction
- Procedures to use water rationally and reuse it when possible
- Record keeping on the status / health of water sources used and critical issues



Coherency: Furthermore, the auditor shall evaluate that the auditee's water management is consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee understand the importance of proper water management?
- Are both management and workers aware of the local water sources and how they relate to the facility in terms of use, supervision and preservation?
- Are the water management practices in the company or producer organisation relevant for the business activities?
- Are workers aware of the business policy and procedures for water management?
- Are there any grievances lodged about potential irregular water management by the business?

Documents related to this Performance Area

- Environmental risk / impact assessment
- Map identification of water springs, rivers, lakes in the area of auditee activities
- Calculation of the necessary financial and personnel resources to comply with the minimum social and environmental requirements
- Valid certificates and environmental licenses
- Waste management plan
- Water management plan
- Environmental Management policies and procedures

Performance Area 13: Ethical Business Behaviour

13.1 Is there satisfactory Evidence that the Auditee actively opposes any Act of Corruption, Extortion or Embezzlement, or any form of Bribery in its Activities as a Company?

Effectiveness: To verify the effectiveness of the way in which the auditee opposes actively and unambiguously to any act of corruption, the auditor should determine if:

- The auditee identifies the situations and activities where acts of corruption, extortion or bribery are most likely to occur in its business. Particular attention shall be given to procurement, recruitment, administration and request of permits and reception of audits
- The auditee develops and makes available internal policies condemning any act of corruption
- The auditee develops risk assessment procedures and takes active measures to prevent and fight any act of corruption
- The auditee regularly trains workers about the benefits of a work environment free of corruption and actively rewards workers and management's honest behaviour

Particular attention needs to be given to the relations between auditor and auditee as well as between supervisors, recruitment agencies and subcontractors.

Coherency: Furthermore, the auditor shall evaluate that the auditee's ethical and active policies and procedures are consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee have a policy (e.g., amfori BSCI) in place that publicly condemns corruption, extortion and bribery as unacceptable unethical behaviours perpetrated in its business and sphere of influence?
- Does the auditee develop and adopt internal controls, programmes or measures for preventing and detecting corruption, extortion, embezzlement or any form of bribery?
- Which mechanisms does the auditee use to inform and train workers and producer organisation members on the problem of corruption?
- Has the auditee identified where and how the major risks of corruption could occur?
- Does the auditee have procedures in place to investigate and discourage any misbehaviour among the workers, particularly those with decision-making power?
- Does the auditee reward ethical behaviour and integrity among its workers and managers?
- Does the auditee include ethics and integrity in training given to workers and managers or producer organisation members?
- Is the auditee aware of the perverse effects of corruption on its business and society in general?

13.2. Is there satisfactory Evidence that the Auditee keeps accurate Information regarding its own Activities, Structure and Performance?

Record keeping systems provide a solid foundation for filing, tracking and making available information on financial transactions, required documentation and workforce data.

Legal compliance departments should work closely with buyers and other relevant colleagues to ensure all personal information – on workers, business partners, clients and others – is carefully filed. It must comply with privacy laws and standards.

For more information on see Guide 3: How to set up a Social Management System.

Effectiveness: To verify the effectiveness of record keeping on auditee activities, structure and performance, the auditor should determine if the information is:

Accurate: Any information presented by the auditee must be true

Factual: Any claim made by the auditee in terms of its activity must be correct (e.g., production volumes; number of workers; working hours, if hiring is direct or indirect).

Structured: The information on different facilities and the way in which the auditee organises its production sites should be available and clear

Coherency: Furthermore, the auditor shall evaluate that the gathered and filed information is consistent with the values and principles of amfori BSCI Code of Conduct.

- Is there a follow-up on any previously reported audit or government inspection findings?
- Does the auditee disclose the information in accordance with applicable regulations and industry benchmark practices?
- Is there any possible risk of discrimination in the way private information is gathered and filed by the auditee?
- Is there a grievance mechanism where affected individuals or communities could complain against the way the auditee gathers and files information?

13.3. CRUCIAL QUESTION: Is there satisfactory Evidence that the Auditee takes the necessary Measures to not take Part in falsifying Information related to its Activities, Structure and Performance; nor in any Act of Misrepresentation of its Supply Chain?

Falsification, fraud and misinterpretation are purposeful actions intended to cause harm or loss to another party, for one's own direct or indirect gain.

They can relate to:

The auditee's own scope of operations (e.g., invalid or fake business license, not declaring production units, misleading RSP holder or auditor to limit the scope of an amfori BSCI audit)

The auditee's supply chain (e.g., undeclared production or sourcing operations)

Effectiveness: To verify the effectiveness of the auditee's measures, the auditor should determine if the auditee:

- Understands the severity of these unethical business behaviours
- Has a serious and unambiguous commitment to avoid any such behaviour
- Has developed (and maintain) the necessary internal procedures to minimise the risks of falsification or misrepresentation
- Ensures proper investigation and disciplinary measures if any staff behave unethically

The auditor may request data related to productivity, to establish the veracity of production capacity, the need for overtime or the links to other facilities.

The auditor shall follow the amfori BSCI Zero Tolerance Protocol (see Guide 5: How to follow the Zero Tolerance Protocol) if flagrant falsification, fraud or misrepresentation is identified during the amfori BSCI audit.

Coherency: Furthermore, the auditor shall evaluate if the measures to avoid falsification or fraud are consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee understand the importance of avoiding falsification, fraud or misrepresentation?
- How are the unethical behaviours identified? How are they investigated?
- What do workers think about the disciplinary measures taken by the auditee (if any)?

13.4. Is there satisfactory Evidence that the Auditee collects, uses and otherwise processes personal Information with reasonable Care and in accordance with Privacy and Information Security Laws and Regulatory Requirements?

Effectiveness: To verify the effectiveness of how the auditee handles personal information, the auditor should determine if the auditee:

- Collects and processes personal data of individuals with the outmost respect for the individuals' fundamental rights (particularly the right to privacy)
- Applies reasonable care to the personal information of directly hired workers, business partners, customers and consumers in the auditee's sphere of influence
- Pays special attention to the way in which it collects data in order to protect the vital interest of the worker (e.g., medical records)
- Collects and processes personal information in line with the applicable information security laws

Coherency: Furthermore, the auditor shall evaluate if the way the auditee handles personal information is consistent with the values and principles of amfori BSCI Code of Conduct.

- Does the auditee understand the importance of handling personal information respectfully?
- Is the information on workers treated adequately, particularly if they are vulnerable workers?
- Are the records, particularly those with private information, properly filed with the necessary guarantees?
- Are there any consequences for supervisors who fail to treat personal information with respect?

Documents related to this Performance Area

- Business license
- Anti-corruption policy
- Corruption risk assessment
- Procedure for investigation and discouragement of unethical behaviour
- Communications and trainings to promote and reward integrity

amfori
Trade with purpose

amfori BSCI System Manual

Part 4:

amfori BSCI Guidelines for Business Partners

This updated version of the amfori BSCI System Manual aligns with the amfori's 2024 brand guidelines; however, the content remains consistent with the 2022 version. Any updates pertain solely to design and branding elements.

2022



Introduction

The amfori BSCI (Business Social Compliance Initiative) System Manual has been updated in 2022. The audience of this document involves mainly amfori members, their business partners, amfori monitoring partners and monitoring persons. This updated version of the amfori BSCI System Manual consists of four main parts and Guide documents which provide the audience and system users with detailed information.

Each part provides information about business rules and processes of the amfori BSCI System.

Part 1 / explains amfori BSCI due diligence approach and implementation steps in practice together with practical tools and services that amfori brings for its members and their business partners.

Part 2 / targets amfori members, their business partners, monitoring partners and monitoring persons. It provides both an overview of the amfori BSCI's holistic monitoring approach and an explanation of the entire amfori BSCI monitoring process, from requesting and scheduling a monitoring to performing one and following up.

Part 3 / provides amfori members and auditors support in the interpretation of the questions of the amfori BSCI audit questionnaire.

Part 4 / consists of four chapters that provide the business partner with explanation of all relevant documents and guides that amfori BSCI makes available for them and specific guidelines on what is expected in every performance area.

18 guide documents / are developed to accommodate and support amfori members and their business partners in the implementation of amfori BSCI Monitoring Activities: Self-Assessment, amfori Social audits, and Continuous Improvement.

Foreword

This updated version of the amfori BSCI System Manual was published in December 2022. This current version aligns with amfori's 2024 brand guidelines; however, the content remains consistent with the 2022 version. It coexists with relevant documents issued by amfori to date.

The below documents continue to apply as they remain valid:

amfori BSCI Documents

amfori BSCI Code of Conduct (v.2021)

amfori BSCI Monitoring Report Framework (available on the amfori Sustainability Platform)

Coordinated by-laws of amfori a.i.s.b.l.

Easy Guide: The UK Modern Slavery Act

Position paper: New Child Labour Law in India

Guidance Package: Syrian Nationals Working in Turkish Supply Chains

Refugees in Supply Chains: A guide to Risk Identification and Management

Social Dialogue Handbook on Gender

Responsible Purchasing Practices in Times of COVID-19

Guidance for amfori Members' Monitoring of Potential Exploitation Associated with State Imposed Forced Labour

Doing Business Responsibly in Conflict-Affected and High-Risk Areas – a Guidance for amfori Members

amfori's Living Wage Journey: Taking Stock and Setting the Way Forward

amfori BSCI audit interpretation guidelines for Large farms

amfori BSCI audit interpretation guidelines for Small and Small-holder farms

MEMOS for Monitoring Persons and Auditors, please check amfori Website.

MEMO (ACs 2016/03 - 1): Auditing Arrangements under BSCI 2.0

MEMO (ACs 2016/11 - 2): Child Labour Amendment Act in India

MEMO (ACs 2018/05 - 1): Social Insurance and Welfare in PRC

MEMO (ACs 2018/06 - 2): Minimum Content for amfori BSCI Audit Report

MEMO (MPs 2019/10 - 1): Fire Safety in India

MEMO (ACs 2021/05 - 1): Fair Recruitment

MEMO (ACs 2021/09 - 2): Audit Errors

MEMO (ACs 2021/10 - 3): Building & Fire Safety in PRC

MEMO (ACs 2022/01 - 1):Combined Audits Procedure

MEMO (ACs 2023/01 - 1): Audit Durations

MEMO (ACs 2023/01 - 2): Recruitment Fee

MEMO (ACs 2023/01 - 3): Türkiye Building Safety & Earthquake Readiness

MEMO (ACs 2017/03 - 1): Evaluating Double Book Keeping- Turkey

MEMO (ACs 2023/02 - 1): Working Hours

MEMO (ACs 2023/02 - 2): Living Wage

MEMO (ACs 2023/04 - 1): Supply Chain Grievance Mechanism

Contents

1. amfori BSCI Guidelines for Business Partners 5

2. DATA Collection and Management 6

Business partner information 6

Supply chain mapping 9

3. The Benefits of a Self-Assessment 10

The Self-assessment 10

Self-assessments of farms 11

4. amfori BSCI Monitoring Interpretation Guidelines 12

Performance Area 1: The rights of freedom of association and collective bargaining 14

Performance Area 2: The rights of freedom of association and collective bargaining 18

Performance Area 3: The rights of freedom of association and collective bargaining 21

Performance Area 4: No discrimination, violence or harassment 23

Performance Area 5: Fair remuneration 26

Performance Area 6: Decent working hours 31

Performance Area 7: Occupational health and safety 35

Performance Area 8: No child labour 47

Performance Area 9: Special protection for young workers 51

Performance Area 10: No precarious employment 54

Performance Area 11: No bonded, forced labour or human trafficking 57

Performance Area 12: Protection of the environment 61

Performance Area 13: Ethical business behaviour 63

5. Understanding the amfori BSCI Monitoring Report 65

1. amfori BSCI Guidelines for Business Partners

This part of the amfori BSCI System Manual consists of five chapters that provide the business partner with explanation of all relevant documents and guides that amfori BSCI makes available for them and specific guidelines on what is expected in every performance area.

Business partners that sign the amfori BSCI Code of Conduct commit to exercise human rights due diligence and environmental protection in their supply chains and business activities. If a business partner has made its commitment to the CoC, it is most likely because at least one of its clients is an amfori BSCI member or sells to an amfori BSCI member.

Under such business relationships the related amfori BSCI member will request business partners to:

- Sign the amfori BSCI Code of Conduct
- Embed the amfori BSCI Code of Conduct in its business operations
- Be audited and take necessary actions to ensure continuous improvement and address possible human rights violations

Furthermore, the amfori BSCI member will invite its business partners into the amfori Sustainability Platform, and each business partner creates their own profile on the Platform. This allows amfori members to:

- Monitor social sustainability of business partners in a structured methodology and way
- Reduce audit fatigue
- Monitor and support the continuous improvement actions of their business partners
- Access relevant trainings free of charge for their business partner

2. Data Collection and Management

The goal of the amfori BSCI system is to support a culture of continuous improvement within a business.

Business partners are encouraged to create a Social Management System (SMS) to analyse, control, and reduce the negative social impacts of their activities. As part of that system, business partners will need an organised way to gather and keep data and records. For more information see Guide 2: How to set up a social management system.

The business partner should choose a key contact person that:

- Provides information to amfori BSCI members
- Maintains the data in the amfori Sustainability Platform
- Takes the lead on preparing for the amfori BSCI monitoring and following on continuous improvement

If the business partner does not have any data gathering system in place, the amfori BSCI system offers tools and templates to help business partners organise their data in a systematic way.

Business Partner Information

amfori BSCI members ask their business partners to provide a first overview of its business. One way of handling this request is by filling in the self-assessments:

- Company Profile
- Production and Employment Structure
- Certification and Audit Review
- Working Environment
- Remuneration Practices
- Working Hours Form
- Young Worker Data
- Housing Information
- Grievance Mechanism

The self-assessments aim at collecting data on a business partner‘s business operations and practices that impact social sustainability and performance, such as:

1. Company Profile

Business data: Information about location, sector, and products. The business partner must report if it has production or just trading activities.

Business contact details: Contact information and main language(s) spoken. The business partner provides contact details, so its client and the monitoring person can contact.

IMPORTANT: an amfori ID is a unique number generated for every company and individual site on the platform. However, this is an internal number to amfori systems and not a government official identifier. An amfori-ID is linked to one email address: an amfori-ID is registered with one specific email address, the email address of the main contact person of the business partner. It is not possible to use one email address for several amfori-IDs as it will cause problems with the account!

IMPORTANT: If the company or the site information of the business partner changes, such as the company name, address, or classification, then the business partner needs to update the company information themselves under Admin > Company and/or Admin > My Sites.

IMPORTANT: Business Partner relocation: if the business partner moved to another location (physical change of location with a new address), the main administrator of the business partner must add a new site under Admin > My sites and might also change the company information under Admin> My company. More guidance on data management of business partners can be found here. If the change of address is only "cosmetic", without a physical change of location, then the business partner can directly edit the information in the company/site profile.

2. Production and Employment Structure

Production data: Information on annual production volume and unit.

Production calendar: Information on the months when high, medium, or low production activity takes place.

Production structure: Information on the departments and number of workers including with shifts.

Employment structure: Information on total workforce, number of male and female workers, workers categories and migrant worker breakdown.

3. Certification and Audit Review

Certification and audit overview: Information on any valid certificates and audits. These certificates and audits can relate to social performance, environmental performance, and quality performance.

4. Working Environment

Freedom of association: Information on worker organisations and trade unions and representatives.

Collective bargaining agreement: Information on whether there is a valid CBA and benefits agreed in the CBA.

Working hours: Information on days off in the country, legal working hours per week, legal overtime limits per week and per month (if applicable), standard overtime premium rate workday, day off, and national holiday (if applicable) and overtime premium rate on a workday, day off and national holiday.

5. Remuneration Practices

Remuneration Information

Minimum wage: Information on the applicable legal minimum wage and benefits and bonuses as well was any specific industry-specific remuneration system.

Living wage: Information on calculated living wage in local currency together with source of data

This template offers the business partner a tool to understand:

- The local cost of living and its relation to workers' remuneration
- The calculation formula to assess living cost per family

For further information see Guide 9: How to promote fair remuneration.

Regional context information: How people commute to work, the size of an average family, and household sources of energy all contribute to living expenses. Such information may not be readily available, but the business partner can request it from different sources, such as:

- Open discussions with workers and their representatives
- Government (statistics department)
- Local NGOs or community groups

Average monthly family expenses: The business partner estimates the 'family basket,' or living expenses for an average family, using the information collected above.

Situational Descriptions

Describe any situation relevant to social performance (e.g., overtime, accidents, subcontracting, and strikes).

6. Working Hours Form

Working hours form: Information on the working hours per worker to help the business partner identify potential risks for workers' health and safety. Collecting this information shows the business partner's awareness of the potential social risks related to excessive working hours (which could be an indicator of a forced labour situation).

This self-assessment offers the business partner a model for learning how its workforce's hours compare with decent working hours.

The business partner is expected to record weekly working hours for every quarter of the year. This allows the auditee to:

- Identify periods with high activity
- Balance excessive working time over a period of three months

The business partner may start by calculating working hours per department, but eventually determine the figures per worker, to become more aware of how to deal with potential health and safety risks.

7. Young Worker Data

This self-assessment is to collect information on its young workers, as defined in the amfori BSCI Code of Conduct.

Collecting this information shows the business partner's awareness of the importance of guaranteeing special protection to the young workers in its workforce.

The business partner must have a procedure on how to verify the age of workers and a system for collecting this information and whether it employs young workers.

8. Housing Information

This self-assessment is to collect information whether there is any housing provided to the workers directly or indirectly.

9. Grievance Mechanism

This self-assessment is to collect information on grievances that have been filed. Setting up and effectively using a grievance mechanism shows the business partner's awareness of the need for ways to identify social risks such as discrimination, (sexual) harassment, and forms of unethical business behavior.

For information about setting up a grievance mechanism see Guide 3: How to Set up a Grievance Mechanism.

Supply Chain Mapping

On the amfori Sustainability Platform, if the business partner should conduct their own due diligence to understand where the main risks may be in their upstream business partner network, they can use the supply chain mapping tool.

At that point, this process can be followed to bring these business partners into the amfori Sustainability platform.

- The supply chain screen shows the business partner the connection between the company and others with which it is linked.
- Finally, when the connection has been confirmed, and details provided, the business partner will see their company name and a link with an arrow to the business partner name.
- Note that there is no way to select the business partners from a catalogue or list.

A company should conduct their own due diligence work outside the platform to understand where the main risks may be in their business partner network.

3. The Benefits of a Self-Assessment

Compliance with the amfori BSCI Code of Conduct is monitored through amfori BSCI monitoring activities, which target 13 interrelated performance areas (PAs).

Each performance area has a set of questions that amfori BSCI monitoring partners use to assess the performance and due diligence of a business partner when compared to the amfori BSCI Code of Conduct. The same questions can be used by the business partner to:

- Conduct a self-assessment
- Prepare for the amfori BSCI monitoring activity
- Identify and assess social risks
- Develop continuous improvement activities

The Self-Assessment

The self-assessment helps business partners to:

Understand each amfori BSCI performance area

Define possible improvements (regardless of if an amfori BSCI monitoring is due or not)

Since all performance areas are connected, improvements in one performance area will have a positive impact on other performance areas.

The business partner can include the self-assessment as part of its regular cycle of **PLAN-DO-CHECK-ADJUST** to strengthen its ownership of the amfori BSCI continuous improvement process.

The amfori BSCI system provides self-assessments under the monitoring section of the amfori Sustainability Platform. Business partners can start and conduct their own self-assessments. The self-assessment should be conducted by a person who has a good level of knowledge on the amfori BSCI system.

amfori BSCI Self-Assessment mirrors the amfori BSCI audit questionnaire and it allows the potential auditee to fully understand the values and principles of the amfori BSCI Code of Conduct and how to embed them in regular business practice. There are specific self-assessment questionnaires available for farms (see assessment for large farms, assessment for small farms and assessment for smallholders and family farms) on the amfori Sustainability Platform.



IMPORTANT: amfori BSCI Self-Assessments are available on the amfori Sustainability Platform for business partners.

A business partner can prepare for an amfori BSCI audit by conducting a self-assessment, and then using the results to make proactive improvements before the full monitoring takes place.

The self-assessment contains all the same questions as the full, regular, amfori BSCI audit.

The results show percentages, rather than grades and overall rating, as well as findings.

- If a business partner completes a self-assessment, the linked members can view the results. The self-assessment questionnaire offers the business partner the possibility to capture information on the type of evidence it has used to assess its performance:
  - MI: Management interview
  - WI: Worker interview
  - WRI: Worker representative interview
  - DE: Documentary evidence
  - SO: Site observation

For capacity building on the self-assessment process, business partners are encouraged to go to the amfori Academy for specific courses.

Self-Assessments of Farms

A business partner that sources fresh produce from farms is encouraged to:

- Ask these farms to conduct self-assessment (e.g., using the farm assessment templates on the platform)
- Conduct an internal assessment if the farms are too small to do that by themselves

This practice would help the business partner to:

- Have a good overview of the farms delivering fresh produce to it
- Maintain a good management of potential social risks in its supply chains
- Be prepared for an amfori BSCI multi-tier audit

An amfori BSCI multi-tier audit will assess that the business partner (called main auditee) has:

- An effective social management system in place to select and monitor its business partners that are farms
- A credible procedure to support farms in their social performance continuous improvement

4. amfori BSCI Monitoring Interpretation Guidelines

Business partners are encouraged to consult this chapter for any clarification about the way social sustainability and performance are interpreted in the context of an amfori BSCI monitoring.

Questions: To facilitate the search, questions are numbered in the same order as in the amfori BSCI monitoring questionnaire. They are marked as crucial when they have a high impact on the social sustainability and performance of the business partner, which will eventually impact the amfori BSCI monitoring rating. To get further information about the amfori BSCI monitoring rating see amfori BSCI System Manual Part II.

Performance area: Questions are grouped per topic or performance area. At the end of each performance area, there is a list of documented evidence that the business partner is advised to maintain and show during the monitoring. There is also a reminder for business partners sourcing directly from farms.

If the auditor finds flagrant human rights violation during the audit, it will follow the Zero Tolerance Protocol. To understand the repercussions, business partners are advised to read Guide 5: How to follow the Zero Tolerance Protocol.

Interviews: The auditor uses interviews to get information on the business partner's social performance. Management should be ready to provide clear explanations about:

- The organisational chart, division of responsibilities, and communication channels
- The latest investments to improve occupational health and safety and productivity
- The different business partners and how the business selects them and monitors their social performance
- Operational details about:
  - Drafting and implementing policies and procedures
  - Hiring practices, grievance management, and workers' training

Type of monitoring activities: There are four different amfori BSCI monitoring methodologies adapted to the scope of the audit:

The questions reported below apply to:

- amfori BSCI Social Audit – Manufacturing
- amfori BSCI Social Audit – Multi-tier Food: Main auditee (farms are monitored against the dedicated farm audit questionnaires)
- amfori Social Audit – Small Producer Assessment
- amfori Social Audit – Agriculture Large Farm Food

The questions do not directly apply to:

- Companies that meet amfori small producer definition (see Guide 12: How to assess a small producer)
- Farms that produce food and flowers (see interpretation guidelines for large, small and smallholder farms)



IMPORTANT: While most questions require the business partner to take the necessary measures to ensure compliance and due diligence in business activities, amfori BSCI system recognises that a business partner cannot provide "full guarantees" of its performance but can strive to make best efforts to act as a responsible business.

Performance Area 1: Social Management Systems and Cascade Effect

A Social management system (SMS) is the set of policies, processes and procedures that allow a business to manage its social performance through a continuous improvement approach. For more detailed information, see Guide 2: How to set up a social management system.

An effective management system or management system is crucial to ensure that social performance and due diligence processes are integrated into the business operations.

Cascade effect means that a business partner develops and communicates systems, procedures and competences necessary to live up to the amfori BSCI Code of Conduct within its own business culture and promotes it with its business partners. For more detailed information, see Guide 10: How to cascade the amfori BSCI through the supply chain.

Business partners: Businesses connected to business partners by a commercial relationship, including:

- Farms
- Service providers
- Sub-contractors
- Sub-suppliers
- A recruitment agency or partner

1.1 The Auditee has set up an effective Management System to implement the amfori BSCI Code of Conduct

This means that the auditee takes the necessary measures to set up an effective social management system and develop policies, processes and procedures to manage its social performance and due diligence. To that aim, the business partner will recognise:

- The content of the amfori BSCI Code of Conduct
- The importance of social responsibility for its clients
- The benefits of having a social management system in place and how it affects other PAs
- The importance of open communication with customers and stakeholders on its efforts

For detailed information, see Guide 3: How to set up a social management system.

1.2 The Auditee appoints a Senior Manager to make sure the amfori BSCI Values and Principles are followed in a satisfactory Manner

This means that the auditee takes the necessary measures to implement the amfori BSCI values and principles.

This requires the involvement of staff and specifically of a person with sufficient seniority, decision-making power and an allocated budget, to drive the business partner's performance towards the implementation of amfori BSCI.

The appointed person needs to understand:

- amfori BSCI Code of Conduct and amfori BSCI System Manual
- Business and the supply chain mapping
- Significance of business partners to the business partner
- Expectations of stakeholders

In addition, the business partner assigns the staff responsible for:

- Following up on the grievance mechanism and remediation activities, including possible zero tolerance cases
- Human resources, including managing recruiting agencies if applicable
- Ensuring that workers receive training on relevant amfori BSCI values and principles
- Continuous risk assessment of occupational health and safety

1.3 Is there satisfactory Evidence that the Auditee has identified their significant Business Partners and their level of Alignment with the amfori BSCI Code of Conduct?

This means that the auditee takes the necessary measures so that at least the most significant business partners are well-known and assessed against the amfori BSCI values and principles.

Mapping: The business partner shall identify which business partners are significant for its business based on:

- Price, quality, and delivery time
- Volume
- Nature of the relationship
- Level of trust and reliability, including social performance

The auditee must be able to demonstrate to the auditor they have undergone an exercise to map their supply chain and subsequently identify their significant business partners.

The supply chain mapping may include but is not limited to:

- Subcontractors
- Recruitment agencies in a country and foreign migrant workers and both in manufacturing and agriculture audits
- Catering service providers
- Security services
- Suppliers (including contracted farms)

Selection: The auditee creates criteria for choosing business partners that consider their social performance.

Monitoring: The auditee sets up a monitoring system for significant business partners and keeps records of how these business partners manage:

- Their own social responsibility
- Overview on vulnerable workers
- Potential grievances from their own workers

For detailed information, see Guide 2: Supply Chain Mapping of Business Partners.

1.4 The Auditee organises its Workforce Capacity to meet the Expectations of the Delivery Order and/or Contracts

This means that the auditee takes the necessary measures to ensure that unforeseen orders can be handled without harming workforce health and safety.

Controlling and preparing for production reduces unnecessary subcontracting and overtime, which may impact quality and workers' health.

The auditee has control over the production planning when:

- It understands the volume and frequency that it can deliver
- It manages the following factors:
  - Production, quality checks, and delivery time
  - Workforce capacity (working together with workers' representatives and the person in charge of human resources)
  - A contingency plan (in case something slows down or interrupts production)
  - Organisation of overtime according to business needs, with a person responsible for its approval
  - Cost calculation (including overtime premium paid)
  - Growth expectation and human resources needed

1.5 The Auditee monitors how its Business Partners observe the amfori BSCI Code of Conduct

This means that the auditee takes the necessary measures to ensure that its business partners are aligned with the amfori BSCI values and principles.

Preliminary steps: The auditee requests that its business partners:

- Sign the amfori BSCI Code of Conduct (mandatory if the amfori BSCI audit includes a sample of farms)
- Share the amfori BSCI Code of Conduct with their own business partners

- Provide information regarding their social performance (e.g., internal audits, quarterly reporting, social audits, and/or certificates)

Clear procedures: The auditee develops and implements clear procedures to:

- Monitor the social performance of business partners (e.g., internal audits, third party audits, or reporting)
- Train staff that oversees the monitoring of business partners
- Set consequences in case business partners breach trust. For specific details, see the next question

For example, the auditee should decide which circumstances lead to termination of contracts or commercial relations with a business partner due to disregard for workers' rights or unethical business behaviour.

For more information about responsible disengagement of the business relationship: See amfori BSCI System Manual Part 1.

1.6 The Auditee develops the necessary Policies and Procedures to prevent and address any Harm done to Workers in its Supply Chain (gender-based, physically, financially or psychologically)

This means that the auditee takes the necessary measures to ensure a safe and satisfactory work environment.

Workers are often harmed when working rules are insufficient or unclear. The harm may be physical, but also can be gender-based, and/or financial and/or psychological.

Prevention: To deal with these issues, the auditee has methods in place to:

- Conduct risk assessment(s)
- Create steps to prevent and address harm to workers
- Allow workers to file grievances

Remediation: If workers' rights violations are found in the business partner's supply chain, the business partner makes sure it counts on:

- Decision-maker and available means of communication
- Budget and procedures to manage the impact(s)
- System to follow up on remedial actions

1.7 The Auditee Manages its Business Relations in a responsible Manner

This means that the auditee takes the necessary measures to ensure that business relations with other business partners are as responsible as the auditee would like to be treated.

The auditee does not need to stop business or contracts with business partners if they have difficulties in following the amfori BSCI Code of Conduct.

To manage these difficulties, the producer should have:

Communication channels to let the business partners explain their difficulties as well as the actions they're taking to follow the amfori BSCI Code of Conduct

Clear procedures to decide when a contract with suppliers or subcontractors needs to be terminated

Specific clauses in its contracts about the possibility of ending a business relationship or cancelling a contract due to social issues that are not resolved

Documents related to this Performance Area

- Job descriptions that include the implementation of the amfori BSCI system
- Documents describing the production capacity planning
- Evidence that the amfori BSCI Code of Conduct has been given to significant business partners
- Signed amfori BSCI Code of Conduct (if farms are part of the scope of the audit)
- Evidence of business partners' social performance (e.g., quarterly reports, audit reports, and valid certificates)
- Evidence that the person in charge of implementing amfori BSCI is qualified
- Copy of the social policies including human rights policy and procedures to implement amfori BSCI
- Evidence of budget allocated to social performance and improvements

Business partners sourcing directly from farms need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for its business.

Performance Area 2: Workers Involvement and Protection

Workers and their representatives are:

- Involved in a truthful way in communications that relate to their rights, protection, and ability to perform assigned tasks
- Aware of their rights and responsibilities
- Able to access an effective grievance mechanism
- Trained in occupational health and safety issues and able to point out risks and suggest improvements

2.1 The Auditee involves and exchanges Information on Workplace Issues with Workers and their Representatives

This means that the auditee takes the necessary measures to ensure that workers and their representatives feel at ease in providing information on workplace related issues.

The auditee has a system in place so that:

- Management and workers meet on a regular basis to talk about how to improve working conditions
- Minutes of these meetings are taken, kept, and remain available for workers to review
- A workers' representative is elected by workers (including seasonal workers)
- Records on the election process are kept and made available
- The concerns of the most vulnerable workers are taken into consideration (e.g., migrant, women, and young workers)
- Workers' complaints and requests are recorded and followed up on
- Women are able to participate and run in the elections and take place in the workers' committees

2.2 The Auditee defines long-term Goals to protect Workers according to the amfori BSCI Code of Conduct

This means that the auditee takes the necessary measures to ensure workers' protection is long-lasting in the business.

The auditee defines long-term goals together with workers and workers' representatives and has a long-term plan (e.g., 5 years) of how they will follow the amfori BSCI Code of Conduct.

This long-term plan should:

- Include the processes in place for the business that are aligned with the amfori BSCI Code of Conduct to identify, manage, mitigate and eliminate risks
- Have a step-by-step process for making significant improvements
- Involve workers and workers' representatives in a truthful way in defining the goals
- Be written, approved, and followed up on by the appropriate person (or governance body in the case of cooperatives or producers' associations)
- Consider the differing needs of women and men workers, so must be gender-responsive

2.3 CRUCIAL QUESTION: The Auditee takes specific Steps to make Workers aware of their Rights and Responsibilities

This means that the auditee takes the necessary measure to ensure that workers feel engaged and loyal to the business by better understanding their rights and obligations

For this question, business partners need to understand that:

Workers' rights and obligations are defined by:

- Law
- Specific work contracts and job descriptions
- Auditee's workplace rules (as long as these rules abide the law)

Workers' awareness of their rights and responsibilities can be raised by means of:

Organising information sessions (a good starting point, but the sessions need to be integrated with other activities to have impact)

Developing work contracts, working rules, and job descriptions that follow the law and are clearly communicated to workers

Creating effective communication channels with workers

Ensuring that workers receive a copy of their contracts

Organising regular training by qualified person(s) on:

- The use of personal protective equipment
- Health and safety issues that focus on the work environment
- The procedure and use of a grievance mechanism
- Any other topic that may have been identified as awareness is needed such as gender equality, gender-based violence and harassment and so on.

Workers' regular trainings shall be documented, and recordkeeping should include: names, gender and job titles of the participants, dates, content of the material, and qualification of the trainers.



IMPORTANT: Trainings are mandatory for any new worker (even if they have been hired through a recruitment agency). Migrant workers need to be trained and must receive a version of the work contract in a language they understand. In some cases (e.g., illiterate workers or migrant workers that don't speak the local language) workers should be informed of their rights and obligations in other ways (e.g., posters with pictures and/or with simple written words).

2.4 The Auditee builds sufficient Competence to successfully embed responsible Practices in the Business Operation

This means that the auditee shall gain knowledge and skills to become more capable of integrating responsible practices into business operations. To that aim, the producer makes sure that:

- Workers, workers' representatives, managers and other decision-makers are regularly trained on due diligence and social management processes and can describe them clearly.
- Management regularly receives:
  - Informative sessions on the amfori BSCI Code of Conduct
  - Specific training for workers responsible for human resources, occupational health and safety, and grievance mechanisms
  - Feedback on the amfori BSCI monitoring results and follow-up
  - Training materials related to the amfori BSCI Code of Conduct content

The recordkeeping on training (see previous question) will also support this one.

2.5 The Auditee establishes or participates in an effective Grievance Mechanism for Individuals and Communities

This means that the auditee shall create and use a grievance mechanism that allows all stakeholders (including local communities and workers-especially vulnerable workers) to make suggestions or complaints related to auditee's actions that may have impacted workers' or communities' rights.

Grievance mechanism can also help preventing harmful incidents from happening.

Creating an internal grievance mechanism, or joining an existing external one, are both effective options.

To learn more about this topic see Guide 4: How to set up a grievance mechanism.

The written procedure for the grievance mechanism shall define:

- The person who is responsible for managing it
- When the grievance mechanism is internal, and/or whether the complaints processing body is gender balanced in its composition
- Potential conflicts of interest and how to overcome them (e.g., a grievance against the person who manages the mechanism)
- Timelines for responding to grievances
- Processes for appeals and escalation (with additional guarantees that the producer will address the grievance)
- Communication processes to make sure that workers and community members can use the grievance mechanism (including workers' representatives and seasonal, migrant, temporary, young, and female workers)
- Alternative ways for filing a complaint (e.g., through a workers' representative or directly to the management)
- A system for keeping the records of submitted grievances, including how they were investigated and handled
- Regular surveys to learn if users are satisfied with the grievance procedure

Documents related to this Performance Area
Documented evidence of the workers' representative election process
Documented evidence of regularly scheduled workers' meetings
Records of agreements with workers' representatives
Employment contracts including those related to security personnel, cleaning and other services, particularly recruiting agencies or brokers if relevant
Job descriptions that are aligned to the amfori BSCI values and principles
Documented workplace rules
Evidence of a training calendar for workers and management
Documented evidence of training given to workers, management, human resources (e.g., list of attendees with signatures, gender breakdown of the attendees), etc.
Documented evidence that trainers are qualified
Documented evidence of grievances filed and investigated (see Self-Assessment Grievance Mechanism on the amfori Sustainability Platform)
Long-term goals documents

Business partners sourcing directly from farms will need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for the business partner's business.

Performance Area 3: The Rights of Freedom of Association and Collective Bargaining

The business partner enables workers to approach management for discussing and negotiating better working conditions. The business partner respects the rights to:

Freedom of Association: The right of workers to form and join organisations of their own choosing is an integral part of a free and open society. An open and trustworthy dialogue between the management and the workers is the first step towards freedom of association and collective bargaining

When operating in countries where free and democratic trade union activity is unlawful or prohibited, the auditor and auditee will acknowledge the fact that workers are still allowed to freely elect their own representatives

Collective Bargaining: Collective bargaining is the process used by trade unions or workers' representatives and employers to negotiate the provisions that reflect the terms and conditions of employment for workers. It confers to them their rights, privileges and responsibilities

Freedom of association is a separate right from collective bargaining, and it can be exercised even when there are no trade unions present. The legitimacy of both the collective bargaining process and collective bargaining agreement is questionable when the essential right of workers' freedom of association is not respected

Restriction of workers' organisation:
A company or producer organisation that restricts workers' rights to join an organisation or a union, or to associate freely, is very unlikely to maintain good labour practices

3.1. The Auditee respects the Right of Workers to form Unions – or to refrain from doing so, – without distinction whatsoever and irrespective of Gender in a free and democratic Way

This means that the auditee takes the necessary measures to ensure that workers feel engaged and loyal to the business by better understanding their right to form unions.

The right of workers to form and join organisations of their own choosing is necessary for a free and open society. Even in countries where trade union activity is unlawful, the auditee should allow workers to freely elect their own representatives.

The auditee has, and follows, a clear policy **NOT** to:

- Keep workers from participating in the activities of unions or other workers' organisations
- Discourage or get involved in the process of electing workers' representatives
- Harm workers who participate (actively or passively) in the election of workers' representatives

3.2 CRUCIAL QUESTION: The Auditee respects Workers' right to bargain collectively without Distinction whatsoever and irrespective of Gender

This means that the auditee encourages collective negotiations on the terms of employment. The auditee ensures that the stipulations contained in the collective bargaining agreement:

- Are available to workers, both women and men workers
- Are integrated into employment contracts in the languages which workers can understand
- Apply to workers in the same category

3.3 The Auditee does not discriminate against Workers because of their Trade Union Membership

This means that the auditee puts into practice a clear policy **NOT** to:

- Discriminate against candidates for a company position because of their connection to a trade union
- Give more nor less benefits to workers because of their connection to trade unions
- Fire workers for being unionised

3.4 The Auditee does not prevent Workers' representatives from accessing or interacting with Workers in the Workplace

This means that the auditee understands that:

- Workers' representatives can meet with workers during working hours in agreement with the law
- The time workers spend meeting with workers' representatives cannot be deducted from workers' remuneration
- Workers' representatives are independent of management
- Workers' representatives should be trained to perform their duties

Documents related to this Performance Area
Documented evidence of the workers' representative(s) election
Collective bargaining agreement (if applicable)
Minutes or documents from meetings that led to the collective bargaining agreement (if applicable)
Recruitment and dismissal procedures and records (hiring and firing workers)



Business partners sourcing directly from farms will need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for the business partner's business.

Performance Area 4: No Discrimination, Violence or Harassment

Discrimination is an unjust or prejudicial act and or practice based on certain characteristics of people in the organisation such as race, age or sex, among others. (See more grounds of discrimination, harassment and violence in the amfori BSCI Code of Conduct)

Violence and harassment are a range of unacceptable behaviours and practises, or threats as defined in the ILO Convention 190. In accordance with amfori BSCI CoC values and principles, amfori members and their business partners commit to ensure that workers are not subject to any form of violence, harassment, and inhumane or degrading treatment in the workplace, as well as threats of violence and abuse, including corporal punishment, verbal, physical, sexual, economic or psychological abuse, mental or physical coercion, or other forms of harassment or intimidation.

Discrimination, violence and harassment in the workplace can take different forms such as:

- Restricting verbal and/or physical freedom (e.g., going to the toilet)
- Providing poor living conditions and denying water and food
- Intimidating or ignoring a worker
- Abusing a worker verbally and/or threatening workers with violence
- Treating a worker unequally on purpose
- Preventing a worker from benefits (e.g., promotion)
- Management practices with elements of structural violence
- Harassing a worker in the basis of gender

In some cultures, discrimination may be very subtle or embedded into cultural values. However, the bottom line is that discrimination is unacceptable and denies people opportunities on the basis of prejudices. Similarly, any act of violence and harassment is unacceptable and denies people opportunities just based on prejudices

4.1 CRUCIAL QUESTION: The Auditee takes the necessary Measures to avoid or eradicate Discrimination, Violence and Harassment in the Workplace

To avoid discrimination and prevent violence and harassment in the workplace, the auditee makes sure to:

- Give equal opportunities to its workers and not use reasons that could be considered discriminatory when:
  - Hiring
  - Doing any daily activities in the workplace
  - Firing
  - Promoting or offering training opportunities (For example, practices such as running health checks including pregnancy tests, to determine if a worker is promoted, hired, fired or eligible for training, are discriminatory.)
  - Paying social benefits
- Pay careful attention to avoiding discrimination, to preventing violence and harassment against vulnerable groups like disabled workers, pregnant women, young workers, or migrant workers
- Pay attention to potential discrimination, violence and harassment between workers in its workforce
- Discourage discriminatory behaviours, violent and/or harassing actions particularly when workers are hired, promoted, fired, or assigned benefits
- Follow up on the improvements
- Guarantee equal pay for work of equal value regardless of gender, marital status, pregnancy, or parental leave
- Ensure that workers with family responsibilities are treated in the same way as other workers and can access the same benefits and have the same working and contractual conditions

- Build effective grievance mechanisms and channels for workers to report any discriminatory practice in the workplace

To end discrimination, violence and harassment in the workplace, the auditee strives for:

Law assessment: the auditee recognizes and acts on the gaps and discriminatory practices that can exist in the national and local law affecting the ability of the different individuals or groups to work.

Internal assessment: Conduct an internal assessment on the most frequent grounds used for discrimination as well as the most common activities through which discrimination may occur (e.g., hiring process, advertising and hiring, interview selection, interview questions, and contract termination. This assessment should include a trend and workforce composition analysis that allows a comprehensive understanding of the situation of the different individuals/groups within the organization, to identify possible structural discriminatory practices).

Root cause analysis: Learn and accept the root causes of discriminatory and harassing behaviours and violent acts is the only way to be able to design solutions that can truly end the problem.

Policy: Draft and enforce a policy to discourage these kinds of behaviours and follow up on the improvements



IMPORTANT: Virginity tests and the use of contraception, or equivalent practices, are forbidden as requirements or preconditions for workers' hiring, promotion, access to training, or any other social benefits. The auditee pays attention to the different needs and realities of the different groups, avoiding implicit discrimination. For example, the auditee does not run trainings in locations and at times that will be difficult for people to attend due to their household responsibilities or safety concerns.

4.2. Is there satisfactory Evidence that the Auditee takes the necessary preventative and/or remedial Measures to ensure Workers are not disciplined, dismissed, harassed or otherwise discriminated against because of their Complaints against Infringements of their Rights?

This means that the auditee makes sure that workers feel free to use the grievance mechanism without fear of reprisal.

The producer regularly:

- Gets lessons learned from all grievances submitted through the grievance mechanism and how they were handled
- Informs workers on the improvements made thanks to some or all grievances
- Conducts grievance satisfaction surveys
- Trains managers and workers on how to get the best out of a grievance mechanism

All these activities shall be recorded so they can be verified during an amfori BSCI audit.

4.3 The Auditee takes the necessary preventative and/or remedial Measures so Workers are not harassed or disciplined on Grounds of Discrimination as listed in the amfori BSCI Code of Conduct

This means that the auditee makes all efforts and investments to avoid that workers are hurt because of their gender, race, religion etc.

These efforts include that the producer ensures:

- They do not use disciplinary measures that are against the law or infringe on the rights of workers or employees
- Workers and their representatives are consulted on disciplinary actions and how they should be enforced
- Regular training to managers and workers on the disciplinary actions that can be applied in the workplace
- Training to managers and workers on the risks of discrimination and how to overcome them

- They have established disciplinary procedures in writing and explain them verbally to workers in terms and language which they understand. The procedure ensures there are no biases, including gender-biases, across all workers on the identification and treatment of preventive and/or remedial disciplinary measures
- They are well-informed on what the national legislation states about which disciplinary measures are legally accepted and which are not
- They understand disciplinary measures cannot be against the law
- They maintain gender-disaggregated records on disciplinary incidents, including the type of incidents (i.e., gender-based discrimination) and gender-disaggregated track of disciplined workers
- They have established disciplinary procedures in writing and explain them verbally to workers in terms and language which they understand

Documents related to this Performance Area
Documented evidence of disciplinary procedures
Documented evidence of disciplinary cases and the measured taken
Documented evidence of workers' performance assessments and procedures
Documented evidence of grievances filed/ investigated (see Self-Assessment Grievance Mechanism on the amfori Sustainability Platform)
Work contracts or agreements, including with recruitment agencies
Documentary evidence on hiring and promotion processes
Letters of dismissal e.g., if letters showed that there were dismissals due to family responsibilities, this could be discriminatory (If available)
Pre-signed resignation letters (If available)

Business partners sourcing directly from farms will need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for the business partner's business.

Performance Area 5: Fair Remuneration

Fair remuneration means that workers are to be paid:

- Following minimum wage regulations established by law or in collective bargaining agreements as the minimum reference for 48 hours weekly working time
- Timely, regularly, stable and fully in legal currency (in-kind payment shall be above minimum wage)
- Reflecting the skills and experience of workers
- Including mandatory social benefits
- Having only the deductions allowed by law

For better understanding of these concepts, see Guide 9: How to promote fair remuneration. For information on minimum legal wage and standard working hours, see the ILO country data.

5.1 CRUCIAL QUESTION: The Auditee complies with the Government's minimum Wage Legislation, or the Industry Standard approved through collective Bargaining (if applicable).

This means that the auditee applies the relevant regulations (e.g., national or industry standard) to all workers, regardless of how they have been hired.

The auditee will make all efforts to:

- Know the minimum wage or industry standard that applies to its sector
- Not pay any worker below the minimum amount or standard
- Pay above the minimum to those workers that due to their seniority or skills are entitled to receive higher benefits
- Keep pay slips for at least the 12-month period before the date of the amfori BSCI monitoring

The auditee will dedicate special attention on the way payment is done to:

Part-time workers: The part time workers are paid at least minimum wage

Piece-rate workers: The number of pieces produced in eight hours should amount to no less than the minimum daily wage or living wage as defined by law. The auditee calculates the quota for piece-rate workers in line with standard working hours

Workers in the probationary period: Paid according to the law

Workers hired through agencies: The auditee is aware of and keeps records on how, when, and how much the agency pays these workers

In a cooperative: The auditee is aware of the by-laws or internal regulations clearly specify how workers and how the cooperative's members are remunerated and when. The auditee respects and documents any specifications on loans and possible advance payments and those are approved in a General Assembly by the majority defined in the by-laws

5.2 Wages are paid in a timely, regular and stable Manner, and fully in legal Tender

This means that the auditee makes sure that wages are paid in the local and valid currency, that payments occur at the time that has been agreed and with a frequency that allows workers' planning.

The auditee pays workers:

Timely: As agreed upon and communicated to workers prior to their hiring

Regularly: Workers can plan and make use of their earnings, because they know when payment is due

Transparent: Workers receive a payslip with the details of their wages for the pay period

Stable: Wages remain approximately at the same level month to month or week to week, allowing workers to plan and budget

Fully in legal tender: Standard working hours are to be paid in the local and legal currency

The auditee can only pay workers "in kind", any benefit that:

- Goes beyond standard working hours earnings
- Does not represent a breach of law, goes against morals or against public and private health (e.g., it is not allowed that in-kind contribution is done in alcohol or other drugs)

For workers hired through agencies:
The auditee is aware of and keeps records on how, when, and how much the agency pays these workers.

The auditee calculates the cost of transportation and housing given to workers and has a written policy on how these free services are included in the remuneration.

Personal protective equipment and other tools given to workers to perform their tasks are not part of the payment and should never be deducted from worker's salaries.

The auditee respect and document the specifications on loans and possible advance payments (if applicable). The auditee should ensure that payment takes place timely, regularly, stable and in legal tender even if done indirectly by the recruiter.

The auditee can demonstrate that they pay their labour brokers or recruitment agencies enough per worker per hour to cover:

- Minimum wage
- Any other benefits
- Any administrative costs for the broker or agency

5.3 The level of Wages reflects the Skills, Seniority, Responsibilities and Education of Workers

This means that the auditee recognises that skills can be developed through both education and experience. Many skills are not proven by having an official diploma and yet they represent such an asset for the producer that workers with those skills are rewarded accordingly.

Workers' skills, seniority, responsibility and education are taken into consideration:

- In the hiring process
- When assigning salaries
- When assigning tasks

Having a highly skilled worker receiving a low-skilled worker salary is not acceptable and it may be a sign of discrimination or a practice against the law.

The auditee makes sure that:

- Job descriptions are available with lists of the kinds of skills required to perform the jobs
- Human resources and supervisors are trained to assess workers' skills
- Regular trainings are provided to strengthen workers' skills
- People in charge of doing occupational health and safety risk assessments are consulted to determine the types of skills needed for each job
- They have a skills matrix or similar with which they rank skills against salary brackets and which they use to determine promotions and pay of workers (note, in some countries, skills matrices are produced by competent authorities)

5.4 The Auditee provides sufficient Remuneration that allows Workers to meet a decent Living Standard

This means that the producer (auditee) takes all necessary measures to ensure that workers can meet a decent standard of living.

Fair remuneration concerns all workers regardless of if they are:

- Permanent or seasonal
- Directly or indirectly hired

The business partner may use self-assessments to estimate the living costs in its region and determine whether its remuneration practice covers this. This will be acknowledged by the auditor as a good practice.

amfori encourages members and their business partners to reference Anker Methodology in the calculation of living wage.

If there is a gap between the cost of living and workers' wages, this information should be considered in future wage negotiations.

Total remuneration includes:

- Wages paid for up to 48 standard working hours (or whatever the maximum standard hours are according to local law)
- Social benefits including maternity and sick leave
- In kind benefits and bonuses
- Subsidised or free transportation
- Subsidised or free-living space
- Subsidised or free canteen services
- Subsidised or free childcare services
- Subsidised or free health services
- Opportunities for education or training

Remuneration does not include the cost of:

- Uniforms
- Personal protective equipment (Note that, in some cases, poorer quality PPE is provided for free, and workers can purchase higher quality PPE if they choose to do so. This is not good practice; all PPE should be task-appropriate, of an adequate quality and provided to workers free of charge by the employer.)
- Training that is mandatory as part of the job requirement (e.g., occupational health and safety training)
- Any tool essential to conduct the job

5.5 The Auditee provides Workers with the social Benefits that are legally granted without negative Impact on their Pay, Seniority, Position, or Promotion Prospects

This means that the producer auditee takes all necessary measures to ensure that workers get the social benefits that they are legally granted

National law: National law defines the mandatory social benefits given to workers (both women and men) in that region.

The auditee pays social benefits to all workers regardless of if they are:

- Seasonal workers
- Paid based on productivity
- Migrant workers or any other vulnerable group of workers
- Women or men

Mandatory social benefits usually are:

- Old age pension
- Survivor's benefit
- Family benefits and parental leave
- Medical care
- Unemployment
- Sick leave
- Disability
- Work-related injury compensation
- Vacations

Collective bargaining agreement: A collective bargaining agreement must be respected.

Commercial insurance: In some countries, the producer may sign up for commercial insurance to cover at least some of the social benefits (usually work-related injury and health) and use these commercial insurances to replace (fully or partially) the government programme.

The producer will need to explain this approach during the amfori BSCI audit and be aware that if the workforce is insured only with private insurance, but the country's legislation does also require contribution to the public scheme, the auditor will evaluate this question as "partially" covered.

Exceptions from social benefits: The producer may have been granted exceptions from social benefits. Such exceptions shall be:

- Issued by the legal authority (usually government department)
- Valid for the current period
- Applicable for the producer (e.g., identified by business licenses or similar)
- In agreement with the procedures of the business

The producer should make available the original document(s) that prove these exceptions.

Good practices: If the producer provides commercial insurance in addition to the minimum social benefits required by law, the auditor shall acknowledge it under 'Good Practices' in the findings report.

5.6 CRUCIAL QUESTION: The Auditee ensures that Deductions from Wages are only taken under the Conditions and to the extent prescribed by the Law

This means that the auditee cannot apply deductions to workers' wages if they result in:

- Workers earning less than the legal minimum wage
- An economic benefit for the producer
- A form of discrimination

Training sessions: Workers cannot have deductions in wages or working hours because of the time they are in required meetings, training sessions, or other workplace situations beyond their control. Instead, the employer assumes responsibility for these situations (e.g., a machine used by a worker is under repair and the lost time negatively impacts her/his productivity).

Closure of production site: If the business partner's production site is going to be closed for repairs or reconstruction, the business partner must let the workforce know in advance when it will be closed. This communication must be done with the support of the workers' representative to make sure all workers' rights are respected.

Objects or services: Deductions cannot be made for the use of objects, buildings, or services that are directly necessary for doing the work.

That includes entry fees and charges for the use of:

- Tools and machines
- Sanitary facilities
- Drinking water
- Washing facilities
- Protective clothing for workers

Deductions are not made to cover the costs of documents and permits required to perform the assigned employment such as:

- Work permits
- Visa and renewals
- Legally required security clearance or health tests

Use of the services offered by the auditee must always be voluntary

Deductions are not made when using legal social benefits such as sick leave, parental leave, or any other type of legal leave that mandates to be paid by the law.

Deductions are not made without the explicit consent of the worker, who always needs to be first consulted to understand the reasons. Only then could she/he choose to give consent or not.

Market rate: Deductions for services offered by the producer (e.g., transportation or food) are charged at local market rates or lower. These services must always be voluntary for workers to use.

Disciplinary measures: Deductions for disciplinary actions can only occur under the conditions specified by law or the conditions defined in a freely negotiated and established collective bargaining agreement.

Documents related to this Performance Area

- Documented evidence of legal deductions for goods and services
- Documentation of legal minimum wages relevant for the sector
- Documented collective bargaining agreement
- Pay slips for workers-gender-disaggregated and documented evidence of payments
- Completed fair remuneration calculated based on the self-assessment
- Auditee's contracts with labour subcontractors and service providers including recruiting agencies or labour brokers
- Personnel data files for all workers (including seasonal workers)
- Documented evidence of additional benefits (commercial insurance if applicable)
- Documented evidence of updated contributions to social insurance funds
- Lists of wage ranges and calculations including for piece rate workers

IMPORTANT: All data collected should be segregated and analysed by gender.

Business partners sourcing directly from farms will need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for the business partner's business.

Performance Area 6: Decent Working Hours

Decent working hours include following elements:

- Working hours not exceeding 48 hours a week and 8 hours a day
- Overtime according to legal limits and paid at premium rate
- Right to resting break in every working day
- Right to one day off in every seven days

Permanent and temporary exceptions may be allowed by national law for specific industries or production seasons.

Particular attention is to be paid to:

- Production peaks due to seasonality, not forecasted orders or perishability of the product
- Task rate and piece rate workers for overtime limits and payment
- Vulnerability of young workers, pregnant women, migrant workers, and night shift workers

Excessive (above 48hrs/week) or extreme (72hrs or above per week) working hours are often illegal and dangerous to workers; health, as well as having an impact on efficiency and productivity.



IMPORTANT: In some countries, working hours are not regulated or companies can buy exemptions from local or national governmental authorities to increase work hours legally. Where this is the case, ILO conventions on working hours should be followed first.

6.1 The Auditee does not require more than 48 standard working Hours per Week, without Prejudice to the Exceptions recognised by the ILO

This means that the auditee ensures that working hours do not exceed:

- 48 standard hours per week
- 8 standard hours per day

The producer may apply some exceptions foreseen by the law, related to the following circumstances:

Management: Supervisory or management positions may need to work more than 48 hours per week or more than 8 hours per day

Custom: The law, custom or agreement may define that workers can work less than 8 hours in one or more days of the week. In these cases, the remaining days of the week can then be extended to 9 hours, provided that 48 regular working hours per week remains the maximum

Shifts: Workers employed in shifts may work for more than 48 hours per week or 8 hours per day, if the average number of working hours over a period of three weeks or less does not exceed these limits

Family: Family members running their family business may work more than 48 hours per week or more than 8 hours per day

Special regime: Workers subject to a special regime, defined by the local laws (e.g., security guards often don't have to follow regular legal requirements regarding working hours)

These exceptions make the daily and weekly limits for hours more flexible. However, average working hours within three months or less shall not exceed 48 hours per week.

If the excessive working hours are compensated in time within those three months, they will not be paid premium.

IMPORTANT: In agricultural works, the 48 standard working hours per week and above-mentioned expectations are to be considered recommendations. However, it will need to be understood that the specific nature of agricultural production may require more flexibility in working hours.

6.2 CRUCIAL QUESTION: The Auditee request of Overtime is in Line with the Requirements of the amfori BSCI Code of Conduct

This means that the auditee will only request workers to work overtime under conditions that respect the amfori BSCI Code of Conduct.

In this context, the producer shall be aware of the law that applies to its industry:

Overtime:

- It is any working hour in addition to the regular hour limit. In countries where legislation sets the limit below 48 hours per week (e.g., 40 hours) any additional working hour is considered overtime
- It must be paid in a premium rate, which cannot be less than one and one-quarter times the regular rate
- Asking workers to work overtime will never significantly increase the likelihood of occupational health and safety hazards

The legislation of its country will most likely define:

Temporary exceptions that allow additional working hours (e.g., force majeure, accident risks, or actual and urgent work to be done to machinery)

Overtime limits per day, week or month (e.g., maximum three hours per day)

Premium pay rates that apply to overtime (e.g., 1.25 more than a regular working hour)

Type of working processes that must be done in continuous shifts because of their nature and receive a permanent exception (e.g., national law allows two shifts of 12 hours per day instead of three shifts of eight hours per day)

Written procedure on overtime: Particularly regarding temporary exceptions, the producer shall enforce an internal procedure that:

- Has been approved by a worker representative and management
- Defines how many hours a worker may work daily, weekly and monthly during an exceptional period
- Defines the premium rates applicable to overtime for different days and circumstances
- Respects any other criteria defined by national law

When drafting these procedures, workers' representative and management shall make sure of the points below:

No discrimination: Temporary workers, migrant workers, and piece rate workers are not always being the ones requested to work overtime

No accumulation of fatigue: Overtime should be well balanced with resting periods

Special protection is granted for young workers, pregnant women, and night shift workers

Legal permanent exceptions: If the producer belongs to a type of industry which is covered by a legal permanent exception, the producer must keep updated documented proof of the agreement that describes the legal exception

This agreement must have force of law and define:

- Type of exceptions
- Categories of affected workers
- The maximum additional working hours in each case
- The premium rate for overtime: at least 1.25 more than the rate for regular hours

To sum up, overtime shall be:

Voluntary: Overtime always needs to be voluntarily agreed upon, except in cases of temporary exceptions (e.g., force majeure), which must be described in the employment contract

Opt-in: Overtime should be opt-in rather than opt-out. In circumstances where opt-out mechanisms are used, these should be explained and have a clear and coherent rationale

Exceptional: Overtime cannot be repeatedly added onto regular working hours, but to respond to an exceptional unforeseen situation

No risks added: Overtime shall not significantly increase the risk to workers' health and safety

Premium paid: It is paid at a premium rate as defined by the law. Overtime occurring during official holidays and/or weekends may have a higher premium rate

Corrective measures: Certain measures can be implemented to reduce excessive overtime:

- New technologies to improve production efficiency
- New production techniques
- More skilled and qualified workers
- Improvement in logistics (e.g., coordination and planning)
- A conversation with clients about delivery time expectations

6.3 CRUCIAL QUESTION: The Auditee grants Workers the Right to resting Breaks in every working Day

This means that the auditee ensures that workers benefit from:

Short breaks: Workers are allowed to take short breaks during working hours, especially when the work is dangerous or monotonous, to enable workers to stay alert. A short break should last a minimum of 15 minutes. Numbers of break will vary depending on the job type and shift length.

Good practice typically recommends two 15-minute breaks and one lunch break during an eight-hour shift

Meal and toilet break: Workers are allowed to take the necessary time for meal and toilet breaks according to the law

Night rest: Workers working during the day are allowed at least eight hours of night rest within a 24-hour period

Adequate areas: Workers have access to effective resting break areas that include the following:

- Access to ventilated areas
- Accessible toilets and in sufficient numbers that workers don't have to, for example, spend their whole break waiting in line
- Possibility for changing the physical position (either sitting down or standing up)

6.4 CRUCIAL QUESTION: The Auditee grants Workers the Right to at least one Day off every Seven Days

This means that the auditee understands that workers need to rest to be able to be productive and management grants workers one full calendar day off every seven days, unless the freely negotiated collective bargaining agreement or national law defines otherwise.

Full calendar day: The producer respects relevant regulations for days off. The days off shall be full calendar days and should follow national law or custom. Promotes working hour practices that enable a healthy work-life balance for the workers

Documents related to this Performance Area
Documented working rules
Pay slips for workers and documented evidence of payments
Documented evidence of the legal permanent exception covering the business partner's industry
Records of hours worked by all workers
Documented overtime procedure including agreements with workers
Documented records of accidents

Business partners sourcing directly from farms need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for its business.

Performance Area 7: Occupational Health and Safety

The performance of a business in occupational health and safety (OHS) is assessed in four aspects:

- Compliance with regulations
- Risk assessment
- Training of workers
- Procedures and equipment to ensure OHS

The business partner must be able to explain and provide documented evidence of its processes and procedures to ensure that OHS regulations are respected.

Imminent risks to workers' health and/or lives identified during the audit will cause the auditor to trigger an alert according to the amfori BSCI Zero Tolerance Protocol.

amfori BSCI recognises GlobalGAP certificates as equivalent to performance areas 7 and 12 (OHS and Protection of the Environment).

This recognition is valid ONLY for the amfori BSCI Social Manufacturing scope. Therefore, it applies to:

- amfori BSCI one-site audits
- The main auditee in amfori BSCI multi-tier audits

The recognition is valid if the auditee holds a GLOBALG.A.P. certificate all farm-based, crop-based, fruit and vegetables IFA v5.2 or IFA v5.4-1-GFS. In which case, what auditor shall evaluate, assess and report, is explained in the amfori BSCI System Manual - Part 3.

7.1 The Auditee observes applicable occupational Health and Safety (OHS) Regulations

This means that the auditee has a good knowledge of the OHS regulations that apply to its business and observes these regulations.

In cases where the country does not prescribe OHS regulations, international standards apply.

The producer involves workers and their representatives in drafting and enforcing the internal procedures on occupational health and safety, which are necessary to ensure observance of OHS regulations.

7.2 The Auditee seeks Workers' Protection in Case of Accident, in particular through compulsory Insurance Schemes

This means that the producer (auditee) implements different measures to protect workers in case of accident (e.g., the producer may set or promote that workers sign up for private insurance scheme (compulsory insurance schemes) and does the following:

- Involves workers and their representatives in finding better ways to protect workers from accidents
- Provides regular training for workers and management on how to avoid accidents and minimise impacts from accidents
- Regularly analyses the accident records to learn lessons and adjust accident protocols accordingly

7.3 The Auditee sets up an effective Management System that ensures they regularly carry out Risk Assessments for safe, healthy and hygienic working Conditions

This means that the auditee regularly conducts occupational health and safety risks assessments to:

Identify the most common risks for workers

Classify the risks based on their severity and likelihood

Define the kind of preventive or remedial measures that may be necessary

Develop, maintain, and implement an action plan

Allocate budget

The auditee will keep in mind that a good risk assessment:

- Is appropriate for the safety and health of all workers
- Includes consultation with workers
- Covers all production activities, workplaces, machinery, equipment, chemicals, tools, and processes
- Uses relevant standards as a reference (e.g., national law or international standards)
- Includes regular monitoring and testing
- Provides enough human and financial resources to ensure that the identified risk(s) can be reduced
- Takes into consideration:
  - The special needs of the most vulnerable workers such as pregnant women, young workers, or migrant workers (this list is not exhaustive, it is up to the auditee to identify higher-risk workers and make provisions for them, as necessary.)
  - The transmittable and non-transmittable diseases in the work environment

7.4 There is an active Cooperation between Management and Workers (and/or their Representatives) when developing and implementing Systems towards ensuring OHS

This means that the auditee takes the necessary measures to proactively promote constructive dialogue between management and workers.

Workers and their representatives are to be consulted:

- During the risk assessment
- During the development of the action plan
- During the implementation of the systems to ensure safe and healthy workplace

If the producer has set up an OHS committee with democratically elected workers' representatives, this is a positive step.

Other kinds of cooperation are acceptable, but there must be unambiguous evidence that shows how this active cooperation happens.

The producer keeps records on:

- OHS committee meetings
- OHS committee recommendations
- How the management evaluate these recommendations to accept or reject them

7.5 The Auditee regularly provides OHS Training to ensure Workers understand the Rules of Work, personal Protection and Measures for preventing and reacting to Accidents

This means that the auditee takes the necessary measures to make information available to workers about:

- The hazards and risks associated with their work
- The actions that should be taken for their protection

This information needs to be displayed in a way that can be easily understood by workers.

The auditee should make sure that workers are at least trained on the following OHS aspects:

- Using and maintaining the personal protective equipment (cleaning, replacement when damaged, and appropriate storage)
- Handling basic and site-specific hazards
- Safe work practices
- Emergency procedures for natural disasters
- Evacuation drills and/or fire-fighting drills, which have records for:
  - The purpose
  - Number of workers who participated
  - Results
  - Photos and dates
  - Time taken for the evacuation (the time required for evacuating the building should never be more than nine minutes)

The auditee improves its performance by doing additional training on OHS for the following audiences:

- Management, supervisors, and occasional visitors
- Workers who operate machinery and power generators
- People working with electrical installations and equipment who must also understand their tasks and safety procedures
- Workers who handle and/or administer hazardous substances (Including, but not limited to, chemicals, disinfectants, crop protection products, and biocides)

7.6 The Auditee enforces the use of personal protective Equipment to provide Protection to Workers in Conjunction with other Facility Controls and Safety Systems

This means that the auditee takes the necessary measures to provide workers with adequate personal protective equipment that:

- Offers effective protection to workers and occasional visitors considering the differences between men and women. Special attention is to be given to risky processes such as sand blasting for jeans or pesticide application in agriculture
- Does not cause unnecessary inconvenience to the person wearing it
- Is free of charge to all workers
- Works well for the necessary activities in the workplace

7.7 The Auditee implements Engineering and administrative Control Measures to avoid or minimise the release of hazardous Substances into the Work Environment. It keeps the Level of Exposure below internationally established or recognised Limits.

This means that the auditee puts into practice:

Regular risk assessments: To identify the engineering and administrative control measures that are needed to avoid or minimise the release of hazardous substances into the workplace and the environment (factory or farm). The risk assessment considers the specific needs and risks of vulnerable groups such as pregnant and nursing women

Administrative control measures: At the minimum, the producer will set up the following measures at the workplace:

Authorisation: Only authorised workers have access to chemical substances

Protection: Workers receive adequate protection for handling and administering chemicals

Record-keeping: The distribution, use, and disposal of chemicals are properly recorded

Following instructions: Workers must follow the recommendations of the manufacturer, when using chemicals (trainings may be provided in this context)

Labelling: The labelling of chemicals and marking of hazards are clearly understood by the workers and are done in agreement with nationally and internationally recognised requirements. For example:

- The International Chemical Safety Cards (ICSC)
- The Materials Safety Data Sheets (MSDS)

More information on the management of chemicals can be found here.

Engineering control measures: At the minimum, the auditee will set up the engineering measures at the workplace to:

- Expulse fumes, steam, and dust outside (e.g., spot cleaning places)
- Properly dispose of chemicals, even in the absence of national legal regulations

7.8 The Auditee develops and implements Accident and Emergency Procedures

This means that the producer (auditee) puts into practice accident and emergency procedures at least following the recommendations below:

Stepwise: Management and a good proportion of the workforce knows the steps to follow in case of accident or emergency, so risks are minimised

Written procedures: These steps are documented in an emergency procedure, which is widely understood by workers, especially those who play a more relevant role when accidents happen (e.g., first-aid personnel)

Special attention: The auditee makes sure that these procedures are properly explained to:

- Seasonal and temporary workers
- Night workers
- Migrant workers
- Young workers
- Pregnant workers
- Disabled workers

7.9 The Auditee makes visible potential Hazards to the Workers through Signs and Warnings

There are no universal ways to communicate potential hazards and warnings to workers and visitors. However, the auditee shall be confident that potential hazards to workers are understandable to those who are concerned.

Signals and warnings must be:

- Relevant to the specific culture and activities
- Displayed in the appropriate place for their purpose
- Related to the accident and emergency procedures
- Related and suitable to potential hazards, such as:
  - Chemicals
  - Electricity
  - Hot surfaces
  - Falling objects
  - Slippery floors
  - Machinery and vehicles

7.10 The Auditee has and properly uses Procedures for recording and reporting occupational Accidents and Injuries

This means that the auditee takes the necessary measures on:

Reporting: The procedures enable workers to immediately report to their supervisor any situation that presents a danger to life or health. Both accidents and near-misses are reported.

Recording: The auditee keeps records on all accidents and injuries. Records specify:

When the accident took place (e.g., date, peak season, harvest season)

Who was involved

What actions were taken

What the results were (e.g., death or injury)

How the accidents (or occupational diseases) were investigated

What actions for prevention and remediation were taken

How long workers were unable to work

7.11 CRUCIAL QUESTION: The Auditee seeks the Stability and Safety of the Equipment and Buildings used for Production

This means that the auditee takes the necessary measures to:

- Have procedures in place to confirm the stability and safety of the equipment
- Keep accurate documentation of any official and private inspection concerning building and equipment safety and stability
- Have valid licenses to conduct its activities in the relevant building

- Ensure if structural issues are identified on site or have been fixed, that they have records in place to demonstrate how the potential risk is being managed (i.e., an engineer's attestation that a crack in a wall is not structural, for example)

The auditee knows and follows:

- National legal requirements concerning the building:
  - Stability
  - Safety
  - Appropriateness for conducting its business activity
- Legal requirements concerning the safety of the equipment, including ongoing official inspections (if relevant)

7.12 CRUCIAL QUESTION: The Auditee respects the Workers' Right to remove themselves from imminent Danger without seeking Permission

This means that the auditee takes the necessary measures to ensure that workers can remove themselves from imminent danger without asking permission. This workers' right:

- Applies to the workplace and residential facilities provided by the producer
- Must be well communicated to workers during trainings
- Must be properly documented in the OHS procedures

7.13 The Auditee makes sure a competent Person periodically checks the electrical Installations and Equipment

This means that the auditee takes the necessary measures to ensure that a competent person will regularly verify electrical installations and equipment.

Competent person means that the person has:

- The relevant training
- Relevant qualifications
- Acquired relevant experience
- Checks if the electrical installations and equipment will happen:
  - Within the pre-defined timeframe
  - Randomly
  - Per request

The checks are properly recorded and, if possible, posted close to the verified installation or equipment. The record includes at least:

- Name of the person in charge
- Date of the last check
- Description of findings (if any)
- Due date for the next check

Furthermore, when dealing with electrical installations and equipment, workers need to conduct their work safely by:

- Using only tools properly insulated and in good condition
- Having appropriate working space and lighting
- Informing the competent person in case electrical installations or equipment show abnormal functioning
- Ensuring all electrical cables or equipment are not in danger of getting wet

Usually, national laws define the working space and lighting needed by workers that work with electrical installations and equipment.

If national laws exclude such regulations, the producer uses common good practices and adapts them to its situation, such as:

- Workplaces being free of distribution lines
- Electrical cords not posing a tripping hazard
- Risks of strangulation and other work-related accidents being evaluated and included in the OHS procedure to minimise them
- Engaging workers who use the installations and competent persons to get suggestions on how to reduce risks
- Ensuring any electrical cables or equipment are not in danger of getting wet
- Electrical cables, equipment or installations are not covered in dust or other workplace detritus

7.14 CRUCIAL QUESTION: The Auditee has installed an adequate Amount of Firefighting Equipment, which works properly

This means that the auditee takes the necessary measures to ensure that the workplace counts with the firefighting equipment required by the OHS action plan. Usually, the national law specifies the standard requirements for firefighting equipment such as:

- Position and placement
- Size and effectiveness
- Maintenance and inspection requirements

If there are no legal requirements, the firefighting equipment must at least be:

- Distributed in an equal way around the workplace
- Placed at a height that ensures effectiveness
- Easily reached by workers
- Properly identified (e.g., inventoried) with clear reference to:
  - The date of the last servicing
  - The due date for the next servicing
- Where fire extinguishers are located and the route to reach them must be visually marked

Early warning systems must be installed and function as required by the law. Warning systems can be:

- Smoke sensors
- Fire alarms
- Alarm devices

7.15 CRUCIAL QUESTION: The Auditee ensures that Escape Routes, Aisles and Emergency Exits in the Production Site are easily accessible, clearly marked and not blocked

This means that the auditee takes the necessary measures to ensure that workers and visitors can easily leave the premises if an incident occurs without putting their health or lives at risk.

To that aim:

- Escape routes, aisles, and emergency exits must meet the following criteria:
  - Not blocked or locked during working time (including overtime and night shifts)
  - Easily accessible
  - Clearly marked
  - Ending in a safe place for workers and visitors

Safe evacuation shall be managed in a systemic and preventive manner, for which workers shall conduct fire drills at least as required by law

Emergency lights and any other evacuation signals must be properly installed and function well

Production rooms where more than 10 workers work in the same shift should have doors that open outwards unless the national law sets different rules

The number of emergency exits must be adequate for:

- The number of workers
- The size and occupancy of the building
- The arrangement of the workplace

7.16 The Auditee ensures Evacuation Plans meet legal Requirements and are posted in relevant Places so Workers can see and understand them

This means that the auditee takes the necessary measures to ensure that the evacuation plans are the best possible to ensure workers can evacuate the workplace safely.

Plans to evacuate the workplace (and the building) must show:

Standpoint: Current position from the location where the plan is posted

Closest escape routes: Location of the closest escape routes including emergency exits

Firefighting equipment: Location of fire extinguishers and any other firefighting equipment

Assembly / muster points: Locations outside of the site where workers should congregate if there is an emergency

The auditee organises regular trainings to ensure that workers know how to:

- Use a fire extinguisher
- Read and follow the evacuation plan to reach a safe point

7.17 The Auditee ensures adequate Safeguards for any Machine Part, Function, or Process which may cause Injury to Workers

This means that the auditee takes the necessary measures to ensure that workers can use any relevant machine, function or process in a safe manner.

All applicable safeguards for equipment are available and properly installed, for example:

- Belt encasements
- Grills for fans
- Emergency switch-off

Valid inspections and insurance for machinery and vehicles are available as required by law. The maintenance work is done by competent personnel and recorded. This may be the case for elevators, lifts, and other hazardous machines.

The auditee keeps records of the maintenance, which includes:

- Summary of maintenance
- Name of the competent person in charge
- Applicable insurance and its validity

7.18 CRUCIAL QUESTION: The Auditee ensures qualified first Aid is always available

This means that the auditee takes the necessary measures to ensure that workers can receive first-aid in case of need.

National legal regulations define what kind of medical provisions shall be available for workers in the workplace.

If there are no such legal regulations, the auditee provides:

- Adequate first-aid kits, rooms, and/or stations
- Regular training on first aid and related procedures to ensure emergency treatment
- One or multiple trained people who can administer first-aid
- Responsible people to verify and re-fill the content of the first-aid kit

Where immediate flushing with water is the recommended first-aid response, the auditee makes sure that close to workstations there are:

- Potable water sources
- Eye-wash stations
- Emergency showers

7.19 The Auditee has emergency Procedures to deal with Cases of Trauma or serious Illness. These Procedures must be written

This means that the auditee takes the necessary measures to ensure that workers are helped in case of trauma or serious illness and are transferred to appropriate medical facility if necessary.

The emergency procedures may be in a separate document or part of the action plan developed after the OHS risk assessment. It shall include the steps to be taken when a worker must be transferred to an appropriate medical facility as well as the names of responsible staff in every shift.

Workers are aware of the procedures and who is the responsible staff in case of trauma or serious illness of themselves or one of their fellow workers.

7.20 CRUCIAL QUESTION: The Auditee always provides potable Water for Workers

This means that the auditee takes the necessary measures to ensure that workers have access to potable water always and not only during breaks.

Limiting access to potable water must be regarded as inhuman treatment or discrimination. Therefore, it must not happen, even less as a disciplinary measure.

The right to potable water shall be granted always in:

- The workplace (both factories and farms)
- The facilities where workers prepare or eat food
- Housing or dormitories provided by the business partner or provided by a broker or recruitment agency

National regulations often define:

- Water quality acceptable for human use
- Which areas may not require potable water (e.g., showers)
- The kinds of tests and authorities that verify water is potable

Certificates: Relevant and valid certificates must be made available.

Signs for non-potable water: Places where water is not potable must be properly marked to avoid any health risk to users.

Risk of dehydration: The business partner pays additional attention to the right to potable water during seasons or in regions where the risk of dehydration is higher due to hot weather.

7.21 The Auditee provides Workers with Access to an appropriate, clean Area for storing Food, eating and/or cooking

This means that the auditee takes the necessary measures to ensure that workers can eat, cook and store food in all safety and human dignity.

The auditee makes sure that workers are allowed to enjoy their lunch or dinner breaks in a place that is safe and clean.

If the law states that businesses must provide an eating room or canteen, the producer follows that law.

If the law does not define the minimum conditions for these facilities, the auditee should make its own assessment in consultation with workers and their representatives to define and agree on the safe and clean conditions.

The auditee pays particular attention during the peak season to ensure that the facilities can accommodate the entire workforce (permanent and all other workers), and still enjoy their lunch or dinner breaks in a place that is safe and clean.

Where food is provided to workers (either free or not), producers should ensure that it is nutritionally balanced and appropriate for the type of work on site (i.e., heavy labour delivered in hot conditions requires meals that have higher calorific content and more water in it. In any case, a bowl of plain rice or similar is not considered appropriate).

The auditee must have the following information available for the audit:

- How food is stored
- Records of cleaning shifts
- Menus for the last six months before the audit
- Lunch and/or dinner shifts

7.22 The Auditee provides Workers with clean washing Facilities, changing Rooms and Toilets that are respectful of local Customs

This means that the auditee takes the necessary measures to ensure that workers can maintain their hygiene habits and be safe from any contamination risk.

The auditee makes sure that workers are granted decent changing rooms, washing rooms, and toilets equipped will all necessarily conditions of human dignity. At the minimum, facilities must provide:

- A steady supply of soap
- Working locks
- Gender separation, or gender-neutral toilets where appropriate
- Separate changing rooms for workers who change their clothes to perform their functions (e.g., to handle hazardous substances or wear protective clothing)

If the law defines the minimum number of washing facilities and toilets that businesses must provide, the producer follows that law.

If no law exists, the assessment of how many facilities are needed to serve the size of the workforce needs to be part of the OHS risk assessment and related action plan.

If there is no applicable law, the number of washing facilities, changing rooms, and toilets should meet the needs of the total number of workers. Particular attention should be given to making sure that facilities meet workers' needs even when the number of workers increases (e.g., peak season).

The auditee can explain during the audit the reasons for having the number of facilities that it has. It can also explain plans to adapt the number, if needed and that gender has been considered in terms of numbers of toilets and toilet allocation.

7.23 The Auditee provides Workers with Transportation (either directly or by using third Parties) that is safe and that complies with national Regulations

This means that the auditee takes the necessary measures to ensure that workers come to work safely. To that aim:

- The producer has information on how workers get to the workplace (e.g., public transportation or bicycle).
- The means used for transportation are suitable for human transportation
- If the site uses drivers, in-house or third-party, the auditee ensures they are not under the influence of drugs or alcohol, and are fully licensed to drive the vehicle and carry the passengers they carry

7.24 The Location of the social Facilities or Workers housing ensure that users are not exposed to natural Hazards or affected by the operational Impacts of the Worksite (for example Noise, Emissions or Dust)

This means that the auditee takes the necessary measures to ensure that workers are not exposed to natural hazards or operational impacts due to the location of the social facilities or housing.

National law usually defines the characteristics for where and how social facilities and housing must be located. If not, the auditee:

- Bases its decision on the OHS risk assessment and related action plan
- Ensures that the location of social facilities and housing does not expose workers to:
  - Natural hazards
  - Adverse impacts on health, safety, or their lives
- Industrial buildings (with or without industrial activity) are not used for workers' housing

Cost of accommodations: When workers are required to temporarily leave the regular workplace for a different work environment (e.g., agricultural or animal production), the producer should provide the workers adequate facilities and accommodations at no cost for them.

7.25 The Auditee verifies that Temperature, Humidity, Space, Sanitation, Illumination are adequate for the Health and Safety of Workers

This means that the auditee takes the necessary measures to ensure that workers are not exposed to unnecessary health risk due to the working conditions.

Respectful to workers' health and safety: The auditee needs to make sure that workers have a workplace, social facilities, and housing that are fully respectful of their health and safety.

If the law defines the minimum characteristics for the workplace, social facilities, and housing, the auditee follows that law.

If not, the auditee comes up with the relevant standards because of the OHS risk assessment. The auditee must define in consultation with workers and their representatives the adequate conditions related to:

- Temperature
- Humidity
- Space
- Sanitation
- Lighting

Space and lighting: Space and lighting need to be provided in such a way that is adequate for workers' specific activities.

The auditee must be able to provide the auditor with consistent information on:

- The existing conditions
- Improvement plans (if any)
- Timeline and related cost(s) for improvements

If the auditee provides workers with housing:

- The rooms must give workers enough space and not be overcrowded
- Workers must have space to store personal items
- Laundry and waste disposal need to be properly organised
- Waste removal scheduling must be displayed for workers in the housing

Documents related to this Performance Area

Certificates and contracts:
Valid inspection and insurance for machinery and vehicles
Purchase invoices of the Personal Protection Equipment bought by the auditee
Valid business license and all necessary official approvals to run operations
Official building certificate about safety and appropriateness for the industry
Contracts with service providers, including food services, transportation, and agents
Training:
Documented evidence of workers training on occupational health and safety
Documentary evidence of training, consultations and informative sessions held for members of a producer organization
Evidence of a training calendar for workers and management
Documented evidence of the qualifications of workers who deal with dangerous machines, electrical installation, and any other activity that requires specific training due to the high level of risk
Records and reports:
Risk assessment for safe, healthy, and hygienic working conditions
Action plan for safe, healthy, and hygienic working conditions
Documented evidence of up-to-date contributions to social insurance funds
Occupational health and safety regulations for the industry
Documented evidence of the election process for the health and safety committee
Minutes of the health and safety committee meetings
Documented evidence of the consumption, release and disposal of chemicals (including Material Safety Data Sheets – MSDS)
Official inspections conducted to ensure building and equipment safety, including date of validity and corrective actions if any
Inspection reports, maintenance records, and operating and safety instructions for: ▪ Dangerous machines including lifts, electrical equipment, and high-pressure equipment ▪ Firefighting equipment (e.g., inspection tags on fire extinguishers) ▪ Potable water at production facilities and dormitories ▪ Health and safety of the facilities and dormitories including temperature, noise level, and lighting



Business partners sourcing directly from farms need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for its business.

Performance Area 8: No Child Labour

Child labour occurs when work:

- Is done by a person who is younger than 15 years old (or someone who is younger than 14 years old in countries that set that age as the threshold)
- Is mentally, physically, socially and/or morally dangerous
- Is harmful to children
- Interferes with children regular schooling because it:
  - Deprives them of the opportunity to attend school
  - Obliges them to leave school prematurely
  - Requires them to attempt to combine school attendance with excessively long and heavy work
  - Cannot be considered "light work"

Light work is the participation of children or adolescents in work such as:

- Helping parents around the house
- Assisting in a family business
- Earning pocket money outside school hours and/or during school holidays

Light work is acceptable as long as:

- The child is at least 13 years old (or at least 12 years old in countries that have set a minimum age of 14)
- It does not prejudice their attendance to school or time dedicated to homework (e.g., maximum two hours in any working day) - P 68 - amfori BSCI System Manual 2022 - Part 3
- It does not take place on a continuous basis (e.g., school holidays)
- It is supervised by either parents or any other guardian who can ensure the tasks provided to children are not harmful for their current and future health, physical development or interfere with their schooling

A higher minimum age of 18 years is set for hazardous work. Work which, by its nature or by the circumstances under which it is carried out, is likely to jeopardise peoples' health, safety and/or morals cannot be carried out by workers younger than 18 years old.

IMPORTANT: In almost all cases, work in factories is not acceptable for children below the age of 16 as it is considered a dangerous work environment.

8.1 CRUCIAL QUESTION: The Auditee does not engage in illegal Child Labour directly or indirectly

This means that the auditee takes the necessary measures to ensure that children younger than 15 years old (or younger than 14 years old in countries that have set that age as the threshold) are not engaged directly or indirectly to be part of the workforce

Child labour shall be avoided because it is:

- mentally and physically harmful to the children
- morally incorrect for a responsible business
- harmful for the community because it:
  - Deprives children of the opportunity to attend school
  - Obliges them to leave school before completing the term
  - Requires them to try to combine school attendance with excessively long and heavy work

The auditee must take the necessary actions to:

- **Understand** what child labour is and what it is not
- **Understand** the legal context it operates in and local laws relating to child labour
- **Identify** whether child labour is likely to occur in its industry or region (e.g., some industries such as agriculture, hunting, forestry, fishing, mining, and quarrying have higher risks of child labour than others.)
- **Ensure** there is a remediation process in place in case of child labour being identified on site

The business partner shall avoid engaging child labour indirectly (e.g., by using recruitment agencies or allowing migrant or seasonal workers to use their children to support them at work).

To that aim, additional precautions may be needed, and the auditee will keep up-to-date records of:

- Migrant or seasonal workers' children's names, ages, schooling time schedules, and school information
- Age and identity cards of workers engaged through recruitment agencies
- Agencies' recruitment procedures to avoid engagement of children or illegal workers (among others)

All this personal data will be kept with utmost respect and according to data privacy regulations. If during the additional preventive measures, the producer realises that some of the workers were hired before they reached the legal age to work, the producer reports this to the auditor and shows that actions taken to keep the situation from happening again.

Stakeholder mapping: The producer keeps contact details of the stakeholder(s) who could provide victim and child protection support (e.g., returning to school and identification of parents).

amfori BSCI offers Template 6: Stakeholder Mapping to use for this purpose.

8.2 The Auditee establishes robust Age-verification Mechanisms as Part of the Recruitment Process, which may not be in any way degrading or disrespectful to the Worker

This means that the auditee takes the necessary measures to ensure that its recruitment process can identify any minor before he or she is recruited.

The risk of hiring minors is higher for:

- Certain sectors (e.g., mining and textile)
- Certain cultural contexts and countries (e.g., Sumangali system in India)
- Jobs that require low or no qualifications
- Work conducted in remote areas where:
  - Labour inspectors are less likely to reach
  - Individuals have limited access to official identity cards

A robust age-verification mechanism includes:

- Training of the person or people in charge of hiring workers and dealing with high-risk situations
- Training of the person or people in charge of hiring workers to use interviewing techniques that can cross-verify the actual age of workers being interviewed
- Regular cross-verification of workers' ages with other stakeholders (e.g., recruitment agencies and previous employers)

8.3 The Auditee has adequate Policies and Procedures in writing, towards protecting Children from any kind of Exploitation

This means that the auditee takes the necessary measures to ensure that children are protected from any kind of exploitation neither directly (by the producer) or indirectly (by business partners).

The business partners shall be kept up-to-date and include:

An overview of:

- Particularly hazardous working conditions in the workplace
- Illegal activities in the region (e.g., drug trafficking, prostitution, and forced migration)
- Family poverty as a driving force behind child labour
- Child protection projects run in the area by government, NGOs, or others
- Trade union(s) that could offer support in case of child labour
- Educational or vocational training facilities nearby or in the region (including contact details and schedules)
- Education or social welfare authorities that can help in cases of child labour

An assessment of the measures to:

- Control the risk of child labour
- Reduce or eliminate child labour
- The necessary steps to deal in the most responsible way with cases of child labour

In addition, the auditee must ensure they have safeguards in place to protect young workers and children from other young workers or adults on site.

8.4 The Auditee has adequate and remedial Policies and Procedures to provide for further Protection in case Children are found to be working

This means that the auditee takes the necessary measures to ensure that, should children ever be found working in its business, they would be protected.

The **remediation procedure** must include:

- Ways to help children **return to society** when they stop working (e.g., non-formal or basic education for older children so they can successfully re-enter regular schools)
- Relevant **stakeholders** who could support children and their families when children stop working or for them to be able to stop working (e.g., local offices of international organisations like Save the Children and UNICEF and government agencies dealing with child protection) and up-to-date contact lists.
- **Allocated budget** to provide financial compensation to children found working so they can go to school

In some cases, the **best approach** for remediation may be to:

- Progressively remove children from work
- Set up a time schedule to monitor how children return to society

These two approaches might be more appropriate than immediately removing the child without any supervision.

An immediate removal might incentivise the child to get involved in less visible and more exploitative, hazardous, or illegal types of work. Having a policy to only engage adults is not acceptable as a child labour remediation procedure.

Documents related to this Performance Area
Personal data files for all workers (including seasonal workers and workers hired using recruitment agencies)
Age-verification procedure
Documentary evidence of training given to workers, management and human resources (e.g., list of attendees with signatures)
Procedure to avoid exploitation of children
Child labour remediation procedure
Worker contracts or agreements, including those with recruitment agencies

Business partners sourcing directly from farms need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for its business.

Performance Area 9: Special Protection for Young Workers

Young workers:

- Must not work night shifts
- Must not work near or with dangerous substances and chemicals
- Must have received specific training on health and safety standards as well as specific training on how to access and use the producer's grievance mechanism
- Are assigned working hours that do not put at risk their school attendance, participation in vocational orientation, or capacity to benefit from training or instruction programs

The business partner must take all necessary measures so that such special protection is provided to protect young workers from physical, psychosocial, or moral danger at work.

9.1 The Auditee ensures that Young People do not work at night and are protected against Conditions of Work which are prejudicial to their Health, Safety, Morals and Development

This means that the auditee takes the necessary measures to ensure that young workers do not put their health, safety, morals and development at risk.

Risk assessment: The business partner has a good understanding of the activities that are potentially harmful for young workers. A risk assessment is necessary even if the producer does not employ any young workers.

The risk assessment must result in pointing out the processes and areas of work where young workers cannot be involved.

Night work is usually defined by national law, in which case the business partner uses such a legal definition as a reference to avoid young workers working at night.

Without a national law definition, the business partner follows the amfori BSCI definition.

amfori BSCI defines 'night work' as all work which is performed during a period of seven or more consecutive hours, which include the period from midnight to 5 am, as defined by the ILO.

9.2 CRUCIAL QUESTION: Young Workers' working hours do not prejudice:

- Their attendance at school
- Their participation in vocational orientation approved by the competent authority
- Their capacity to benefit from training or instruction programmes

This means that the auditee takes the necessary measures to ensure that the combination of daily work hours, school time, and transport time is limited to 10 hours a day when workers attend local compulsory education, or any other education or training programme approved by the competent authority.

The auditee makes sure that its own company trainings are scheduled in such a way that young workers can still attend school or their education/ training programme.

9.3 CRUCIAL QUESTION: The Auditee establishes the necessary Mechanisms to prevent, identify and mitigate Harm to young Workers

This means that the auditee takes the necessary measures to ensure that the Occupational Health and Safety risk assessment and related action plan meet the following criteria:

- Specific attention to young workers
- Workers and their representatives are consulted to define preventive and mitigation measures
- The mitigation measures are properly recorded

9.4 The Auditee seeks to ensure that Young Workers have access to effective Grievance Mechanisms

This means that the auditee takes the necessary measures to ensure that young workers can use the grievance mechanism and receive timely feedback.

To that aim, the business partner seeks to ensure that young workers:

- Receive special training on how to submit a grievance
- are properly informed on the support they can receive to submit a grievance
- are trained regardless of the type of employment (seasonal, subcontracted, or directly employed)

Training documentation: The business partner keeps records of trainings given to young workers about the existence and use of the grievance mechanism. This training documentation shall include:

- Dates and schedules (which should not conflict with schooling or vocational training programmes)
- Content
- Trainer name and qualification
- Attendance list with signatures

9.5 The Auditee seeks to ensure that Young Workers are properly trained on occupational Health and Safety and have Access to related Training Programmes

This means that the auditee takes the necessary measures to ensure that young workers receive occupational health and safety training on the specific risks they face in carrying out their tasks.

Training documentation: The business partner keeps records of trainings given to young workers about the existence and use of the grievance mechanism. This training documentation shall include:

- Dates and schedules (which should not conflict with schooling or vocational training programmes)
- Content
- Trainer name and qualification
- Attendance list with signatures

9.6 The Auditee has a good Overview of all Young Workers engaged in its Production Site

This means that the auditee takes the necessary measures to ensure that it has accurate and up-to-date information on the young workers employed (directly and indirectly) at the producer business.

The auditee understands that young workers are one of the most vulnerable groups of workers.

The auditee makes extra efforts to monitor young workers' working conditions.

Work cycle: The auditee has a good overview of the work cycle of young workers, which refers to:

- The recruitment process
- Remuneration
- Hours of work
- Disciplinary measures
- Promotion
- Trainings
- Termination of employment

Record keeping: The auditee collects and keeps specific records on young workers. For this end, amfori BSCI provides Self-Assessment on Young Worker Data that includes the minimum information needed for the records. It is especially useful if the auditee does not have its own format. It is available on the amfori Sustainability Platform.

Handling personal data: Personal data records should only be destroyed in agreement with the national regulations for handling confidential information. See also performance area 13 Ethical Behaviour below.

Documents related to this Performance Area
Documentation of all trainings given to young workers
Risk assessment and related action plan with specific actions to protect young workers and young female workers
Young workers overview records
Young workers' work cycle overview

Business partners sourcing directly from farms need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for its business.



Performance Area 10: No Precarious Employment

No precarious employment means that:

- Employment terms do not cause insecurity for the worker
- Employment contracts provide social security
- Temporary or seasonal contracts, apprenticeship schemes, and subcontracting are not used to avoid the law

10.1 The Auditee's Employment Relationships do not cause Insecurity for the Workers

This means that the producer (auditee) takes the necessary measures to ensure that terms of employment provide legal protection to workers

Cause of insecurity: Situations that cause insecurity to the worker can affect both permanent and temporary workers.
They include:

- Deprive workers from social security
- Use of seasonal contracts at the expense of providing permanent positions
- Recruitment and dismissal practices to avoid consolidation of workers' rights

The auditee monitors that work cycles are respectful to the workers and don't reveal discrepancies or discrimination at any step.
These steps are:

- Recruitment process
- Remuneration
- Hours of work
- Disciplinary measures
- Promotion
- Trainings
- Termination of employment

Temporary workers: The definition of permanent and temporary jobs (seasonal being one type of temporary job) is usually given by law. If this is not the case, jobs that are not considered permanent, where workers are hired on rolling contracts or when workers know in advance they will be out of employment after days, week or months, are considered temporary.

Homeworkers: The auditee has specific protocols and systems to monitor and guarantee homeworkers (when relevant) working conditions, well-being, and type of employment arrangements.

Probationary period: National legislation often allows the first few months of a new employment relationship to be a probationary period.
The maximum duration is generally specified in the national legislation. This period allows both the employer and the employee to try out the employment relationship. It normally includes the notice periods to terminate the employment relationship. They are normally associated with special periods of notice for termination, while other obligations such as the remuneration and social security provision remain unaffected

Good practices: When the auditee considers the role that workers may have as parents or caregivers and adapts the working conditions accordingly, the auditor will acknowledge this as good practice.

The auditee should be proactive in reporting any other contractual practice that is not a legal requirement but a practice that the producer implements on a voluntary basis to improve working conditions.

The auditee works against work instability by having:

- Fair recruitment processes, remuneration, hours of work, disciplinary measures, promotions, trainings, and termination
- Temporary job arrangements when truly intended to cover work limited to a determined period
- Valid probationary periods and employment conditions
- Not using fix contracting based on the marital or pregnancy status of women

Please note, in some circumstances using a system whereby temporary workers from local communities being regularly replaced or rotated is beneficial to communities, as through this approach wealth and skills-building is spread more evenly and equally. If this is the case, it is important to ensure the process used to hire workers is fair and not discriminatory.

10.2 The Auditee engages Workers based on recognised and documented Employment Relationships

This means that the auditee takes the necessary measures to ensure that terms of employment are clear and according to the law. The work relationship between the producer and its workers is:

Recognised: The work relationship has been established in compliance with national legislation, custom or standard practice, and international labour standards, whichever provides greater protection to workers

Documented: The work relationship is supported by documented proof that workers are made aware of their rights and obligations (e.g., work contracts and posters that indicate working rules). Particular attention must be paid when workers have difficulties reading or writing. In these cases, the producer must make additional efforts to ensure that workers understand their working conditions

Indirect recruitment: The auditee should carefully look at workers' terms of employment when it engages workers by using recruitment agencies or labour brokers. Recruitment agencies must meet the characteristics defined by law to be considered as 'recognised agencies'. Otherwise, they represent too high of a risk for producer business reputation.

In this context:

The auditee has a good overview of how the recruitment agency engages workers, taking into consideration the following criteria:

Transparency: No coercion or threat of violence, accurate information on employment conditions, and contract in language that is understood by the worker

Security: Freedom of movement, no confiscation of personal documents or vital possessions, no semi-legal recruitment or denial of social benefits, and no excessive work hours or poor working conditions

Employer pays: Workers don't pay for a job and costs related to recruitment are covered by the employer

The auditee regularly receives employment documents from the agency.

The auditee understands how, when, and how much the agency pays the workers, including possible deductions.

10.3 The Auditee provides Workers with understandable Information before entering into Employment

This means that the auditee takes the necessary measures to ensure that workers are aware of the rights and obligations the work demands from them.

Information provided to workers must be:

Understandable: This may require translation into the workers' languages or documented in the local languages of migrant workers, or audio and/or visual guidance for disabled workers as well as for workers who have difficulty reading and writing

Timely: It needs to be provided before the employment relationship begins

Accurate: The information refers to rights, obligations, and employment conditions that will effectively apply to the worker upon starting employment. It includes information on:

- Working hours
- Trainings
- Resting periods and holidays
- Remuneration and terms of payment
- Social benefits: maternity/parental leave, sick leave, childcare services, health care, etc.
- Grievance mechanism

The same understandable information must be given to workers hired indirectly (e.g., through recruitment agencies, labour subcontractors, or brokers).

10.4 CRUCIAL QUESTION: The Auditee does not use Employment Arrangements in a way that deliberately conflicts with the genuine Purpose of the Law

This means that the auditee takes the necessary measures to ensure that terms of employment correspond to the real purpose. They are not created to avoid the law.

If misused, some legal employment arrangements can harm workers. The producer must avoid:

- Apprenticeship schemes where there is no intention to develop skills or provide regular employment
- Seasonal or contingency work that is used to undermine workers' protection

Some employment arrangement may have as intention to cover illegal practices or reduce workers' rights. The producer will be extremely vigilant to avoid being directly or indirectly involved in:

Labour-only contracting: The contractor or subcontractor merely recruits, supplies, or places workers to perform a job, work, or service for the employer. However, in reality, the arrangement covers bonded labour practices

Workers' subcontracting: Subcontracting should be done for efficiency or quality reasons, not to undermine workers' rights. (e.g., to avoid reaching the minimum number of workers that allows for the presence of workers' representatives or the right to unionise)

Contract substitution: when workers review one contract at any point in their recruitment stage, and then when it comes to signing, the contract is different (and often for a different job or pay grade entirely)

In all cases, the auditee must be able to explain the business logic behind the choice of these employment arrangements and demonstrate that workers' rights are guaranteed.

Documents related to this Performance Area

Employment contracts and/or posters where workers' rights and obligations are displayed
Recruitment records as well as addition and dismissal procedures
Overview of subcontractors
Overview of apprenticeships granted in the company
Overview of seasonal workers

Business partners sourcing directly from farms need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for its business.

Performance Area 11: No Bonded, Forced Labour or Human Trafficking

Bonded labour includes any form of servitude, or any forced, bonded, indentured, trafficked, and non-voluntary labour. Bonded or forced labour is unacceptable regardless of the circumstances.

The risk of bonded labour is not only determined by the working conditions at factory or farm level, but it can also take place in the recruitment process. Workers might be exploited by unethical agents before they even enter a factory or step foot on a farm.

In agriculture, cultivation organised on a communal basis because of law or custom is not regarded as compulsory cultivation. This is in line with the ILO Convention 29 (art. 19.2) and the producer can so explain it to the auditor.

Common types of forced and bonded labour vary between regions. Producers should ensure they are aware of those circumstances that could lead to forced or bonded labour in their region.

Special note on prison labour: The most familiar and accurate notion of prison labour is the one which provides a form of occupation for convicts. Such labour is not per se a human rights violation, if it fulfils certain conditions, such as:

- Prisoners offer their labour voluntarily, without being subjected to pressure or the threat of any punishment
- The work is performed under conditions close to a free labour relationship (wage level, social security, OHS) to the extent that prisoners' conditions allow it

This means that if the business partner is using prisoners to work (both directly and indirectly), the business partner should verify that work is conducted in the framework of national law and the ILO Conventions 29 and 105.

In most countries, prison labour will constitute a zero-tolerance issue and thus trigger the Zero Tolerance Protocol. In other countries, such as China, prison labour will **always** be a zero-tolerance issue. Whatever the case, business partners are recommend trying and **never** use prison labour, as more likely than not this will constitute a zero-tolerance issue.

11.1 CRUCIAL QUESTION: The Auditee does not engage in, or through Business Partners, cannot be complicit in any form of Servitude, forced, state-imposed forced Labour, bonded, indentured, trafficked or non-voluntary Labour

This means that the auditee takes the necessary measures to ensure that workers are hired:

- Based on their free will
- Having a good understanding of the rights and obligations
- Men and women workers have a full understanding of their working and contracting conditions
- Without facing any potential or actual risk of being subject to forced labour

Workers can:

- Leave work and terminate their employment freely, provided that reasonable notice is given to the employer
- Leave the premises after working hours, without being stopped or held by security guards (armed or unarmed)
- Leave the production site and housing in their free time without having to ask for permission
- Choose other housing than the lodgement offered by the employer if the possibility is given

The auditee must make sure that:

- Work permits are valid, and the type of work permit does not show that workers have been victims of human trafficking
- Workers receive their visa, housing, training, payment, and education without entering in any form of servitude
- Workers are not asked to leave important possessions or personal documents (e.g., passport) as a deposit
- Workers are not prevented illegally and against their will from receiving their earned wages or benefits

11.2 The Auditee acts rigorously and diligently when engaging and recruiting migrant Workers both directly and indirectly

This means that the auditee takes the necessary measures to engage migrant workers in a way that does not represent a risk of bonded labour. This is particularly important when workers are hired indirectly (e.g., through recruitment agencies, labour subcontractors, or brokers).

The auditee makes sure to avoid this situation when:

- Both the country of origin and host country do not provide reliable protection to migrant workers
- Workers must pay a (high) recruitment fee to an agency to obtain a work visa and the agency hides from them deductions and remuneration for the work
- Workers have restricted movement because the visa or travel documents are controlled by the agency or the producer
- Workers do not understand the host country language, which puts them in a more vulnerable position

Indirect recruitment: The auditee should carefully look at workers' terms of employment when it engages workers by using recruitment agencies or labour brokers. Recruitment agencies must meet the characteristics defined by law to be considered as 'recognised agencies'.

Otherwise, they represent too high of a risk for producer business reputation. In this context:

The auditee has a good overview of how the recruitment agency engages workers, taking into consideration the following criteria:

Transparency: No coercion or threat of violence, accurate information on employment conditions, and contract in language that is understood by the worker

Security: Freedom of movement, no confiscation of personal documents or vital possessions, no semi-legal recruitment or denial of social benefits, and no excessive work hours or poor working conditions

Employer pay principle: Workers don't pay for a job and costs related to recruitment are covered by the employer.
The amfori BSCI Code of Conduct Glossary explains this principle as follows:

Employer Pays Principle (EPP): It is a commitment that reflects Article 1 of Dhaka Principles for Migration with Dignity: "No fees are charged to migrant workers". In line with the principle, no worker should pay for a job; the cost of recruitment should be borne by the employer. For amfori BSCI, the cost of recruitment includes the costs and fees in both the countries of origin and destination

Recruitment agencies shall be considered by the business partner as significant business partners since they represent an additional social risk for the producer.

Most pervasive forms: The most pervasive forms of forced labour are seen in the exploitation of migrant workers through:

- Confiscation of passports and personal possessions
- Failure to provide employment contracts or provide them only in a foreign language
- Non-payment, under-payment, irregular payment, withholding of wages, lump-sum payment, or payment only 'in kind' (non-cash remuneration in goods and services)
- Illegal deductions from wages
- Long working hours

- Substandard living conditions and denial of water and food
- Use or threats of violence

These kinds of behaviour are considered unacceptable, and the producer must avoid being directly or indirectly involved in these.

11.3 CRUCIAL QUESTION: The Auditee does not subject Workers to inhumane or degrading Treatment, corporal Punishment, mental or physical Coercion and/or verbal Abuse

This means that the auditee takes the necessary measures to ensure workers are treated with respect and they are not subject to any corporal or mental abuse.

To that aim, the auditee:

- Creates and maintains a culture of respect through the entire business
- Rewards respectful treatment of workers, starting with managers and supervisors
- Provides regular trainings to workers and supervisors on the benefits of respectful treatment

The auditee ensures that disciplinary measures do not consist of:

- Corporal punishment
- Coercion such as:
  - Debt bondage
  - Restriction of movement
  - Violence
  - Threats and intimidation

Housing: When the auditee provides housing to workers, it must make sure that living conditions are respectful of workers' dignity. Special attention is to be given to the most vulnerable workers such as migrants, seasonal workers, young workers, and pregnant women.

At a minimum, housing should provide:

- Separate locker for each worker to store personal belongings
- Separate bed for each worker
- Separate accommodation for different genders (i.e. women and men)
- Separate changing facilities for different genders (i.e. women and men)
- Separate accommodation for different genders (i.e. women and men)
- Separate toilets for different genders (i.e. women and men)

11.4 The Auditee establishes all applicable disciplinary Procedures in writing and explains them verbally to Workers in clear and understandable Terms

This means that the auditee takes the necessary measures to ensure that the disciplinary procedures are:

- Coherent and in line with the law
- In writing and easily accessible to the workers and workers' representatives
- Descriptive concerning the censurable behaviour and possible disciplinary actions
- Descriptive regarding the person in charge and communication channel (including appeal)
- Free from unfair deductions or financial fees, which may be illegal deductions

Documents related to this Performance Area
Documented evidence of training given to workers, management, and human resources (e.g., list of attendees with signatures)
Documented evidence on disciplinary procedures
Recruitment procedures and records
Employment contracts or agreements including those of recruitment agencies, labour subcontractors, and agents (if relevant) and those related to security, cleaning, and other service personnel
Documented evidence on disciplinary cases and the measures taken

Business partners sourcing directly from farms need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for its business.

Performance Area 12: Protection of the Environment

Companies have the responsibility to follow environmental laws, minimise negative environmental impact, and make a positive contribution to long-term development.

Depending on the production processes carried out by the business partner, protection of the environment can refer to one or more of the following:

- Energy consumption and greenhouse emissions
- Emissions of pollutants
- Use of hazardous chemicals
- Management of soil fertility and water
- Conservation of biodiversity

In the context of business and human rights due diligence, the right to a healthy environment cannot be neglected and shall be part of the business due diligence. amfori BSCI business partners must be able to carry out processes and procedures to protect the environment, as relevant for their business.

12.1 The Auditee continuously identifies the significant Impacts and environmental Implications associated to its Activity

This means that the auditee takes the necessary measures to have a good understanding of the environmental impacts of its business activities.

The self-assessment for environmental impacts includes:

- All processes taking place in the scope of the company
- New production processes or newly installed equipment, which are immediately integrated into the assessment
- Clear understanding of how business activity impacts the environment
- Pre-defined time periods for doing such assessments
- Competent staff responsible for collecting the data and doing the assessment

12.2 The auditee has procedures in place to ensure integration of local environmental law into the business performance

This means that the auditee takes the necessary measures to ensure environmental legal compliance by:

- Integrating environmental policies and procedures into its core business strategy
- Making these policies and procedures a visible part of the business culture

The auditee develops effective ways to ensure:

- Ongoing identification of environmental legislation
- Definition of the environmental requirements that apply to its own daily activities
- Identification of sources of information on environmental legislation such as:
  - Specialised online sites
  - Publications issued by industry experts
  - Tailor-made services provided by specialised companies

12.3 The Auditee has and maintains required environmental Permits and Licences

This means that the auditee takes the necessary measures to have up-to-date environmental permits and licences.

The auditee is aware of the necessary environmental permits and licences required by law for specific business activities.

If any environmental permit or licence are unavailable at the time of the audit, the auditee must at least have requested them from the appropriate authority and have a documented proof of such request.

12.4 The Auditee manages Waste in a way that does not lead to the Pollution of the Environment

This means that the auditee takes the necessary measures to manage the waste produced by its business in a way that pollution of the environment is reduced or eliminated.

There are areas where waste separation and disposal are not managed by public authorities. This may lead to dumping waste material into the environment.

Regardless of whether there are national regulations, the auditee has procedures in place to:

- Identify and separate waste by type (hazardous versus non-hazardous) including packaging material
- Define any specific handling requirements (e.g., disposal through an authorised agent or to a specialised site)
- Create awareness among workers about the waste generated and the correct way to handle it
- Avoid dumping waste into natural environments
- Avoid burning waste in open fires
- Dispose of plastics and empty chemical containers without creating negative environmental impacts including potential harm to humans

12.5 The auditee manages Water in a way that respects the Environment, including preserving local Water Sources

This means that the auditee takes the necessary measures to promote water conservation and water waste reduction. This refers to water for industrial use and personal consumption.

Possible practices include:

- Proper identification of water springs, rivers, lakes, and other water ecosystems in the area
- Documented risk assessments that explain management decisions on water use (e.g., irrigation on farms)
- Raising awareness about water waste reduction
- Policies and procedures to include water conservation and water waste reduction as part of the business model

Both management and workers should be aware of the existence of water sources and how the facility is related to their use, supervision, and preservation.

Documents related to this Performance Area
Environmental risk / impact assessment
Map identification of water springs, rivers, lakes around auditee activities
Calculation of the necessary financial and personnel resources to comply with the minimum social and environmental requirements
Valid certificates and environmental licenses
Waste management plan
Water management plan
Environmental Management policies and procedures

Business partners sourcing directly from farms need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for its business.

Performance Area 13: Ethical Business Behaviour

Unethical business behaviour refers to falsification, fraud, misrepresentation, corruption, extortion, embezzlement, and bribery.

Business partners should present accurate and valid information to the amfori BSCI auditor, so that:

- Documentation or records are not altered and must reflect the true situation of the business partner's site(s) and its business partners
- Unaltered reports from previous audits (amfori BSCI and others) and/or government inspection records must also be provided
- Special care is taken to make sure sensitive information is collected and stored in a protected way (e.g., medical records) to respect the privacy of staff and workers

13.1 The Auditee actively opposes any Act of Corruption, Extortion or Embezzlement, or any form of Bribery in its Activities as a Business Enterprise

This means that the auditee takes the necessary measures to ensure ethical business behaviour is fully embedded in all areas of its activity. To that aim, the auditee:

- Has a policy (e.g., amfori BSCI Code of Conduct) in place that publicly condemns corruption, extortion, and bribery as unacceptable unethical behaviours
- Has procedures in place to prevent, detect and remediate any act of corruption
- Has an internal control mechanism and program for preventing and detecting corruption, extortion, embezzlement or any form of bribery
- Identifies where the major risks of corruption could occur
- Investigates and discourages any misbehaviour among the workers, particularly those with decision-making power
- Rewards ethical behaviour and integrity in its workers and managers
- Includes ethics and integrity as part of the training offered to workers and managers
- Monitors and reduces risks of corruption in the relations with key stakeholders (e.g., with auditors)

13.2 The Auditee keeps accurate Information regarding its own Activities, Structure and Performance

Disclosed information: The auditee shares information about its activities, according to applicable regulations and industry benchmark practices.

The auditee makes sure information about its business is:

Accurate: The information presented by the business partner to the amfori BSCI member and/or monitoring person is exact.

Structured: The information on different facilities and the way that the auditee organises its production sites is clear, organised, and available.

Activity and performance:

- The auditee's claims about its activity are correct (e.g., production volumes, number of workers, working hours, and direct and indirect hiring of workers)
- Reports from previous audits (amfori BSCI audits or others) or government inspections are available, including follow-ups on any findings that were previously reported

13.3 CRUCIAL QUESTION: The Auditee takes the necessary Measures to not take part in falsifying Information related to its Activities, Structure and Performance, nor in any act of Misrepresentation of its Supply Chain

- **Falsification of** information related to its activities, structure and performance
- Any act of **misrepresentation of its supply chain**

This means that the auditee takes the necessary measures to ensure transparency and honesty with regard to the business structure and its supply chain.

Falsification, fraud and misrepresentation: These are purposeful actions intended to cause harm or loss to another party for one's own direct or indirect gain.

Fraud and misrepresentation in the supply chain impact supply chain integrity and can result in substandard or defective products.

The auditee has a serious commitment to build trust-worthy business relationship and therefore avoids any of these actions. It must then make sure that if any staff member behaves unethically, proper investigation and disciplinary action will follow.

13.4 The Auditee collects, uses and processes personal Information with reasonable Care and in accordance with Privacy and Information Security Laws and regulatory Requirements

This means that the auditee takes the necessary measures to collect and process the personal data of individuals with respect for the individuals' fundamental rights (particularly the right to privacy).

The level of care applies to directly hired workers, business partners, customers, and consumers in the producer's sphere of influence.

Special attention is paid to the way data is collected to make sure that the worker is protected (e.g., medical records).

Documents related to this Performance Area

Business license
Anti-corruption policy
Corruption risk assessment
Procedure for investigation and discouragement of unethical behaviour
Communications and trainings to promote and reward integrity

Business partners sourcing directly from farms need to cascade these criteria to the farms and support them in their implementation process. Business partners are advised to qualify at least one person to ensure that the amfori BSCI values and principles are transferred to at least the most relevant farms for its business.

5. Understanding the amfori BSCI Monitoring Report

An opportunity to learn: The amfori BSCI monitoring report contains the information about the auditee and the evaluation of all performance areas.

Data evidence sections are only available on the amfori Sustainability Platform.

The business partner should understand the connections between all performance areas and see the audit as an opportunity to learn. The report will provide crucial information to design a path towards sustainable and continuous improvements.

This report provides the auditee with a summary of the audit/monitoring result, with each performance area grade provided. To see the details of the monitoring activity/audit, the business partner needs to access the report on the platform.

The exported PDF report has the following format:

- Monitoring data:
  - Name of monitored party
  - amfori ID
  - Name of the site
  - Site amfori ID
  - Address of the site
  - Monitoring activity
  - Monitoring type
  - Submission and expiration dates
- Overall rating
- Section ratings
- General description
- Site details
- Metrics
- Findings

Note that this report can be downloaded by any linked member, and the business partner company themselves.

Closing meeting and findings report:
The closing meeting represents the end of the amfori BSCI monitoring. The auditor uses this opportunity to:

- Present the findings from the internal audit, if applicable
- Describe to the auditee the good practices and areas of improvements identified during the audit
- Clarify to the auditee any potential doubt or concern about the amfori BSCI audit and next step

The auditee uses this opportunity to:

- Ask as many questions as needed to have more clarity on the meaning of the audit and next steps
- Engage with the workers' representative and management (present in the closing meeting to be able to start the planning for next steps)

Once clarifications have been made, the printout of the findings report is to be signed by:

- The auditor
- The auditee's legal representative
- The workers' representative (when applicable)

Signing the findings report: The auditee's signature does not imply that the auditee agrees with the content. It acknowledges that the audit has been conducted in the correct manner. The auditee can request that the auditor integrates the remarks it made in the closing meeting into the findings report.

The auditee and the auditor keep one copy each.

Online report: The monitoring report is fully available to the producer in the amfori BSCI platform 15 working days after the audit has been conducted. To access this information, the business partner needs to log in by using its password.

PDF report: this report can be downloaded by any linked member, and the business partner company themselves.



IMPORTANT: The rating of the audit is calculated automatically and states the improvements that the business partner needs to make in each different performance area. It does not guarantee the producer's social performance and does not release the producer from making continuous improvements. All findings are automatically integrated into the continuous improvement section of the business partner's site? Which then the business partner can start the improvement plan through defining sustainability impacts and adding measures to it.

amfori
Trade with purpose

amfori
Avenue de Tervueren 270
1150 Brussels, Belgium
T +32 (0) 2 741 64 76
E info@amfori.org

amfori.org